

Anupam Rasayan (ANURAS)

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Call: May 2023

ANUPAM RASAYAN INDIA LTD.
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ARILSLDSTX20230 508021 Date: May 08, 2023

To,
BSE Limited ,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001, India
SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block -G,
Bandra Kurla Complex
Bandra (East), Mumbai 400051, India
SYMBOL: ANURAS

Dear Sir/Madam,

Subject: Submission of transcript of Earnings Call on the Audited Financial Results (Standalone and Consolidated) of Anupam Rasayan India Limited (the "Company") for the quarter and year ended March 31, 2023

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith t he transcript of the 'Earnings Call' on the Audited Financial Results (Standalone and Consolidated) for the quarter and year ended March 31, 202 3, held by the Company on Wednes day, May 03, 2023 .

This information is also being hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records .

Thanking You,

Yours faithfully,

For Anupam Rasayan India Limited

Ashish Gupta
Deputy Company Secretary and Compliance Officer
M.N. A46274

Encl.: As above
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"Anupam Rasayan India Limited
Q4 FY '23 Earnings Conference Call"
May 03, 202 3

MANAGEMENT : DR. KIRAN PATEL – CHAIRMAN – ANUPAM RASAYAN
INDIA LIMITED

MR. ANAND DESAI – MANAGING DIRECTOR – ANUPAM
RASAYAN INDIA LIMITED

MR. AMIT KHURANA – CHIEF FINANCIAL OFFICER –
ANUPAM RASAYAN INDIA LIMITED

MR. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL
OFFICER – ANUPAM RASAYAN INDIA LIMITED

MODERATOR : MS. KRISHNA PATEL – ERNST & YOUNG

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Moderator: Ladies and gentlemen, good day, and welcome to the Anupam Rasayan India Limited Q4 FY '23 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Krishna Patel from EY Investor Relations. Thank you, and over to you, ma'am.

Krishna Patel: Thank you, Tanvi. I'm pleased to welcome you all to Anupam Rasayan's earnings call to discuss Q4 FY '23 results. Please note a copy of all our disclosures are available on the Investors section of our website as well as on the stock exchanges. Anything said on this call, which reflects our outlook for the future, or which could be construed as a forward -looking statement must be reviewed in conjunction with the risk that our company faces.

Today, from the management side, we have with us Dr. Kiran Patel, the Chairman; Mr. Anand Desai, the Managing Director; Mr. Amit Khurana, the CFO; Mr. Vishal Thakkar, the Deputy CFO.

Now I shall hand over the call to Dr. Kiran Patel for his opening remarks. Over to you, sir.

Kiran Patel: Thank you. Good evening, and a warm welcome to our Q4 FY '23 Earnings Call. I hope you all are doing well. The year 2023 continues to unfold additional challenges for the world, starting with the banking crises unraveling in the United States, also having some impact in Europe and the rest of the world, continued inflation and higher interest rates, along with the ongoing Ukrainian conflict all contributing to the uncertainty on the economic front. The true test of leadership is measured by the ability to navigate through these turbulent times safely. Anupam is fortunate to have a great team under the able leadership of Anand Desai, who is driving our long-term goals of becoming one of India's largest players in the specialty chemicals space. Anupam has been strategically investing in technology and infrastructure, human capital, research and development to achieve this goal. To elaborate further on the technology front, our manufacturing infrastructure is class apart. We were probably one of the first few companies to have started using the continuous flow processes in early part of 2013, helping us win and sustain the confidence of global clients and which aids in further new client acquisitions.

Moving on to our investment in human capital. We have expanded our business development team; the testament of this expansion is our recent wins in Japan and United States with this new development. On the green initiative side, we have installed 17.9 megawatts solar power plant, which will provide us with savings of INR14 crores per annum. On the strategic front, the recent acquisition of Tanfac has allowed us to further build upon the existing fluorination portfolio.

On the R&D team, this robust team has allowed us to build complex chemistries at competitive costs, which allowed to demonstrate our capability to the customer. The recent LOIs signed are a result of this strategy. And I will let Anand discuss this in greater detail later.

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As part of our long -term growth strategy, we also continue to evaluate multiple strategic

inorganic growth opportunities across geographies to further consolidate and accelerate our growth trajectory and offer our customers with a complete solution for their requirements. I can assure all of our shareholders that we will continue to be cautious and selective in evaluation of these opportunities. And like the acquisition of Tanfac, we will acquire companies only if they are strategic and value accretive to Anupam.

Before I conclude, let me congratulate our Anupam team on our FY 2023 performance. We have delivered a robust revenue growth of 20% plus in FY '23 driven by various contracts which we signed during FY '22 and '23. Stepping back to what I had alluded earlier, all the levels which we have been working on for years are now converging and the results are a byproduct of the same. I will let our CFO, Amit and Vishal, discuss financial numbers in detail later.

On a closing note, amidst the weak global economic backdrop and headwinds, Anupam is shining well due to our planned long-term strategy. With this, I hand over the call to Anand for his opening remarks. And I would like to thank you all once again for joining us here. Over to you, Anand.

Anand Desai: Thank you, Dr. Patel. Hello, and good evening, everyone. Welcome to our Q4 FY '23 earnings call. It gives me great pleasure in sharing that we have continued our robust growth momentum with a consolidated top line growth of 49% on a Y-o-Y basis to INR1,601 crores. And standalone top line growth of 20% on a Y-o-Y basis to INR1,284 crores.

This growth was driven by 3 important factors. The first factor was commercialization of 5 new products during the year; second thing is steady growth of our organic product portfolio and third was strong performance by Tanfac. This growth augers well in the backdrop of a trending year in terms of supply chain issues, raw material pricing volatility, sticky inflation and other major economic events that have impacted the world at large. Despite these challenges, not only have we been able to deliver strong growth but also have been able to strengthen our margins. This resonates to our business model and long-term strategy.

On the operations side, we continue to focus on adding more value-added products in our basket as well as bringing financial efficiencies. We have already started discussing the results of the same, which is visible in our stable margins and improved working capital, resulting in a strong cash generation of INR244 crores from operations. Dr. Patel mentioned about our investments in infrastructure, talent and technology and how this has helped Anupam in achieving this robust growth till date.

We shall continue to capitalize on this platform so created and further invest in strengthening and expanding this period of growth. Let me expand on some of this. On Infrastructure, during the last 5 years, we have incurred almost INR1,000 crores of capex, which has created manufacturing capacity, and which has resulted in growth of over 26% CAGR over the last 5 years. Further, this capex would also support similar growth for the next couple of years.

Further on, the LOI contracts signed has strong demand along with the enquiry from global customers for fluorination-based molecules and due to which we have announced capex of Anupam Rasayan India Limited

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INR670 crores for the 3 new brownfield projects to service this requirement. And this new capacity will ensure growth for the next 3 to 5 years.

Coming to the point of talent, we remain focused on investing in talent acquisition across functional areas, specifically in R&D. Our team size grew by 11 scientists to total 88 professionals as of FY '23. Looking at the project in pipeline, we have planned to develop our R&D team in FY '24 to 175 scientists. Further, we have added 12 experts in business development team across U.S., Japan, Europe and India. All these existing and new talent pool will help us strengthen our product development and customer relationships.

On technology, we have launched 5 products during FY '23, most of which are manufactured in India for the first time. I wish to applaud our R&D and business development team for their exceptional work in synthesizing these molecules in record short time, with our distinctive

processes as well as carrying them out to a commercial level. We shall continue this momentum, and we target to launch over 10 products in FY '24 in various segments, including niche, pharma and electronic chemicals. And again, these are for the first time in India.

With the backdrop of recent geopolitical events the world is changing significantly in terms of supply chain management and vendor consolidation in favor of reliable, long-term, supply chain partners, especially from India. Thereby presenting us with many opportunities which are value accretive and sustainable. I'm happy to share that with the recent LOIs and contracts signed, our cumulative value of LOIs and contracts has reached a total of INR5,500 crores, which are to be supplied over a period of 5 to 7 years, and which significantly improves our growth and revenue

visibility .

At the same time, we further remain in advanced stage of discussions with customers across geographies for many niche and high value molecules. I'm more confident than ever of also delivering robust growth in FY '24.

With that, I would like to hand over the floor to our CFO, Amit bhai. Amit bhai, please.

Amit Khurana: Thank you, Anand, sir. Good evening, everyone. I will discuss some important financial updates before handing over to Vishal bhai for his remarks. Let me begin with an update on the capex .

Throughout the year, capex was around INR177 crores, which was largely spent on building new capacity, solar project, R&D and general capex . In FY '24, we expect capex to be around INR350 crores to INR400 crores, our asset turns for FY '23 crossed 1x. And further, we expect it to grow significantly in FY '24. I would like to reiterate that new capex will have an asset turnover of over 1.75x. In total, we have budgeted to do capex of INR670 crores for 3 brownfield projects, which will support the signed LOI contracts and demand for fluorinated molecules.

On the working capital side, we have been able to bring down our inventory days from 291 in FY '22 to 250 days in FY '23. We have been able to achieve this improvement on account of high focus on working capital intensity as promised last year. We continue to focus on working capital intensity and expect it to reduce further to a more comfortable number by next year.

Strong revenue growth, stable margins and better working capital cycle has helped us deliver

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strong cash flow from operations of around INR244 crores. I am confident that we will continue to generate robust cash flow in coming years, which will make us self-sufficient in the future.

Cash on the books as of 31st March 2023 was INR551 crores. This coupled with expected cash flow from operations in the coming quarters will be sufficient for the planned capex .

With this, I hand over the floor to our Deputy CFO, Vishal bhai, who will take you through the financials in detail.

Vishal Thakkar: Thank you, Amit bhai. Hello, and good evening, everyone. Thank you for joining us here today.

I would like to briefly touch upon key performance highlights for the quarter and the year ended 31st March 2023. And then we will open the floor for question and answers. Before I proceed, I hope you all have had the chance to go through the detailed presentation submitted to the exchange and at our website.

Kindly note, our numbers for the quarter and year on a consolidated basis include Tanfac numbers.

I will first discuss the consolidated highlights for the quarter ended March 31, 2023. Operating revenue for Q4 FY '23 was at INR4,800 million as compared to INR3,249 million in Q4 FY '22, up 48% Y-o-Y. EBITDA was at INR1,416 million in Q4 FY '23 as compared to INR969 million in Q4 FY '22. Growth of 46% Y-o-Y, this would translate into a 28% EBITDA margin. Profit after tax, was at INR726 million in Q4 FY '23 as compared to INR461 million in

Q4 FY '22, a growth of 58% Y-o-Y.

On a full-year basis, the operating revenue for FY '23 was at INR16,019 million as compared to INR10,738 million in FY '22, up 49% Y-o-Y. EBITDA, including the other revenue, was at INR4,399 million in FY '23 as compared to INR3,100 in FY '22. A growth of 41% Y-o-Y. This would translate to 27% EBITDA margin for the year. Profit after tax was at INR2,168 million in FY '23 as compared to INR1,522 million in FY '22, a growth of 42% year-on-year.

Please note, consolidated numbers of FY '22 does not include Tanfac industry's numbers.

As far as revenue breakup is concerned for the year, in terms of geographies in FY '23, the contribution from Europe was 30%; India, 36%; Japan 16%, Singapore 11%, China, 4%; and remaining 2% was from U.S. Exports for the year was around 64% and continues to be a major contributor to the revenue. Our top 10 customers contributed 82% of the total revenue, and there is total 24 products that we provide to them. As we continue to add more customers for the various value-added products, having better margin, we will continue to see contribution from top 10 customers moderate in coming years.

With that being said, we shall open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Vidit from IIFL Securities.

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Vidit: Hi good afternoon and thanks for taking my question. Just if you could share some further color on the 3 new LOIs that have been won in the last couple of months. Just in terms of, what was

the edge that Anupam had, that the customer selected Anupam as the first-time manufacturer in India and also in terms of when revenue from these LOIs is likely to kick in?

Vishal Thakkar: Let me try and address it, and Anand bhai will add if I have missed on something. First, if I were to add and say where we are coming from here is if you see, these are all the molecules that we have been working for a long time. And these customers are the customers where they have seen our relations with our other customers and the kind of quality of services. And most importantly, the technical capabilities that we have demonstrated for them in terms of synthesis, in terms of speed at which we have been able to deliver, the quality that we develop for them. And most importantly, the supply chain solutions that we can provide because as you can appreciate in custom synthesis manufacturing business. The key thing is, as we are part of their supply chain, can we also demonstrate to them that our supply chain is robust enough to provide them a consistent supply over a period of time. Because these are all contracts with them ranging from 5 to 7 years in terms of the initial relationship that they start with. So that's one part of it. And as we talked about fluorination, basically, if you see, this was the work which we had started 6 years back or more. And that now is coming to fruition because of the supply chain that we have created here. And that's what is coming into play. Of the LOIs that we have signed this year, we will be able to commercialize at least a couple of products in this year and balance others should be in the next financial year.

Vidit: So anything at the beginning of the year, all of this would probably bring in revenue on a full scale only in FY '25? Is that right? Or is that a correct way to understand it?

Vishal Thakkar: Yes, you can say that way because the large part of the volume will come in the next year and the year after. So, if you look at it, typically, there is always a ramp up. And that ramp-up will take a couple of years. So that's what we are saying.

Vidit: And these customers, are they existing customers? Or are all 3 of them new customers that we've got. Because I think the presentation says

you've won one new MNC. So, is it fair to assume that the other 2 are existing customers giving us new molecules?

Vishal Thakkar: No. So, when we say customer is when we initiate a sale with them. In this case, this is only an LOI, where the sales are not initiated. So, all these 3 LOIs are with the new customers, actually. So probably next year, you will see a few more addition to our customers.

Vidit: And this capex guidance of INR350 crores, INR400 crores that you've given out, when do we see it start commercializing?

Vishal Thakkar: Probably at the end of the year or a quarter after. So, let's say, end of this financial year stroke first quarter next financial year.

Vidit: All of this is largely the fluorination capex?

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Vishal Thakkar: Both. As we have said that there is one capex which will go for the LOIs and contracts that we have signed and earlier LOI/contracts that we signed and 2 for the fluorination block.

Vidit: So roughly around INR250 crores for LOIs and the rest for fluorination?

Vishal Thakkar: Yes, you're right.

Vidit: On the margins for the fourth quarter, particularly the stand-alone business has seen a little bit of a dip. If you could just explain what has gone into that and why margins have taken a bit of a dip?

Vishal Thakkar: So, if you look at it, largely, you should look at us more from an EBITDA perspective rather than only gross margin perspective. Because typically, we will be looking at negotiating with our customers mainly on the PBT / EBITDA levels of margins. And this aberration that you saw in terms of this quarter is largely coming from the product mix change and a couple of products where the gross margins were a little on the lower side.

But at the EBITDA level, they were at the same levels. Because typically, my EBITDA levels are where we look at the profitability. And if you look at the year number, that year number will look more reasonable, those gross margins will be in the similar range than what we would have expected. And EBITDA margins also at the same level that we have expected. So, I would not read much on the quarter number, and I would probably read the annual number as a representative of the business.

Vidit: I meant the EBITDA margins, excluding the other income. They have sort of declined by roughly 400 basis points for the quarter.

Vishal Thakkar: That's probably quarter entering quarter exiting numbers that would have moved around. But largely, it will be back to the numbers that we have been seeing.

Vidit: But the trend in improving product mix and higher margin or the share of higher-margin products remain, and we could probably see these normalized in the next year?

Vishal Thakkar: Absolutely. It's just the scheduling and the product mix that we would see.

Vidit: Thanks for this, I'll get back in queue.

Moderator: Thank you. The next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Congratulations on good set of numbers. A few questions from my side. Sir, first is on the LOIs, you have mentioned that in the last few months, we have signed more LOIs for INR2,800 crores.

I think if I remember that one was announced in the niche fluorinated molecule recently which you have now INR380 crores molecule, with a INR76 crores revenue potential. I just wanted to get more on this INR2,860 crores kind of number which we're talking about, to get some more details on this.

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Vishal Thakkar: There is only limited that we can share as of now as long as the confidentiality is also there. But what we are saying is, yes, these are all fluorinated products going into API and engineering fluid applications. So, this is where we are, the INR380 crores number that we had said. And the other one that we are talking about

is, again, in the fluorination side, which is what we had talked about of the INR1,500 crores worth of which one will be into fluorinated but more on the polymer side of the application. And the first one that we signed around INR1,000 crores number. That is one which is mainly going into a fungicide. It's an AI.

Rohan Gupta: So, the third one for INR1,000 crores is 6 years contract?

Vishal Thakkar: Yes.

Rohan Gupta: The INR1,500 crores you said for how many years?

Vishal Thakkar: INR1,500 crores will be for 7 years.

Rohan Gupta: Both of these 2 molecules, INR1,500 crores and INR1,000 crores, both of them are in the fluorination side?

Vishal Thakkar: All are into fluorination.

Rohan Gupta: Okay. So, all of them are in fluorination. And when we talk about fluorination, so these are the enhanced molecules in HF categories and HF-based chemistries or they are in earlier chemistries which we are using, KF based chemistries, so which part of the chemistries are involved in this?

Vishal Thakkar: So, these are all the contracts which have been LOIs that we have been signing after the acquisition of Tanfac so you can appreciate where they are coming from and what chemistries they are in. But largely they are the chemistries, which are more from the HF side than the KF side.

Rohan Gupta: Okay that's great. The expected timeline for these molecules will be once again, I mean, we can expect the commissioning of these products in next 2 years or they will be longer or shorter.

Vishal Thakkar: So, as I had mentioned earlier, these LOIs, of which at least 2 molecules we should expect in this year and the balance you should expect in the FY '25. And the full ramp-up we should see it in FY '26 or 2 years, basically from there.

Rohan Gupta: Sir, as far as the customers are concerned, one is a Japanese, another is an American MNC in a niche product, are these the ones that are new customers, or they are the existing set of customers whom we have given the contract.

Vishal Thakkar: These are the new customers that we have.

Rohan Gupta: So, all the fluorination customers are new? ...

Vishal Thakkar: All the 3 LOIs that we have signed are new customers that we are going to add. In this year's presentation, if you see, we would have only added one MNC customer. That was for the sales

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of the product that we have done. These are the LOIs, which will translate into sales this year and next year. And so, they will become revenue paying customer in FY '24 and FY '25. So all 3 are new customers.

Rohan Gupta: These customers are looking at the fluorinated solution. I believe that there are a couple of players who are already there in the industry. So, I'm sure that these customers have come to us, and they must have seen something in partnering with us. I am just asking that for most of these molecules you have mentioned that they are the main molecules as far as India is concerned. I just want a little bit clarity, these molecules which you have got, they are the new feature product development, or they are existing, I mean, there are the existing players who are replacing some other country or suppliers like China or Europe.

Vishal Thakkar: So naturally, if you see, these are all the products which are typically manufactured by customer existing today or maybe sourcing from Europe and other geographies. These are the products which are not being manufactured or sourced from India. And that is what we are saying that we would have done it first time in India. And one of them is a new product. A couple of them are also new, which are launched by my customer also. So, they are first time moving out of the

manufacturing facility to us.

Rohan Gupta: And they are all intermediate, mainly for end products. None of them are AI or final product.

Vishal Thakkar: There is a

an AI in it as well.

Rohan Gupta: No, I am saying that all these players are intermediates, there is no final technical or final ingredient, right?

Vishal Thakkar: That's what I'm saying. One of them is an AI. Others are intermediates to polymers or intermediates to API.

Moderator: The next question is from the line of Vishal Biraia from Max Life. Please go ahead.

Vishal Biraia: Just to take forward Rohan's line of questions. What is the contribution from fluorine based intermediates, fluorine based business in FY '24 and in FY '25 as these molecules scale up?

Vishal Thakkar: I will tell you today, it is about 15% in my portfolio. And we expect that contribution to expand.

I would be preferring not to speak a specific number in terms of it, but it should become 20% to 25% of my contribution in next 2 to 3 years' time.

Vishal Thakkar: So, it should be 20% by FY '24 and 30% by FY '27.

Vishal Thakkar: Give me an allowance of a couple of percentage points.

Vishal Biraia: Obviously. That is broad direction. We need a direction over the numbers, numbers will fluctuate.

Vishal Thakkar: Yes.

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Vishal Thakkar: But it will also depend upon my other business also growing and other molecules growing. But yes, largely, you can see directionally, here what we are trying to say is directionally where we will go.

Vishal Biraia: And how will you be getting HF and KF to Gujarat?

Vishal Thakkar: First is that Tanfac is my subsidiary. And the second is, we would have an arm's length transaction with them because they are also listed, we would be also listed, so we'll do an arm's length transaction with them. And one more thing is, we will try and source the one step forward or from HF we'll make it into a step, which is more amenable to transport and move to the Anupam sites.

Vishal Biraia: So, you will do one step at Tanfac and then get the stuff?

Amit Khurana: Exactly. And Tanfac will have its own growth. I would not be able to discuss now. We can separately do it. But yes, that will continue in that side.

Vishal Biraia: And on the Slide 23 of the presentation, you've written that the Anupam Rasayan is the only manufacturer of niche molecules in fluorination. So, what exactly are the niche molecules that you're referring to in which you are the only one?

Vishal Thakkar: So, what we mean here is not that we are the only manufacturers of fluorinated products. But the product that we will manufacture, those products will be new to India. We will be the only one manufacturing today or we would be the first one to manufacture in the country. So that's what we are saying. There are my peers in the industry who have been doing fluorinated products and for a long time. Here, what we mean to read is the products that we do will be the niche ones which are not produced in India, and we have our own niche in which we'll be operating. Like what we talked about fluorinated polymers and this, again, in polymers, my peers are there who do a different polymer range, and we will be doing a different polymer range.

Vishal Biraia: What will be the extent of backward integration for you for this particular polymer?

Vishal Thakkar: Extent of backward integration, so we'll start from HF to start right from the starting material, we will be able to bring it up. Over the period of time for sure because we'll have to build the whole supply chain. But yes, that's the kind of integration, we'll start from HF.

Vishal Biraia: What is your HF utilization, how many tons of HF do you utilize currently? And how much would you require in FY '24, FY '25?

Vishal Thakkar: Okay. So, see, this will all depend upon my ramp-up of the business, and I would rather say that today, my HF utilization will be very limited, which is more on the sample side because now we are going to commercialize the HF products.

And as we start doing it today, large portfolio of ours is based on the KF portfolio.

Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

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Krishan Parwani: Congratulations on the order wins and good set of numbers. So, 4 questions from my side. I'll limit it to 3 actually. So first is, what is the kind of inventory levels you are envisaging going forward? I mean, also these new order wins are priced on 6 months or annually. So that's the first question?

Vishal Thakkar: So first is the inventory, as we have been focusing on, we will try and bring it to the lower numbers that we have been indicating. We should be going back or below what we have been in FY '21.

Krishan Parwani: So, I mean if I just put in the number to it, FY '21 inventory levels were at around 222 days.

Vishal Thakkar: We should be doing better than that. Our target will be to do better than that.

Krishan Parwani: So, even better than FY '20?

Vishal Thakkar: Give me a quarter or 2 to answer that.

Krishan Parwani: So, these new order wins, how are the price 6 months or annual?

Vishal Thakkar: They are a combination of annual and 6 months. One of the customers will be more on the annual, but largely they are on the 6-month side. Most of them are on the 6 months, but we have an option to price it on a 6-monthly basis.

Krishan Parwani: So, my second question is, would our margins be initially lower than the company-level EBITDA, especially in the beginning, since these are new products for us?

Vishal Thakkar: See, typically, you can say, but it does not significantly move up because the volumes are also pretty low at that point in time. But the moment the volumes increase, we go back to the margin that we have been. So, I don't see any impact of these into my margins.

Krishan Parwani: So, you expect, let's say, whatever stand-alone margins that you did 28.6% in this fiscal, you think these are sustainable in nature? Or you would rather guide for more like 25%, 26%?

Vishal Thakkar: I have always been trying to guide at 26% to 28%, but if it's higher it's always great. But not because the molecule is low margin, typically we believe we are robust at 26% to 28% EBITDA margin, there is a possibility for higher margin. But typically, 28% is where we would be. And also mind you that these are molecules which are of high-value products that we are talking about, my ASP increases significantly in this case if you really see that. So the room for margins will also be higher. So there is a 2-way play that plays out here. And I would not want to say otherwise, but I would guide with 26% to 28% and leave it there for now.

Krishan Parwani: And 2 small clarifications. So, I'm not sure if you've already given this, but is there a breakup of, let's say, capex for FY '24 in terms of fluorination products and the non-fluorination and similar for FY '25? If possible, if it's there?

Vishal Thakkar: So, let us have a block number because this is all projects that are happening, and they are all in the brownfield expansions. So, what we are saying is large part will happen by this. But on the

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fluorination side, basically, the LOI is INR250 crores, and the balance is fluorination, out of INR670 crores. So INR420-odd crores will be coming from fluorination and INR250 crores will be LOI.

Krishan Parwani: So INR670 crores is what we are envisaging for FY '24-'25 inclusive or there could be more in FY '25?

Vishal Thakkar: Right now, this is the capex that we have guided for and announced. So, we would leave it there. If there are any more, we'll come and update you on that as well.

Krishan Parwani: Just small little clarification. Since you mentioned about you will be doing one step at

Tanfac.

So, do you have the capabilities there? I mean, have you changed anything? Or will you be just diluting HF?

Vishal Thakkar: So, it will be a combination, in few cases, dilution will be good enough or in few cases, there will be one more step that we may do. The capacities are there, and there is a small bit of amendment that has to be done, which will be done.

Vishal Thakkar: And Anupam will support in helping them do the steps that are required. So, it should be a combination of both, that would be there.

Krishan Parwani: Thank you so much Vishal bhai, for patiently answering my question and wish you all the best.

Vishal Thakkar: No problem, welcome and thank for the wishes.

Moderator: We will move to the next question from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Good evening and thank you very much. So, if you look at the capex numbers you just shared, this INR420 crores for fluorination and INR250 crores for LOIs. So together, this represents whatever is the additional capacity required or the new LOIs, which you have signed in March and April. Am I correct?

Vishal Thakkar: So, what we have said, if you see the announcement of the capex was done during the August - September time period, which is when we had INR2,600 crores of LOIs that we had signed. And INR250 crores was to service those LOIs plus INR420 crores of capex for fluorination. So that's the total capex that we are looking at for now. If you look at this, this should practically be at

1.75 times asset turn as well, and give us a revenue of INR1,100 crores to INR1,200 crores. And that's what it is. And in the fluorination, there are a few LOIs which we have signed from here , also will be serviced from the fluorination blocks that we are establishing.

S. Ramesh: So, to put it in perspective, for the new LOI INR1,500 crores, INR980 crores and INR380 crores, you don't need any further capex , right?

Vishal Thakkar: Largely, we should not need that for now. We don't see that, this fluorination block should be able to serve vice that.

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S. Ramesh: So, if you put all these numbers together and look at, say, FY '26, FY '27, your existing revenue on a stand-alone basis, INR1,280 crores plus this INR1,100 crores, you are saying that you will reach about INR2,500 crores without assuming any growth in the existing revenue, right? So , what is the growth? So , in terms of the estimate, if you look at FY '26, FY '27, assuming the revenue of close to INR1,000 crores on the new LOIs what is the kind of growth one should expect in the current base revenue, which you reported in FY '23?

Vishal Thakkar: So, Mr. Ramesh, it would be not ideal thing for me to give you a specific number for a specific time. But what I can suggest and say is that the kind of revenue growth that we have seen historically, we should be able to see that on a stand-alone basis. And that's what we would say for next 3 to 5 years, we should be able to see that. That's what I would leave it at.

S. Ramesh: So, the question here is some part of that is coming from existing contracts. And these contracts still have a certain life, right? So , can we attribute any Y-o-Y growth in those contract revenue? And then what is the chance that they'll get renewed? That is the angle from which I'm asking that question?

Vishal Thakkar: So fine that I can answer and say that if you look at my contract, if you see typically when you see any of these contracts, it is not that these contracts are having a sunset clause in that sense that they would stop buying from us. Because if you look at historically what has happened, the demand that we had for a product, let's say, in 2006, it continues even till today. So , if you look at it from that perspective, what demand comes to you, typically stays with you unless we make a big error or a mistake

and we don't deliver on promises that we have given on a gross level basis .

And so , when the contract, let's say 5-year contract ends, it is not as if that they move to another party. Because see, what happens in our business, as you are aware of the customer-centric business, there is a lot of optimizations that happens over a period of time. A lot of knowledge transfer happens, knowledge gain that we have. One is initially, there is a knowledge transfer or a knowledge discussion, and an agreement. And then as we work over a period of time, that knowledge is only expanded , and the processes are optimized. So , the moment you do that process optimization that is where our customers will keep staying with us.

And also, you would appreciate that there is always a supply chain that gets created around that. So, for me, when I'm doing let's say a 5-step process or a 10-step process, that at each step, there are a lot of raw materials and inputs which come in . So, the kind of process optimization, capacity and supply chain that we create and the value engineering and enhancement that we do. Typically, you don't see customers moving out. And also , for customer, there is no reason for them to move out and go to somebody else because that's so much of an effort to change any vendor from one to another. Unless you make a big mistake, you will not lose that. In our history, we have not lost a client on that count.

Moderator: The next question is from the line of Madhav from Fidelity. Please go ahead.

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Madhav: I just thought if you could just share a bit more of an updated view on the kind of opportunities compared to what other players in the sort of crams or CDMO space in India are seeing just in terms of Europe plus one, China plus one. I know this is something which is discussed quite often, but just your updated thoughts on what's happening there? Are we still seeing strong traction of business moving out and how companies like us can sort of scale up in the next 5, 7 years?

Vishal Thakkar: So, a fair one, Madhav and rightly you have used the word updated as well because there is a kind of a view that gets updated time to time. As you rightly said, there is a Europe plus one China plus one approach. Yes, there was a time when the energy prices and other costs have gone up significantly for the European manufacturers and China was off the grid. However, the

prices are now coming back to more reasonable levels or more rational levels in Europe as well, but they are not as low as what they were pre that event. So , the new normal is not the old normal, but yes, it is not so high as well.

But what has happened with this experience, and everybody has a memory and especially supply chain managers have a very high aversion to any disruption or a spike on either side in terms of the supply disruptions or the price disruptions. And that is the reason that you will see that there is a consistent flow of inquiries to the players like us and in India. And that is for 2 reasons. One is they want to diversify their supply sources irrespective of what they would do in Europe. So , I'm not saying that everything from Europe will move to Asia, but now allocation is increasing. And they are introducing Asian players early in the life cycle than only in the later part of the life cycle. So , both is happening together. And we see that trend continuing because of the structural reasons that I was mentioning that once they have seen that shockwave, they really believe that they have to finally alternate and they have to do , as there are various words for that like BCP and other, but they would do that. So , in summary, what we are saying is Indian players like ours and our peers should see a good quality of inquiries. And that's what we are also seeing here, and our LOIs and the current conversations

are a reflection of that as well.

Madhav: And I just wanted to understand, like some of our contract wins which you 'll have announced, like especially the ones still announced more recently, there were some engineering fluids, fluoropolymers, electronic chemicals, etcetera, which are coming in. So how do you see the mix of revenues between agro, pharma, electronic chemicals and other sort of end markets after next 3 years? Like how should the mix look , I'm assuming like the mix of agro will kind of come down. Is that the right understanding?

Vishal Thakkar: You're right, the agro mix would come down a bit for sure. And the contribution from pharma and the polymers would go up. But mind you that my agro business is also growing. So , there will be a fair bit of churn , not churn, I would say, but that addition will be gradual, though the growth of these 2 segments will be high, but the share in my revenue will take a little bit, a gradual flow for that. And that's all I would say. But yes, they will be higher in my revenue as we go further.

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Moderator: Thank you. The next question is from the line of Dhruv Muchhal from HDFC Mutual Fund. Please go ahead.

Dhruv Muchhal: Congrats for the recent wins. The first question is on the capex , the INR670 crores that you mentioned over FY '24, FY '25. Does it also include the Tanfac capex ?

Vishal Thakkar: No. Tanfac will do their independent capex from their own balance sheet. This is the capex that we are doing for our own capacity and requirements.

Dhruv Muchhal: And the second is a bit conceptual. So , you have announced LOIs and contracts. So , conceptually what's the difference between an LOI and contract ?

Vishal Thakkar: So LOI is the initial level at which we shape the relationship. And then we tend to convert into contracts . Or there are a few customers who may start the purchase right from the LOI stage itself. And it will depend upon the relationship that we have and the comfort that we have with each other, either we end up converting into a contract or we do the business continuing from an LOI phase as well.

Dhruv Muchhal: So, for all practical purposes, for us, the LOI and a contract is the same.

Vishal Thakkar: I don't want to stamp it that way, but you're right that once you have an LOI, there is a very, very high level of visibility in terms of revenue. It will be only if we make a big error otherwise, yes, it's the same. And that is the same when we are even the supplier also.

Dhruv Muchhal: Because earlier, the understanding was the LOI gets converted into a contract and then probably start recognizing revenue. But that is not the case. LOI also can directly start reflecting in revenues and broadly an LOI will be effectively revenue generating?

Vishal Thakkar: Yes. See, what is an LOI is also basically spelling out the contractual expectations of each other. And that you make it into a contract and sign it or you continue doing it. It's a matter of, buyer and a seller just being comfortable with what is the level at which they want that comfort and the clarity.

Dhruv Muchhal: At the time of IPO inventory days were about 200 -odd. And since then, with the addition of these LOIs and contracts, revenue will scale up significantly. But I'm just a bit curious about your inventory days guidance. It's still about 200 or sub around that. But given that most of these contracts are new and probably you would have signed at better terms. Just doing a rough math all new contracts coming at better inventory days terms would probably take your inventory days once the full revenue run rate is achieved below 150 or below even probably 130 -ish levels. So, I just wanted to get , is that directionally correct? Or is there something which I'm probably missing ?

Vishal Thakkar: So, if you look at it, the LOIs will start contributing signifi

cantly to FY '25-'26. And so, FY '24

is what I was mentioning that. And hence, I'm saying this number. And as we go, yes, that numbers will improve. Will it go to the numbers that you are speaking, let us discuss in a few quarters from here on. But for FY '24, that's the number that we are trying to suggest.

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Dhruv Muchhal: Yes. Because I understand in your earlier conversations also, you were mentioning even your existing business, I mean, the FY '22 level businesses, you are renegotiating those contracts as well. So, the inventory days should improve there itself plus the incremental contracts that you have won will come at better inventory days, I believe. And hence, the overall numbers will look meaningfully different to the inventory days or overall working capital will look meaningfully different versus what it is in FY '23-'24, once you achieve the full run rate in FY '26, probably FY '27.

Vishal Thakkar: Yes, it should. I will just share a word of caution that when we are also a primary or a single supplier to our customers. They will also expect the part of the finished goods to be also held as a buffer inventory for them also in terms of their supply. So, to that extent, you are to give an allowance for that, but directionally you are right in terms of the extent, it will evolve as we go.

Moderator: Thank you. The next question is from the line of Chetan Thacker from ASK Investment Managers. Please go ahead.

Chetan Thacker: Sir, just wanted to check out of the LOIs and contracts which are signed between Q1 FY '22 till Q4 FY '22, which is an annual peak run rate of INR530 crores. Are those contracts already at peak? Or is there scope for them to hit peak in FY '24?

Vishal Thakkar: So, as we have mentioned earlier. We have commercialized 4 of the molecules and around INR100 crores of revenue is coming from there. And that will expand in FY '24 and also in FY '25 because there are a few which will ramp up in FY '25 period as well.

Chetan Thacker: So, your FY '24 revenue breakdown will be some of these molecules hitting peak in FY '24, contribution starting from the 3 LOIs that you just won, out of that 2 will start to contribute. And whatever is the organic growth in the base portfolio, that should be a fair understanding.

Vishal Thakkar: You're right.

Chetan Thacker: And sir, any indication from customers, particularly on the agro side in terms of the slowdown that they've been guiding, so a few of them have come out and said that there is inventory in the channel. So, is there any word that you heard from them around the same?

Vishal Thakkar: Okay, let me give a first shot at it and then Anand bhai can also add on to this. But at least in terms of the revenue projections of comfort, we are not seeing that happening. In fact, in a few cases, it has also increased in terms of their expectation from the volumes that they want to offtake. But Anand bhai, please if you want to add on to this.

Anand Desai: I think you have covered well Vishal.

Chetan Thacker: So nothing as of now from their end?

Vishal Thakkar: No.

Moderator: Thank you. Due to time constraint, this was the last question for today. I now hand the conference over to management for closing remarks.

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Vishal Thakkar: Okay. Thank you, everyone, for joining this call. We hope we have been able to answer all or most of your questions. If you have any further questions, please feel free to reach out to our IR agency EY, and we will get back to you. If you need, we are happy to answer any more questions through EY or otherwise. Thank you for joining us and being part of our journey. I hope that we make this journey of ours meaningfully to each other. Thank you.

Moderator: Thank you. On behalf of Anupam Rasayan India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document was edited for readability purpose)

Call: Aug 2023

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ARILSLDSTX20230805050 Date: August 05, 2023

To,
BSE Limited ,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001, India
SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C-1, Block-G,
Bandra Kurla Complex
Bandra (East), Mumbai 400051, India
SYMBOL: ANURAS

Dear Sir/Madam,

Subject: Submission of transcript of Earnings Call on the Unaudited Financial Results (Standalone and Consolidated) of Anupam Rasayan India Limited ("the Company") for the quarter ended June 30, 2023.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of the Earnings Call on the Unaudited Financial Results (Standalone and Consolidated) for the quarter ended June 30, 2023 held by the Company on Tuesday, August 01, 2023.

This information is also being hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking You,

Yours faithfully,

For Anupam Rasayan India Limited

Ashish Gupta
Deputy Company Secretary and Compliance Officer
Membership No. A46274

Encl.: As above

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"Anupam Rasayan India Limited
Q1 FY '24 Earnings Conference Call"
August 01, 2023

MANAGEMENT : D R. KIRAN PATEL – CHAIRMAN – ANUPAM RASAYAN
INDIA LIMITED

M R. ANAND DESAI – MANAGING DIRECTOR – ANUPAM
RASAYAN INDIA LIMITED

M R. AMIT KHURANA – CHIEF FINANCIAL OFFICER –
ANUPAM RASAYAN INDIA LIMITED

M R. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL
OFFICER – ANUPAM RASAYAN INDIA LIMITED

MODERATOR : M R. ADVAIT BHADDEKAR – ERNST & YOUNG

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Moderator: Ladies and gentlemen, good day, and welcome to the Anupam Rasayan Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Advait Bhaddekar from EY. Thank you, and over to you, sir.

Advait Bhaddekar: Thank you, Lizann, and good afternoon, everyone. We welcome to Anupam Rasayan India Limited Q1 FY '24 Earnings Conference Call. Please note that a copy of our disclosures is available on the Investors section of our website as well as on the stock exchanges. Please do note that anything said on this call, which reflects our outlook towards the future, or which could be constituted as a forward-looking statement must be reviewed in conjunction with the risk that the company faces.

Today's conference call is being recorded, and the transcript along with the audio of the same will be made available on the website of the company and exchanges. Please also note that the audio of the conference call is the copyright material of Anupam Rasayan India and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

Today from the management side, we have with us Dr. Kiran Patel, Chairman; Mr. Anand Desai, Managing Director; Mr. Amit Khurana, Chief Financial Officer; and Mr. Vishal Thakkar, Deputy Chief Financial Officer.

I would now like to hand over the call to Dr. Kiran Patel for his opening remarks. Thank you, and over to you, sir.

Kiran Patel: Thank you, Advait. Good evening, and welcome everyone, to the Q1 FY '24 Earnings Call. As we enter the new financial year, part of the global economy continues to face headwinds. While we saw some green shoots in select economies with emphasis on de-risking based on certain geographies. Overall, the global situation still remains uncertain. In the agrochemical sector, global demand remains subdued with higher channel inventory, coupled with China coming on stream, which is leading to demand/supply mismatch. This trend is evident in the downward revisions in the guidance by various global agrochemical companies.

Turning our attention to Anupam Rasayan, Q1 FY '24 performance, our consolidated revenues reached around INR398 crores showcasing a strong growth of 19% year-over-year. Our contract-based business model has shielded us from the deflationary pressure in the market, ensuring stable profit margins. As a leading innovator on most of their niche products and minimal exposure to commodity products, this protects us from price fluctuations in the commodity chemicals.

Anand will highlight business performance in his opening remarks. We are strengthening our focus on pharma molecules, and therefore, we have earmarked on technical collaboration with Anupam Rasayan India Limited

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3xper Innoventure Limited. I am confident that this collaboration will help us build a strong pipeline of new-age pharma molecules, which focus on continuous chemistry. This will be a natural extension of our current business model as well as our strategy of remaining always ahead of the curve when it comes to process engineering.

I would also like to update you all on some of our ESG initiatives, which are very important to us. I had informed in one of our previous calls that we are systematically transitioning to clean

energy, and we have achieved a milestone in this regard. In addition to our solar installation of 17.9 megawatts, we are working on multiple initiatives to reduce our environmental footprint. I would like

Amit to address the same in his opening remarks.

On that note, I will hand over the call to Anand for his opening remarks. Thank you once again for joining us for the call. Over to you, Anand.

Anand Desai: Thank you, Dr. Patel. Hello and good evening, everyone. Welcome to our Q1 FY '24 earnings call. I'm happy to update you on our business performance for this quarter. Our consolidated revenue grew by 19% Y-o-Y to INR398 crores. The growth for the quarter was driven by the strong performance of Tanfac Industries, whereas we have been able to manage standalone revenue on a similar level on a Y-o-Y basis of growth in the demand shifting to latter half of the year. I would like to highlight that our order book continues to remain strong and there has been a strong growth in this quarter. Despite the deflationary environment, we were able to maintain our EBITDA margins in our long-term margin band at 29% for the quarter largely due to our business model.

Moving on to the business update. As of June 30, 2023, we have signed LOIs and contracts worth INR7,669 crores, giving us a strong revenue visibility for the coming years. During the quarter, we signed LOIs worth INR4,066 crores, solidifying our growth and revenue visibility. Out of this INR4,066 crores, we have signed a contract with a renowned Japanese multinational for INR3,686 crores. We have also signed an LOI with an American multinational for high-value fluorinated products.

This is a major step in expanding our geographic presence in the U.S. and we expect our revenue share from the U.S. to increase significantly in the coming years. Overall, this LOIs has reinforced the increasing confidence of global MNCs in our technical capabilities and brand value as a trusted partner for developing and manufacturing high-end customized molecules. The new business development team in Japan, U.S.A. and Europe have been instrumental in providing us with enhanced access to key strategic customers leading to 2 niche high-end molecules and have also shortened business development cycle time in these geographies. On the product side, in FY '24, we have a pipeline of 10-plus new molecules to be commercialized, and we have already launched 2 new fluorinated pharma molecules in Q1 FY '24, taking the total number of products to 55. We are also at a final stage to commercialize the new-age molecule using flow chemistry. Anupam will be the first company globally to launch this molecule using flow chemistry. This will be a harbinger for development of many such

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niche products using industry-leading technology. On a concluding note, while the external environment remains volatile, our order book remains strong, thereby giving us confidence of delivering robust growth in FY '24 while maintaining margins at current levels.

I would like to hand over the floor to our CFO. Over to you, Amit bhai.

Amit Khurana: Thank you, Anand, Sir. Good evening, everyone. I will discuss some important financials updates before handing over to Vishal bhai for his remarks. Let me begin with an update on the capex. Out of the planned capex of around INR670 crores, INR124.4 crores capex was spent till end of Q1 FY '24, and balance of the capex would be invested in next 12 months. These plants will be majorly used to cater to the demands from the signed LOIs and contracts worth INR7,669 crores. These plants would be multipurpose manufacturing facilities similar to our existing facilities. I reiterate that we expect higher asset turnover and incremental ROCE from this capex. On ESG initiatives, as Dr. Patel mentioned, we have been able to save around INR12 crores per year on account of installation of 17.9 megawatts solar power plant. Along with solar, in another initiatives, we are at signing stage for an MOU to lease 150 acres land in Surat and Bharuch District for tree plantation

to reduced carbon footprint. We will plan toward 1.66 lakh trees on this land. We are happy to share that in this quarter, we have achieved a significant milestone by successfully conducting a trial of using biomass instead of coal to generate steam at one of our Jhagadia plants. This would significantly reduce our dependence on fossil fuels.

With this, I hand over the floor to our Deputy CFO, Vishal bhai, who will take you through the financials in detail.

Vishal Thakkar: Thank you, Amit bhai. Hello and good evening to everyone. Thank you for joining us here today. I would like to briefly touch upon the key performance highlights for the quarter and the year ended 30th June 2023. And then we will open the floor for questions and answers.

Before I proceed, I hope you all have had a chance to go through the detailed presentation submitted to the exchange and uploaded on our website. Kindly note that our numbers for the quarter are on the consolidated basis, and they also include Tanfac numbers.

Financial highlights for the quarter ended June 30, 2023, are: Total revenue for Q1 FY '24 was at INR3,988 million as compared to INR3,343 million in Q1 FY '23 up 19% Y-o-Y. EBITDA including other income was at INR1,138 million in Q1 FY '24 as compared to INR892 million in Q1 FY '23, a growth of 28% Y-o-Y. This would translate into an EBITDA margin of 29% in this quarter. Profit after tax was at INR528 million in Q1 FY '24 as compared to INR420 million in Q1 FY '23, a growth of 25% Y-o-Y before adjustment for the minority interest. Moving on to the segment-wise performance for Q1 FY '24. Our life sciences segment contributed around INR255 crores compared to INR290 crores in Q1 FY '23, while Other Specialty contributed around INR28 crores compared to INR14 crores in Q1 FY '23. In percentage terms, the Life Sciences segment contributed 90% of the total revenue and the balance came from the Other Specialty Chemicals. Exports for the quarter was around 61% and

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continues to be a major contributor to the revenue. Our top 10 customers contributed about 90% of the total revenue, and there is total 24 products that we would provide to them.

With that being said, we will open the floor for Q&A. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Piyush Jain from NX Wealth Management.

Piyush Jain: Last quarter, we had the order book of around INR5,500 crores. In the current quarter, we are saying that we have signed some LOI worth around INR4,000 crores. But on slide number six, we are seeing the outstanding order book and LOI is around INR7,700 crores. Can you just throw some light on this? Is there any difference or I am missing something here?

Vishal Thakkar: So, I think what you're missing is that the first order of Japanese was INR1,400 crores, which has been counted differently and that is a delta. If you adjust for that, it will be INR7,700 crores.

So, it was signed before the results were announced. So, we had mentioned it in our announcement, and that's the reason. Otherwise, it was signed in Q1.

Piyush Jain: So that has been counted both times. In Q4 also, it has been counted and in Q1 also it has been counted?

Vishal Thakkar: No, it has not been counted in Q4 and Q1 both, but in our results of Q4, when we were announcing, we said that after the quarter ending, in this quarter, this was one of the announcements that was there, and we have counted it in Q1 FY'24 because that is where the announcement will lie. So, if you were to make it simple, INR4,400 crores in this quarter. And before this quarter, the LOIs and contracts signed was INR7,669 crores minus INR4,400 crores, which will give you the number for the LOIs signed as on closing of 31st March 2023.

Piyush Jain: And these all LOIs and contr

acts are around 5-year to 7-year period, correct?

Vishal Thakkar: Correct.

Piyush Jain: So, what I'm trying to understand is, from last 2 years, we are doing in the quarterly range of around INR270 crores to INR300 crores. Last March quarter, we did something around INR217 crores, in June quarter we did INR288 crores. So, what is the quarterly number? I'm not asking something in medium term. This is long term, let's say, 2025 or 2026. What type of quarterly number we can think of, when all these contracts will start ramping up and the delivery schedule will start because I believe this will take around 18 to 24 months' time.

Vishal Thakkar: So, let me clarify 2 points. One, that it would be difficult for me to give a number because that's something which is not a good practice of giving an exact number of growths. But as historically what we have been mentioning, we will continue our growth journey in the historical range of 25% plus or minus for the numbers that we have been forecasting on a long-term basis, and we'll continue that CAGR growth, at 25% plus or minus as you know.

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Coming to the LOIs and contracts, yes, these LOIs and contracts have started giving us revenue.

Not that it will take another 2 years to start giving revenue. We have a contribution of over INR100 crores in the FY '23, and we expect these numbers to ramp up, and that number will ramp up fully. If you just do one simple arithmetic of INR7,700 crores and divide it by 5, I'm talking about INR1,700 crores of peak revenue. Now would that be peak because many will ramp up fully in 3 years' time and few will ramp up in 4 years' time. So, if you look at it eventually, it will be that kind of a contribution, but it will be gradually that you will see that growth.

Piyush Jain: So, can I say what you're saying is INR7,000 crores in 5 to 7 years, which gives you a INR1,000 crores annual basis. Can we say this INR1,000 crores would be additional over and above

INR1,000 crores type of business we are doing now?

Vishal Thakkar: You're right. So, whatever we have done now, there is INR100 crores of revenue contributed from the LOIs if you take the last year's financials. And then whatever the new ones, it will be added to that.

Piyush Jain: One question is on the gross margin; I'm tracking the company since the last 2 years. Somewhere we were making a gross margin of 65% also. And over a period of time, this gross margin is reducing. I know on the EBITDA front; we are more or less maintaining around 28% to 30%. Is this a permanent change happened to the gross margin because of the nature of molecule, or R&D or something? Or this is a temporary headwind, we will again go back to a gross margin of 60% and above?

Vishal Thakkar: We run our business on an EBITDA number rather than on the gross margins. The gross margin will be a reflection of the product portfolio for the quarter because there'll be some products where the complexity of the molecule is less. And hence, the overhead will be lesser. And hence, you will see a different kind of RM contribution. But if there is a long chain of product or a complex molecule, then the overheads will be higher, and that will have a different gross margin profile.

Now another thing that you will also have to see is that of consol versus standalone because in consol you will have a Tanfac and that will also have a different gross margin profile compared to the standalone. But again, I will say one thing. I would prefer to analyze our company more on the EBITDA level basis rather than gross margin for the same reason as we have mentioned in the past as well.

Piyush Jain: Question on Tanfac. We have bought about 26%, right? And we are consolidating Tanfac number in our number?

Vishal Thakkar: Yes, we are consolidating line by line.

Piyush Jain: What I am trying to say is, because 26%

sometimes people don't consolidate. So, in 26% stake,

we are consolidating, is there any future thought to acquire maybe 51% or above in Tanfac because I think some state government, Tamil Nadu or somebody is holding a 26%. So, any

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thought on future because Tanfac will be your HF and KF raw material supplier for fluorination.

So, any thought to acquire more stake in Tanfac, more than 51% or above?

Vishal Thakkar: The reason for consolidation is basically because we have the management control and that's the reason our auditors have been convinced to do the consolidation basis. Coming to the intent or interest of looking at additional stake, yes, we would be happy to explore that as we had also mentioned in our earlier calls as well that we have a right of first refusal under the joint venture agreement.

If and when TIDCO decides to offer their stake, we would definitely be using it for acquiring those shares that are offered to us. And as you rightly said, yes, the HF and KF will be used for our fluorination strategy, and the supplies have now started, and we would continue to ramp up sourcing of raw materials from Tanfac as we expand our portfolio in fluorination.

Piyush Jain: What is your view on CDMO from China and Europe? How is the flow and inquiries coming to Anupam because what we have seen in last 6 months or maybe a year, we have signed multimillion dollars in multiyear contracts with the Japanese and U.S. MNCs. So, what is your overall view, how you see investing from right now at inflection point? Is it a long-term decadal growth or it's a 2-3-year phenomenon? We have 53 products and 27, 28 customers. So, do we see a lot of scope for Anupam to increase their customer base? Because still currently our top 10 customer contribution is around 80% or 90%. So, I'm talking about 5 years, 7 years what is the growth pathway?

Vishal Thakkar: So, if you look at it, our total customers are 73 customers, of which 29 are multinationals. And we have 55 products that we have commercialized till now. So that's 1 part of it. Second, if you look at it from a geography perspective, around 60% of our revenue comes from export and balance comes from India or a little less than 40% comes from India.

Now coming to the geography and the kind of demand that we are seeing, as you could see from the LOIs and the contracts that we have been signing, the demand looks quite buoyant and robust. As we had mentioned in the earlier part as well that the preference of the innovators to outsource manufacturing on a more custom synthesis basis to India is increasing compared to the other preferred geography that was there in the past.

And that is a very secular trend that we are seeing and more clear preferences that are coming on a relative basis. And so, to that extent, we feel that India as a chemical manufacturing hub, especially the specialty chemical manufacturing hub and more specifically to Anupam, we see that we have been a beneficiary of that. And we feel that this would continue.

Yes, Europe will continue to be a significant player, and they would continue to have projects

on the CSM and CDMO basis. But India would be a net beneficiary of the whole game. And that's what we are seeing in our numbers that we have been signing, the order book that we have signed is also a reflection of the same.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

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Rohan Gupta: Many congratulations on continuous winning on the new contracts and signing LOIs. It's very encouraging to see that the current quarter, you have signed almost INR4,000 crores kind of LOI. That's a really remarkable job, sir. So, first of all, congratulations on that.

Sir, second question is on our current quarter performance. So, what we understand that globally,

globally,

agrochemical environment is weak, and many companies are delaying the orders probably because of the liquidation of inventory across the market. We are actually, in more of a contractual business and where more revenues are flowing from the agrochemicals as of now. So, what kind of risk do you see in the current year that we may have because of the industry where it is going through such a weak environment of inventory liquidation?

Vishal Thakkar: You are right that there has been an inventory liquidation and the supply chain is getting lighter as we go from a heavier to lighter part of the process. But coming back to Anupam and what we have been seeing as you rightly said that because of the contractual nature of the business and the kind of revenue visibility, what is happening is that our demand continues to be robust. However, the delivery schedules have been pushed, especially the incremental growth demand has been pushed to the quarter 3 and 4 of the year, which is the second half of the year. So, you will see that the first 2 quarters will be more flatish in nature. And the second 2 quarters will compensate for the balance growth of the year. And that's what we are seeing for now. The kind of indication that we've got from the customers and from the demand side is reflective of the statements that I made.

Rohan Gupta: In this kind of pushing back to the second half, do you see that there can be an impact on margins because we also need to carry raw material as well as finished goods on behalf of customers. So that's the kind of business model which we were following. So, do you see that in the first half, we may see some inventory write-down related losses or pressure on margins?

Vishal Thakkar: I don't think that's something which I would agree to. Let's look at our last 3 years, we had both kind of cycle. So, one inflationary cycle that we saw a couple of years back and up to the last year. Then we have been seeing a deflationary trend that is coming back. And if you see both the sides, we have been able to maintain the EBITDA margin.

And that's primarily because of the kind of a pricing structure and the model that we have developed where we are passing on all the costs including the cost of raw materials, overheads, utility and energy and that's the reason if you see we would not have an impact of any inventory pricing or repricing and therefore, translating into any kind of losses thereof. So, if you see our EBITDA margins will be fairly in a consistent band of around 26% to 28%, maybe a little higher probably in a quarter or two, but on an average, you will see that kind of a number. And that's primarily because of the transfer and cost-plus model that we have on this.

Rohan Gupta: The LOIs which we have signed before Q1, that was roughly INR3,600 crores worth kind of contracts, which you have signed in the last 2 years. The contracts which you signed in Q1 FY '22, they were supposed to commission from the current quarter onwards, probably given the 2

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years' timeline. So, are these orders on time or we are expecting to see the delays? That is number one.

And second, with the price declining across commodity, so the roughly INR3,600 crores worth of contracts which were signed earlier at those prices, are they going to lose the value in terms of the falling raw material prices? And will they be like 10%, 20%, or 30% lower than what we used to do earlier resulting in lower revenues per year?

Vishal Thakkar: First question is about the scheduling. From the schedule side, I don't think it has dramatically changed from the last few quarters that we have been projecting. I think last year, we did revenue from LOIs and contracts of over INR100 crores. And this year, we should be doing additional INR200 crores roughly. So basically, we will ramp up to about INR300 crores of revenue there.

res of revenue there.

So that's what I would say for now. So total, if you look at it, that's the kind of scale. I don't see schedule really changing dramatically from here on. For a molecule, maybe a quarter plus or

minus can always happen. But on an aggregate basis, we don't see that to be significantly different to what we had planned or what we had also indicated in the past.

Second is on the RM side, you're right that RM prices moving can impact the aggregate top line number. But if you look from the RM number to my revenue number, RM is around 40% of my total revenue. And especially in the new-age molecules, the RM will be even lesser compared to the older molecules. And so, the impact wouldn't be significant is a question that we can answer. This is also a multiyear contract. So today, it may be in the deflationary environment, and hence, we may say that there is a movement of prices here.

But there will also be more normalization of the prices. But today, when we go with a going-in assumption, we would typically go by the assumption at which we have signed the target numbers and target cost and prices, and we would go by that. But you're right. During the period, there can be a deflationary and inflationary reflection of those numbers in it.

Rohan Gupta: Third question was on the latest contract which you have signed with 3xper Innoventure that is a subsidiary of local company in pharma molecule. So far now, we were getting the contracts mainly from the MNCs, do we see opportunity in local players also and increasing supplies to the domestic markets also, is there some trend emerging?

Vishal Thakkar: Here if you look at it, 3xper is not going to be my customer. He is my joint venture partner. Mr. Govindarajan is the gentleman who has been the focal point in this whole of the joint venture, who used to be CEO of Aurobindo Pharma as well. So, in Pharma if you look at it, there are 2-pronged strategies that we have here. One is that we will be looking at products which are right now not manufactured in India and imported in reasonable quantity and of high value. We would look at where we have a strong niche, and also, we will have a strong advantage because the key starting raw material would be the same in the agro value chain or in the polymer value chain. And fluoro will be one of the key flows play there as well. However, also, we will be looking at exporting these products to the world as we have been doing it. It is a little early to say what will be the eventual mix. Would it be the same that is there right now, which is around 60% to 65%

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export, 30% to 40% domestic. It is a little too early to give you a view on that. But it's not that it is going to be a single-pronged strategy. It would be both export oriented as well as import substitution. And again, in the same breath, I would like to also add that the business model that we would have on this will be the similar business model as we had for our other parts of the business, including agro, as well as polymers.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: So, continuing with the pharma strategy that you just outlined. Would it be fair to say that the products which are getting, launched here will be produced in Anupam's facility, and the client relation here will also be managed by Anupam, or it is managed through the JV entity?

Vishal Thakkar: No. So, the business will be primarily run from Anupam with the support and collaboration of Mr. Govindarajan. But yes, it's Anupam really in the game here. And we would leverage our technical capabilities and they have their reach to the market, which will be also used by us to really work that out. But yes, the sales will be directly through the entity, not using the JV as a vehicle to do that. That's the plan.

Ankur P

Periwal: The 2 pharma molecules that we have launched in this quarter out of 10 that we have planned, are these molecules in a way related to this JV or through this entity?

Vishal Thakkar: These are all in-house, which we have been working on for a long time. And that's now coming into play.

Ankur Periwal: And these molecules will be a part of the fluorinated products that we were talking of earlier? Is that a fair assumption?

Vishal Thakkar: Absolutely. They are fluorinated products and that becomes part of our fluorinated portfolio.

Ankur Periwal: From a growth perspective, when do you expect this JV, the 3xper Innoventure JV to start contributing? Because where I'm coming from is while there will be separate pharma molecules that you will be launching independently, there will be some which will be launched through the JV or the businesses which will come through this JV. When do we expect ramp-up here? That is one. And whether we need a dedicated facility for the pharma products that we are making? Or it can be made in the existing ones?

Vishal Thakkar: Let me just first clarify that this is an MOU and not a JV. So, we are not forming a corporate entity with them. What we are doing is we are sharing our knowledge and collaborating together and bringing our resources and experience together to monetize this opportunity that we are seeing. Our strength on the chemistry side and on the process optimization, including flow and continuous process is going to be levered here. So that's what it is. And in terms of timeline, I think it will take a fair bit of time. We have not yet crystalized the numbers to share with you right now. But right now, it's more in the development stage. And hence, I would refrain from

giving a number guidance. And as we crystallize the number, we would share it with you.
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Ankur Periwal: And just on the pharma bit, the products, the molecules that we are launching, will they require a separate, dedicated capex there? Or it's only a part of the aggregate numbers?

Vishal Thakkar: Whatever we are saying for now, it's part of the capex that has been incurred. So, we don't need to have any further new capex for that.

Ankur Periwal: The revenue guidance that we had talked earlier of around 25-odd percent plus that includes the fluorination products also that we are launching. Any change in thought there given that there is an RM deflation and probably that could be passed through to the customer. So, any thoughts there?

Vishal Thakkar: As I was saying that I think the guidance that we would be going with and especially with the pushing of couple of quarters of demand from the first half to the second half, I think we should be looking at 20%, 25% of growth rate. More sharper number probably I can give you by the end of the second quarter. But as of now, from there, the vantage we have, I think 20% to 25% growth or 20-plus percent growth rate is what we can talk about today for the year. And forward numbers, I think, remain intact, but this is where I would guide for now and wait for a more quarter to give you a more sharper numbers on the year-end.

Ankur Periwal: Question on the LOIs that we have signed. Now there are LOIs, which we had signed for quarter 1 of FY '22. But if I got the earlier comments right you mentioned FY '23 has only INR100 crores worth revenue from these LOIs. When do we see a bigger ramp-up here? Is there any timing that one should look at?

Vishal Thakkar: So, this year, I think the total number should be a round INR300 crores. So INR200 crores addition going to INR300 crores. And next year should be a jump, which is equal to this year's contribution.

Ankur Periwal: And the revenue growth guidance that you gave, 25%, is including these LOIs coming in or it's top-up?

Vishal Thakkar: It will be too much to ask for.

Moderator: The next question is

from the line of Drasti Shah from Blue Lotus Capital Advisors LLP.

Drasti Shah: I wanted to understand how many LOIs or contracts you must have signed in the last 5 years?

Vishal Thakkar: That number, right now, I don't have it on my hand, I can answer that offline.

Drasti Shah: In case of Tanfac, how much percentage of the Tanfac revenue might be captively used by Anupam?

Vishal Thakkar: As of now, it is not a very significant number, around 8% to 10% of theirs. But going forward, that number would expand further. But I don't think we will be 50% or more than that of them because what will happen is that their existing customers will continue to be supplied from this.

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And also, as they are expanding their capacity, so we will pass it from that capacity as well. But today, it will be around 8% to 10%, not more than that.

Drasti Shah: So overall, it might go up to 10%, 20% eventually when the fluorination part of the Anupam's revenue segment starts growing.

Vishal Thakkar: Correct because their capacities are also doubling. So, they've also announced a capex of INR100 crores to double their HF capacity. So we have to look at both to see where we end up on that.

On an absolute number, the quantum will increase. But on a percentage basis, how much it would be, it's just a matter of some time that we can do the math.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: So, if you look at the mapping of the addition to revenue from your LOIs and contracts here over the next few years because they are long-term contracts. I have a number of around close to INR600 crores in FY '25 and another INR1,400 crores in FY '26 based on the details given in the presentation and the conversation I've had with you. So, if you're looking at INR200 crores addition in FY '24 and '25, what is the kind of run rate you would expect, say, by FY '26 when a lot of the new LOIs will possibly start working in full?

Would it be in that INR500 crores, INR600 crores range or can it cross INR1,000 crores?

Because the reason why I am asking is, if you're looking at the entire bunching of the order, at some point, it should be in that range of INR1,400 crores, which is the number I have. So, I just want to get your sense of where we are headed in terms of the visible addition to your top line from all the LOIs being executed in full whenever that happens?

Vishal Thakkar: So, you're right that over a period of time, we will get to that kind of a number. But if I were to

look at for the next 3 years, I think we can hit a 4-digit number or we should be shy of hitting the 4-digit number in next 3 years' time, including this year, if I were to count for. So that's the kind of a number. And otherwise, what math you have done is fair. I think we should be in that range.

S. Ramesh: So in terms of the announcements you've made, there are some which are linked to your current capex and expansion of both chemistry as well as capacity income and LOIs you're saying you can use the existing facilities. So, if you were to look at the overall scheme of things on a blended basis, if you're looking at the top line growth, is n't there a case that eventually with operating leverage and the higher asset turn, your margins should go up beyond 30%. So, can you give us a sense in terms of on the incremental revenue from all these LOIs put together, what would be the full potential asset turn once your entire capex is completed by, say, FY'25, FY '26? And then incrementally to continue to execute these orders, what would be the ongoing capex, say, between FY' 25 and FY '30?

Vishal Thakkar: I will do a bit of an effort, a bit of an estimation and all. So please take those numbers in that zest as well. But if you look at the total capital deployment that we have done till date and what we have bud

getted for or planned for including the INR670 crores of capex that we have announced last year, I think the revenue potential on that, from the current product mix and the Anupam Rasayan India Limited
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plan that we have, I think we should be around INR3,000 crores of revenue capability. Will we reach on that same year? I'm not saying that. But I'm saying that the revenue capacity will be that much from the plant side. So that's the first question that I'm answering.

Two, if you look at it from a revenue growth perspective, as we had said that the revenue growth will be in the range of the historical numbers that we've been highlighting. So that's the second point. The third question that you were asking in terms of what is the additional capex that we would need. So, what we are saying is the incremental assets and if you look at it, it will be between 1.75 to 2, let's take it even at 1.75. So even if I want a INR400 crores to INR500 crores of revenue growth per annum at that scale, to continue the growth momentum, probably, you are looking at around INR200 crores to INR300 crores of capex on an annual basis.

Vishal Thakkar: Please take it with a bit of a caution here because it's a ballpark number that we are just hypothesizing rather than guiding.

S. Ramesh: Understood. So if we go back to the discussion on the JV with the TI Group Company, if you are going to give the chemistry and also managing the clients and the relationships, can you explain to us what is the value that the TI Group is adding because the press release gave the impression that you are going to build a CDMO business for the TI Group Company and the TI Group Company is also developing a CDMO business.

So now that you are saying it's an MOU, what is the value brought by the TI Group? Because they have also talked about getting into CDMO and making some serious investments, and they also mentioned that Mr. Govindarajan is heading that. So eventually, that is something which is going to be material. If we can get some more clarity in terms of how that will be institutionalized in terms of the framework, and what is the value that you expect the TI Group Company to add and Mr. Govindarajan to add on this.

Vishal Thakkar: So, let's talk about what values they add and what values we add. So, first Mr. Govindarajan has a fantastic insight and access to the pharma market, especially the Indian and the international one. So that's something that will be there. Their ability to pick the right molecule and it's free or a change, that will be helpful to us. Not that we are not doing it today. We are doing it today, but that only enhances our understanding better.

Two, what are our strengths? Manufacturing capabilities, process optimization, process knowledge, continuous process, high end kind of process strength that we have, that is what we will be bringing into the picture. That's the value addition between both of us. Now the question is what will be the exact numbers and when it is. Give us a little bit more time to frame that before we come to you and give you a guidance or a more formal view on this because it's right now an MOU, and that will be converted into a more formal relationship as we go forward. So right now, the work is more on the R&D lab than on the pilot plants rather than on the manufacturing plants. So, let's just wait for some time before we really give you any more concrete numbers or plan on that.

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S. Ramesh: In terms of your balance sheet and how you see the debt and working capital moving in the next

2 to 3 years based on the ramp-up in the business from the new orders, that would be helpful.

Vishal Thakkar: So, as we were saying that our asset turns will continue to improve. If you really look at it, our asset turns have continued to improve and that is a

iso reflective of our ROCE, which has gone

to 15% in the last year itself and we look at improving that as we go further. So yes, our asset turns will continue to improve. As we have more and more brownfield expansion, the asset turns will be even better as we go. So that's the second point.

Third, as we had mentioned in our past calls and as we anticipate the working capital intensity of the business will drop as we go because of two primary reasons. One, as you rightly said, that scale will help in that; and two is the cautionary working capital that was there at the end of FY '22 is unwinding. So, both should continue to have a downward trajectory. And the numbers that we are seeing is what we have been historically also mentioning, which will be, dropping it from INR290 crores to INR250 crores and then going down to INR220 crores, to INR200 crores and sub-INR200 crores as we go further on the net working capital side over the next few years.

S. Ramesh: And what about the debt? What is the kind of debt you expect to end with over FY '24, '25?

Vishal Thakkar: So, I think debt, if you look at it, it's a function of 2 parameters. And hence, I don't want to pin a number on that. One is the capital that we would want to deploy going further. Today, we have a plan. So, we are not adding any more debt, any more capex, and we are not loading any debt on to this. And the cash flow generation will naturally unwind the debt to that extent. So right now, I think that's what we would like to give you probably. And I would not want to give any more guidance on that. The only thing I'm saying is that there is no new capex as of now. So, if you look at the current thing, INR670 crores, we do not need any further debt to sort of achieve that capex.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Again, harping on the agrochemical's environment. So, we have seen commentary from global players as well as domestic players and that from the Innovator's side also, they are facing the challenge in terms of the inventory destocking. So, was there any impact in Q1 for us in this regard? And based on our conversations with the customers, are there any postponement of orders that we have seen for the next maybe couple of quarters or so?

Vishal Thakkar: As I was saying that typically, the demand buoyancy that we saw is what we have been mentioning also. But what we likely said is that let's say, for the year, we are looking at a number, which is what we have mentioned around 20-plus percent growth rate on an aggregate basis. But the first 2 quarters are looking like flattish in terms of growth, it will be a flattish number. So, to that extent, if you want to say, postponement or if you want to say shifting of the incremental demand to the second half, answer is yes.

Rohit Nagraj: Second question is in terms of the margins. So, I just wanted to clarify, you also mentioned earlier that we pass on all the raw material or any opex increases to our customers. So that is the Anupam Rasayan India Limited

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business model which is there in our legacy business, and it is continuing with the newer LOIs as well? Or is it the new LOIs where we have taken this particular provision?

Vishal Thakkar: This is across our majority of product portfolio, legacy as well as our future one.

Rohit Nagraj: And just one last clarification. When we say that we hold inventories of, say, 250 days, 225 days, do we physically hold a stock in our premises? Or how does the arrangement work with the vendor from whom we are buying those raw materials?

Vishal Thakkar: No. So, vendors historically do not give us a forward contract or forward volume. So, we cannot book a volume and say that I will offtake this over the next 12 months because they will say today's price is today's price, tomorrow's price is tomorrow's price. And

hence, we need to have

the inventory bought out and that is the inventory that we have bought out and we hold it in our warehouses and in our plants and it will be all three in terms of raw material, work in progress and finished good, because all the three are parameters that our customers would look for.

Because they will also be insisting on a particular level of finished goods inventory as we had mentioned earlier, also that there are significant number of products where we would be primary or a single supplier to them. And hence, they would want to have that supply assurances and supply surety, and that's where the finished good inventory also will be equally important to them over and above the raw material inventory.

Rohit Nagraj: From the newer LOI perspective, what is the ROCE hurdle rate that we work on?

Vishal Thakkar: You know what kind of ROCEs that we should be looking at, right? And I can assure you that we would be doing better than that, for sure. I would not want to put a number to that right now and make it public. But you can imagine the kind of ROCEs that we would be chasing for, and I can assure you that it would be better than that.

Moderator: The next question is from the line of Priyank Chheda from Vallum Capital.

Priyank Chheda: If you can share the revenue recognition of the schedule for the LOIs that you have received in the current quarter. Maybe a ballpark number for FY '25, '26 and beyond, what would be the revenue recognition that we would use?

Vishal Thakkar: There will be some bit of revenue that we would see even in this year as well. But large part of the revenue would come from calendar year '25 and beyond, for the LOIs signed in Q1 FY '24

Priyank Chheda: And in general, for the total LOIs that we have received until now which is around INR7,700 crores received from FY '22 till date. What kind of capex requirement would be there to execute these LOIs?

Vishal Thakkar: So, as I would say that these are part of my revenue projections in the future as well. And so, it's part of the total business plan that I have. But as I mentioned, around INR670 crores of the capex has been undertaken, is underway, and that should give me an additional revenue of around

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INR1,200 to INR1,300 crores total to INR3,000 crores. So, if you look at it, large part of my LOIs and contracts could be serviced from this capex itself.

Maybe there's something which will be in FY '28 or FY '29, probably there will be a bit of it, for which I may need to do additional capex. But the LOIs and contracts will be able to start servicing them and as they ramp up the capacity expansion may be required for those kinds of products. As you can appreciate that we have a multipurpose plant and hence, our ability to work with these products and its sizing is always very flexible to that extent.

Priyank Chheda: So, the capacity that we have and the additional capex of INR670 crores planned can execute the LOIs that we have received till date. Is it fair understanding?

Vishal Thakkar: Yes. If you were to just do a simple arithmetic, to day, if you look at it last year, it was at INR1,298 crores, and if I were to add INR1,500 crores or INR1,700 crores then it comes to the number that is there. But you would also be mindful that there will be products which I'll be launching from other products also, which are right now not even in the LOIs and contracts. So, to that extent, that will be mixed. That's what I'm trying to say.

Priyank Chheda: Just the last bookkeeping question if you can share what's the inventory on the books as on Q1 FY '24 end?

Vishal Thakkar: I would refrain from making that because we don't announce it on the quarters. I would not say, but the trajectory is the kind of trajectory that we have been highlighting, but I would refrain from making the balance sheet numbers discus-

sion for now.

Priyank Chheda: We have announced a dedicated fluorination capex of around, I think, INR400, which would be executed within LOIs. The strategic question that I want to understand is what's the kind of a unique technology that we have and if you can share what's the right to win within that fluorination chemistry or is it that the MNCs from whom we are executing this LOI, have they shared the technology? Or is the in-house R&D team that has worked on it.

Vishal Thakkar: Let me answer the last question first, and then I'll answer the right to win question as well. The answer is that we don't take tech-packs from a customer and most of our products and technology is in-house and thanks to our RM team that they have been able to deliver these kinds of products. So that's one point.

And if you look at right to win, it will come from, one the capability that you've created over so many years and delivering it day in and day out because you are in a B2B kind of a business where assurance of the price, volume, quality, time lines, schedules is so much important, that's something which we have been able to do. And with the production strategy that we have done, which is a multipurpose plant, has helped us because we can ramp up, ramp down as per the customer's requirements over the quarters and years. So that's one right to win.

Two is the right to win from a technical capability that we have generated over so many years because it's not only fluorination that you need. If you want to develop a product, then you have multiple chemistries that you will require. Fluorination is one strong one that comes in, but then

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there maybe nitration, hydrolysis or multiple chemistry that is there. So, larger the portfolio of your chemical chemistry strength, helps you strengthen and buttress your position in the market with the customers. So that's the second part of it.

Third is from the supply chain point of view. We are basically a part of supply chain for any innovator and multinational. And hence, the larger, the stronger and the deeper the supply chain it is, better it is for you. So, if you're starting from HF and KF and able to deliver to that, that's

something which is strong that is there. So, you start from KSM, and you end up at N-2 and N-1, that's what they would love you for. So that's the third right to it.

Fourth is process optimization and our ability to drive the cost curve because of the expertise, experience and the know-how that we have generated over a period, be it be from solid recovery or from distillation or from other processes, moving from batch to continuous, continuous to flow chemistry, that's something which comes in. I think in the opening remarks of Anand bhai as well, he had mentioned that we've also commercialized one of the fluorinated products in Flow, which is probably the first time in the world, and we will be able to launch it in some time. So, these are the right to win that we really see. And the most important is, are you the most reliable supplier for the customer and ability to grow with them? If the answer is yes, that's the right to win. And these are the four, five things which will come into play. There will be more, but I'm just highlighting the three, four key that comes to my mind upfront.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Vishal Thakkar: Thank you, everyone, for joining this call. We hope we have been able to answer all or most of your questions. If you have any further questions, please feel free to reach out to our IR agency, EY, and we will get back to you offline. And thank you very much. Have a good day.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Anupam Rasayan, that concludes t

his conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

(This document was edited for readability purpose)

Call: Nov 2023

ANUPAM RASAYAN INDIA LTD.
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ARILSLDSTX2023 1111090 Date: November 11 , 2023

To,
BSE Limited ,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001, India
SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block -G,
Bandra Kurla Complex
Bandra (East), Mumbai 400051, India
SYMBOL: ANURAS

Dear Sir/Madam,

Subject: Submission of transcript of Earnings Call on the Unaudited Financial Results (Standalone and Consolidated) of Anupam Rasayan India Limited ("the Company") for the quarter and half year ended September 30, 2023 .

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of the Earnings Call on the Unaudited Financial Results (Standalone and Consolidated) for the quarter and half year ended September 30, 2023 held by the Company on Tuesday, November 07, 2023 .

This information is also being hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking You,

Yours faithfully,

For Anupam Rasayan India Limited

Ashish Gupta
Company Secretary and Compliance Officer

Encl.: As above

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"Anupam Rasayan India Limited
Q2 & H1 FY '24 Earnings Conference Call "
November 07, 2023

MANAGEMENT : DR. KIRAN PATEL – CHAIR MAN – ANUPAM RASAYAN INDIA LIMITED

MR. ANAND DESAI – MANAGING DIRECTOR – ANUPAM RASAYAN INDIA LIMITED

MR. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICER – ANUPAM RASAYAN INDIA LIMITED

MR. AMIT KHURANA – CHIEF FINANCIAL OFFICER – ANUPAM RASAYAN INDIA LIMITED

MR. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL OFFICER – ANUPAM RASAYAN INDIA LIMITED

MODERATOR : MS. SNEHA SALIAN – ERNST & YOUNG

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Mod erator : Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call of Anupam Rasayan India Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch tone phone. Please note that thi s conference is being recorded. I now hand the conference over to Ms. Sneha Salian from Ernst & Young. Thank you, and over to you, ma'am.

Sneha Salian: Thank you, Michel le, and good evening, every one. Welcome to Anupam Rasayan India Limited Q2 FY '24 Earnings Conference Call. Please note that a copy of our disclosure is available on the Investors section of our website as well as on the stock exchanges. Please do note that anything said on this cal l, which reflects our outlook towards the future , or which could be construed as a forward -looking statement must be reviewed in conjunction with the risk that the company faces.

This conference call is being recorded and the transcript, along with the aud io of the same will be made available on the website of the company and the exchanges. Please also note that the audio of the conference call is the copyright material of Anupam Rasayan India and cannot be copied, rebroadcasted, attributed in press or medi a without specific and written consent of the company.

Today, from the management side, we have with us Dr. Kiran Patel, Chairman; Mr. Anand Desai, Managing Director; Mr. Gopal Ag rawal, Chief Executive Officer; Mr. Amit Khurana, Chief Financial Officer; an d Mr. Vishal Thakkar, Deputy Chief Financial Officer.

I would now like to hand over the call to Dr. Kiran Patel for his opening remarks. Thank you, and over to you, sir.

Kiran Patel: Thank you, Sneha. Good evening, and welcome to everyone to our Q2 FY '24 earnings call. As we complete the first half of FY '24, it should be noted that Indian economy remains robust, while the world economy continues to exhibit volatility. The global economy is crumbling with economic slowdown and elevated inflation. This impa ct has been more pervasive and persisting across many nations.

The agrochemical sector, in particular, for the last couple of quarters, has seen the oversupply from China coupled with excess channel inventory that has led to pricing pressure on agrochemical companies specifically in the generic chemical segment, which is a cause of concern to the chemical players across the globe. We expect the prices to stabilize and the excess inventory to rationalize by the end of CY '23 and expect the demand to strengthen our CY '24.

On that note, let us move to the Anupam Rasayan's performance. Our H1 revenue was INR794 crores, giving us a growth of close to 11% year -over-year. Our expertise on working on niche products with innovative and contractual demand minimizes our exposure to volatilities of the Anupam Rasayan India Limited

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market allowing Anupam Rasayan to have a higher revenue visibility, which plays a pivotal role

in sustaining our growth. I will let Anand discuss the business performances in detail. Speaking on our sustainability efforts, we are continually pushing the boundaries with new initiatives aimed at protecting our ecology. I am happy to announce that we have signed three MOUs with government of Gujarat for afforestation of a total land area of 150 hectares, 50 hectares located in Narmada District, 50 hectares in Tapi District and 50 hectares in Surat District. We have the capacity to plant more than 1,66,000 trees in these desolate areas. This project will be integrated into the green belt development program, which involves the utilization of designated lands by Gujarat government

for the purpose of planting and caring for various tree species.

This afforested land parcels will act as carbon sink and shall make significant contribution to our objective of reaching the net carbon neutral with respect to our energy consumption by 2027. Further, we have started disclosing scope 3 greenhouse gas emission data in our last ESG report, making us one of the few chemical companies in the industry to do so.

On this positive note, I will now hand over the call to Anand for his opening remarks. Over to you, Anand.

Anand Desai: Thank you, Dr. Patel. Hello, and good evening, everyone. Welcome to our Q2 FY '24 Earnings Call. Let me provide some color on our performance for the quarter, and then I will move on to business updates for the quarter. Our total revenue for the quarter stood at INR396 crores with a Y-o-Y growth of 3% on a consolidated basis, whereas for the first half year, our total revenue stood at INR794 crores posting Y-o-Y growth of 11%.

Amidst the challenging external environment, I'm happy that we have been able to hold our ground and deliver growth. That said, we are seeing a resilience in demand, which ensures confidence of delivering growth in the coming quarters.

Moving on to the business updates. In Q2 FY '24, we launched three molecules which translates to a total of five molecules launched in this financial year. Taking the total number of products to 58, our product pipeline includes five molecules, which we plan to launch in coming two quarters. As of 30, September 2023, we have LOIs and contracts signed worth INR 7,669 crores, giving us strong visibility for the coming years.

In H1 FY '24, debtors cost stress on account of higher sales to large strategic global customers, coupled with domestic sales, which has a higher debtor cycle. We expect it to normalize in the next two quarters. Collection in October gives us confidence where the same would be achieved. Another important update for the quarter is that we have Mr. Gopal Agrawal joining us as our CEO. He has 25 years plus experience in corporate strategy, global and domestic M&A, Fund Raise and management consulting. He has extensively worked for Indian companies and MNCs across US, Europe and Japan and its core specialization among others, have been manufacturing and Industrials.

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Also, I have known Gopal bhai for the last 15 years, and he knows the company very well. The stage at where the company is today and growth that we are seeing in the medium to long term, the expansion of the management bandwidth is very essential. So, contribution of Gopal bhai in this growth will be very pivotal.

On a concluding note, our order book remains strong, despite the challenging environment giving us a good visibility of robust growth for the current financial year, and we are positive on maintaining our guidance of 20% growth with similar margins. Before our CFO Amit bhai takes you through the financial highlights. I would like to hand over the call to Gopal bhai to introduce himself.

Over to you, Gopal bhai.

Gopal Agrawal Thank you, Anand bhai. Good evening to you all. I'm really excited to join the team at Anupam Rasayan, a company known to me for over 15 years now. I have seen this company grow from nearly INR100 crores to a market cap of around INR10,000 crores today.

My endeavour would be to use my past 25 years of experience and act as a catalyst to augment overall growth of the economy. My idea would be to make the company globally competitive, future ready to be able to grow with manyfold from here. I also even look forward to meeting you in person who have been tracking, Anupam growth story to gain your available insight. With that, I hand over the call to our CFO, to take you through the financial highlights. Over to you, Amit bhai.

Amit Khurana : Thank you, Gopal bhai. Good evening

g, everyone, and thank you for joining us on the call. Let me take you through the financial highlights for the quarter, and then we'll hand over the call to

Vishal bhai to discuss the same further.

Let me begin by an update on the capex. The plan announced capex is approximately INR670 crores. Out of this, we have spent INR234 crores in Q2 FY '24. Majority of the capex is being used to cater the contracts and the LOIs we have signed. This quarter, working capital got stretched largely due to increase in debtors, which is temporary and will come down in Q3 FY '24 and Q4 FY '24. And our guidance of lower working capital days of less than 220 days still remains the same.

We see better growth in H2 FY '24, which would improve the working capital cycle. Anupam Rasayan continues to maintain its margins. Further cash equivalents on the books as on September 30, 2023, is at INR 404 crores, coupled with expected cash generation in the coming quarters, it would be sufficient for the planned capex.

With further reference to the recent capital infusion announcement of INR550 crores through a preferential issue with participation from the company's promoters, these funds will be primarily used to retire the company's long-term debt. This strategic debt reduction will lead to decrease in interest cost, thereby making it EPS accretive.

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With this, I hand over the floor to our Deputy CFO, Vishal bhai, who will take you through the financials in detail.

Vishal Thakkar: Thank you, Amit bhai. Hello, and good evening, everyone. Thank you for joining us here today.

I would like to briefly touch upon the key performance highlights for the quarter and half year ended 30, September 2023. And then we will open the floor for the question and answers.

Before I proceed, I hope you all have had the chance to go through the detailed presentation submitted to the exchanges and uploaded on our website. Kindly note, our numbers for the quarter are on a consolidated basis, and they also include Tanfac numbers.

Let me first discuss the consolidated financial highlights for the quarter ended September 30, 2023. Our total revenue for Q2 FY '24 was at INR396 crores as compared to INR383 crores in Q2 FY '23, up 3% Y-o-Y. EBITDA, including other income, was at INR111 crores in Q2 FY '24 as compared to INR101 crores in Q2 FY '23. The growth of 10% Y-o-Y. This would also translate to an EBITDA of 28% EBITDA margin for this quarter. Profit after tax was INR49 crores in Q2 FY '24 as compared to INR48 crores in Q2 FY '23, a growth of 2% Y-o-Y.

Coming to the half year performance. Total revenue for H1 FY '24 was at INR794 crores as compared to INR718 crores in H1 FY '23, up 11% Y-o-Y. EBITDA, including other income, was at INR225 crores in H1 FY '24 as compared to INR190 crores in H1 FY '23, growth of 18% Y-o-Y. This would also translate into an EBITDA margin of 28% for the half year.

Profit after tax was at INR101 crores in H1 FY '24 as compared to INR90 crores in H1 FY '23, a growth of 12% Y-o-Y. For Q2 FY '24, our licenses segment contributed 87% of the total revenue, and the balance came from the other specialty. Our top 10 customers contributed 83% of the total revenue and there is total 24 products that we provide to them.

With that, we open the floor for Q&A. Thank you.

Moderator: Thank you very much, sir. The first question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: First question on the revenue growth overall. You did mention that the growth was largely led by the domestic client. Just trying to understand, this is the existing clients and the stretch in working capital is more a timing issue. And how do you look at that?

Vishal Thakkar: Ankur, rightly identified. So, these are all customers that we have been doing business with that are very limited number that

we have added in the quarter for the additional. The revenue from them is not that meaningful for us. All the revenue that is coming is from the existing clients, principally. We are very comfortable in terms of their payment cycle and all. What we are seeing today is a very temporary phenomenon in terms of debtor expansion, which we feel that it should come down in the next two quarters.

And if you see the first one month of the revenue or collection, we feel that, that numbers have started unwinding and we believe that it's only a temporary phenomenon. I agree with you, Ankur. I think much that we really see beyond a couple of quarters here.

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Ankur Periwal: I missed the breakup between the domestic and export, if you can help with that as well?

Vishal Thakkar: Yes. So domestic is around 45% and 55% is export.

Ankur Periwal: This domestic customer that we are talking of will be a part of the top 10 customers, right, and

existing ones?

Vishal Thakkar: So, few are, and few are not in the top 10 .

Ankur Periwal : It's not one customer. There are multiple customers, that's why ?

Vishal Thakkar: Yes. There are multiple customers. Not that it is only one customer .

Ankur Periwal : From a n export growth perspective or probably in the first half, we have de -grown here. If you can help us understand, is this largely because of the RM deflation pass -through? How do the volumetric growth stack up here? And what will be our current capacity utilization?

Vishal Thakkar: Ankur, if you look at it from the growth point of view, I think the year -end numbers which you see, we will be selling there. Our large clie nts in the export market have actually talked about pushing the demand to the next two quarters, which is H2. And where you will see the H2 numbers, we will be able to see that the numbers have been more in line with what the normally that you have been se eing or we have been seeing. So that's there.

On the capacity utilization side, as we have been mentioning that the revenue that we can generate from here is around about INR1,700 crores, INR1,800 crores. To that extent, one and second is also these are all multipurpose plants . We try to play with the demand that we have, but we have enough and more capacity to continue.

Last question that you talked about volume versus price deflation. I think price deflation has not been a ve ry, very significant impact in terms of that. The volumes have also been robust here. Also, if you see my RLC will be in the range of 40s and the impact of that in terms of my realization is limited. No doubt, there will be some couple of percentage points moves there, but nothing very, very drastic that we can see from here.

Ankur Periwal : In the initial comments, we did mention that the generic part of the market is facing slightly more pressure. How does our portfolio stack up right now between, let's sa y, generic , patented and maybe the recently off-patented products?

Vishal Thakkar: Historically as well as today if you look at my portfolio in terms of a patented and recently off patented , we will be transmitting into anything around 70%, 75% and above, and two is also the long generic product, even there, we will be working with an innovator and that's one thing that really helps us in terms of having the higher visibility of revenue and also the margins typically , because there is a limited number of products which are generic multi -customer products, and that really helps us insulate our demand and margin.

Ankur Periwal : Just last bit, Slide number 17 of the presentation, which talks about the R&D as well as the business development team globally. What is the arrangement that we have with all these

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representatives across the market. It is more on a business generation basis

? Or how should one

look at it? I'm presuming none of them is on our own, so.

Vishal Thakkar : No. If you look at it, they'll be on the retai ner side. They are our employees. They work exclusively for us on this topic. Majority of the m, one or two may have other assignments, but largely, they are all for us. As a business development team , always there will be some bit of performance incentives that will be there.

That's the standard customary things that we would have, but they work quite extensively with us and they are moving on a retai ner approach. But as you know, as an Indian company, we would not want to spend so much in terms of international cost and hence, you would always structure it in a manner that there is a very pragmatic balance of retai ner versus incentives.

Moderator : Thank you. The next question is from the line of S. Ram esh from Nirmal Bang Equities. Please go ahead.

S. Ramesh : If I may just take the balance sheet first, it could be surprising that the receivables have gone up and you have been guiding for a reduction in the working capital cycle. So did you have to extend additional time for payment to the new customers. When you say you expect it to come down. What is the basis for that confidence? Because suddenly, the receivables go up in terms of number of days, it seems to me that implies that you have given an extended credit term. So how do you expect this to be brought dow n in the next six months? I would like to understand that.

Vishal Thakkar: So, two, three things. One is , we have supported our customers with an extended credit term for a little longer credit terms than normally than we would have done, we do it, but that is a very clear understanding that it is a temporary support to them, and it's not a long -term support to them.

Two, there is a bit of a more of sales to the domestic customers . In this quarter, if you see the sales is little on the higher side on the domestic, which has a little longer period in the first half. As we go, that number will only drop because our customers in terms of their payment profile, and two is a lso, if I look at the first month after the first half, which passed by , we are seeing a fair bit of collection coming in stream. So that are the three reasons why we are really feeling

comfortable that we should be able to come back to that number, and historically also, if you see, this is something which we don't see too much moving on a quarter or two quarter, it can happen, but we don't see it anything long term here.

S. Ramesh : It's interesting that you plan to raise promoters' equity, which is welcome step, so when do you expect the promoter funds flow equity and the warrant to come in? And when do you expect to repay the debt and how much of the equity proceeds will be used to repay that?

Vishal Thakkar: We have got a board approval today. So, we'll run it with the shareholders' approval, which takes this normal new case of 21 plus few days of operations. Post that, we will be able to bring that money straight into the company. So maybe by the first week of December, kind of first week to second week of December, we should get the money into the bank accounts.

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If you look at it, of that amount that we've got, majority, it will be around about 80% odd kind of a number that we would use to just repay the debt straight up, but as you can appreciate that this will be in two parts. One is part of it is pref and the part of it is warrants. The pref will come straight. The warrants will have only 25% coming in now and then the balance will come within the 18 months.

So, to that extent, whatever money we get largely the first tranche will largely be used to just repay the debt. Today, we have around INR400 and something odd crores of long-term debt, which we'll try and unwind as soon as we get this cash.

We'll try and line it up accordingly.

S. Ramesh : Okay. And incrementally, if you look at the expansion of the business based on execution of the LOIs and the contracts, once the projects are commissioned. Will there be any incremental requirement for additional working capital that will again require you to borrow funds once this capital infusion is done?

Vishal Thakkar: If you look at for the money that I'm sitting on today is around INR404 crores of cash, which would be sufficient to do my capex. So that is one point there. Second is if you look at the growth that I'm seeing in terms of the revenue as we go forward after the capex comes into place. Today, if you look at it, there is a reasonable amount of working capital, which is locked in which will also get released.

Two, over a period, the EBITDA that we generate and the operating cash flow that will be generated, we see that it should be fairly balanced to really not expand our working capital limits that we have today anything significantly.

Maybe in two years to three years, when the revenue goes beyond, let's say, INR2,000 crores, INR2,500 crores is where you may see a few things. But today, for next year, 1.5 years or two years, I don't see that anything moving very significantly from.

S. Ramesh : So, one last one thing on your operating results and what do we expect for the second half and the next two years, three years. If you can give some sense of how much of your first half revenue on the 2Q revenue was from fluorination in terms of percentage? How do you see that move in the second half and over the next two years to three years? And what is the kind of visibility one should expect from the LOIs and contracts in terms of addition in value terms in rupees crores over, say, FY '25 and '26 and then beyond '26. If you can break it up, it will be useful.

Vishal Thakkar: Let me first start with the fluorination part of the story. In fluorination in the first half, we had around about 15% of revenue coming from fluorination, and we expect that the number would hit just around 20% by the year-end. And if you look at our long-term view, I think fluorination should contribute a number 25% to 30% or 30% odd kind of a number for a term of our revenue portfolio by that time and mind you that this number is a number which is 30% of that expanded revenue. To that extent, you can imagine the kind of revenue that we are talking about here.

Now let's come to the LOIs and contracts. We believe that for LOIs and contracts, we should be able to continue to grow in around three odd years, which is the typical time period for that, we should be able to get to around about four-digit number in terms of my revenue by next three

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years to four years' time frame. I think that's what we see as it's staggered LOIs that we have got and the ramp-up also has its own staggered approach, and that is where we would see this to be.

S. Ramesh : In total, you are saying the addition will be about INR1,000 crores from the new contracts LOIs?

Vishal Thakkar: Order of magnitude, yes, you are right.

S. Ramesh : Another housekeeping question, just like the export domestic, but can you give us modular split between contract revenue and revenue outside the contract for the second quarter and first half?

How you see this moving, say, in the next two years to three years?

Vishal Thakkar: So historically, and even now also most of our revenues are largely on the contractor side around 70%-plus is more on the contractual or contractual behaviour revenue. I think there is not much of a movement that you can see. See there may be some kind of a scheduling part of it, and you can see a bit plus or minus on that. But principally, you will see the same number as you see. Even for this year also, you will see the same and going forward also, you will see that.

Moderator : Thank you. We will take the next question from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta : On our business model, where we are completely selling to chemical industries both in generic as well as innovator. Right now, sir, both of them are going through extreme pain point, while in generics, we see that all the domestic biggies in India, they are facing extreme pressure. Probably they may continue to exert pressure on our working capital, and we may see some more delays in terms of correction from them. That is on generic.

However, in innovators, we are seeing that the global inventory destocking continuing. Even in the year-end balance sheet, what I understand that they will try to strengthen their balance sheet. With all these, probably the near-term money coming back from these customers, both in generic and innovator looks challenging. So how do you respond to that, sir?

Vishal Thakkar: Rohan, so you're right that it's not that easy conversation with our customers. And what you rightly identified is, yes, they would want to strengthen their balance sheet and would want to pass out of it to us as well. And for some time, every supplier will always accommodate their purchasing partners. But if you look at it the way we have been interacting with our customers here.

See we have been supporting them. And it's a very clear conversation with them as well that the realization that we need, we need to have it in time that we need. So there, what we have seen from them is that there is a very clear acceptance of the plans that we have with them. So, to my mind, that will not be a bigger challenge.

Second is if you look at it, large part of it is coming from the innovators. And if you look at innovators, innovators especially in the international sphere, what our understanding is, their challenges were more on the Q1, Q2 ours or Q2, Q3 of their and maybe at best will go to Q4 of theirs, which is Q3 of ours.

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So, we see that, pressure is organically also easing now. But even having said that, we believe that there is a very clear path to this number. And that's where I'm also saying that even when I look at the October's collections that gives us a reasonable confidence that we should be able to come back to normalcy in terms of better collection and we should improve on the inventory PCA.

Rohan Gupta : Sir, I was saying that with the current weakness in the global market, how we see that our LOIs there is a chance of spill over they may be pushed back maybe for one quarter or two quarter or three quarters, how confident we are that all the LOIs are expected to come within the time frame?

Vishal Thakkar: See, you're right that environment and the kind of movements happen. But we also plan our numbers, these all are budgeted. And today, after whatever the allotment we have seen, whatever the activities that we have seen, there is no reason for us to move this number anything significantly expectation. Now it's a quarter or two quarter, yes, that conversation can always happen, that's not a question. But if you look at it, it's a portfolio.

And if you look at the total portfolio in the large portfolio, both of my existing molecules and also the pipeline molecules. Just to give you a context, today, this year itself, we are going to launch 10 total new molecules, right?

So, if there is a bit of a movement on one product to other, that's an advantage of a multipurpose plant as well. That is less one thing is streaming slower, then you just move to another part and use the asset for that because that's a total portfolio of products that we have. And to that extent, we really get comfortable with the kind of growth that we are seeing.

Having said that, I would not guide for a quarter-to-quarter number because, yes, this is not a world, and this is not

a business there we can talk about quarter-to-quarter. But if you ask me annual to annual, I think the consistency will be fairly representative. And to that extent, I told you.

Rohan Gupta : Sir, just a last bit from my side. Sir, the reason for press issue, is it primarily just to show that the confidence stock price promoter wants to show or it's the real need of the money because I think the partial money is only going to come in near term and another warrants issue. So is there any significant debt reduction, which is expected? Or it is just only showing that promoters

showing the confidence in the stock?

Vishal Thakkar: I would put it this way that if you see Anand Desai is the founding promotor, he has been increasing his shareholding in the company. And that has been the primary driver for this press. Yes, along with that, there are other investors who have joined along. That's fair, but the original thought and the principle was there, and that's the driver.

Now balance debt reduction is just to ensure that we do not impact the ROCE of the company with this one, because beyond the point, the business does not make cash. So that is also the reason. And yes, it will help a bit on the EPS accretive behaviour. But primarily, the thought origins from the founding promoters desire to increase his stake holding in the company, and that's where we come from.

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Moderator: Thank you. We'll take the next question from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, first question is on our guidance for FY '24 and '25. What are we expecting in terms of top line growth and margins for both these years? And how much of this top line growth will be contributed by the LOIs? I understand FY '23, the contribution from the LOIs was closer to some INR100 -odd crores. What do you expect in FY '24 and '25?

Vishal Thakkar: Let's first answer the first question in terms of my revenue growth item. I would not want to give a specific year -to-year guidance, but I can definitely say that my revenue growth will continue to be at least this first half has been more on the tepid growth side.

But I think the second half onwards and here, I think we should be able to get back to the growth momentum that we had in our historical revenue growth. From H2 '24 and FY '25 onwards, we will be able to see that kind of a growth that we are seeing. And for the FY '25, my increment would be around about INR400 crores by FY '25 from today.

Rohit Nagraj: Okay. That's from the contribution from the LOIs you're talking about, right sir?

Vishal Thakkar: Yes.

Rohit Nagraj: Okay. Got it. And in terms of the confidence that we are having that second half would be much better than first half. Is it backed by any firm volume commitments that we have engaged with our customers, both domestic and global? Or is it based on the general commentary by global players and the inventory destocking is coming to a fag end, so ideally, the situation in second half should improve. So, your thoughts on this?

Vishal Thakkar: Yes. Rohit, let me answer the second question first and then I'll answer the first one. I'll clarify on that. The first is that see, in the CSM business, I would really say that we are more driven by what my customer is doing for that product and product range rather than about the general market. So, you are right that the commentary of a larger industry, industry statements are not to be picked up as our anticipation of our business as we go, and that I agree with you.

What we tend to do when we want to look at this growth is that what's the kind of demand indication and the offtake that my customer has given me. As you know that every large MNC, especially in the CSM side, would give an annual forecast for us under the contract or an LOI that we have, and that is the reason

why we see that like even when we were in the Q1, we said that Q2 will be flat was for the same reason that we knew that customer has requested us to push the demand to the second half.

Now when we are talking to them as well in Q2 and now, we see that they are saying that we are up taking and that's the forecast that they have given us. Second, also, the launch of new molecules will also aid to the additional growth that we are seeing. It's not only the organic growth of an individual molecule, but also the addition of the molecules will continue to be growth to us. So, it's a combination of two, which will be there, and that's where it gives us a fair bit of confidence.

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Rohit Nagraj: Just one clarification here. So base business of FY '23 without any contribution from the new LOIs, that base business, generally, what should be the growth rate that we can assume given that most of these molecules, I mean, it will be partially established molecules and partially new molecules. What could be the average growth rate for that base business?

Vishal Thakkar: So, the base business, I don't want to segment it that way because in any company, if you look at my history also, five years back or seven years back, I had only four products, and that was giving me the revenue. Today, that number has gone to 55, 57 and 58 now. I would not say the base revenue and others. But if you're asking me, yes, the existing molecules typically with my

existing customers will typically hit the kind of , not a plateau , but they would have taken care of the large part of the potential.

The growth from there would be, let's say, 15% to 25% of the additional growth would come from there and the balance additional growth would come from the new molecules and commercialization and ramping up, if that helps.

Rohit Nagraj : Just your broader guidance on the margin profile for the next couple of years? Will it be similar to what we are currently having? Or will there be any chance of further improvement?

Vishal Thakkar: I would really tend to guide at 26 % to 28 %, though we have done 29 %, but I would always caution that 26 % to 28 % is a fair guidance that I would want to give. If we perform better, we would definitely be happy and that's our endeavour as a management that we improve every single bps of my EBITDA margin.

But I would not want to stick my neck out and try and say more because I would want to be more conservative here. Yes, we have been doing it. Yes, there is a buoyancy that we can see in terms of the margin profile. But I would want to be conscious and cautious here. And the reason is not the situation, but just being financial a bit more prudent on this.

Rohit Nagraj : Just two clarifications, 26 % to 28 % is on stand-alone basis. Is that assumption, right?

Vishal Thakkar: Yes. But if you look at consolidated yes, Tanfac will play typically, if you see historically, we have been guiding at 26 % to 28 %, and I think that's where I would go by.

Rohit Nagraj : You earlier told that fluorination revenues are currently at about 15%. So , this is on a consolidated basis? Or is it only on standalone ?

Vishal Thakkar: No. Sorry, that's on our understanding. If I take Tanfac strategically, the whole revenue gets into the fluorination side of it. I'm talking only stand-alone . Yes.

Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani : Just a couple of clarifications from my side. You have done about INR170 crores to INR190 - odd crores capex in the first half. So how much are you expecting to incur in the second half of '24 and FY '25?

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Vishal Thakkar: If you see, we have totally announced around INR670 crores of capex. Till date we have around INR234 cror

es of capex. So , in the next balance period, we should be able to do the large part of it in next six months to nine months' time frame, because I'll tell you the spend is one part of it, but the committed capex, like I would have ordered the vessel, and I would have paid less a 10%, 20% advance on that. But the moment the vessel comes in, the reactor comes in, I have to pay the balance 80% straight up. So , it may look a little huge in terms of money spent. But if you look at from a gross amount perspective, this number will be very different.

And that's the reason I'm saying that because it's at the fag -end of the construction, where all the equipment gets on the site and gets erected. And that's the time when you spend the large part of your money. And that's where you would see that in the next six months to nine months, you will see a large part of the utilization there.

Krishan Parwani : So that is INR670 crores, I mean that is for '24. So, there's no change in that. So that was part number one of the questions . And part number two was for FY '25 , how much are you envisaging around INR300 crores, INR400 crores or even more?

Vishal Thakkar: No, I don't think . We have gone through one large capex cycle now. So now whatever the next year's capex will be more on the maintenance and routine side rather than really a large capacity addition kind of a thing. So , I don't see that number to be in that range. I would wait for a quarter or two quarter to really give you the guidance on those capex numbers, but I don't see that in a significant number for now. Not like what we are seeing. So right now, you should budget a routine maintenance and some debottlenecking expansion kind of activities rather than the large capacity addition kind of a thing.

Krishan Parwani : Yes, because I'm asking because, let's say, if I look at from FY '18 to '23, there has not been a single year where we have spent less than INR 200-odd crores. So , I mean there has been some sort of capex ongoing. I mean, because you'll have to continuously growing even in '26, right?

So, you will have to incur some capex. Otherwise, then '26 growth for the LOI that you have signed, you might not be able to kind of execute it. Is my understanding correct? Or am I missing something?

Vishal Thakkar: For the LOIs largely, you will see that the capex that I have done, let me put it simply that the current capex will take me to INR1,700 crores to INR1,800 crores. So INR670 crores of capex and other will around INR1,100 crores, INR1,200 crores. So , if you look at it, we are talking about INR2,000 to IN R3,000 crores of revenue from this capex .

So to that extent, I have a breather. But you're right that some of the other capex may come up, like it's a solar investment or any other investment that may come up. That's what I'm saying,

it's not in the range of INR300 crores to INR400 crores kind of a number. It will be in the range of I don't know want to hazard a guess and that's the reason I'm holding back because I would rather come with a fair number to you for the next year or going forward, but the numbers are not about large capacity addition. It will be more debottlenecking, maintenance capex. And if there is some bit of any other green energy projects or something like Anupam Rasayan India Limited
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that, so that may come into play, but it will not really, really swing to the numbers up INR300 crores , INR400 crores for now.

Krishan Parwani : So, the last bit I wanted to understand is, so what is the status of the six-month pricing agreements with our customers? So , is it done for the customer, whosoever we wanted with? Or is any customer that we thought to do a six-month contract is anyone pending?

Vishal Thakkar: There are a couple of ones that are pending. I would really say that there is around 60 %-odd of contract revenue. And what will happen?

n? Two things will happen. we're working with them, and they are also saying that we are agreeing to.

And 12 months having it will only change the mix in favor of where we want the pricing structure to move to. So that will continue to happen. So , I think we are in the right direction. And hopefully, we should be looking at it that we get to where we want to.

Moderator : Thank you. The next question is from the line of Meet Vora from Emkay Global. Please go ahead.

Meet Vora : I wanted to know your thoughts more on the LOIs that we have signed. In terms of whether these are more of a building block kind of a nature or how do we see these molecules panning out in terms of incremental inflow of advice from these existing customers ? That is one.

And second is, what was the moat that we had in terms of getting these LOIs over the last few months, so to say, is it more that we acquired Tanfac and we have the building block of HF or is it more that we have built a kind of business development teams in say, Japan and US, which drove these kind of inflows?

Vishal Thakkar: I think, Meet, to answer your second question and the one is that any business there will be multiple play multiple activities or multiple pivots that will play its role to get to the business.

The most important thing is that do we have a chemistry and ability to deliver that , I have developed this product and I can deliver. So that's the first, which is the technical competence that we have demonstrated, which we had demonstrated over the last five years , seven years . If you look at it, we have more than 30 -plus products in our portfolio, which are fluorinated products . Then the second is ability to deliver coming from supply chain side because these are all products where the supply chain is very, very essential. And there Tanfac coming in really helped to demonstrate that we have a supply chain sorted out here, and that led to the crystallization of the conversations that we have been having with our customers.

Third, yes, having teams on ground in the geography that we are looking for business always helps from two things. One is from a speed of execution and two is from the demonstration of commitment perspective, and three, the familiarity of all the individuals who go and meet the customers. All these three really help in accentuating and improving the crystallization process further in terms of our business.

And last is to be able to demonstrate that we have enough and more capacity and plans to deliver. So, all these three or four points really play out. And to us, that's what is the strategy. That's what Anupam Rasayan India Limited
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is the execution that has happened. I mean, I would really say that these are the four, five key things, a key development that has really helped us here.

Meet Vora : You mentioned that we are the sole suppliers of some of these molecules from Asia. So , is this that we are seeing incremental demand in these molecules or incremental supply shift away from geography that we have seen primarily and where do we see the competitive intensity in these LOIs?

Vishal Thakkar: See, as you can see, historically, also a large part of our business is where we are competing with the European and Chinese players. Now in that scenario, always three things help us . Four things that have. One is the lenience and experience that we have given our customers. And they are the guys who are either they are offering us new products, or their peers are offering us and then we are able to attract the customers there. One.

Two is the product portfolio. Please understand that this is very, very essential that our ability to demonstrate to our customer that we can offer a high -quality product on a consistent basis is

very, very few. And third is supply chain, which is again one. And the last one, what you rightly said that competi

ve intensity, yes, if you look at my European peers are really today becoming less and less competitive compared to us. And from a China side, Chinese peers are becoming less and less preferable compared to us. These are the broad things that really play out. And that's where we would put it up. And also, one more thing that happened is that we work on a value tree. So, when my customers feel that, okay, the products are falling in a particular tree or particular value chain, they will have a higher propensity to offer that to me because I've demonstrated in the value chain, supply chain and ability to deliver. These are the ones that I would put in here, which has helped us.

Meet Vora : In terms of our working capital, when we say that we are trying to bring it to say, 230 or 200 days, what are the kind of arrangements that we are working with customers, if you can highlight on that? And at the same time, whenever we are trying to reduce the working capital, will we see some kind of margin correction in terms of our overall EBITDA margins to deliver the products early or try to work? If you can highlight on that, that would be helpful.

Vishal Thakkar: Okay. So, let's break it into two parts. One is, if you look at my working capital today, the expansion of working capital is largely on the debtor side which is basically adjusting for a quarter or two quarters. So, I don't see that really. It's a very clear understanding with the customer that have extended the working capital cycle. I have extended the credit terms, but it's not for a long period.

It's a short term that I've offered them, which we have started seeing that it will come, it is coming back. So that's one part of it. If I exist for the debtors just from where they were to where they will be, okay. Then I'm knocking off around about 50 -odd days of my cycle anyway.

On the inventory side, it's just that the moment of the revenue picks up and the inventory starts combining, I think we should be able to bring that also to a more reasonable level. So put together, I think there I see fair bit of comfort here. It's a couple of quarters discussion that we are talking about here.

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Moderator: Thank you. Ladies and gentlemen, this will be the last question, which is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh : So, you had an agreement with the TI Group for an alliance in CDMO. How is that progressing? What is the thought process behind that? And when do you see there actually culminating in some kind of impact on your P&L and balance sheet?

Vishal Thakkar: So first, the MOU that we have with the TI and 3xper is primarily on really developing newer molecules. They have an understanding in terms of the pharma market, and we have a strength in terms of our chemistry and our process part of it, which is what is really helping. This is what we are trying to leverage between us. Mr. Govindaraj, as were the ex-MD of Aurobindo Pharma, he is the one who is guiding us on the interaction with the innovator because that's where we need the understanding which segment to go to, especially on the innovative side. So that's what we will be able to do.

Our chemistry strength, flow chemistry and molecules and also starting from the base molecule is early KSM level is helping us in this. So, it's a very symbiotic relationship. When do we see it, it's a very initial stage in terms of trying to tell that when this will translate into revenues, probably the collaboration has started. We have been working jointly, give us a few partners for us to really say exactly what kind of numbers from when we can start seeing.

S. Ramesh ; Okay. And then on last thought. Now if you look at the supply chain issues, inventory in China excess supplies and dumping at distress pricing, how much of impact has it had on your business

in the first half? And how do you see that shaping up, say, in the second half of the year and in FY '25? What is your reading on that situation, but that seems to be the biggest overhang for the entire chemical sector as we speak today.

Vishal Thakkar: You're right. See, that is there and that's an overhang for the Indian chemical industry at last, but that is what our MD and even our chairman shared in their opening remarks as well. And that impact is significant on the earlier part of the value chain, which is where the impact is far higher and significant.

When you come to more CFM kind of one-to-one relationship with an innovator, then that impact is fairly less, and with the kind of a pricing structure that we have, where we have a pass-through in terms of cost structure. We see that impact is practically pass-through because it either is impacting in terms of the input costs or any other kind of a cost, which just gets passed through for us. And to that extent, we are reasonably insulated in that sense.

The only thing that it can also do is move the demand growth by quarter or two quarters, but

nothing really significant that we have seen at least till now we have seen anything of that sort in our performances for now.

S. Ramesh : And do we see this abating say, by FY '25, what is the current reading?

Vishal Thakkar: See, if you are the expert of the sector, I would really take some guidance from you also. But if I were to use my limited understanding of the sector and what I understand, I would really say

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that what we are seeing is which is getting abated. We are seeing that especially the stock coming from in the channel is building significantly.

And also China , if you see the large part of the stock that the China had in the COVID phase is now getting released. We believe that it's a quarter or two quarter that they would be done with that stock and the new stock will come into the market where they will have to also price the products as per the current market prices.

So probably, we at least are seeing acquire a couple of partners at best and depending upon which part of the value chain you are, it may be a quarter or two quarter or three quarter depending upon where you are on the value chain, that the impact will get reduced.

Moderator : Thank you, sir. Ladies and gentlemen, as that was the last question, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Vishal Thakkar: Thank you all for joining us today on the call and being part of our journey so far. I hope we have been able to answer all your questions. If there are any that I have not answered, I promise that over the next few quarters, we will do so. And if there are any specific questions which are left out, please reach out to our IR partner EY, and they will get back to you offline. I also would like to wish everyone a Happy Diwali on behalf of Anupam Rasayan. See you in the next quarter.

Moderator : Thank you, members of the management. Ladies and gentlemen, on behalf of Anupam Rasayan India Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

(This document was edited for readability purpose.)

Call: Feb 2024

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ARILSLDSTX 20240215121 Date: February 15, 2024

To,
BSE Limited ,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001, India
SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block -G,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051, India
SYMBOL: ANURAS

Dear Sir/ Madam,

Subject: Submission of transcript of Earnings Call on the Unaudited Financial Results
(Standalone and Consolidated) of Anupam Rasayan India Limited ("the Company")
for the quarter and nine months ended December 31, 2023.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of the Earnings Call on the Unaudited Financial Results (Standalone and Consolidated) for the quarter and nine months ended December 31, 2023 , held by the Company on Monday, February 12, 2024.

This information is also being hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking you,

Yours Faithfully,
For, Anupam Rasayan India Limited

Ashish Gupta
Company Secretary & Compliance Officer

Encl: As above

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"Anupam Rasayan India Limited Q3 and 9M FY '24
Earnings Conference Call"

February 12, 2024

MANAGEMENT : MR. ANAND DESAI – MANAGING DIRECTOR

MR. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICER

MR. AMIT KHURANA – CHIEF FINANCIAL OFFICER

MR. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL OFFICER

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Moderator : Ladies and gentlemen , good day, and welcome to the Anupam Rasayan India Limited Q3 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M r. Advait Bhadekar from EY . Thank you, and over to you, sir.

Advait Bhadekar : Thank you, Viren , and good evening, everyone. Welcome to Anupam Rasayan India Limited Q3 and 9M FY '24 Earnings Conference Call.

Please note that a copy of our disclosure is available on the Investors Section of our website as well as on the Stock Exchanges. Please do note that anything said on this call which reflects our outlook towards the future, or which could be construed as a forward -looking statement must be reviewed in conjunction with the risk s that the Company faces.

This conference call is being recorded and the transcript, along with the audio of the same will be made available on the website of the Company and the exchanges. Please also note that the audio of the conference call is the copyright material of Anupam Rasayan India and cannot be copied, rebroadcasted, attributed in press or media without specific and written consent of the Company .

Today, from the management side, we have with us Mr. Anand Desai – Managing Director; Mr. Gopal Agrawal – Chief Executive Officer; Mr. Amit Khurana – Chief Financial Officer; and Mr. Vishal Thakkar – Deputy Chief Financial Officer

I would now like to hand over the call to Mr. Anand Desai for his opening remarks. Thank you, and over to you, sir.

Anand Desai: Thank you , Advait . Good evening and welcome everyone to our Q3 and 9 M FY '24 Earnings Call. Since we are connecting for the first time since the start of the year, I wish you all a happy New Year.

Let us look at the broader landscape before we dive into industry and Company in particular : An uncertain global economic environment t hat we were facing through 2023 is likely spilling over in 2024 as well. Despite the inflation cooling off and a hope of demand recovery, the geopolitical issues are keeping the world on tenterhooks .

On the industry front :

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The agrochemical sector continues to witness demand issues across the nations. This coupled with falling raw material prices is having a double impact on the revenue and growth for the industry. It appears that F Y '24 remains a year of low growth for the majority of the agrochemi cal companies. That said, there are green shoots and as we speak, raw material prices are stabilizing, and demand scenario is picking up in some pockets. Strategically for Anupam , the higher growth in polymer and pharma sector is expected to compensate the tepid growth in the agrochemical sector.

On that note, let me shed some light on the “Performance ” of the quarter, after which we can move on to the “Business Updates ”:

Our total revenue stood at Rs 298 crores with a Y -o-Y de-growth of 23% on a consolidated basis , whereas for the nine months, our total revenue stood at Rs 1,092 crores, posting Y-o-Y de-growth of 1%.

The challenging industry landscape has been responsible for this degrowth along with Q3 being

the end of the year for some of our customers, which meant these clients were off taking only a minimum as per the contract. As we have passed the model for the pricing, we have been able to maintain our EBITDA margins at 30.1% on a standalone basis and for the quarter, and 27% on a consolidated basis for the same period.

Before I conclude, I would like to

draw your attention to one of the most important initiatives at Anupam and which is very close to my heart. As an organization, sustainability has been deeply rooted in our operations and thought processes. We have been striving to build long-term sustainability initiatives and integrate it in our business.

On that front, I am pleased to report that Anupam Rasayan will be investing Rs 59 crores towards setting up a hybrid power plant of 9.6 megawatt. When I say hybrid, it is a combination of wind power and solar power. That is 5.6 megawatt of wind power and solar power will be 4 megawatts. This initiative will help us reduce our energy cost of approximately Rs 15 crores per year.

These investments in solar would now translate to electricity consumption for green energy in coming years. I firmly believe the industry will witness a revival from H1 FY '24 based on the LOIs and the contracts we have signed in 2022 and '23, and strong product pipeline, which gives us a reasonable confidence for growth in FY '25.

Before Amit bhai and Vishal bhai discuss the financials in greater detail, I would like to call upon Gopal bhai to share our business updates. Over to you, Gopal bhai.

Gopal Agrawal: Thank you, Anand bhai. Hello and good evening, everyone.

Welcome to our Q3 and 9 M FY '24 Earning Call. I will quickly share key "Business Updates" and then handover the call to Amit bhai to discuss the Financials.

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Starting with new products launched during the Q3 FY '24:

We commercialized six new molecules, four of which are in fluorination series and the remaining two are from signed LOI and contracts. Till 9M FY '24, we have launched in total 11 new molecules, all of which will ramp up gradually in FY '25 and FY '26, resulting in a positive impact on our revenue in coming years as highlighted by Anand bhai earlier in his opening remarks.

On the contracts and LOI signed, I am pleased to share that during the quarter, we signed a letter of intent worth \$61 million, that is INR 507 crores for the next nine years. This is the one which is with the leading Japanese chemical Company to supply a new age polymer intermediate. As per the agreement, the supply will commence from 2024. This product will be manufactured in our existing as well as our new multi-purpose manufacturing facilities and the molecule will be utilized as an intermediate for thermoplastic polymer, which is used in structural materials in aerospace industries, semiconductor process material, electric and electronic devices, and high-performance industrial machineries.

One of the key things to note here is that we are fully backward integrated for this molecule.

This is in line with our strategy of expanding our polymer portfolio and deepening our presence in Japan.

We have been able to expand our existing customer wallet as well as onboard a few new clients. With a market such as Japan that is complex and tough to crack, we have successfully made an inroad over the last few years through our relentless R&D effort as well as investing talent.

To ensure better control, we have also incorporated a subsidiary in Japan, which showcases our focus towards these important geographies. I firmly believe that our Japan business will see strong growth in the coming years and will likely to become a major business center for Anupam.

I am also proud to inform you that Anupam Rasayan won CII 3R Award for "Best Industry Practices" for managing our own waste. This award reinforces our belief that sustainability is not just a choice, but a business imperative. It highlights our commitment to environmental sustainability and responsible business practices. Over the past few years, we have worked tirelessly to implement innovative and effective waste management strategies, and the award valid

ates this effort.

With this, to take you through the "Financial Highlights," I would like to hand over the call to our CFO. Over to you, Amit bhai.

Amit Khurana: Thank you, Gopal bhai. Good evening, everyone, and thank you for joining us on the call. Let me take you through the "Financial Highlights" for the quarter, and then we will hand over the call to Vishal bhai to discuss these in depth.

Before I get into financials, let me share an update on our recent fundraise:

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During the quarter, the Company issued shares worth Rs. 180 crores and warrant worth 370 crores to promoter and institutional investors respectively. The Company has already received Rs. 272 crores through equity issuance and fresh transfer of warrants. Of these, we have already utilized Rs. 198 crores towards debt repayment till date. We have a sharp focus on deleveraging the balance sheet with an ambitious target of being a long-term debt-free Company over the next 18 months.

Coming to the "CAPEX" for 9 months :

We have incurred Rs. 381 crores out of the Rs. 670 crores CAPEX announced. The balance CAPEX will be incurred in the next two quarters as per plan. At the end of Q3 FY '24, cash and cash equivalents on the books as of 31st December 2023 stood at Rs. 577 crores, which is sufficient enough for the planned CAPEX.

With this, I hand over the floor to our Deputy CFO, Vishal bhai, who will take you through the financials in detail.

Vishal Thakkar: Thank you, Amit bhai. Hello and good evening, everyone. Thank you for joining us here today.

I would like to share some "Key Performance Highlights" for the quarter and 9 months ended 31st December 2023, and then we will open the floor for question-and-answer session.

Before I proceed, I hope you all have had a chance to go through the detailed presentation and the results submitted to the exchanges and also uploaded on our website. Kindly note, our numbers for the quarter are on a consolidated basis, and they also include Tanfac numbers.

Let me first discuss the consolidated "Financial Highlights" for the quarter ended December 31, 2023 :

Operating revenues for Q3 FY '24 were at 296 crores as compared to 392 crores in Q3 FY '23, down 25% Y-o-Y.

EBITDA, including other income, was at Rs. 81 crores in Q3 FY '24 as compared to Rs. 108 crores in Q3 FY '23, again, resulting in a decline of 25%. However, this would translate into an EBITDA of 27% EBITDA margin for this quarter, which is similar to the EBITDA margins that we have been seeing in the past as well. Profit after tax was at Rs. 26 crores in Q3 FY '24 as compared to Rs. 554 crores in Q3 FY '23.

Coming to the 9 months performance :

Operating revenue for 9 M FY '24 was at Rs. 1,074 crores as compared to 1,122 crores, down 4% Y-o-Y.

EBITDA, including other income stood at 306 crores as compared to 298 crores in 9 M FY '23, growth of 3% Y-o-Y. This would translate into an EBITDA margin of 28%, which has been consistently in the range that we have been reporting in the past as well.

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Profit after tax was at Rs. 127 crores as compared to Rs. 144 crores for the 9 M FY '23, a decline of 12% Y-o-Y. For 9 M FY '24, our Life Sciences segment contributed 91% of the total revenue and the balance 9% came from the specialty chemicals. Our top 10 customers contributed 77% of the total revenue and there are a total of 23 products that we provide to them.

With that, we will open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, my first question is from the LOIs and from customer's perspective, so we have

seen that

last quarter was an exceptional quarter in terms of the demand scenario. What are we looking at in the current quarter from the order's perspective? And if you could just let us get a bit about the LOIs as well, whether we are on track in terms of the customer engagement, what they had anticipated earlier, the order or volume would be for 2024 or they are slightly taken aback given the current situation and they will be in a wait and watch situation? So, your comments on this. Thank you.

Vishal Thakkar: Rohit, if you look at in terms of the LOIs and contracts and the kind of buoyancy there, I suggest that the LOIs and the kind of engagement that we have been seeing with the customer has been robust, especially when we are talking about a long-term kind of numbers.

So, when we are talking about the LOIs and contracts, see, the engagement on the customer side on the LOIs has been strong and their interest with us has been quite robust. If you look at that, that's also the reflection if you see in terms of this quarter also, the quarter went by, we find one LOI and we believe that there are furthermore interactions that are there. And there are quite positive interest that we have seen from the customers for the longer term demand.

Now, coming to the shorter term demand, the shorter term demand is basically as we have mentioned and as you are also aware the market has been pretty subdued for this quarter, and we see that the next quarter will be also pretty subdued. So, I think the question that if you are asking

on the demand side, short term for this quarter, next quarter, we may see a little bit of tepidness , but going forward from H1 2025, we should be able to see that the revenue should start coming up.

Rohit Nagraj: That's helpful. Just an allied question to that. In terms of, so we were earlier guiding FY '25 will have a big business . Addition to that will be LOIs and plus fluorination. So, how are we looking in terms of overall growth for FY '25 and FY '26 if you can just give broadly a sense of that ?

Vishal Thakkar: So, first of all, Rohit, I feel that if you look at the demand from the revenue contribution from the LOIs and from the pharma sector , pharma and polymers should start giving a meaningful growth for us in FY '25 and FY '26 and that should add to the growth. And the base volumes which are from the historical products and others should give stability to the demand, stability to the revenue. And so, I would put it that my historical products will give me a stability of my

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revenue and the pharma and the polymer and the Japanese market should give us additional volumes for the growth in FY '25 and '26. And '26 again, the historical molecule should also give limited, contribute to some bit of growth as well, as we see.

Rohit Nagraj: Given that we have raised the money, and we are repaying the debt, what is the kind of interest saving that we are expecting in FY '24 and possibly in FY '25 ?

Vishal Thakkar: Interest saving for FY '24 will be limited because if you look at it, it will be practically for a quarter, but FY '25 , the number should be around 24 crores of saving on the interest side. This is the estimate that we have for 2025.

Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial . Please go ahead.

Krishan Parwani: So, my first question is on the working capital side. Just wanted to understand, has there been any improvement on that front?

Vishal Thakkar: So, Krishan , if you look on an absolute basis, we have seen that there has been an improvement in working capital. Has it been where we wanted to? The answer is no, but is it on the right direction? The answer is yes.

Krishan Parwani: So, would you be able to kind of share the number of days at 9M FY '24

or not possible?

Vishal Thakkar: I would prefer that . We have not reported that. So, I would prefer it if I don't mention that. But in the next quarter, I will definitely share that with you if that helps you.

Krishan Parwani: Yes. So, just going by your target, which you had about 180 to 200 days by end of FY '24, are we still on track?

Vishal Thakkar: I would have to say no, we are not on track on that. But directionally, yes. But in terms of quantum, we don't see that number being achieved, especially in the context of the kind of demand compression that we have seen and tepidness that we have seen. So, because it has double impact, the liquidation of the inventory reduces, and also my base number is also lower to that extent. So, I have a double whammy on that. So, yes, would we be in the range that we have mentioned? Probably not. I would say that.

Krishan Parwani: I think you mentioned about our gross and net debt position at 9M FY '24 in the initial comments. Did I miss that? If yes, could you please reshare?

Vishal Thakkar: We didn't mention , but I can share that . What we said was that we have repaid a loan of 200 crores by as on today, I would say, because the money came in at the end of the quarter. So, as on date, we have repaid 200 crores of long -term debt from the money that we raised, which is from the warrants and the preferential shares.

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Today, my long -term debt would be share less than 400. And I think once we do this, the balance amount comes in, we should be going to zero debt in terms of long -term debt. Of that 400 also, the 90 crores is my promoter debt. So, if you look at the external debt is around 300-310 crores only. And from the balance funds that we are raising, we believe that we should be at zero long term debt, especially on the net basis. Because if you look at my cash, today I am sitting on a cash of around 570 crores today, as on 31st December .

Krishan Parwani: So, is there any short -term debt as we ll, on the books?

Vishal Thakkar: Yes, there is working capital debt.

Krishan Parwani: So, I think, see, firstly, congrats on the LOI that you sign in this quarter. So, just, you know, just one suggestion, probably in Slide #20 , whereby you mentioned signing quarter, if you could also mention in revenue contributing quarter for all the LOIs and the contracts whenever. So, you know, it would be easier for us to kind of track that.

Vishal Thakkar: Krishan, the only challenge is that many times, it's a fine line between two things. One is being prudent in terms of forecast and two is also guiding the numbers and forward -looking statement.

So, that's the main reason why we have been avoiding this, because it can be tantamount to forward-looking statements and that may not be a very helpful situation to be in.

Krishan Parwani: Yes, I get your point. But directionally, you know, would you be able to kind of share the possible revenue generating quarters for the last four LOIs that we have signed in this fiscal? I mean, just ballpark estimate would do. Not an exact number.

Vishal Thakkar: See, I think one of them, we had said that we would be commercializing it in the same year itself as we also said is the last one. And that would happen. The other one we had also said that it would start from 25 CY, and one will be 25, 26 CY. So, largely in the next two years, you should see commercialization of most of the molecules that we have talked about.

Krishan Parwani: And last question from my side. Just a more fundamental question. So, when you mentioned this LOIs and contracts, is it a must for your customer to purchase a cumulative contracted amount?

I mean, if let's say it's a prolonged weakness, like we have seen since last couple of quarters, the cumulative of fake could be lower than the stated amounts.

Is that understanding, correct?

Vishal Thakkar: So, say there are two numbers in this. Typically, when you sign a contract, you will have two numbers. One is a minimum of fake guarantee. It's called MGO, minimum guaranteed of fake. And two is an estimated number that they would want to say that this is the plan that we have, and this is the base case scenario on which they are contracting. And then there is always an upside to that.

Now, let's look at it in this manner and let's say this is the five-year contract. So, do we expect that at the end of the fifth year, they will stop buying from us? The answer is no. Typically, we have seen that the contracts roll over or the demands continue because they have moved from Anupam Rasayan India Limited

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Europe or from a high cost to the low-cost countries like us. After that, do we expect them to move to any other places? I do not see that as a big possibility.

No doubt, there is always a possibility because they are contracted for five and they can, but historically, we have not seen them doing that. And there is a logical reason to it also, because as long as we don't make a big mistake, they will continue to roll over the contracts.

So, the question that you were asking is whether the cumulative demand be the same or not?

See, typically, if you see what has happened in the last two quarters, last two quarters has been where the inventory liquidation is happening with the customer side. So, is there a demand disruption? I think demand disruption is not the larger contributor of the tepidness in the demand, but it's more the realignment and reallocation of their inventories and lightening their balance sheet which is the reason. So, in all, to answer your question, we don't see it significantly impacting the overall demand.

Krishan Parwani: Noted. So, I think my question was more to understand, you know, let's say a five-year revenue trajectory rather than anything else. I know that you have been rolling forward a lot of products since the inception of the Company. So, that point is very clear. It was just to understand, let's say, standing here, what is the growth outlook for the next five years? So, that was the reason for understanding. But I think it is very, very clear. Thank you and all the best.

Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: So, I just had a few questions on the numbers and then some thoughts on the businesses. So, can you split the 26% decline in standalone revenue into volume and price?

Vishal Thakkar: So, this is largely driven by the volume rather than the price. Price has been pretty much stable to my mind. So, if there is any contribution, it's not anything significant in terms of price. I think the large part of the thing is on the volume side.

S. Ramesh: And what is the share of exports and contract revenue in 3Q?

Vishal Thakkar: So, exports is around 55 to 56% for the quarter and balance is domestic. Largely, all the demand is, as we said, large part of our demand is more contracted in nature.

S. Ramesh: So, if it's all contract revenue.

Vishal Thakkar: Contract and contract equivalent. So, because there are some ones where we don't have a contract, but we are rolling demand continuing for the last so many years. So, that's also.

S. Ramesh: So, in the context of the customers deferring their purchase because of their issues in terms of repudiating inventory, is there a possibility of you getting these volumes delivered subsequently in FY '25 or is that something which is pretty much lost business? How does it work in your contracts for LOIs equivalent?

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Vishal Thakkar: So, that's why we think the minimum, definitely we will get it

. And even if you look at it, this

quarter also, they did pick up the minimum volumes, right? So, that will happen. The upside and if you are asking for the delta on this, typically, see, our sense is that this is more liquid inventory movement and not too much on the demand side. So, if it is inventory movement, as and when they stock up the inventory back, they can. But if they continue to run with this same level of inventory, then you will see that demand doesn't come to us. Still, that inventory stock is up to the level which they were carrying earlier. But other than that, we don't see too much demand going off the expectations.

S. Ramesh: So, if you were to map your CAPEX and the booking of revenue against your LOIs and contracts, you know, let's say over '24, '25, '26, how much of that, whatever the customers are expected to take delivery of in terms of new contracts, is possible to be delivered from existing assets, not part of the CAPEX? And how much of that has to wait until the CAPEX is completed? And when does CAPEX get completed and do those assets start commercial operations?

Vishal Thakkar: So, the first thing is, if you look at my CAPEX, we had undertaken a plan for 670 crores of CAPEX. We have done CAPEX of 381 crores. We did around 150 crores of CAPEX in this quarter. So, the quarter that went by. And we believe that in the next two quarters, we should be able to do the majority of the CAPEX that has been planned out. So, one plan, we should be able to get operations in this quarter and the other two in subsequent quarters. So, if you look at it, we will have enough capacity for us to grow for the next two to three years. We don't see that capacity being a constraint for our demand, for servicing our demand from here on. So, there is enough and more that we can service for the next 2 years.

S. Ramesh: What we are trying to understand is, you have some, because in some contracts you mentioned, they can be delivered from the existing assets. And some of them are possibly from the new assets. So, how much growth can you get or how much additional revenue in rupees gross can you get from the existing assets here over FY '25 and '26?

Vishal Thakkar: So, as we had said in the past also, we can do a revenue 1,700 crores to 1,800 crores from our current capacities. So, to that extent, we have enough capacities. Two is, if we were to look at some of the LOIs and contracts and we mentioned, even the LOIs and contracts will take time to commercialize, right? And by that time, we should have the plans. And the ones that we are looking at commercializing soon, we have factored in the capacities from our existing plans. So, to that extent, if the question is that, is there any situation where we will have a demand but not the capacity? Probably the answer doesn't look like yes.

S. Ramesh: So, this 1,700, this year you are doing about 1,060, 1,100, right? So, if you are supposing, you are looking at the existing assets, how much of this 1,700, 1,800 can you deliver say in the next two years, assuming normalized demand environment and once the inventory situation is stabilized? And on that, what are the kind of delta we can expect from the new contracts, say over the next two to three years, whatever order of magnitude numbers you can give so that we are able to map the growth to existing assets as well as the CAPEX? And you know, it's related to the order book. That's the angle from which I am asking that.

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Vishal Thakkar: I didn't get your question right, but if I were to just put the question in my words, what you are saying is that what is the demand that, what is the revenue that we can subscribe through the capacity that we have created today? And what is it that will happen from the future, right? Future CAPEX. And the two

is the question that you are asking is that from the LOIs and contract, how much are we looking at going from now? And is there any constraint because of the current capacities which are not designed for the LOIs and contract that we have signed? Is that the question you are asking?

S. Ramesh: No, I am thinking more from the demand side. Since right now, demand seems to be the issue for contracting business, you have potential. See, over three years you can actually. The point is what can we realistically expect from existing assets and the new asset given a certain stable environment in terms of your reading about the appetite for taking intermediate and final product from your manufacturing facilities, CSM business?

Vishal Thakkar: I will put it in a very simple manner that my demand growth we expect from next year onwards to be reasonably strong and from 2025 onwards, we should be able to see a reasonably strong demand growth and that should continue for the next two to three years looking at the kind of the order pipeline and the product launches that we have. If you look at the orders, the number of products that we have commercialized in this 9 months is 11 products that we have commercialized and these itself have a reasonable market size, reasonable demand size. And if I add to that the products that we are expected to launch in next 12 to 18 months, we see that there is enough that we can look at from the growth. This is one year where you will see that there is an exception in terms of growth, but going forward from 2025 onwards, you will see that the growth will be robust.

S. Ramesh: So, that comes to the final thought process. What is the short-term debt on your books and on

the incremental business you can do over the next two to three years , what will be the kind of networking capital days you will aim at because right now that seems to be the challenge for you, right? So, that has a definite impact on the additional cash you need to raise. So, if you can throw some light on your thoughts on what will be the incremental and working capital and what is the current short -term debt on your books ?

Vishal Thakkar: So, Ramesh, let me answer it in a very different manner , because this is not the quarter where we have shared, we are releasing the balance sheet. So, I will try and be a bit more cautious on the numbers that I speak up. But let me give you one or two items. Do I need significant external capital for my current growth? The answer is no. In fact, we are repaying the debts. So, that's one part of the question.

Now, the second part of the question is that coming from the working capital side, yes, working capital has been a bit stickier than what we had anticipated and planned for. For the management , this is one of the top -most focused areas for the management to optimize and be more focused on this parameter for us.

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However, the moment we see that the cycle starts moving, which is where we see that in the next year, we should be able to see the cycles moving , we should be able to see that the trajectory that we had been envisaging and the trajectory of the working capital that we have been focusing on should be playing out. It has been slower this year, unlike what we had anticipated, but the focus is significantly strong on this parameter of the business.

Moderator: Thank you. The next question is from the line of Madhav Marda from Fidelity International from Fidelity International. Please go ahead.

Madhav Marda: A couple of questions. The first one, basically for our Agro portfolio, where are we in the de -stocking cycle? Because as we understand, the impact really varies by the portfolio that each of the companies have. So, from our portfolio perspective, do you expect the de -stocking to end largely by Q4? Or

do you think the impact could extend into Q1? That is my first question.

Vishal Thakkar: So, Madhav, the way we are seeing it right now, I think what you rightly said is that Q4 may be the end of the de -stocking period, I would say. We anticipate that the stabilization of demand should start from Q1 FY '25 and it should only consolidate as you go further.

Madhav Marda: And I think you spoke about some newer portfolio coming from the pharma and the polymer side. So, could you give some sense in terms of how big these opportunities can be? And if you could just share how much of a growth can be contributed in FY '25 ? How many molecules are being absorbed? How many customers? Whatever color you could share would be very helpful . And are the margins better here or are they similar or lower compared to our existing business?

Vishal Thakkar: So, Madhav, I will take it into two or three parts. Pharma and Fluoro will be the segment which should contribute to the significant part of our next year's growth. And the size of that is reasonably large, but I would tend to be cautious on the numbers when I speak in terms of because it's a forward -looking number, so I would try to be avoiding that. But you can say that the pharma should get into double -digit contribution and so polymer be in the 15% to 20% range that they should be contributing to . Polymer and other specialty should contribute around 15% to 20% of my portfolio in the next year. And pharma should also be in the double digit, maybe in the higher teens or above , higher teens that we should be seeing or above. So, that's from the pharma side, if I were to say it.

The second is on the margin side. See, these are all products which we are doing as an import substitution. And two is , we are not into the API side of the play or N-1, N-2 play. We are more on the KSM side of the play in the pharma side. The competition intensity is pretty limited there because these are all imported from other geographies and hence, we have a strong ability to have a reasonable margin that we can expect from them.

Second also, I will say it from a strategy point of view, if you look at it , these are all products which we are largely vertically integrated. One. Two, these are the products where a two-step before it, the product may be also getting into agro side of the business. One step down, it would be also going into the polymer side of the business.

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So, if you look at it , that helps us in two, three ways that my backward integration is stronger. And two is my volumes are reasonably larger compared to the typical pharma manufacturing volumes that we see. And based on that, along with my technical capabilities and my process optimization, there is a strong ability to have a similar margin that we are seeing in our agro portfolio. And polymer generally is a segment where because again, we are getting into performance polymers and more value -added polymers, where typically the ability to generate

a margin is pretty robust here.

So, if you look at it from a margin point of view, we feel pretty confident. If you look at it from a portfolio contribution side, pharma and polymer should start contributing. So, polymer s and other specialty contributes double digits, but it should be in the higher teens, and so should pharma be getting into that kind of a range is what I would say.

Madhav Marda: So, is it fair to say that sir, as we look at the FY '25, we are more positive on the non-agro portfolio, which is pharma and polymers to do the heavy lifting for growth for us for FY '25, and agro will be also growing, but the heavy lifting is done by the other two? Is that the right way to think as we stand today?

Vishal Thakkar: Yes, as of now, that's how we are saying it, as of now. Not that I am saying agro

will have a

negative, but basically, heavy lifting will come from three parts. One is pharma, polymer and LOIs and contracts that we have signed, which will also ramp up and contribute to the growth.

Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: First question on the product launches, the molecule launch. Year-on-year, we are seeing an improvement here in terms of the number of product launches. I just want to understand the timelines of revenue ramp up here. How much time for a typical product approval? And by when we should see a revenue uptick given the inventory situation that we are in?

Vishal Thakkar: So, product launches, yes, that is something which is happening well. And that is leading to a good volume, as I was mentioning to even the previous questions. It has started contributing and we believe that this should add the last part of my growth would come from these products. But Ankur, if there is anything that I have not answered and if you can ask me again?

Ankur Periwal: Sure. So, you are saying these new launches have already started contributing to our revenues. If you can share, maybe on a nine-monthly basis, what is the revenue share from the new launches, maybe the products which we had launched over the last two years, one or two years, what will be the share right now from them?

Vishal Thakkar: So, if you look at last couple of years' launches and their contribution, which will be in the teens of my total revenue and maybe on the higher teen side, and we believe that that number will only increase if I look at the cumulative contribution, let's say two years to next one year. So, the

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launches that would have done in the last two years plus one year going forward next year, I think it should be in the 20 years that would start contributing in terms of my revenue.

Ankur Periwal: And these launches, these new products are largely maybe a very different segment or a different product, different molecule that we are doing or could be a sort of improvement of an existing one.

Vishal Thakkar: So, Ankur, if you look at it, typically we have gone by the strategy of the tree as we try to tell, that typically we work on the product tree basis and these are all molecules largely coming from where we have built on the capabilities that we have and the supply chain that we have created, right? And then we go forward side typically where we try to capture more and more opportunities as I was mentioning, even when I was talking about the pharma side also, that they are products where we have been historically having strengths N-2 or N-3 of that product, because that's typically where that product may be going into the agro side also, maybe going into the polymer side also. So, that's where we build that strength from the whole value chain. That's one part of the game.

And second is, fluorination is definitely now coming up and playing well and you will see that the next year the contribution of fluorination will be significant. Even today, it is reasonably strong, but next year you will see it to be in 20s, if not more.

So, what we are doing, if you look at it from a strategy point of view, is building on our capacities rather than trying to do multiple things at one point. You may see that the application is going into pharma, the application is going into polymer, application going into agro. But at the base, the strength that we have of our technical capabilities, our supply chain and the value trees that we create is what really is driving the whole strategy.

Ankur Periwal: And just, you know, from a revenue mixed perspective given that lot many products, if I heard you right, are getting into pharma polymers, while currently our business

is being slightly more

tilted towards agri, how do you look at revenue share over a three-year window or a five-year window coming from Agri, Pharma, Polymer and some other segments?

Vishal Thakkar: So, please take it with a lot of caution and a bit of caveating, but my estimate is that Pharma should be contributing in 20s and so should Polymer and other specialty should be in that range and the balance would be coming from the agro. Agro will continue to be the rock bed in terms of our demand stability and our revenue, and they will grow over the next few years. But Pharma

and other specialties including Polymer should contribute a meaningful revenue as we go from here.

Ankur Periwal: That's helpful. Another thing, on the CAPEX side, we had announced around 6.5 billion, 650 - 670 crores of CAPEX . Will this CAPEX suffice for us to reach the optimum level from an LOI, you know, that we have signed, and the revenue ramp up or probably there could be more surplus left for us to ramp up the revenue here?

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Vishal Thakkar: Largely, if you see, we would be fairly done by that. So, today, whatever is our plan in terms of revenue that we want to reach in the next 3 -odd years, I think this capacity should be sufficient.

Maybe there will be some de-bottlenecking and other, you know, that we typically do because with the change in the product mix or otherwise, we will do that. But if you look at the large CAPEX program, I think we would be fairly comfortable that we would have covered for that.

Ankur Periwal: Just last bit. On the revenue sort of deferrals that we have seen, bas is your discussion with the client, any timeline you want to share when we should see uptake? Because as I understand it, it varies a lot across the product, chemistry, maybe even geography and client. So, your sense on that.

Vishal Thakkar: So, Ankur, the thing is that we see that by Q1 '25, we should start seeing the growth coming back and FY25 should be a reasonably good year in terms of our growth. And we see that the momentum should continue. Again, I am adding back saying that my new molecules that we have launched, the LOI is getting commercialized, all that is going to really add to this and that's where it gives us a reasonable amount of comfort that the '25 should be looking good.

Moderator: Thank you. The next question is from the line of Meet Vora from Emkay Global . Please go ahead.

Meet Vora: I just had one question. Vishal bhai, we are seeing a very high uptick in our gross margin in this quarter. So, if you can explain what has led to this jump in gross margin?

Vishal Thakkar: So, Meet, as I have been also in my past, in our past discussions also, we have been always suggesting that the way our business model is structured, that we look at it at the EBITDA levels because, you know, by not only my raw materials, but my overheads and my utility costs, everything is pass-through.

So, typically we would, whenever you see us, you see us at the EBITDA levels because that's a more representative number. Because there are products where you may have a higher gross margin and a higher overhead and there may be products where we have a lower gross margin, but there will be lower overheads. And that compensates with each other, right? Because at the end, the customer is willing to pay a particular margin to us on an EBITDA or a PBT basis.

That's how we have been building the business.

So, today, whatever you are seeing in terms of the moment of our gross margin is largely the product mix that there are these products where there is a lower RMC, but a higher number of steps that we would be doing in this product. And that's the reason you would see that the overheads are higher here and that is compensating one to other. So, if you look at it on the EBITDA side, you will

see the similar numbers that we have.

Meet Vora: So, that's because of the product mix. So, that was my only question.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking . Please go ahead.

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Rohit Nagraj: Just two questions. One is in terms of our CAPEX guidance. So, how did the CAPEX stack up in '24, '25 and FY '26? So, CAPEX as I said, the large CAPEX will be done, 670 should be completed in the next two quarters. So, let's say by the first half of FY '25, it should be done with the 670 crores of CAPEX . And then it will be more a maintenance CAPEX or a more, you know, that kind of CAPEX that you would see for the year till now. Because we have not planned anything further for me to guide on any CAPEX for now. If there are any, I will come back to you in the subsequent quarters.

Rohit Nagraj: This is helpful. Second question is you just now gave direction on how FY '25 will look like.

So, is it that FY '26 should see a quantum jump in terms of our performance given that most of the LOIs and the newer contracts will come into fruition? Along with that, the fluorination piece will also be operational and functional. So, could there be a step jump, which can be expected from FY '26 perspective?

Vishal Thakkar: So, Rohit, first a little lighter, I would love that whatever you say comes true. In terms of, yes, see that's also, if you see all the factors are playing there. The question is that the timing and the stuff. So, right now I would not want to crystal gaze on the '26 in that specific manner. But what

you are saying looks to me also the driver for the growth here because there are multiple vectors which are coming together for us on the growth side. So, I see you, but right now I don't want to put a number to it. But yes, I am also very bullish on those parameters.

Moderator: Thank you. Due to time constraint, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Thank you and over to you, sir.

Vishal Thakkar: Thank you all for joining us today on the call. I hope we have been able to answer all your questions. If we have missed out on any questions specifically or if you have any further queries, please reach out to our IR partner, EY and we will be able to get back to you offline. Thank you very much and have a good day. Cheers.

Moderator: On behalf of Anupam Rasayan India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purpose.)

Call: May 2024

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ARILSLDSTX 20240527018 Date: May 27, 202 4

To,
BSE Limited ,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001, India
SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block -G,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051, India
SYMBOL: ANURAS

Dear Sir/ Madam,

Subject: Submission of transcript of Earnings Call on the Audited Standalone and Consolidated Financial Results of Anupam Rasayan India Limited (the "Company") for the quarter and year ended March 31, 202 4.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of the Earnings Call on the Audited Standalone and Consolidated Financial Result s for the quarter and year ended March 31, 202 4 held by the Company on Tues day, May 21, 2024.

This information is also be ing hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking you,

Yours Faithfully,
For, Anupam Rasayan India Limited

Ashish Gupta
Company Secretary & Compliance Officer

Encl.: As above

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"Anupam Rasayan India Limited
Q4 FY'24 Earnings Conference Call "
May 21, 2024

MANAGEMENT : MR. ANAND DESAI – MANAGING DIRECTOR –

MR. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICER
MR. AMIT KHURANA – CHIEF FINANCIAL OFFICER –
MR. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL
OFFICER

MODERATOR : MS. KRISHNA PATEL – ERNST & YOUNG

Anupam Rasayan India Limited
May 21, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Anupam Rasayan India Limited Q4 FY'24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Krishna Patel from EY. Thank you, and over to you, Ms. Patel.

Krishna Patel: Thank you, Manav, and good afternoon, everyone. Welcome to Anupam Rasayan India Limited's Q4 and FY'24 earnings call. Please note that a copy of our disclosure is available on the investors section of our website as well as on the stock exchange. Please do note that anything said on this call, which reflects our outlook towards the future or which can be construed as a forward-looking statement must be reviewed in conjunction with the risk that the company faces. Please note that the audio of the earnings call is the copyright material of Anupam Rasayan India and cannot be copied, rebroadcasted, attributed in press or media without specific or written consent of the company. Today from the management side, we have with us Mr. Anand Desai, Managing Director; Mr. Gopal Agrawal, Chief Executive Officer; Mr. Amit Khurana, Chief Financial Officer; and Mr. Vishal Thakkar, the Deputy Chief Financial Officer.

With this, I would like to now hand over the call to Mr. Anand Desai, the Managing Director, for his opening comments. Thank you, and over to you, sir.

Anand Desai:

Thank you, Krishna. Good afternoon, everyone and a warm welcome to our Q4 & FY24 earnings call. Hope you all are doing good. Let me take you through updates for the quarter and year gone by and how we are placed for the upcoming year.

Despite short-term challenges faced by the industry, the macroeconomic landscape over the medium term looks positive. Inflation and supply chain disruptions, such as the red sea crisis and fluctuating raw material prices due to market dynamics have caused temporary challenges. However, declining inflation, steady growth rate, and India being a preferred economic partner provides a more robust economic environment over medium to long term.

On the industry front, the agrochemical and pharmaceutical industry has been facing certain headwinds pertaining to subdued demand. Our agro business faced certain challenges in the year, and we anticipate that it will continue its current trend in H1 FY25 after which we expect the demand to strengthen. Our past sustained efforts in expanding our pharma and polymer portfolio have started yielding results. Despite the challenges in the pharma industry, our pharma segment has shown robust growth, increasing from 4% in FY23 to 9% in FY24. We expect the contribution of the pharma segment to be in double-digits in FY25. Currently, the Polymer space contributes in single digits of total revenue which is expected to be in double-digits in the upcoming fiscal year. This shift towards a more balanced portfolio, with higher contributions from the pharma and polymer sectors, will enhance our revenue stability and growth prospects. I feel 2025 will be a year of growth for us with our major focus on Polymer and Pharmaceutical space.

Now, let me highlight our financial performance before moving on to the business highlights.

Our consolidated operating revenue for the quarter stood at Rs.401 cr with a YoY degrowth of 16% whereas for the year our consolidated operating revenue stood at Rs. 1,475 cr posting YoY

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degrowth of 7%. The degrowth pertains to the challenging demand conditions in agrochemicals and a drop in raw material price

es. The margins for the year and the quarter have been strong and we were able to maintain the same. The EBITDA margin stood at 27% which is equivalent to last year. For the quarter, the EBITDA margin stood at 25% on a consolidated basis.

At Anupam Rasayan, we are committed to building a sustainable business. Over the years, we have invested in various initiatives, and we have initiated an investment of Rs. 59 crore in building a hybrid power plant combining solar and wind power with a 9.2 MW capacity. This initiative is expected to save approximately Rs. 15 crore per year in energy costs. Coupled with our earlier initiatives, this will ensure that 65% of the company's electricity consumption comes from green energy in the coming years.

With this, I would like to hand over the call to Mr. Gopal Agrawal to discuss the business updates. Over to you Gopal bhai.

Gopal Agrawal: Thank you, Anand bhai. Hello and good afternoon, everyone. Welcome to our Q4 & FY24 earnings call. Let me discuss business highlights in brief post which I let Amit bhai to takeover to discuss financial highlights with you.

Anupam Rasayan has been continuously focused on expanding its product offerings. During the quarter, we have added 6 new products to our basket, summing it up to 17 new products in the fiscal year 24. All these products are a combination of our fluorination series, and the LOIs and contracts signed during the year. The earlier launched products have already begun ramping up and the remaining ones scale up gradually in upcoming quarters impacting our numbers positively.

We have also added 2 new customers, totalling 4 new customers in this fiscal year, including 2 from Japan which has helped strengthen our polymer pipeline. Going ahead, we expect significant growth in the polymer business, achieving double-digit growth in the next fiscal year, as stated by Anand bhai. Japan will become one of our major geographies of business in the next two years.

With this, to take you through the financials highlights, I would like to hand over the call to our CFO. Over to you Amit Bhai.

Amit Khurana: Thank you, Gopal Bhai. Good afternoon, everyone. Let me take you through the financial highlights for the quarter. After which I will let Vishal bhai to discuss the same further.

Before getting to the financials, let me share an update related to preferential allotment. The amount collected from the fund-raise was used to repay the long-term debt of Rs. 249 crores during the quarter.

Coming to the Capex incurred as of 31st March 2024, we have utilised Rs. 482cr out of the Rs. 670cr capex announced. The balance Capex will be incurred during the coming quarters, with the plants expected to be commercialized by 1st half of FY2025.

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Our working capital remained stable in absolute terms, and we expect it to stabilize further by the end of FY25, with improvements anticipated in FY26. The new products launched will have relatively low working capital requirements.

We are also focused on cost optimization and operational efficiency. Our strategic focus, coupled with our expansion plan, position us well for long-term growth.

With this, I hand over the floor to our Deputy CFO, Vishal bhai, who will take you through the financials in detail.

Vishal Thakkar: Thank you, Amit Bhai. Hello and good afternoon, everyone. Thank you for joining us here today.

I would like to share some key performance highlights for the quarter and year ended 31st March 2024, and then we will open the floor for question-and-answer session. Before I proceed, I hope you all have had the chance to go through the detailed presentation and the results submitted to the exchanges and uploaded on our website.

Kindly note, our numbers for the quarter are on a consolidated basis and they also include Tanfac numbers.

Let me first discuss the consolidated

financial highlights for quarter ended March 31st, 2024:

Operating revenue for Q4FY24 was at ₹401 crores as compared to ₹480 crores in Q4FY23; down 16% YoY.

EBITDA (incl. other income) was at ₹105 crores in Q4FY24 as compared to ₹142 crores in Q4FY23; down 26% YoY, this would translate into 25% EBITDA margin in this quarter.

Profit After Tax was at ₹40 crores in Q4FY24 as compared to ₹73 crores in Q4FY23 - degrowth of 44% YoY.

Coming to the full year performance:

Operating revenue for FY24 was at ₹1,475 crores as compared to ₹1,602 Crores in FY23; down 8.0% YoY.

EBITDA (incl. other income) was at ₹411 crores as compared to ₹440 crores in FY23; down 7.0% YoY, this would translate into 27% EBITDA margin.
Profit After Tax was at ₹167 crores as compared to ₹217 crores in FY23; down 23% YoY.
Our top 10 customers contributed about 77% of the total revenue, and there is a total of 25 products that we provide to them.

With that, we will open the floor for Q&A. Thank you. .

Moderator: Thank you very much. We will now begin with the question -and-answer session. We have our first question from the line of Ankur Periwal from Axis Capital.

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Ankur Periwal: First question is on the margins for Q4FY24, and I'm referring to the stand-alone numbers here. So we have been maintaining that our margins will remain healthy. But any specific reason why both gross margin and EBITDA margin have contracted here?

Vishal Thakkar: Ankur, this is Vishal. Let me take this question. So, Ankur, yes, our margins have been in the range of 27%. If you look at it on a stand-alone basis, the margins have moved a bit only because of the product allocation but nothing really anything different than we would have seen. So, if you look at our margins have been consistently healthy.

Yes, it has been a little lower than what we expected last year, which was 25.4% this year on a consolidated and 26.6% on a stand-alone. So, if you look at on a stand-alone basis, we corrected by 1 percentage, 1.5 percentage points, which is normal that we would have expected when we see the kind of product mix that are there. But nothing otherwise or directionally that can see over there.

Ankur Periwal: Sure. On a volumetric basis, where will we be in terms of growth or de-growth and by what magnitude in this financial year?

Vishal Thakkar: So, we are talking about the past year or we are talking about the future year?

Ankur Periwal: FY'24. We have around 24% decline in revenues. So how much of that is volume and how much is pricing?

Vishal Thakkar: So largely, the revenue volume is the large contributor to that. And as you can imagine that has been the reason where our customers have taken in two cases, the minimum volume uptake only rather than the expected volume that we would have expected them to pick. And that's one volumetric reason.

Ankur Periwal: Okay. Sure. So from a utilizing perspective, we will be sub 80%, 85% -odd levels from the aggregate capacity?

Vishal Thakkar: So Ankur, I would say that if you look at from a revenue point of view, we should be able to do around INR1,600 crores to INR1,700 crores of revenue, but if you look at from a volumetric point of view, because that's under execution, around 70%, 75% is the kind of volume that we would have been using up our capacity.

But as I've told in the past also, this is only a volumetric, but when my plants, the plants are really multipurpose plants, and I can do multiple products. So if I look at my ideal product portfolio, eventually, I can do anything between INR1,600 crores to INR1,700 crores of revenue from here.

Ankur Periwal: Okay. And on the working capital side, we were earlier guiding for a reduction in working capital for the full financial year. I understand the revenue de-growth and the macro behind there, but the sharp jump here

in working capital, if you can put some light there across inventory?

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Vishal Thakkar: Sure. You're right that the working capital has not gone to the levels that we had expected assets to grow. And I would put it into three buckets for that. One, if you look at it, my debtors have expanded, and that debtor has expanded because of the sluggish growth. We had to offer our customers a longer payment cycle and that has led to increase in the debt level, which we expect to get corrected over the next year, 12 to 18 months' time and bring it back to more normal numbers, one.

Two, if you look at it, we had expected that we were to grow reasonably. We started the year, we had expected a double-digit decent growth that we are expecting. And at that point in time, we expected the inventories to be unwound and being utilized well enough to do that.

However, because of the de-growth, you have two specific challenges that you come to. One is that my inventory velocity goes lower and the unwinding was slower. And two, if you look at, it was also because of the numerator-denominator situation where my numerator has shrunk and denominator has shrunk and that has also led to a higher number of days.

And the third is, I have launched 17 new molecules and there's a portion of the inventory that's going back into the inventory. And that's a significant number, and it's also additive because when you're starting new molecules, you're going to have higher inventories, and your inventories cycle as it moves, and you're smoothing that number out. So, I think it's a combination of these four things, debtors, slower unwinding of inventories to lower revenue, which is making it the payers and the fourth is these new molecules, which were showing that my inventory levels a little higher on that point. But going forward, our expectation is twofold. One, we would be able to focus we are highly focused on this, and we should be able to try and bring this to a more reasonable number over next 12 to 24 months. This year, we will see a decent correction. But our targeted numbers we should be looking at it by the FY'26 because by that time, the sufficient number or sufficient revenue or volume would have come in and my new products would have also stabilized.

And I don't need at that point in time, I would not need to give actual credits, which also resolve. So, if you look at all put together, I think 12 to 24 months is where you will see the improvement at the final number, probably by FY'24, FY'26, we should be able to see the target.

Ankur Periwal: Vishal Bhai, I have two follow-ups. Firstly, you mentioned that due to the receivables, we started extending credit to customers, which hopefully should be in the opposite direction. Secondly, on the inventory front, is there a slow-moving product that got stuck here and caused the overall inventory to look bloated? I look at the absolute numbers. In FY22, we had an inventory of INR.860 crores, and now in FY24, it is INR.990 crores. Even if absolute numbers are taken, the inventory number does not match the revenue number.

Vishal Thakkar: You're right. I'm not going to say that it is not, it is other way around. The only thing I'm saying is that is there any slow-moving or dead-moving inventory, the answer is no. Slow moving in a sense is just that what I had expected them to move, they have not moved at the speed that we had expected. But is there any risk on those inventories? The answer is no. We do not see any

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risk because these are contracted volumes for the inventory, so which I'm not worried on that. I'm worried more from the velocity of this movement and the management of the organization is really focused on in terms of absolute risk.

I'm not too worried. And looking that you saw the inven

tory was also because of the launches

that 17 products would also lead to a decent size of inventory that's been coming on. So I think together and that's where we are, but happy to explain further if you need.

Moderator: We have our next question line of S. Ramesh: from Nirmal Bang Equities.

S. Ramesh: Sir, two main thoughts in your business. One is on this working capital, you responded to some questions earlier. But structurally, when do you think can bring down your overall blended number of days net working capital to maybe something comparable to a peer group company, so 90, 100 because you are way higher than that?

And when you say the new products are going to be having lower net working capital, so what is the kind of net working capital we have for the newer products? And when do you see the current portfolio giving you some reduction in net working capital in terms of the structural direction? If you can respond to that, then I'll go to the next question.

Vishal Thakkar: Sure. So see, if you ask me for when we can see a more levelized kind of numbers, are you saying that my peers or we are talking about a target of 90 days kind of a working capital? I don't see that to be happening anytime sooner. But if you're talking about, 180, 200 days of that kind of a time frame, which is where we feel that we will have a more sustainable numbers in terms of our return ratios and otherwise.

I think that that is where we are targeting for that in the next 18, 24 months, we should be able to reach. I'm saying it a little on the longer side is also because if you look at it the next six months are looking not very very favorable. And hence, your room for manoeuvrability on this side will be limited. And hence, I'm saying so.

And we have newer ones will have a little lower intensity in terms of inventory. But also, we'll have to see how the data cycle plays in the Indian market because some part of our revenue will start coming from the Indian market, a little higher because of the pharmaceutical and that's where we would try to be more optimal. And hence, I would say that let's take an 18 to 24 months kind of a time for us to achieve that.

S. Ramesh: Okay. Sir, can you talk about the Indian business and pharma increasing share, what is the current split between domestic and exports in fourth quarter and FY24? And where do you see these domestic exports split moving, say, in the FY25, FY26?

Vishal Thakkar: See, FY25, FY26, if I look at it historically, we have been around 65%, 70 % is my revenue from the exports and the balance from a domestic. And I believe that it will remain in that range. The only thing is pharma's contribution is going to increase. So, my domestic from Agro to Pharma

will be a move, because we are moving with a little bit of demand. We can see the demand for Indian Agro to move to Indian p harma side. So that's where I'm trying to say that my receivables

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are there. p harma next year is looking like around about 50% -plus coming re venue contribution coming from p harma. And that's where it would be. But mix, I would put it at 60 -40 plus or minus high percentage point depending upon how each segment how quickly each segment responds over the year.

S. Ramesh: Okay. So, on the segment, Pharma specialty, so can you just give us the details of the split between exports and domestic for Q 4 and FY'24?

Vishal Thakkar: In FY'24 exports is around about 60% +and Q4 will be in the range of 50% -55%.

S. Ramesh: That is fine. So, we're just trying to see how the overall portfolio is moving. How the domestic business is moving and then because of that, you are saying receivables are going up? I'm just trying to understand that. So, within this portfolio, if you can share some though ts, like your overall, your Agro is more than 90%, you have given some data on how the Pharma a

nd

specialties will increase, right? So, what is the current share of Pharma and specialties in Q 4 and F'24? And how do you see that Pharma and specialties movi ng, say, in FY'25, and '26?

Vishal Thakkar: Sure. So, Agro is 65%, Personal Care 17%, Pharma 9% and Other Specialty 9% So that's where it is for the FY'24. And I think what will happen is that the Pharma will add to around about 15 - odd-percent and other s pecialty, including polymer will go to double digit. That will have a reflective on the Agro and personal care, which will be in that range, right? The remaining will be in that.

S. Ramesh: You're saying Agro will be 75%.

Vishal Thakkar: No, Agro will not be 75%, Agro is 65% this year, and it should get a little lower because Pharma growth will be higher than the Agro's growth. And so would the polymers growth be higher than the Agro's growth, and that is where I'm saying that Pharma and Agro will be 15%, P harma will be 15% and Agro will be -- sorry, other specialty polymer will be a little on the double -digit side. So, you may see that the personal care may go down by a couple of percentage points and Agro will give up on a couple -- a few percentage points. In my portfolio, but on an absolute side, I don't think too much will be changing in terms of Agro and personal c are.

S. Ramesh: Okay. So Personal care is 17%, Pharma is 9% and specialty is 9%. Okay. But when you see the Pharma and specialty is growing faster. Understood. And if you see this kind of growth and when you see this kind of growth and you are talking about the share of fluorination increases. So, what is the share of fluorination in FY'24? And how does the share of fluorination move in the next two years, FY25, FY26?

Vishal Thakkar: So, fluorination is around 20% in FY'24 and that would grow further. I don 't want to guide today in terms of absolute number , but it will grow by at least 5 percentage to 10 percentage points is where I'm looking at.

S. Ramesh: And this will be mostly in Pharma, right?

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Vishal Thakkar: No, no. It will be across polymers, across P harma and also Agrochem because fluorination is used. See, I'll tell you we try to look at it from a segment -to-segment point of view, Ramesh, but if you really look at it, what am I doing? I'm doing a very simple deal. I have a value chain, I work on that value chain with my chemistries. And then it goes into the end markets like Agro, largely, it has been historically Agro. But now I am now moving into -- if I do a couple of more steps I get into Pharma.

If I do a couple of more steps on the slide, I get to polymer. And the fluorination coming in, my raptor has expanded, and that is where it is coming to. So it is a single differential that we are talking. But if you really look at it, it is purely a whole value chain that is playing out. And then that's where we would have to see for ourselves because my fluorination goes in all the three applications.

S. Ramesh: Okay. So just to round up the discussion.

Moderator: Sorry to interrupt, sir, may I request you to re -join the queue as there are several participants?

Vishal Thakkar: No, no, it's okay. Let him ask this question and then we can move. So please go ahead, Ramesh.

S. Ramesh: In terms of your operating cash flows and growth from the new prod ucts, and the movement in debt, how do you see the net debt for the company in the next two years, which could possibly offset this relatively higher working cap ital we're going to have? So, can you shed some light in terms of your thought process on how y ou operating cash flow will help to reduce debt and

manage your overall balance sheet to a reasonable size, even with the high working capital, so that your ROCE can improve?

Vishal Thakkar: Sure. Ramesh, it's a fair question, and I think I don't want to guide to a specific number because that

may not be the right way of doing it but let me give you directionally and the thought that the management has in terms of it. One, whatever working capital we have today, we should be able to do at least a reasonably higher number of revenues from the same working capital. And in fact, on the receivable side, we may be able to improve better here.

So, if you look at it, the simple thing that can happen is that do I need any more working capital? See, capex I'm practically done, right? So, I don't need any investment in capex for next two years. So that is one thing which is solved for. Second, if you look at, I have invested a significant amount in working capital, which will be utilized for my next two years growth. So, if you look at, it next two years revenue or the EBITDA and should be practically getting free cash flow in that sense.

And that EBITDA less the tax and interest would be a free cash flow for me. And that will be used to just reduce the balance sheet size in that sense by reducing the debt. And also, please be mindful that I have the pref and warrants money, which will come in, in next 12 to 18 months' time, which will be also used to pay out the debt, especially long-term debt.

Moderator: We have our next question from line of Krishan Parwani from JM Financial.

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Krishan Parwani: A couple of questions from my side. First is a clarification on the capex. Sir, did you mention INR190 crores of incremental capex you would incur during FY'25?

Vishal Thakkar: So, I'm saying that no incremental capex in terms of anything new that we are going to do. I'm saying that whatever was submitted, which was INR670 crores of capex, part of that, which is left out for the completion is going to be used to pay out -- to be executed. That's all. Nothing like any additional new capex we are announcing.

Krishan Parwani: Yes. I mean, I meant incremental?

Vishal Thakkar: Yes. It's INR 180 crores then which is sitting in my cash today.

Krishan Parwani: Okay. So you would be utilizing that cash towards the capital?

Vishal Thakkar: Exactly. So if the question is, do I need any external financing? For that, the answer is no.

Krishan Parwani: Okay. Secondly, the INR1,600 crores, INR1,700 revenue guidance, that is on the stand-alone capacities, correct? And that's not in FY'25, but in totality, it can give you the INR1,600 crores, INR1,700 crores revenue. Is that correct or no?

Vishal Thakkar: Yes, you're right. That's exactly what I was saying. My capacity that I have today can support a revenue of INR1,600 crores to INR1,700 crores. Not that I'm guiding you for that. Absolutely, right. Thank you for helping me clarify that.

Krishan Parwani: Otherwise, I think it would have looked more like in FY'25.

Vishal Thakkar: I would love to have that number, but I would not guide for that now.

Krishan Parwani: But do you want to give any guide for FY'25 in terms of range, particularly as in on a consolidated basis?

Vishal Thakkar: Okay. Let me answer it in this manner. Will this be a year of growth, I believe the answer is yes. But what is that number? Give me a quarter or so to do that because we believe that the first two quarters are looking tepid. And the third and the fourth quarter is where we shall see a decent growth, especially if you look at it, Agrochem is one that is the headwinds coming in.

My polymer and Pharma will contribute, and that will contribute to the growth. But the net effect is something that I want to see for a quarter or two before I guide that. I hope you will be patient with me on that.

Krishan Parwani: Sure, sure, sir. No worries on that. And one, two small clarifications, if I may. On this working capital front, so if ideally, we should be looking at the stand-alone inventories, I think, which has gone up to INR990 crores or in days of sales 321 d

ays. So just can you please give a breakup of that raw material, WIP and finished goods inventories for stand-alone business for this financial year?

Vishal Thakkar: Sure. So raw material is around about 30 % of my product. My WIP and FG will be the balance.

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Krishan Parwani: Sure. And lastly, if I look at the stand-alone receivables, which has increased by almost INR170 crores. So while our stand-alone sales have declined, so if that wasn't for the higher receivables,

the actual top line would have declined by a much higher number. Is that understanding, correct?

Vishal Thakkar: See, my customer also have some obligations to take offtake after a particular level of volume from, right? Now I have a choice to charge higher or lower to them? Because they are also in a difficult situation as of now, right? So, one way is to say that I don't want this volume and, in this terms, only that we have agreed upon. Or to say, okay, fine, I also take a bit of a pain for you as you are also taking a pain and that's where we have a compromise, we are saying that yes, we will take the volume.

They will take the volume pain and I'll take the fuel pain. So it's a business decision. But -- is it a one-to-one relationship or not? I don't think so it is about one to one relationship. It is purely and probably how you work with your customers, especially high-quality customers who are really working with you for so many years, you would tend to that for them, and that's what we have done.

Moderator: We have our next question from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Sir, first question is on the stand-alone. So sequentially, we have done pretty well. There could be a seasonality impact as well. But given that it's the start of calendar year for most of our export customers and they will be starting the year off is given that last year, we had inventory issues, etcetera. What is the kind of dialogue that we are having? So whether they are relatively confident in terms of lifting up the volumes given that last year, those volumes were impacted because of inventory drawdown.

And they were taking only minimum quantity. So what has been the dialogue, particularly from the Agro perspective, given that the other segments we have already mentioned that there is a strong growth expected going ahead?

Vishal Thakkar: So, Rohit, let me answer this. You are right that the Q4 has a reflection of the seasonality also. And a bit of a little strengthening than the last quarter. Yes, there is a bit, but are you saying that we are out of food, then Agrochem cycle has now started picking up. I would put it, I would be having a very cautious view on that, that the first two quarters, yes, it looks little not very, very buoyant.

I would be far more comfortable and confident to say that their CY and my FY'25. So their CY'25 looks more -- I'm more confident on that than the CY'24 of the international players. However, it's a little early in the day for me to really comment on the full year there. But I would say that as we're cautious for the first two quarters before I really say that the demand has come back strongly. Is there a strength? Maybe a bit of a strengthening, but I would wait for two quarters, honestly.

Rohit Nagraj: Fair enough. Second question is in terms of the LOIs. Sir, out of that INR9,000 crores of LOI, how much is the contribution in FY'24? And if I'm not wrong, earlier for FY'25, we expected close to about INR400 crores, INR300 crores, So, does that guidance remain?

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Vishal Thakkar: Perfect. So let me divide this LOI piece into two different packs and then we can talk about it, and I'll answer that fully for you. LOIs to get commercialized, we would take at least 18 to 24 months time period. And two

is, typically, after they commercialize, it takes you another 18 to 24 months time period for a full ramp-up in that sense because the volume takes time to ramp up fully.

So, if you look at the LOIs and contracts that we signed in 2022, they have started yielding revenue. This year, we should have done a little less than INR200 crore from the LOIs and the contracts. And next year, it should do reasonably well. Will it be in the range of INR350 crore plus or minus crores is what I would look at for those numbers.

Rohit Nagraj: Sure. And just one last clarification. So when I understand you don't want to give a guidance on the top line front as of now. But given that the raw material prices have stabilized, so would our margins be in the range of 26% to 28% as we have guided earlier from stand-alone basis?

Vishal Thakkar: Yes, margins, I think we should be looking at around 26% plus.

Rohit Nagraj: Any guidance on FY'25 and working capital days that we want to put up assets now?

Vishal Thakkar: Give me two quarters. I am a bit cautious. We need two quarters to answer that. So that is the quarter or two to see how it is moving, because I think why I am saying though, because my revenue mix is changing significantly. And the velocity that I am expecting from the cycle to come back with something that I want to see before I really comment on that.

Moderator: We have our next question from the line of S. Ramesh: from Nirmal Bang Equities.

S. Ramesh: Yes. Just a couple of follow-up questions. One is in terms of the number of shares you reported in the filing, does that include the number of shares equivalent to the warrants or for dilution, should we take the entire conversion of warrant, that 39 million?

Vishal Thakkar: So, number of shares does not include the warrant share and so you should count for the dilution of that.

S. Ramesh: Okay. Second thing is now somebody asked this question on the share of revenue from the LOI. So how do we look at the impact of the bunching of some of these orders getting so maybe three years down the line, say '27 to '30 to take a 3-year view beyond '26, what would be the kind of run rate in terms of revenue addition from the order book you have as of date?

Vishal Thakkar: So, Ramesh, let me put it this way. Let's say, we have INR9,000 crores of or a little less than INR9,000 crores of order book, right? So if I just divide it by even 6 years as an average because there are some at seven years and some at the five years, 9,000 divided by six will be in the range of INR1,300 crores to INR1,400 crores of number.

And that's the kind of a number that you should see, but also you are to be mindful that there are some, which would have started in 2023, 2024, and they would be tapering it off at that funding

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then. But as of now, I would say that that should have contributed INR1,300 crores to INR1,400 crores of revenue from there.

S. Ramesh: Okay. That's a delta from the new orders, right?

Vishal Thakkar: From the day it started. So, you would say that some of it has been reflected in this year's number also. And I'm talking about total like that.

S. Ramesh: Yes. Plus what you will get the revenue from the current portfolio, which will continue to run and then they've dealt whatever...

Vishal Thakkar: Exactly. True. Yes. So current portfolio will expand. Their LOIs which will expand. And then also my Pharma and polymers will also have their contribution. So yes, true, this is not the only delta. This is not only delta revenue that we were expecting.

S. Ramesh: So, but Pharma and polymer will be part of the LOIs, right?

Vishal Thakkar: Some of them, not all of them.

S. Ramesh: Okay. That means there will be sales outside the LOIs? It's an annual business.

Vishal Thakkar: Yes, it would.

Moderator: We have our next question from the

line of Madhav from Fidelity.

Madhav: I just had one question on the working capital side. So, I remember the last couple of years, we've been highlighting that we want to change the pricing contracts for many of our customers. I think it's usually a yearly contract or six months or lower. Could you help us understand like from the IPO time three years back to now, what percent of our customers or revenues have shifted to a lower sort of pricing duration, if you can help us with that?

And also just curious, if we have 320 days odd inventory in the standalone and 70% is finished goods, so we're carrying like 200 days of finished goods inventory on the balance sheet. Just wanted to understand, why are we carrying more than six, seven months of inventory of finished goods in the balance sheet. Just trying to understand the sort of...?

Vishal Thakkar: Okay. So Madhav, around 60%-odd percent is coming from the six months kind of contract, six months pricing kind of. And when I say the 60%, 70% of it, which is not the finished goods, but it is finished goods and WIP. I was talking about 30% from the raw material and balance is WIP and finished goods and that's put together, it is there.

And just to give a little flavor on that, there are products where we have multiple steps that we do around but anything between eight to 12 steps or more. And there, each of the steps, you will have a particular level of inventory within the WIP that can be counted. So that is the reason it is there. The exact details I can share is I don't have it handy but I can share, which is what I promise.

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Madhav: Sorry, the 60% revenue, which is from the 6-month pricing contract, how much was this like during the IPO time like three years back, what is this number then?

Vishal Thakkar: At IPO time, if I remember is the number was 15% to 20%, which we have now gone up to 60%. But, what has happened is that another thing is that because of the kind of volatility that has been there, they have been interesting on holding higher and that is what I'm saying. But as we grow, we want to go back to the numbers that we have agreed with them, which is where we hold lesser inventory and lesser working capital.

And all the new contracts that we are signing, we are conscious of keeping it at about six months kind of a pricing rather than 12 months kind of pricing. Please go ahead. So, I was just saying that.

Madhav: So, my question was that, given that the customers have been destocking globally, we see like a phenomenon across the Agro value chain, given the customers are destocking, why do we need

to keep higher inventory on our balance sheet?

Vishal Thakkar: See Madhav, the only thing I can say is two, three points and let me put it in this way. One is earlier, we all were keeping it on the whole value chain. Now they have started destocking, but we have been keeping it and we expect that this destocking for us will also happen in next few days because, see, the customers will drive the first leg of the destocking and second will come from us.

So, we are insisting or we are keen on doing it. So only that two things are happening: A, the slower growth means that lower destocking happening. And two is when your customer is destocking, your leverage to destock will be that much limited. But as we go, that number, we'll have a better line of sight on that, a better ability to do that.

Madhav: Okay. And sir, the Pharma business, which is expected to go up. What is the working capital cycle there for that part of the sort of revenue?

Vishal Thakkar: So there, the inventory levels will be lower, but there will be a little bit of a higher receivable cycle because that revenue will come from India and the India working capital is a little longer than what we see in the international market. So you will see a little

bias, higher bias towards

debtor, but on the inventory side, you will have a correction. So net-net, I think we should be on the positive side rather than on the negative side.

Madhav: How different is it, sir, broadly Agro, let's say, our target is to be 200 days by FY'26, Pharma is at what level?

Vishal Thakkar: So the Pharma, I would put it, let's say, there is a 120 days of receivables, let's say, no, they may be the right 90, but they may end up in doing, let's say 120 and I will have our 60 to 70 days or 60 to 90 or 60 to 75 days in terms of payables. So the inventory will be, let's say, 90 to 120 days.

So I should end up around 150 or a little less than 150 that I would target. For now, initially, when I'm starting my business a little bit of aggression and then you will try and work on that.

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Madhav: Okay. And margin profile is probably similar for Pharma versus Agro revenue for?

Vishal Thakkar: See typically, margins will be in the range of 25%, 26% kind of a thing, that's what we are looking at. It will be slightly a percentage point a little lower. But today, we are on the KSM side. So KSM we have a decent strength there. In terms of Pharma, maybe a percentage point, you may want to take it lower than the Agro side. The only thing I want to add is polymer may have an interesting play, but I don't want to find on that from now.

Moderator: We have our next question from the line of Yash Shah from Investec.

Yash Shah: Sir, my first question was regarding the current LOI, which we have, the LOI which we have of nearly INR9,000 crores. Have we basically witnessed any kind of dialogues with the customer wherein the customer has asked to wherein there has been pricing renegotiations due to the overall decrease in the prices throughout the value chain?

Vishal Thakkar: So, Yash, our model on pricing is very simple. We build it from a raw material to all inputs and then say I want a particular level of margins. So that's where it is. So it's a very fluid, very transparent pass-through kind of an approach. So for me, the key important number is EBITDA rather than my revenue in terms of a contract, I'm saying right? So volume is assured, margins are assured. Now the volume – price, revenue is a pass-through in that sense to me.

So if the raw materials increase, my revenue may increase the fair bit and to that extent, the percentage of my revenue will be equal to my EBITDA and same, other way around. But for me, we don't have that conversation of what is going to be the price. Do we re-negotiate the price because that's we adjusted every six months going forward.

Yash Shah: Okay, sir. Got it. Sir, my second question was regarding, again, you actually guided that the revenue from LOIs for FY'20 should be in the range of somewhere between INR320 crores, INR370 crores. So far, as of FY'24, these commercialized contracts were INR2,700 crores. And for FY'25, we had guided to basically, except for the INR2,200 crores contracts from Japanese customers.

So we'll be basically commercializing INR4,200 worth of contracts in FY'25. Will you be able to provide a broad breakup as of the contracts, which have been commercialized before this year and the ones which are going to commercialize in FY'25 of how are we basically expecting INR350 crores?

Vishal Thakkar: So I'll tell you, so you can take that the FY'22 contracts have been commercialized. And the latest one that we have signed is what we have commercialized. So these two are the ones that we have commercialized. And now next year, we may commercialize the other few of them, which are coming other three, which are the ones that we've signed in FY'23 or later half of the FY'24. Sorry, later half of the early part of the '24.

Moderator: We have our next question from the line of Siddharth Gadekar from Equirus.

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Siddharth Gadekar: I just have one basic question. When we look at our contracts, which are annual, given that in CY'23 if a customer had indicated, they would be picking up x quantity by year -end, how much lower was that uptake from those customers? If you would give a fair sense in any way?

Vishal Thakkar: See so if you look at it, typically, there is an MGO and there is a forecasted volume. So typically, forecasted is, let's say, 100, then the MGO will be in the range of roughly around about 70% to 80% of that number is a MGO. And typically, that's why we are talking about.

Siddharth Gadekar: Okay. So basically, it would be fair that the offtake was 20% lower than what the customers have indicated in CY'23. Would that be a fair understanding?

Vishal Thakkar: Yes, you can say around 20 -odd percent. Yes, you can say that.

Siddharth Gadekar: And for CY'24, how has that number shaping up like in terms of the customers, how have they indicated for CY'24? Is it to worry to give any indications so even there put that on hold?

Vishal Thakkar: See, that's what I'm saying, what I had mentioned, and I don't want to get deeper onto this because there are a lot of moving parts here. But as I said, first two quarters look a little tepid and the next two quarters will be here and there. And overall, we expect that there should be growth. So I think that would really indicate to you the kind of conversations that we have had with customers.

Siddharth Gadekar: Okay. And sir, for CY'25 also, have we received any indicative orders from the customers or that will happen once we are closer to the end of CY'24 or CY'25 looks a year, where we will see a very healthy growth.

Vishal Thakkar: That I can tell you that, yes, that's where people have been. So our customers have been saying that CY'25 looks far better than CY'24 for sure. For sure. And CY'24 looks better than CY'23, also is a statement I can say. And yes, the buoyancy on '25 is far more than the buoyancy on '24 compared to the previous year.

Siddharth Gadekar: Just one last thing on this. So if CY'25 volumes higher than CY'23 or it will be in that same ballpark range. On the existing orders, not on the new orders? Just to get a fair sense of way as to how our customers are thinking?

Vishal Thakkar: It should. It should. No, it should be better. It should be better. We should have caught up. We should have caught up if that is the question.

Siddharth Gadekar: Okay. Sir, secondly, in terms of margin.

Vishal Thakkar: Please see because I'm recorded, and I want to make it clear that these are our estimates and expectations. Please be mindful of that.

Siddharth Gadekar: Yes, it is. Secondly, like in the previous comment, you had mentioned that we work on a percentage margins. So do we work on a per KG margins or a percentage margin because we have in?

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Vishal Thakkar: Percentage.

Siddharth Gadekar: In an environment where raw material prices are moving up, our absolute EBITDA is technically much higher than what it should have been. Is that a fair understanding?

Vishal Thakkar: You're right. But see, you would always understand that if you look at my raw material cost is what, 30% to 40% of my revenue, right? So that proportion is limited and you will see over a period of long term, over five to seven years' time period that everything levels out. So yes, quarter -to-quarter, you may see a bit of an up and down, but on a long -term basis, you will see that everything levels out for that.

Moderator: We have in from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Sir, a couple of questions. First is on is if a Tanfac and other fluorination businesses, if you can give some what is the current capacity utilization? And in FY'25, FY'26 looking at the current product pipeline, what kind of

utilization level you are looking at?

Vishal Thakkar: So one, in fact, if you see it had a capacity on the asset side, which was 70% to 80% utilized, but they've gone up and expand -- they are under the expansion phase right now and the HF capacity will be doubled by -- in the next year. And hence, if you see there is enough and more capacity available for us and also for Tanfac to supply to the market. So to that extent, the availability of HF would be -- would not be a challenge to name.

Rohan Gupta: No, sir, my question was other way around that in HF, we still have some surplus availability and are we able to sell in the market, what are the capacity utilization we win for HF we have seen at Tanfac? I mean is there a market in HF right now because earlier, the Tanfac used to sell significant amount of HF to outside? How is the market now? And once we are moving up in the value chain, then what are the expected utilization level for Tanfac next year?

Vishal Thakkar: So I think for Tanfac, if you see the volumes as per the plan has been achieved in terms of volume if you were to talk about. Yes, there has been a little bit of size movement here. But typically, the volume side, they have been able to do need some enough t here. Do we see that there is overcapacity and today doesn't look like because this year, as we have started that the numbers look decent for now. But let's see how the demand pans out later in the year. Of course, today, also the capacity is limited for H F in the country and the utilization is only increasing.

Rohan Gupta: And sir, second question on about agrochemicals. 60%, 65% of our business is still coming from agrochemicals there. We have been seeing that very poor visibility as of now, whichever you are also agreeing that maybe first half may be slightly uncertain and things should pick up in the second half. That is an expectation across the industry right now. Sir, with that, keeping in the mind though, do we have been signing multiple LOIs and a lot of LOIs were supposed to go on stream from the first half also.

Do you see that from the client interaction right now, which you are seeing, there can be further push of, further delays, how the contracts have been chalked out that in case of any significant delays are we covered because the capacities have been invested? So are we covered in terms of

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client compensation, any of such thing because our business over the next two years is a lot of dependent on LOIs? I'm just worrying and I'm trying to understand the risk associated with that? If any delays, how it will be panned out in terms of the compensation to our profitability?

Vishal Thakkar: So, Rohan, let me answer it in two or three parts. First part is that if you look at it, I don't have any dedicated plan t for any product or any customer, okay? Each plant has multiple usage and in their multipurpose. And if you look at the product portfolio, I have a decently large state of portfolio. So to that extent, any one product really impacting my utilization of my revenue is limited to that extent that impact of that is limited. If you look at this year itself, I've launched 17 new products.

Next year, I'm looking at another 6-odd-plus -- 6- to 8-odd-plus products. So if you look at its total portfolio, if you look at it, I'm talking about 70 to 80 products that is there now. Yes, there may be some plus or minuses on any one or two products that could happen. That may happen. I'm not saying it could not happen. But that is also budgeted in and planned out.

And two is also that the ability to impact my total capacity utilization or my revenue or my numbers, that's much more limited. That is all I'm trying to say. A quarter or two really doesn't swing into the gain. If you look at from a complete -- a broader perspective. And that's where I would put it, Rohan

Rohan Gupta: Sir, I was trying to understand more from the contractual perspective from the customers. I mean, if there are further delays customers don't give the material, maybe for another six months, one year. Are we protected? Is there a take-or-pay kind of contract? That's what I wanted to understand how the contracts are laid or retained.

Vishal Thakkar: The Contracts are take-or-pay. Contract has a minimum offtake, right? So that anyway now, that always kicks in, but how you solve it is you have multiple ways of solving it, right? I can ask for compensation. I can ask for a bit of a price adjustment. I can ask for a different product. I can ask for a higher volume to compensate for it in the next quarter. So there are various ways to solve it because these are all long-term customers, who are saying I'll honor what I've said, but let's find a win-win solution.

And that's what we will always do that. But the question is, if you're asking is, am I getting compensated, yes, one or the other way, I'll get compensated. And contractually, as a compensation clause that is there and that I use it to get what I wanted. In fact, when I give one, I get too many a times.

Moderator: We have our next question from the line Meet Vora from Emkay Global.

Meet Vora: We mentioned that the peak revenue potential from current gross block will be around INR1,600 crores, INR1,700 crores. Now including the fluorination block that we are putting in, what would be the total peak revenue potential that we are envisaging?

Vishal Thakkar: Yes. So all put together, I think we should be in the range of plus 3,000 plus sorry. Sorry, I didn't get your question. Can you ask me again, sorry?

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Meet Vora: So I was saying that currently, we mentioned that the revenue potential from current gross block will be somewhere around INR1,600 crores, INR1,700 crores. Now including the fluorination block that we are putting either INR670 crores capex, what would be the peak revenue potential

from the combined gross block?

Vishal Thakkar: Okay. So first, let me clarify on one thing and that's the reason I asked you a thing is that the new capex I'm putting you is not only fluorination, it is fluorination plus other products also. So put together, INR670 crores is three plants of which two are more supporting the fluorination and one is supporting the LOIs and other products.

So when you add all put together, the revenue potential that I can generate from data, I'm not guiding for the revenue, but I'm guiding for the capacity that it can generate revenue, we should be looking at around about INR3,000 crores of revenue assumed with the current kind of a revenue mix that are seeing.

Meet Vora: And this would include the LOIs, all the LOIs that we have signed?

Vishal Thakkar: Yes. So I'm saying that all the products that I have today that I'm thinking about the one will be catered from these plants.

Meet Vora: Correct. So at peak, we read somewhere around INR3,000 crores, around, say, INR1,300 crores to INR1,500 crores would also be from LOIs.

Vishal Thakkar : Yes, you're right. Correct.

Meet Vora: Sure. And also in terms of the LOIs that we have signed, do we need to incur any new capex or largely everything is done with this capex ?

Vishal Thakkar: No. So with this capex , we have practically done with this plan.

Meet Vora: Sure. And also just one last bit. What would be our capex guidance for FY'25 will be the balance capex that we have guided around INR180 crores. And like FY'26...

Vishal Thakkar: Plus a maintenance capex .

Meet Vora: Plus a maintenance capex . And what would be that number for FY'26?

Vishal Thakkar: It should be more on the maintenance side, I would put it at that number, because I have right now no plan on the capex .

Moderator: As there are no further questions, I would n

ow like to hand the conference over to Mr. Vishal

Thakkar for closing comments.

Vishal Thakkar: Thank you everyone for your active participation and for your questions, we hope we have been able to answer most of your queries. In case we have missed addressing any of your queries kindly reach out to our IR Partner Ernst and Young and they will connect with you offline.

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Thank you.

Moderator: Thank you. On behalf of Anupam Rasayan India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

ANUPAM RASAYAN INDIA LTD.
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ARILSLDSTX 20240820033 Date: August 20, 2024

To,
BSE Limited ,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001, India
SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block -G,
Bandra Kurla Complex, Bandra (East),
Mumbai -400051, India
SYMBOL: ANURAS

Dear Sir/ Madam,

Subject: Submission of transcript of Earnings Call on the Unaudited Financial Results
(Standalone and Consolidated) of Anupam Rasayan India Limited (the "Company ") for
the quarter ended June 30 , 2024.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and
Disclosure Requirements) Regulations, 2015, please find enclose herewith the transcript of the
Earnings Call on the Unaudited Financial Results (Standalone and Consolidated) for the quarter
ended June 30 , 2024, held by the Company on Wednesday, August 14, 2024.

This information will also be hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking you,

Yours Faithfully,

For Anupam Rasayan India Limited

Ashish Gupta
Company Secretary & Compliance Officer

Encl.: As above

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"Anupam Rasayan India Limited Q1 FY25 Earnings
Conference Call "

August 14, 2024

MANAGEMENT : MR. ANAND DESAI – MANAGING DIRECTOR , ANUPAM
RASAYAN INDIA LIMITED
MR. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICER ,
ANUPAM RASAYAN INDIA LIMITED
MR. AMIT KHURANA – CHIEF FINANCIAL OFFICER ,
ANUPAM RASAYAN INDIA LIMITED
MR. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL
OFFICER , ANUPAM RASAYAN INDIA LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Conference Call of Anupam Rasayan India Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Krishna Patel from Ernst & Young. Thank you and over to you, ma'am.

Krishna Patel : Thank you and good evening, everyone. Welcome to Anupam Rasayan India Limited Q1 FY25 Earnings Call.

Please note that a copy of the disclosure is available on the investor section of the Website as well as on the Stock Exchange.

Anything said on this call which reflects the outlook towards the future, or which could be construed as a forward-looking statement must be reviewed in conjunction with the risk that the company faces. Please note that the audio of the earnings call is a copyright material of Anupam Rasayan and cannot be copied or rebroadcasted, attributed in press or media without specific and written consent of the company.

Today, from the Management side, we have with us, Mr. Anand Desai - Managing Director ; Mr. Gopal Agrawal - Chief Executive Officer ; Mr. Amit Khurana - the Chief Financial Officer and Mr. Vishal Thakkar – the Deputy Chief Financial Officer.

With this, I would like to hand over the call to Mr. Anand Desai for his “Opening Comments” . Thank you and over to you, sir.

Anand Desai : Thank you, Krishna. Good evening, everyone and a warm welcome to the Q1 FY25 Earnings Call of Anupam Rasayan . I hope you all are doing well.

Let me share a sectoral view, followed by the updates for the Quarter gone by :

The agricultural industry is facing significant headwinds since last one year, largely due to the unwinding of the channel inventories. We anticipate this trend to persist until the end of H1 FY25, after which we expect the demand to strengthen . Our consistent efforts to expand our Pharma and Polymer portfolio are beginning to pay off. As indicated in the previous earning call, in Q1 FY25, our Pharma and Polymer segments have contributed to our revenue in double digit at 15 % and 10% respectively. We expect this trend to continue through FY25. This is a shift towards a more balanced portfolio. With higher contributions from the Pharma and Polymer businesses will enhance well for sustainable growth going forward.

Now , let me highlight our Financial Performance for the Quarter under review :

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Our consolidated operating revenue for the quarter stood at Rs. 254 crores with the Y-o-Y degrowth of 34%. These degrowth on account of lower volume of ftake in Agrochemical segment. The EBITDA margin was at 23% in Q1 FY25, lower by over 5 % points on account of lower sales. With higher contribution from Polymer and Pharma business this year, coupled with

ramp up of the LOIs and contracts, we expect our revenue growth to come back from H2 FY25. Also, we expect all our plans to be commercialized this year.

At Anupam Rasayan, sustainability is one of the key pillars of our business. Over the years, we have invested in multiple initiatives to reduce our environmental footprint, including our recent decision to invest Rs. 59 crores in a hybrid power plant that combines solar and wind energy generation with a combined capacity of 9.6 MW. This project is expected to save approximately Rs. 15 crores annually in energy cost. This investment, along with our previous investments in renewable energy projects, will ensure that 65% of the company's electricity consumption comes from green energy sources and would take

us closer to our goal of being energy net zero by 2027.

Coming back to the future prospects of the company, I would like to highlight that multiple drivers, including ramp up of revenue from LOIs and contracts, Pharma, Polymer and fluorine molecules would drive the growth of the Company. This growth will be further supported by a revival of the Agrochem segment from latter half of the year.

I would also like to mention that completion of the CAPEX plans which we had undertaken along with our existing capacity is self-sufficient for our growth in the medium term.

With this, I would like to hand over the call to Mr. Gopal Agrawal - the Chief Executive Officer of our company, to discuss the "Business Updates". Over to you, Gopal bhai.

Gopal Agrawal : Thank you, Anand bhai. Hello and good afternoon, everyone. Welcome to our Q1 FY25 Earning Call. I will begin by briefly discussing business highlights first and then I will hand it over to Amit bhai to cover the financial highlights with you.

As mentioned by Anand bhai, we are experiencing some headwinds in the Agrochem segment; however, Pharma and Polymer segments have been seeing a strong growth supported by our recently launched 15+ new molecules. We expect higher contribution from these segments, as this molecule will start ramping up and 5+ new molecules that are planned to be launched this year.

Our investment in Tanfac which provides us with the supply security for fluorinating agent which are starting raw material for our fluorination chemistry have also started yielding results. We have been able to commercialize 12+ molecule in the last year alone and we will also enter into multiple LOI securing long-term contracts thereby ensuring enough and more demand for us. This has also supported our growth in the Pharma and Polymer segment.

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Further, on the business development side, I would like to inform you that our efforts in Japan and USA are yielding results. More particularly, in Japan, we are experiencing strong traction, particularly for our fluoropolymers with significant support from our local business development team in the region. We anticipate that within next 2-3 years, approximately one-third of Anupam's sales will originate from Japan with all business being secured through long term contracts. Additionally, we have several new Polymer products currently in our R&D that are targeted for supplying in US market as well.

With this, to take you through the financial highlights, I would like to hand over the call to our CFO. Over to you, Amit bhai.

Amit Khurana : Thank you, Gopal bhai. Good evening, everyone.

Let me take you through the "Financial Highlights" for the Quarter after which I will let Vishal bhai discuss the same further.

Starting with the CAPEX front :

As of 30th June 2024, we have already utilized Rs. 530 crores out of the total planned CAPEX of Rs. 670 crores. The balance CAPEX would be incurred during the coming quarters.

Our working capital remains stable in absolute terms, and we expect it to stabilize further by the end of this fiscal with improvements anticipated in FY26.

We are also focused on cost optimization and operational efficiency, which would not only have a financial and commercial advantage, but also will help in achieving our ESG goals.

Our strategic focus coupled with our expansion plan position us well for long-term growth.

With this, I hand over the floor to our Deputy CFO, Vishal bhai, who will take you through the financials in detail.

Vishal Thakkar : Thank you, Amit bhai. Hello and good evening everyone. Thank you for joining us here today.

I would like to share some key performance highlights for the quarter ended 30th June 2024 and then we will open the floor for a question-and-answer session.

Before I proceed, I hope you all

I have had a chance to go through the detailed Presentation and the Results submitted to the Exchanges and uploaded on our Website. Kindly note our numbers for the quarter are on consolidated basis and they include Tanfac numbers as well.

Let me discuss on the Consolidated Highlights for the quarter ended June 30, 2024 :

Operating revenues for Q1 FY25 was at Rs. 254 crores as compared to Rs. 386 crores in Q1 FY24, a decline of 34% Y-o-Y. EBITDA including other income was at Rs. 59 crores in Q1 FY25 as compared to Rs. 114 crores in Q1 FY 24. This would translate to an EBITDA margin of 23% for the quarter. Profit after tax was at Rs. 12 crores in Q1 FY25 as compared to Rs. 52 crores in Q1 FY24.

Moving on to the Standalone Financials for the Quarter Ended 30th June 2024 :

Operating revenue for Q1 FY25 was Rs. 164 crores compared to Rs. 289 crores in Q1 FY24, down 43% Y-o-Y. EBITDA including other incomes was at Rs. 43 crores in Q1 FY 25 as compared to Rs. 88 crores in Q1 FY 24. This would translate to an EBITDA margin of 25% in this quarter. The EBITDA was at 25%. Profit after tax at Rs. 1.4 crores in Q1 FY 25 as compared to Rs. 35 crores in Q1 FY 24. Our top 10 customers contributed about 77% of our total revenue. Now, I will open the floor for any Q&A that you would like to have.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of S Ramesh from Nirmal Bang Securities. Please go ahead.

S Ramesh : Sir, I had three parts of my question. One is in terms of the potential for addition to the second-half revenue, how much would that addition be in rupees, crores based on whatever revenue lost in the first quarter because of order deferral? Second is, what is the addition you can expect from the commissioning of the new capacity? And third is how much is the additional revenue you expect to book from the new LOIs and contracts which you will start delivering in the second-half?

Vishal Thakkar : Let me answer this in a broad manner. See, if you look at it today the revenue should have been doing Rs. 80-Rs. 100 crores more than what we have reported today on a standalone basis and that is primarily on account of the deferral of the demand. So, that is the number that you can expect in the second-half of the year, which will be spread over two quarters. Two, if you look at from a capacity, see, capacity, it is going to come at various stages, so I don't want to talk about too much in terms of their number that how much would that add. It could be marginal for the year, but largely it will be for the next year that you will see a large part of the revenue accruing from the new capacity as well. And third on the LOIs and contracts today, we estimate that around 20%-25% for this year's revenue should be from the LOIs and contracts which are commercialized over the last 1-2 years' time. So, that is net-net with what we are trying to suggest.

S Ramesh : So, if you are looking at a ballpark, Rs. 1,000-Rs. 1,100 crores revenue for the year, you are saying that you will get about Rs. 250 crores from the new LOIs and contracts in the second-half, is my understanding correct?

Vishal Thakkar : LOIs and contracts have talked about the whole year. Yes, largely it is back ended, but yes, it is the whole year that I am talking about. You are right.

S Ramesh : So, over FY26 and '27, again on this base revenue you have existing LOIs contracts and the existing business and then you have the new LOIs and contracts. So, what will be the addition

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to the FY26-27 new from, the new contracts and what will be the growth from the existing business?

Vishal Thakkar : If I understand what you are asking is that from the total LOIs and contracts, what

is the kind of

number that we can expect over the next 2 years, is that the question that you are suggesting?

S Ramesh : Yes, exactly.

Vishal Thakkar : So, what I was saying was that my number, so this year, we are looking around about Rs. 250 odd crores and we should be adding roughly around additional Rs. 200 crores each at least for the next 2 years is what our estimation would be.

S Ramesh : And this is something which you are confident about, even with the kind of headwinds you are facing in Agrochemical. So, this is something which you can do right aspect of that?

Vishal Thakkar : Yes, because I will tell you two things. One is Agrochemical is also there, but also please appreciate that a lot of my new contracts are of non-agro business as well, though it will come in the latter half of the next year or after that it will be coming in. So, you are right. We are feeling confident uncomfortable with these numbers especially with the kind of indication and the conversations that we have had.

S Ramesh : Sir, if I just squeeze in one more thought on the balance sheet and your working capital, so incrementally when you ramp up your production, are you going to maintain your debt at current levels assuming that the working capital will go up for the additional revenue? And secondly,

when do you see the reduction in the working capital in terms of number of days over the next 2 years ?

Vishal Thakkar : I think it is two year horizon is the right number to see because that way I will have a better visibility to talk about , a better view to talk about . One, if you really look at it, last part of, if you look at , we today are sitting with the higher working capital and to that extent we believe that working capital will be released over next 2 years timeframe and we don't expect any significant requirement of the external debt to finance this growth in terms of working capital because the additional working capital that will be required for additional sales would be more supported by the release of the working capital that is there today and that is where I would say . Over next 2-3 years' time period , as we have been guiding in the past also we would be targeting the working capital cycle to come back with more numbers that we have been in the past around 2021 timeframe , those will be the number of days and that is what our view is for now.

Moderator : Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj : Sir, first question is by FY27 , again slightly on a longer horizon, what could be the mix between agro and non -agro? And again in terms of non -agro, what would be the mix between say Pharma , Polymer s or any other new -age segment?

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Vishal Thakkar : So, Rohit, I am also a bit of crystal gazing as you are. So, we take it with that much of a thing. But if you really ask me , crystal gazing is not the right word, I would say , but please understand this is 2 years out , so I am directionally I am giving you these numbers rather than taking it very specific to the numbers. I hope that is fair.

Rohit Nagraj : Absolutely, sir.

Vishal Thakkar : So, then I would expect that Pharma should be around about 20 %-25% of my revenue , Polymer should be of 10%-15% more towards 15 % than 10 % , but yes that should be there, and Personal Care should be in the range of 10 %-12%. So, if you look at it and the balance should be the Agrochem is the number I would go with. Rohit , after two years , please don't hold me with these numbers and say you are exactly said this but directionally I am saying that the Polymer and Pharma will contribute more, and the Personal Care will remain around 10 %-12% that we have seen.

Rohit Nagraj : Sir, second question , now given that we are ending with the Rs. 670 crores of CAP

EX this year,

are we recalibrating next year CAPEX given the kind of environment we are currently in and every single company is talking about there has been new capacity additions happening in China, which is putting pressure in terms of incremental growth or volume. So, just your thoughts on the same and is there any competition coming particularly in some of our molecules or some of our user segments and that can also lead to maybe the CAPEX being recalibrated ?

Vishal Thakkar : Rohit, if you remember and that we had undertaken a Rs. 670 crores of CAPEX. Now, we are at the far end of it and we are confident that we will be completing this CAPEX and we don't see any reason for us to not complete this CAPEX . So, that is one part of the thing. And anyways, for the next year, we had not planned any new CAPEX because we have actually had enough CAPEX for our near to medium growth. So, anyways, new CAPEX was not planned for the next year any significant one there, may be some investments in wind and solar that we have talked about and also maybe a bit of repurposing of the plants. Other than that there is no significant capacity addition that was planned and hence we don't need to recalibrate because there wasn't any in the first place. I hope that helps.

Rohit Nagraj : And anything on the China competition front?

Vishal Thakkar : So, I think for us there is not much of it , maybe to my end customer in few products there may be competition . In specific from my products to my customers we don't see too much of that happening here.

Rohit Nagraj : And one just last clarification again, I am not going to hold you for the exact numbers, but on the broader margins front, incrementally, do we still hold to the range of maybe 25 % to 27%, 28% EBITDA margins for the next leg of products?

Vishal Thakkar : Yes, you can take that. That is a fair assumption. I would go with that.

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Moderator : Thank you. The next question is a follow up question from S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh : So, if you look at your fluorination chemistry, I know it overlaps one or two segments. So, within the segments here, you have discussed between agro and non-agro, so where would the fluorination share of your overall revenue stand ? And how does it move in the next two years?

And broadly I think it is possibly split between the life sciences and non-life science in the order book and incrementally if you are looking at your margin guidance, this margin guidance kind of does it capture the share of fluorine chemistry, and different segments are going like Pharma and Polymers with the understanding that there could be plus or minus 100-200 basis point difference in the model. So, you can just put this in perspective, it will be useful?

Vishal Thakkar : This quarter fluorination was around by 15 % odd of my revenue. This year we are looking at around 20 %-25% of my revenue coming from fluorination chemistry. And the fraction that we are seeing by 2027, we should be looking at about 30 %-35% of our revenue coming from fluorinated products across various applications.

S Ramesh : So, now in terms of the supply chain with the Tanfac, there are again two parts to this, one is, how much of HF have you firmed up with Tanfac in terms of their CAPEX plan to double their capacity and does that give you enough visibility on the requirement for ramping up your business on the new orders over the next 5 years or will Tanfac have to invest further in terms of additional capacity, what is that? And for Tanfac itself, what does it mean because we don't have much?

Vishal Thakkar : Let me answer the first thing, today with the CAPEX that we have planned out for Tanfac, the capacity is sufficient and enough for any requirement that we will have over not near the term, but even a

little longer term view also if we take, it would be sufficient for us and enough and more to be made available for the customers that they have been supplying today as well. What I am saying here is that first Tanfac expansion will ensure that we have enough and more available for Anupam to consume as much as it needs for its own growth needs, first. Second, I believe that with the expanded capacity, Tanfac would be able to service their current customers as well as our growth need is what I am saying.

S Ramesh : So, in terms of your fluorine-based products based on the HF, overall, how does it change your margin and ROCE profile because if you are saying that the margins are going to be in this range or some products are actually going to be lower margins. So, in terms of ROCE how do we read that in terms of the asset turn, like if you take the Rs. 670 crore CAPEX, what is the asset turn you can expect on this new CAPEX commission and is that going to be the key lever for driving your ROCE improvement? How do you see that?

Vishal Thakkar : So, first, I think on a blended basis, again, as I had suggested to Rohit also that it will be in the ranges that we have talked about because there will be a blend here. There will be some products which will have a very high margin, but also there will be some products where there will be average margins and on a more blended basis, we believe that the number that we are guiding Anupam Rasayan India Limited
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should be achievable number one, especially Polymer would have a higher margin. So, as I was saying that the margins will be on the blended basis fairly the similar range that we have talked about because on Polymers, few segments, there will be a little higher margins, especially with the fluorinated products, Polymer products. And for the Pharma there may be tad lower but on a blended basis, this is the number that we can give you. Now, if you come to the ROCE and the capacity utilization, if you look at the new CAPEX that we are doing, that should give us the revenue of over around Rs. 1,100-Rs. 1,200 crores. And hence if you see the capital asset that we have created, we should be having a blended asset turn of over 1.5x and the kind of margins and the topline that we are talking about, we should be having a very healthy ROCE that we can expect here.

S Ramesh : Sir, just one last clarification. So, this is Rs. 1,100-Rs. 1,200 crores and 1.5 asset turn by when would you be able to achieve this?

Vishal Thakkar : So, Ramesh, the point is, it should be, that is the number that we will take around 2000 crores to 3,000 crores of total revenue, right, because my current asset block also has the capacity to grow. I would not want to guide the number exactly by guess. I am just saying this is how I would say but for me.

Gopal Agrawal : This is Gopal here. I can take some of the questions or maybe repeat on behalf of Vishal.

S Ramesh : Yes, he was saying that he cannot put a timeline, but broadly, this is the guidance you are giving in terms of incremental revenue from the new CAPEX and asset turn, so just to get in terms of whether it will be possible by 27 or 28, because if you look at the run rate of Rs. 200-Rs. 250 crores every year, it looks like it will take 3-4 years, so would it be realistic to expect this additional revenue from the new LOIs and the new CAPEX by 27 or would it be more like 28 that will give us a sense in terms of when you can achieve that blended asset turn and improvement in ROCE, that was the basic spirit behind my question?

Gopal Agrawal : No, I understand that. I think with the exception of the current year, I think as you have seen, as we have been guiding towards the growth of 25 %-30%. So, with that in mind, I guess we should be able to kind of see that number in the period you are mentioning, some other aro

und that.

Moderator : Thank you. The next question is from the line of Ayush Chaturvedi from Axis Capital. Please go ahead.

Ayush Chaturvedi : Firstly, if you could provide the breakup of exports and domestic business in this quarter, that will be very helpful ? And also I would like to understand other than the deferment in the agri business that we have had, what is the impact or any sort of sense we can get from , how much of deferment can we expect in the rest of the year on other business?

Vishal Thakkar : I would not want, see, I can give you the numbers on the Q1 in terms of split of domestic to export, but you would also understand that these are not the representative on especially with the deferment of the volume that we have talked about , one. And if you look at the deferment as

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we had mentioned earlier that we would be around Rs. 80 to 100 crores of deferment, which we expect to come by the year end. So, in this year we would be able to recoup that demand that we have not had in the first quarter and first half.

Ayush Chaturvedi : So, again, like I said, I would like to understand how much of this deferment is coming from the Agri portfolio ?

Vishal Thakkar : Largely it is agri, very limited because that is where my large part of my contracted demand comes from. If you look at Personal Care has fairly done stable . Polymer and other products have also been stable, so large part of it is agri.

Ayush Chaturvedi : So, could we expect a very strong resurgence in the agri in the latter half of the year like you have been mentioning. So, what sort of, you would have some sense of how much of it would start coming back?

Vishal Thakkar : So, let me answer it in a very simple manner that my revenue that I have for the year will be equal or higher than have delivered in the last year. So, we believe there will be growth this year is what we are expecting. It will be marginal, even marginal, but it will be there from the feedback that we have got from the customers and their plans.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference to the management for closing comments.

Vishal Thakkar : So, thank you everyone for your participation and your queries. We hope we have been able to answer most of your queries . In case , we have missed out addressing any of your queries, kindly reach out to our IR partner, Ernst & Young and we will be happy to connect offline to answer those questions. Thank you.

Moderator : Thank you. On behalf of Anupam Rasayan India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

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ARILSLDSTX 20241120060 Date: November 20, 2024

To,

BSE Limited ,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400001, India

SCRIP CODE: 543275 To,

National Stock Exchange of India Limited

'Exchange Plaza', C -1, Block -G,

Bandra Kurla Complex, Bandra (East),

Mumbai -400051, India

SYMBOL: ANURAS

Dear Sir/ Madam,

Subject: Submission of transcript of Earnings Call on the Unaudited Financial Results
(Standalone and Consolidated) of Anupam Rasayan India Limited (the "Company ") for
the quarter and half year ended September 30, 2024.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and
Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of
the Earnings Call on the Unaudited Financial Results (Standalone and Consolidated) for the
quarter and half year ended September 30, 2024, held by the Company on Friday, November 15,
2024.

This information will also be hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking you,

Yours Faithfully,

For Anupam Rasayan India Limited

Ashish Gupta

Company Secretary & Compliance Officer

Encl.: As above

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"Anupam Rasayan India Limited Q2 & H1 FY25
Earnings Conference Call "

November 15 , 2024

MANAGEMENT : MR. ANAND DESAI – MANAGING DIRECTOR , ANUPAM
RASAYAN INDIA LIMITED
MR. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICER ,

ANUPAM RASAYAN INDIA LIMITED
MR. AMIT KHURANA – CHIEF FINANCIAL OFFICER ,
ANUPAM RASAYAN INDIA LIMITED
MR. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL
OFFICER , ANUPAM RASAYAN INDIA LIMITED

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Moderator: Ladies and Gentlemen, Good Day and Welcome to Anupam Rasayan India Limited Q2 & H1 FY25 Earnings Conference Call. As a reminder, all participant line will be in listen -only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kanav Khanna from EY. Thank you and over to you, sir.
Kanav Khanna: Thank you and good afternoon, everyone. Welcome to Anupam Rasayan India Limited Q2 & H1 FY'25 Earnings Call.

Please note that a copy of the disclosure is available on the Investor section of the website as well as on the stock exchange. Anything said on this call, which reflects the outlook towards the future, or which could be construed as a forward -looking statement, must be reviewed in conjunction with the risk that the company faces. Please note that the audio of the earnings call is the copyright material of Anupam Rasayan and cannot be copied or rebroadcasted, attributed in press or media without specific or written consent of the company.

Today, from the Management side we have with us Mr. Anand Desai, Managing Director, Mr. Gopal Agrawal, Chief Executive Officer, Mr. Amit Khurana, the Chief Financial Officer, and Mr. Vishal Thakkar, the Deputy Chief Financial Officer.

With this, I would like to hand over the call to "Mr. Anand Desai for his Opening Comments."
Thank you and over to you, sir.

Anand S. Desai: Good afternoon, everyone and a warm welcome to the Q2 FY'25 Earnings Call of Anupam Rasayan. I would also like to take a moment to wish you all a very happy Diwali and a New Year.

As we have indicated in our earlier calls, the demand in the agrochemical business has continued to be subdued in Q2 as well. October onwards, we are seeing a good recovery in this segment especially from Europe. Our Pharma segment and Polymer segment that are our new growth drivers have continued to increase its share in our revenue. For the full year, we expect both segments to contribute over 15% to the total revenue. This trend is expected to continue through FY'26. This move towards a more balanced portfolio with increased contributions from the pharma and polymer sectors is expected to provide stability from sectoral impacts.

Now, let me "Highlight our Financial Performance for the Quarter and Half Year Under Review." Our consolidated operating revenue for the quarter stood at Rs.294 crores, which were 16% higher than Q1 FY'25 and around 2.5% lower than Q2 FY'24. This year-on-year degrowth as you know is on the back of the challenging demand conditions in agrochemicals. The EBITDA margin continues to be at around 28% in Q2 FY'25, and on a yearly basis, we recorded a revenue of Rs.548 crores which translate it to around 30% down vis-à-vis same period last financial year. On the margin front in FY'25, consolidated EBITDA margins stood at 25.5%.

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As we are witnessing recovery from October onwards, we expect our numbers to be better from Q3 FY'25 with increased contribution from polymer and pharma business this year, alongside new letters of intents and contracts, we anticipate similar revenue in FY'25 compared to FY'24. On the back of the momentum, we are seeing on the demand pickup and forecasted offtake from our customers, we believe that FY'26 we should be back to our growth journey that we have seen in past bearing last year and this year.

At Anupam Rasayan, we are committed to building a sustainable business and over the years we've invested in various initiatives including our recent Rs.59 crores investment in a 9.2 MW hybrid power plant that

combines solar and wind energy. This project has been commercialized in October 2024.

With the agro demand picking up coupled with high conversion from pharma and polymer, we at Anupam Rasayan are confident to get back to our growth journey.

With this, I would like to hand over the call to "Mr. Gopal Agrawal, the Chief Executive Officer of our company, to discuss the Business Updates." Over to you, Gopal bhai.

Gopal Agrawal: Thank you, Anand bhai. Hello, good afternoon and I wish you a very Happy and prosperous

Diwali to all of you.

I will begin by briefly discussing the "Business Highlights" which will be followed by "Financial Highlights by Amit bhai.

As Anand bhai mentioned, we are nearing the end of challenges we faced in the agro segment. While pharma and polymer segments have been experiencing strong growth driven by the recent launch of our 17 molecules in FY'24 and three molecules in H1 FY'25. We anticipate an increased contribution from this segment as these molecules gain traction. Additionally, a launch of three plus new molecules that are planned in coming months shall further accelerate the growth in this segment.

As you know, we are seeing strong momentum in Japan, particularly in our Fluoropolymer segment. Thanks to our dedicated business development team, we are effectively capitalizing on these opportunities and expanding rapidly. Also, we have already stated in our previous call that within next two to three years around 1/3 of Anupam sales will come from Japan with majority of the business secured through long term contracts. Further, we have multiple new polymer products in R&D and pilot aimed for the U S market as well.

Our backward integration with Tanfac for hydrogen fluoride, which is HF, has been a key in securing this contract. Keeping the strong demand in mind, we are also glad to inform you that we have recently expanded our Tanfac plant capacity from 14,150 MT to 29,730 MT and the plant has been commissioned from October '24.

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As mentioned by Anand bhai in this call, keeping all these activities in mind, we believe that we should start seeing strong performance going forward.

With this, to take you through the financial highlights, I would like to hand over the call to our CFO. Over to you Amit bhai.

Amit Khurana: Thank you, Gopal bhai and good evening, everyone. I'll begin by outlining the financial highlights for the quarter, after which I'll hand over the call to Vishal bhai for a more detailed discussion.

Starting with our CAPEX update, as of September 30, 2024, we have completed CAPEX of Rs.610 crores. The remaining CAPEX will be completed over the next two quarters in FY'25. Our working capital has risen slightly on account of launch of new molecules as well as anticipated growth in the revenue from Q3 FY'25. Further, we anticipate the working capital would stabilize by the year-end and will have significant improvement in FY'26 and going forward.

As mentioned by Anand bhai in his opening remarks, the new hybrid project of 9.2 MW has been commercialized in October 2024. This initiative is projected to save approximately Rs.15 crores annually in energy cost. This combined with our previous investment of Rs.65 crores in 17.9 MW would contribute to aggregate savings of Rs.28 crores. Together with our earlier efforts, this will enable 65% of the company's electricity needs to be met by green energy in the future.

We remain focused on cost optimization and operational efficiency. This strategic focus along with our expansion plans positions us well for sustained growth.

With that, I'll turn it over to our Deputy CFO, Vishal bhai to provide further insights into the financials.

Vishal Thakkar: Thank you, Amit bhai. Good afternoon, everyone and wish you a very happy Diwali and a prosperous New year. Thank you for being with us today and thank you

especially on a holiday.

So, again, we appreciate your participation here.

I would like to share some "Key Performance Highlights for the Quarter and Half Year Ended September 30, 2024 before we open the floor for Q&A Session. I hope you have had the opportunity to review the detailed presentation and the results that were submitted to the exchanges and posted on our website. Kindly note our numbers for the quarter and half year are on a consolidated basis and they also include Tanfac numbers.

Let me first discuss the consolidated financial highlights for the quarter ended September 30, 2024. Operating revenue for Q2 FY'25 was at Rs.294 crores as compared to Rs.392 crores in Q2 FY'24, down 25% YoY. EBITDA including other income was at Rs.82 crores in Q2 FY'25 as compared to Rs.111 crores in Q2 FY'24, down 26% YoY. This would translate to an EBITDA margin of 28% in the quarter. Profit after tax was at 31 crores compared to 49 crores, a degrowth

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of 37% and would contribute to around about 10% of the top line. Our top 10 customers contributed 91% of our revenue in Q2 FY'25.

Talking about the half yearly financials, our operating revenue was at 548 crores compared to 779 crores. EBITDA was at 142 crores as compared to 225 crores which would translate to an EBITDA margin of 25% for the period. Profit after tax was at 43 crores compared to 101 crores and a degrowth of 58%.

With that, we will open the floor for Q&A Thank you.

Moderator: We will now begin the question -and-answer session. We have a question from Mr. Tushar from Kamaya Wealth Management. Go ahead please.

Tushar : Sir, I'm just new to the company, recently started tracking. I could see that you got some good orders and seeing good growth going forward. So, just wanted to know the inventory levels considering the revenue, if I consider the inventory as a percentage of sales, which was in the range of 50s, if we consider the history, in middle it peaked out, but currently it's near to 70% of your entire revenue. So, just wanted to understand the business prospect why that is so and what are the measures that we're taking in order to keep a check on the working capital?

Vishal Thakkar : So, Tushar, you are right that my inventory levels and the working capital intensity has increased and that has been primarily due to two major reasons that I would say. One is that the revenue that we had anticipated, which we had expected to happen in this half has not materialized in this half and has been pushed out to the next half, which has led to lower liquidation of the inventory. Along with that, there have been new molecules which have been launched which has also added to the inventory which would be further recovered back once we start the ramp up of those products. So, these two have led to the higher level of inventory and with a lower revenue, this number has been accentuated further because if you look at it, a degrowth of 25%, you would see that for the same inventory also my turn days will go up by 25% to 30%. So, that is the two reasons. Once the revenue pickup happens, these numbers will start getting more in the normalization thing and if you look at over the next two years that we have been seeing like in 18 to 24 months time we would see that those numbers are more similar to what we have been seeing in the historical ones around FY'21, FY'23 kind of a timeframe. So, we are actively working to optimize on this and I appreciate your observation on this.

Tushar: Sir, I just wanted to know, like you invested 24%, 25% in the Tanfac. So, how do you see the growth prospect going forward in terms of your product in the fluorine chemistry, like there are players in the market who are into fluorine chemistry, so our product is different from those or like how do you see the competition in India?

Vishal Thakkar : See, fluorina

tion-based products have a vast majority. If you look at the last 20 -years, the number of new molecules that have been launched across polymer, pharma and agrochem. In all three sectors, 40% of those new molecules have chlorine as a molarity. So, there is a market which is a very, very large growing market of fluorination-based products. Two, when we say Anupam Rasayan India Limited
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fluorination, we don't meant to say I'm only going to do only fluorination process. I have multiple chemistries that I'm doing and I have my value chain. In that value chain, if I add fluorination as one of the processes, my target market expands significantly. I'll just give you an example like fluoropolymer market today would be around about \$8 billion, of which if I were to look at what my peers are doing, they are largely into the segments which are into PPMP/ PBDs and other kind of applications. If I take that off, I would be ending up with around about \$3 billion market, which is the fluor elastomer, fluoro surfactants and other kind of play. I'm just talking right now polymer and there if I convert it into the intermediates that we play in like we are not into polymerization, we don't do polymerization, we do only monomers. In that also if I look at it, I'm talking about a \$600 million worth of market. Now that is the large market for me to address where I'm not trying to compete with my peers here and the products that we are trying to focus are these products where we have our own niche where I am working on my own value chain. So, there are products that have my value chain in which if I add this chemistry I get into product application which goes into this application. Similarly, if you look at the same approach happens in pharma side and same approach happens in the agro side, where I am leveraging on my current supply chain, current value chain and adding this offering to give this newer product application to my customers. So, we do not see any major competitive intensity on this side. Two, chlorination is something that we have been doing for last five, seven years, it's not that we're doing chlorination now, even before acquisition of Tanfac, around 10%-odd of my revenue had been fluorinated products. Now that Tanfac coming in what happens is that I'm able to demonstrate to my customers that I have a supply chain assurance and my supply chain has been very well taken care of, especially when we come to the HF, which even Gopal bhai had mentioned in his opening remarks, that HF availability is very essential because in the country there are only four manufacturers of HF and Tanfac is one of them. So, having access to that, ensures that I'm able to capitalize on that supply chain and which is the reason you are seeing lot of traction that we have been able to demonstrate in terms of my product enquiries

and product conversions and LOIs and if you look at the last five LOIs, four LOIs have fluorination as one of the process in this offering.

Tushar: Sir, I just wanted to know like apart from the contracts, what would be the revenue? Like you have mentioned in your IP, the number of contracts. So, if we consider for next three years, how much would be the contracts and how much would be the other revenues?

Vishal Thakkar : So, are we only talking about LOIs or are we talk about contracted revenues?

Tushar: LOI, sir.

Vishal Thakkar : If you look at my LOI, the total LOI I have spent is around approximately 9,000 crores. If I were to divide it by five or six years on an average, which is the average time of the contract period, we're talking about 1,400 to 1,500 crores of revenue from there. What we anticipate is that typically from LOI to commercialization it takes two years on an average plus/minus six months and then there are another two to three years for a ramp up. So, we believe that over next medium term, we should be able

to get 1,200 to 1,400 crores of revenue on an annualized basis from these products.

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Tushar: I just wanted to know like for the mid-term, what are our EBITDA margin target and what are our ROCE internal targets, just wanted to know your take on?

Vishal Thakkar : So, see, historically if you see we have been always been in the range of 26% to 28% EBITDA margin and we believe that we should be in the range of that numbers, maybe a percentage point plus or minus maybe the case, but that's the range that we believe that EBITDA we should be able to achieve. So, let's say today in this market I would say 25% to 27% of EBITDA margin that I would be comfortable with guidance. Though we have delivered a little better, but on a consol basis that's kind of a number I would go by. In terms of ROCE historically also if we look at it we have been able to do high-teens to the 20s ROCE. Two major events has led to a lower number, a), higher CAPEX and lower asset utilization which is now ramping up and two is also my working capital intensity which has expanded, which we expect to get more into my normalcy. These two will ensure that with the kind of EBITDA margins that we have, and an asset turn of let's say more than 1.5 times, we should be coming back to the kind of ROCE that are more meaningful to us.

Tushar: Sir, just post this chlorination contract, do you see that adding to your ROCE going forward?

Vishal Thakkar : Absolutely, absolutely. If you look at it, we have done CAPEX where chlorination process will also be included and then the new molecules of chlorination will also be processed and just that this will always add to the performance of the company in terms of revenue and in terms of margins and translating into the return ratios.

Tushar: Sir, you've guided for the good H2 earlier. Just wanted to know your view in terms of volumes going forward.

Vishal Thakkar : So, if you look at the last half, the lower volume has been the reason for the lower revenue and what our understanding with our customers has been and the communication from them has been also is that that the volumes are going to pick up for the next half and hence you would see a decent volume uptick in this next half.

Moderator: We have a question from S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: So, if you were to look at the second quarter numbers and how to read the prospects for the second half, how much was the decline in volume in second quarter? And secondly, was there again additional sales to domestic customers where we have to give them credit like in one of the earlier quarters?

Vishal Thakkar : If you were to ask in terms of volume, so Q1 to Q2, if you see there has been a growth. So, we are seeing that there is an uptick happening. Yes, on YoY basis the numbers have been lower on account of the lower volumes compared to the last year. So, that is there. Yes, there has been some bit of a compensation to the company for the domestic market, especially from the pharmaceutical industry, which has typically a longer working capital cycle both as a geography and as an industry, both is the case. So, there has been an expansion that is happening. However,

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what we are now seeing is that the agrochem and my international business is expected to pick up in the second half, which will have a better impact in terms of volume, revenue and working capital.

S Ramesh: To put things in perspective, if you look at the statement Anand Bhai made about you will be achieving FY'25 revenue close to FY'24, that means you are talking about a run rate of around 750 crores in the second half, it's about 375 crores. That's a very, very high growth compared to the base of the second half of FY'24. So, what are the levers that will drive this sort

of growth in

the second half -- is it just the existing business, increasing volumes or are you also seeing some of the new LOIs and new molecules kicking in, in terms of growth with higher realizations, can you explain how you expect this second half growth?

Vishal Thakkar: So, Ramesh ji, one, I will not comment on the deduction that you have made in terms of the number for the H2, but directionally, let me answer the question on the directional point and that is where the fair ask. So, I'll put it in three or four buckets that where we see the traction coming from. If you look at my H2'23 and if you look at the run rate of the H2'23, I would have done a similar kind of a number as what would be there. But let's forget about that and let's talk about the trends from now on. Where are the three or four big trends that are coming from? One, my lower demand from the agro camp cycle is now looking better for us. So, we are seeing now the offtake request coming from my existing customers and my volumes are going to kick from that side. Second, what you rightly identified is that my molecules that we had launched last year are now picking up and it is gaining momentum. So, that is the second part of the demand that we feel that will be there. And along with that if you if you look at it, I don't see too much of a price movement coming in here, I think prices we feel that it will be in the stable range. This is our estimate. As per my understanding that numbers will be in the similar range but volume offtake is where the revenue is going to be coming from. That's my understanding on the projections.

S Ramesh: So, just a couple of thoughts more. One is when you talk about this agrochem customers giving you confidence in terms of buying more volumes from your company in the second half. That is something which is totally different from what international companies are saying and other domestic players are saying in terms of customers actually deferring orders both in agrochem and pharma and they're also laden with excess inventory. So, what is exceptional in terms of your set of customers? Are they not having this inventory situation and are they building up for new launches? So what gives you the kind of confidence that they will actually give you the kind of volume growth you're talking about, because this is totally contrary to what we are hearing from the market, from other companies.

Vishal Thakkar: Ramesh ji, just to draw back, if you look at my last four quarters, my last four quarters has been where I have had a very, I would say that one of the lowest demand from the agrochemical sector, if you look at in the recent time. So, when we look at that and when I contrast it from there, there is volume offtake that we can see from the customers. Now, also please appreciate that, on an annual basis my demand is there of the total volume, right, that let's say it was 100, it has dropped by some number, but these two quarters if you see that number has been even lower than that. So, on an average if you look at it, we see that exactly what we think is the

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demand is picking up. Are we coming back in the normal growth rate? That's what we are saying it is '26, right? And this is where the MGO also will kick in, right? So, the H2 is where the MGO kicks in and also please appreciate that H2 is a very classic half because Q3 of mine is Q2 of my customer but Q4 of mine is Q1 of theirs where the year changes and the budget changes as well for them. So, they have a very comfortable situation in that sense to accommodate a level of volumes that are meaningful to both of us, right and that's where we are coming and seeing the numbers. Are we saying that are we out of the woods fully? Answer is no. That I think will be in '26 but '25 ending I think should give us a bit of a reason to feel confident about the

same is

what I'm saying.

Gopal Agrawal: But if I were to just add to what Vishal said, Ramesh, I think as he's narrated, our H2 let's say higher growth is basically based on two, let's say kind of a segment. One is that we are seeing a decent amount of growth in pharma and polymer which roughly would be really like 15% -plus each of my revenue. So, that segment is contributing and is growing at a higher pace. So, that's one leg. The second leg as Vishal bhai said is that on the agrochem side, and I may not be necessarily able to comment on some of my peers in terms of what they are saying, but as he said, we are getting enough and more, I would say, comfort, some of them even in terms of future purchase orders to say that the customer is basically asking for higher volume than what they ask me let's say last two or three quarters. So, I would say H2 assumptions are basically based on these two legs wherein we are seeing some bit of a recovery from my agrochem customers who are basically placing higher volumes and orders with me and second is the increased growth on polymer and pharma side of it.

S Ramesh: Just to get a perspective on '26 and '27 growth, so if we see your order book, some of them have been commercialized and then there are some which are being commercialized in '26. So, if you take these two buckets, LOIs already commercialized, how do you see that ramp up in percentage jump on the value of the order book even if you divide it by say five or six years, it's about 4,800 crores if you see the value of the LOIs already commercialized, if you take it over six years, about 800 crores. How much of that would you expect to book, say over FY'26, FY'27 in terms of actual deliverable and similarly whatever you are talking about commercializing in '26, if you

will take a value of about another 2,000 crores, so on that when it starts picking up, how much of that would you be able to actually monetize say from FY'27 and over FY'28, just a ballpark number you can give that would be useful for us to recheck our assumptions on this LOI monetization?

Vishal Thakkar : On the LOIs, I would put it very simply and that's where I would put it for now is that you're right, the large commercialization that has happened is on the FY'22 LOIs that we had signed which were around about 2,600 crores worth of LOIs. Those 2,600 crores would mean that 450 to 500 crores is the revenue coming from that. We believe that we are we're doing around about 250 kind of a number and that should ramp up and should be peaking out by '26-27. So, that's the number that we can see. So, you have to look at it in three different buckets. The second bucket is the ones that we have signed in '23 principally, which would in the range of, be if I were to add the total, it is the number 1,000 -odd crores more. So, 1,000 if I divide it by six you would be doing around about 150 crores a month which should start in '26 and ramp up by '27 -
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28 and that's how you should look at it and that's where I would put it and then the balance we should be starting to see the commercialization in '26 and '27 and then you see two years of ramp up from then on. So, I would put it very simply, two plus two plus two, two years for getting into LOI, two years from LOI to commercialization, another two years for commercialization to ramp up. Now given allowance of the six months on either side, which happens because of either of the validation, about the environment, all that plays out and maybe six months of average you can give or take on that.

Moderator: We have a question from Pradeep Rawat from Last House. Please go ahead.

Pradeep Rawat: Sir, we are doing CAPEX of close to Rs.600 crores. So, I just wanted to know when this CAPEX is going to complete, and can you also highlight on the ramp up of this particular facility?

Vishal Thakkar : See

we have done a large part of the CAPEX and the balance whatever is left out, we should be able to do it in the next two quarters. So, this year we should be able to finish the CAPEX on it and after that couple of the plants we have started doing the trial runs. So, typically once the plant is constructed, you have your trial runs, then you have a customer identification and then your commercialization happens. So, typically it is anything between six to nine months that you will see that kind of a timeframe on this and that's what I would put it on.

Pradeep Rawat: Six to nine months from the commercialization of the plant?

Vishal Thakkar : From completion to commercialization, because you have your trial runs, you will have your validation and then the plans start for the large operations.

Pradeep Rawat: What kind of peak revenue can we expect from this facility?

Vishal Thakkar : So, if you look at my total CAPEX that I have done till date and if I look at the whole, I think I should be able to do 1.5 to 1.7 times the asset block which will be around about 3,000 -odd crores kind of a number is what I can say. Based on the current product portfolio, the numbers change because the plant volume remains the same, but the revenue changes on the per ton basis as well. So, that value engineering and the revenue optimization can happen but today when you look at the portfolio of the plant, we can go up to that level is what I would suggest.

Pradeep Rawat: What is the peak revenue of our current facility?

Vishal Thakkar : If you look at it today, it is 1,200 to 1,300 crores of my block and you can add 1.5 times to that because this is where I have lot of other CAPEX also like extra land and my R&D facility and my other utilities. So, the asset turn I would put it at 1.5 and not higher, but for the new ones, the asset turn will be high.

Pradeep Rawat: How much revenue are we envisaging from pharma and polymer segment going forward given our existing commitments?

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Vishal Thakkar : So, the pharma and polymers today also if you are saying they are contributing meaningful in the double digit for me in terms of themes, I think pharma and polymer should contribute more than 1/4 to 1/3 of my revenue at least going forward. Probably, pharma will be first, which will contribute in 20s in medium term and polymer should follow on that.

Moderator: Next question we have is from Krishan Parwani from JM Financial. Go ahead please.

Krishan Parwani: If I just look at the standalone numbers, your inventories are somewhere worth 1,185 crores and if I calculate the inventory days in the standalone business, has jumped to more than 500 to 600 days. Can you elaborate please what is going there?

Vishal Thakkar: Simple, I would say you are right, my inventory has expanded, I'm not saying that it has not expanded. You would have done it from a TTM basis and the TTM if you look at these are the four quarters which are my least quarters and if you use that as a base, yes, these numbers will

be in that range. Now, we can look at those. But to my mind two things will happen from here on. There is an additional inventory which you are seeing which will get liquidated over next two to four quarters which is the volume that I've manufactured but not sold. So, that will happen. And two is the same, when I sell it out, that converts into revenue and gets into my denominator as well. So, when you do numerator reduction and denominator addition, you will see that the numbers will start getting more representative in terms of what we have seen at the end of FY'25 and FY'26 is where you will start seeing the reduction from the FY'24 numbers further significantly, because I'm expecting a decent growth in FY'26 which will further allow me to liquidate the inventory and also become the base for my base calculation. So, both will

happen.

But today you are right, it has expanded and there is a very sharp focus from the management side to ensure that gets liquidated sooner.

Krishan Parwani: But if I just look at second half of last year to second half of let's say FY'25, do you expect a growth in top line?

Vishal Thakkar : It would have a growth. Second half of last year was the weak half and from that perspective, yes, I would expect the growth from there.

Krishan Parwani: So, even if we assume a growth of 20% over the second half of FY'24, then also your standalone top line could be anywhere in the range of 950, 960 -odd crores. So, let's say you liquidate more like 100, 120 -odd crores of inventory, even then the standalone inventory days is going to be much higher than 360 days. So, how do you kind of propose to reduce the net debt, which is kind of a loan to almost like 1,200 -odd crores in September '24?

Vishal Thakkar : So, Krishan, let's answer it in two parts. One is the inventory you rightly added it, right? So, what we are doing is we are approximating the lower revenue that I have in Q1, Q2, H1 also into this calculation. But when I'm running the business and if I'm doing let's say 350 as a revenue on a quarter, because the numbers that you're speaking, if I add that as my exit year, I'm not guiding for that, but just for the reason of mathematics I'm saying that number, if you look at it from that perspective itself, that's the kind of an annualized revenue that I'm seeing going

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forward, right. Because see, unfortunately we take the historicals of the financial and we take the cross section of the balance sheet to do it and that's how we all have been doing and that's how the most scientific way of doing it. But when you look at it from a business point of view, this distortion like I would look at going forward revenue and accordingly I will have my balance sheet. So, that's one part I would want to say. And second when you come back to let's say the net debt part of it, I believe the net debt I would be far more comfortable as we go because the second half, if I were to do whatever number you are saying and if I make a 25% EBITDA margin, let's not even talk about 28% or 29% that I'm doing on a standalone basis also, we are talking about a sizable contribution that is coming from there. That itself is enough and more to take care of it and if I'm saying that, I'm going to reduce the working capital intensity and not increase, then there is no absorption of cash in the working capital, one. Two, my CAPEX are done and CAPEX is perfectly okay. So, that's the second part of it, right. So, there is no cash usage that is there over and above servicing of the debt which is largely and largely working capital and not at the CAPEX flow. So, to that extent I have enough and more comfort there and then Q1 FY'26 is when my preference of preferential shares of 270 also comes in, and that will further ensure that I'm reducing the loan but as such, if I will take that off, I am very comfortable from the half performance itself. So, that's how I can see it and that's how the internal management plan is that we don't need any further external debt to really finance my growth for at least in the near-term.

Krishan Parwani: On your guidance that you mentioned like the long-term guidance of Rs.3,000 -odd crores with whatever capacity that you have with your current product profile, so does that include the Tanfac revenues?

Vishal Thakkar : No, I'm talking about standalone. That's the reason I was saying of 1.5 or 1.7 times. You're right. No, this is not including Tanfac. If you add Tanfac whatever their revenue will be over that period will be added on top of it.

Krishan Parwani: This is the guidance you're giving right, is that by '28, '29?

Vishal Thakkar : I could not hear you well. So, if you can just repeat that?

Krishan Parwani: This guidance is it for FY'28 or FY'29 or how is it?

Vishal Thakkar : I would put it in the medium term, which is three to four years and I will leave it there, Krishan. As we get here, I can really comment better on this.

Krishan Parwani: Just a clarification there. So, your current asset base in the standalone basis was 1700 crores, right, and then 1.5 times consist of 2,500 crores odd. So, is that incremental CAPEX that you are envisaging in the standalone business?

Vishal Thakkar : It is 1,900 crores is my block will be once I commercialize everything. So, there will be some bit of CWIP , that's the reason you might not be seeing it, but 190 multiplied by whatever that multiple, you will take it, we will be in the range of 3,000, that's what I was saying.

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Moderator: We have a question from Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: So, in our slide #12, we have given the business vertical wise split up; pharma 20% and other specialty 10% during the first half of FY'25. So, other specialty is only polymers or excluding polymers? And allied question to that is from the total LOIs that we have, if you can just quantify how much of that is from agro, how much of that is from pharma, and how much of that is from polymers, I mean out of that 9,000 -odd crores?

Vishal Thakkar : So, let's go with the first question that you asked. Others is practically polymers. So, for practical purposes you can use polymer as a reference on the other products. So, that's one clarification.

Second, if you look at the first one, two, three, four, five and six, the six LOIs that I signed in 2022, they all are agro -based products. Then the 2023 LOI that is also an agro one. Then the balance if you look at it, the one, two, three and four, four next are polymers and engineering fluids kind of application and one of them has also pharma applications also and then the last but one is the agro and the last one is the polymer again.

Rohit Nagraj: So, maybe next time whenever you are putting up the slide if you add it, it will be more comfortable for us to understand.

Vishal Thakkar : Thank you. Definitely we'll do that. No problem. We will do that because today we report into two segments only, life science and other specialty and hence you're not seeing it. Other specialty whatever are you saying are all polymers. That way we will be able to answer it simply and the life sciences practically are all agro because pharma very limited, have a long term LOI kind of a contract, they are more domestic market where typically you have a long -term relationship but not a contractual relationship to a large extent.

Rohit Nagraj: So, now other question which comes into mind is that so during the first half, whatever growth we have seen in pharma and other specialty, which is nothing but polymers, this is predominantly from the legacy products and non -LOI products, is that assumption right?

Vishal Thakkar : I will say there is some bit on the polymer side you would have seen, but it's not legacy. There are new products which have been launched in pharma . Last year I launched 17 new products, right, that 17 products are giving me the revenue as well, right. So. So, it's a combination of two.

Rohit Nagraj: Legacy in the sense I just wanted to bifurcate between the products, LOI and non -LOI.

Vishal Thakkar : Okay. So, see, I'm saying that this year also my LOI revenue should be in the range of 20% -plus of my revenue . So, quarter -to-quarter when we see there is always a scheduling, there is always lot of other parts too. But if you look at on an annual basis I should be there.

Rohit Nagraj: So, FY'25 will be about 20% plus/minus from the LOI?

Vishal Thakkar : Yes, from LOI.

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Rohit Nagraj: Another question

ion is in terms of the outlook or probably visibility from the MNC customers.

Given that most of the scheduling for 2025 calendar year is already done, so what is the visibility that currently we have from the legacy portfolio and the ramp up of the new products which are being launched for the LOI purpose?

Vishal Thakkar : If you look at my legacy products in the last four quarters have been pretty low compared to what average should have been even in a different environment. However, so the combination of one is getting a little bit of buoyancy coming up, now that buoyancy is Q3, Q4 or Q1, that we can debate about. And second is there is a bit of a pendency on the demand which is also looking to pick up. So, from that side we see that H2 we have a reasonable confidence in terms of the volume offtake. When I'm saying Q3, you would also appreciate that for us the business is in continuum, we review ourselves on a cross section of a time, but on a continuum basis when I see I can see that there is a buoyancy in the conversation, buoyancy in terms of forecast given by the customer and there is a buoyancy in terms of now the offtake that they are doing.

Rohit Nagraj: Just one last clarification. When we are talking about the LOIs in terms of booking contract, however, given that there has been pricing pressure in most of the products currently. Next year when we are talking about, is there compensation on the pricing part or in terms of volumes to attain that particular contract value over a period of time?

Vishal Thakkar : Please appreciate that as we've said in the past the input raw material cost is the pass -through, right. You're right that the pricing vary across various countries have been up and down. So, you have to also appreciate the pricing of '22 which will be the pricing reference of '21 which were in '22, and there are contracts which are signed in '24 which will be pricing reference of '23 or

early part of '24. So, there is a whole cycle in it and also please appreciate this is a five-year contract or a seven-year contract. So, today prices may be lower, tomorrow there will be higher price, right. So, we believe that there is an averaging that happens across the timeframe in terms of revenue per ton. Is that how we do it? Answer is no. The way we do it is very simple that the costs are pass-through but when I say that in seven years or eight years, I will do so much of a revenue from this contract, it is an assumption of an average price that I would have seen over the period of time, right? So, I'm not doing mark-to-market if I want to use the word. Mark-to-market it will be there but every quarter the mark-to-market number will change then, right. And it doesn't help in terms of understanding how the business is going there.

Moderator: We have a follow up question from Mr. Ramesh from Nirmal Bang. go ahead.

Ramesh: So, when you discuss the growth for the existing molecules and the new molecules in the LOI, incrementally, what are the working capital terms in terms of inventory days and reserve days for the new LOIs and the new molecules and to what extent will that help you to reduce your working capital cycle?

Vishal Thakkar : So, see, if you look at it, my current working capital is out of ordinary than my normal business working capital should be. So, the new LOIs where I tend to have a control on the working capital side. On the new demand from pharma side, if you look at, Indian pharma side tends to Anupam Rasayan India Limited
November 15, 2024

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have a little higher working capital especially on the later side, but maybe on the inventory side, I will have a lower number because I don't need to stock because the pricing is more live in that condition. So, to my mind, the new contracts should be in the range of historical, not the recent one, but the historical working capital cycles of 2020-2021 kind of a timeframe. So,

o, that on a

blended basis also will be helping and also when I start liquidating my working capital, I would have a double effect on this.

Ramesh: So, how much of debt can you expect to repay say over the next two years on the current debt level?

Vishal Thakkar : So, first, anyways, I will be repaying around 200 plus of debt in H1 of '26 because I will have my pref and warrants money coming in and I have announced to repay that. So, that anyways I will do. So, largely my term debt will be largely done except or a little bit of what is left out, but then on the net cash basis, it will be practically the zero scenario which I had mentioned earlier also. On the working capital side, basically I don't have going forward any significant CAPEX except maintenance CAPEX and I do not have more absorption of working capital because there is enough and more working capital which will ensure that the current working capital is sufficient to take care of the growth, which if you look at, it had happened in 2022 versus 2023, if you look at it my working capital, even after growth of 25%, my working capital was same and hence my whole growth was funded by the same working capital and I believe that's kind of a similar effect will happen going forward as well. So, one that is there and then there will be free cash flow which comes in like that will help me lower my debt. But from 1,200 the debt would be in the three digits by the middle of the next year.

Ramesh: And then one last thought. On the HF expansion done by Tanfac, what will be your average sourcing of HF from say per annum, the next two to three years based on the expanded capacity?

Vishal Thakkar : Even if you look at it, I'm not the largest consumer of them because my absorption of them is limited, but if you really ask me, I'll be in the top five to six but there will be many other players also who will be consuming this product. So, today, whatever is the demand, that is whatever they're supplying to their customers, they will continue to do, the additional volume I will be able to absorb it. But that's okay.

Moderator: We have a question from Siddharth Gadekar from Equirus. Go ahead please.

Siddharth Gadekar: In slide #14 we have highlighted new chemistry where you highlighted pyridine chemistry. What are we exactly doing in that chemistry?

Vishal Thakkar : I'll go to that slide and then we can talk about it. Yes, so we have highlighted pyridine chemistry. So, we are using this pyridine chemistry for manufacturing of couple of our products which will be going into the pharma application.

Siddharth Gadekar: So, we will be manufacturing pyridine, or we will be sourcing pyridine from outside?

Vishal Thakkar : No, we are not manufacturing pyridine, right. We'll be doing other classes of pyridine.

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Siddharth Gadekar: Secondly, in terms of the photochemistry, how many molecules are we doing in that technology as of now?

Vishal Thakkar : So, there are three to four molecules which are in the pipeline where we are doing it in the photochemistry, right now.

Siddharth Gadekar: So, lastly, just on the working capital, if I want to look at it from FY'26 perspective, where should we look at the working capital days given that we have been guiding to lower working capital for the last 2.5, 3 years, but we haven't seen that playing out?

Vishal Thakkar : So, on the working capital side, again, I would say this year will be similar to last year, '26 will be significant improvement, I am not wanting to guess that right now, but I would try and guide that probably in the next coming two quarters because I want to look at the volume offtake and the revenue offtake ramp up before I guide on that.

Moderator: That was the last question for the day. I now hand the conference over to management for closing comments.

Vishal Thakkar : Thank you, every

one for your active participation and for your questions. We hope we have been able to answer most of your queries. In case we have missed any questions, or we have not addressed it sufficiently, please reach out to our IR partner, E&Y and we will be happy to get them answered to you. Once again, thank you very much for participating. Thank you for coming on a holiday and wish you a happy Diwali.

Moderator: On behalf of EY and Anupam Rasayan India Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

ANUPAM RASAYAN INDIA LTD.
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CIN - L24231GJ2003PLC042988

ARILSLDSTX202502 19083 Date: February 19, 202 5

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001, India
SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block -G,
Bandra Kurla Complex, Bandra (East),
Mumbai -400051, India
SYMBOL: ANURAS

Dear Sir/Madam,

Subject : Submission of transcript of Earnings Call on the Unaudited Financial Results
(Standalone and Consolidated) of Anupam Rasayan India Limited (the "Company")
for the quarter and nine months ended December 31, 2024.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call on the Unaudited Financial Results (Standalone and Consolidated) for the quarter and nine months ended December 31, 2024, held by the Company on Friday , February 14, 202 5.

This information will also be hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking you,

Yours Faithfully,

For Anupam Rasayan India Limited

Ashish Gupta
Company Secretary & Compliance Officer

Encl.: As above
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"Anupam Rasayan India Limited
Q3 FY '25 Earnings Conference Call "
February 14, 202 5

MANAGEMENT : MR. ANAND DESAI – MANAGING DIRECTOR – ANUPAM

RASAYAN INDIA LIMITED
MR. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICE R –
ANUPAM RASAYAN INDIA LIMITED
MR. AMIT KHURANA – CHIEF FINANCIAL OFFICER –
ANUPAM RASAYAN INDIA LIMITED
MR. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL
OFFICER – ANUPAM RASAYAN INDIA LIMITED

MODERATOR : MR. KANAV KHANNA – E&Y INVESTOR RELATIONS

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Moderator : Ladies and gentlemen, good day, and welcome to the Anupam Rasayan India Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kanav Khanna from E&Y Investor Relations. Thank you, and over to you, sir.

Kanav Khanna: Good evening and welcome to Anupam Rasayan India Limited Q3 and 9 month FY '25 earnings call. Please note that a copy of the disclosure is available on the Investors section of the website as well as on the stock exchange. Anything said on this call which reflects the outlook towards the future, or which could be construed as forward-looking statements must be reviewed in conjunction with the risks that the company faces.

Please note that the audio of the earnings call is the copyright material of Anupam Rasayan and cannot be copied or rebroadcasted attributed in the press or media without specific or written consent of the company.

Today from the management side, we have with us Mr. Anand Desai, Managing Director; Mr. Gopal Agrawal, Chief Executive Officer; Mr. Amit Khurana, the Chief Financial Officer; and Mr. Vishal Thakkar, the Deputy Chief Financial Officer.

With this, I would like to hand over the call to Mr. Anand Desai for his opening comments.

Thank you, and over to you, sir.

Anand Desai: Thank you, Kanav. Good evening, everyone, and a warm welcome to the Q3 FY '25 earnings call of Anupam Rasayan. Let me begin by providing updates on our business verticals for the quarter.

Our Pharma and Polymer segments, which saw as our new growth drivers have continued to expand their contribution to our revenue. The Pharma segment grew significantly, reaching 23% of sales, while the Polymer segment accounted for 10% of sales in the 9 months of FY '25. For the full year, we anticipate both segments to contribute meaningfully to overall revenue with this growth trend expected to persist through FY '26 also.

As highlighted in our previous calls, the expansion of these verticals will help create a more balanced portfolio, ensuring greater stability against sector-specific fluctuations. Now let me highlight our financial performance for the quarter and half year under review. Our consolidated operating revenue for the quarter stood at INR390 crores, which was 32% higher than the Q3 FY '24 and around 33% higher than Q2 FY '25. This growth is as discussed earlier on the back of continued growth in Pharma and Polymer segments and robust performance by Tanfac.

In the last 9 months, agrochemical sector has faced a weak demand situation, especially from Europe, which is expected to improve in coming quarters. On the margins front, consolidated EBITDA margins for Q3 FY '25 stood at 31% on account of favorable product mix and strong margins posted by Tanfac also.

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Given the uptick in the demand momentum and projected offtake from our customers, we anticipate resuming our growth trajectory in the next financial year, targeting a 30% to 35% revenue increase in FY '26. At Anupam Rasayan, we remain committed to building a sustainable business. Over the years, we have invested in various initiatives, including a recent INR59 crores investment in a 9.2 -megawatt hybrid power plant combining solar and green energy, which was successfully commissioned in October 2024.

With the agrochemical demand picking up, coupled with higher contribution from pharma and polymer, and our growing strength in fluorination chemistry, we at Anupam Ras

aya are

confident to get back to our growth path.

With this, I would like to hand over the call to Mr. Gopal Agrawal, the CEO of our company to discuss the business updates. Over to you, Gopal -bhai.

Gopal Agrawal: Thank you, Anand -bhai. Hello. Good evening, all of you. I will begin briefly discussing the business highlights, which will be followed by financial highlights by our CFO, Amit -bhai. As Anand -bhai mentioned, the challenges we faced in Agro segments seem to be fading away, while the Pharma and Polymer segment continued to experience strong growth driven by launch of over 17 molecules in FY '24 and 6 -plus molecules that are being launched in FY '25.

It is also noteworthy that we have around 65 -plus molecules of pharma and polymer in R&D and pilot stages currently. These 65 molecules can be split between pharma and polymers, say across 30 and 35, respectively. All these molecules are going to be the driver of our growth in coming times.

Apart from polymer and pharma portfolio, let me take this moment to talk about our other growth drivers. Our fluorination chemistry portfolio, which got strengthened with the acquisition of Tanfac by ensuring uninterrupted supply of KF and HF around 3 years back is continuing to see a good traction from our customers.

As discussed in our previous call, we anticipate that Japan, where we have a very strong business development team will contribute approximately 1/3 of Anupam sales over the next 2 to 3 years, with most of the business secured through long -term contracts. Further, I'm happy to share that we have recently signed one contract and another LOI with the U.S. MNC for supply of high -performance specialty chemicals used in critical polymer applications such as defense, electronics and aerospace. With this and our new product pipeline, we expect U.S. as a geography to have substantial contribution in growth of the company, translating to over 15% of sales over the next 2 to 3 years.

The third driver of our growth alongside polymer and pharma expansion and chlorination is our continued capability to secure LOIs and successfully convert them into long -term contracts. At present, our order book stands at approximately INR10,700 crores, spread across on an average 5 to 6 years. Of this INR10,700 crores, INR3,100 crores worth of order book is already commercialized. And of the rest, majority will be commercialized in FY '26.

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Keeping all these growth drivers and initiatives in mind, we believe that we should start seeing strong performance going forward. And as Anand bhai already shared with you that we expect to grow at a rate of 30% to 35% in FY '26.

With this, to take you through financial highlights, I would like to hand over the call to our CFO.

Over to you Amit -bhai.

Amit Khurana: Thank you, Gopal -bhai, and good evening, everyone. I'll start by highlighting the financial performance for the quarter before handing over the call to Vishal -bhai for in -depth discussion. Starting with our capex update. As of December 31, 2024, we have completed INR650 crores of the planned INR670 crores capex. As Anand -bhai mentioned, all the plants are on track for commercialization by March 31, 2025.

As noted in Anand -bhai's opening remarks, our new 9.2 hybrid project was commercialized in October 2024. This initiative is expected to generate annual energy cost savings of approximately INR15 crores. Combined with our previous INR68 crores investment in our 17.9 -megawatt project, the total savings will amount to INR28 crores annually.

With these efforts, 65% of the company's electricity needs will be met through green energy in the future. We remain committed to cost optimization and operational efficiency. This strategic focus, along with our ongoing expansion, positions us well for sustained growth.

With that, I'll hand it over

to our Deputy CFO, Vishal -bhai, for further insights into the financials.

Vishal Thakkar: Thank you, Amit -bhai. Good evening, everyone. I would like to share key performance highlights for the quarter and 9 months ended December 31, 2024. Before we open floor for Q&A session, I hope you have had the opportunity to review the detail presentation and the results that we have submitted to the exchanges and posted on our website. Kindly note, our numbers for the quarter and 9 months are on consolidated basis, and they include Tanfac numbers as well.

Let me first discuss consolidated financial highlights for the quarter ended December 31, 2024.

First, operating revenue for Q3 FY '25 was at INR390 crores as compared to INR296 crores in Q3 FY '24, up 32% Y -o-Y. EBITDA, including other income, was at INR121 crores in Q3 FY '25 as compared to INR81 crores in Q3 FY '24, up 48% Y -o-Y. This would translate to 31% EBITDA margin in this quarter, up 389 basis points.

Profit after tax was at INR54 crores in Q3 FY '25 as compared to INR26 crores in Q3 FY '24,

up 108% Y-o-Y. Our top 10 customers contributed to 63% of our total revenue in Q3 FY '25. Talking about the 9 months financials. Operating revenue for 9 months FY '25 was at INR938 crores as compared to INR1,074 crores in 9 months FY '24, down 13% Y-o-Y. EBITDA, including other income, was at INR262 crores in 9 months FY '25 as compared to INR306 crores in 9 months FY '24, down 14% Y-o-Y. This would translate to 28% EBITDA

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margin in this period. Profit after tax was at INR97 crores in 9 months FY '25, as compared to INR127 crores in 9 months during FY 2024.

With this, we'll open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Meet Vora from Emkay Global.

Meet Vora: Yeah, thanks for the opportunity. firstly, while the Pharma and Polymers business is doing well. Agrochem sales have been slow for quite some time now. So is this more customer -specific or market -specific rationalization in terms of overall sales?

Vishal Thakkar: Meet, thank you for that question. Let me answer it in this manner. Definitely, there was a bit of a headwind that we saw in the Agrochem market, and especially in the EU area. However, if you look at it, also, there was one of the large Indian MNC in the agrichem sector, which was contributing around 15% of our revenues in the past historical numbers, which we have decided to withdraw our business from .

And that also has been one of the significant reasons why our Agrochem market has -- Agrochem contribution has been lower. So that's one that I would want to highlight , over and above because -- had this thing not been there , probably we would have been far better off and probably drop in Agrochem would have been significantly lower. And our profitability -- our revenue growth would have been a rather than a degrowth.

Coming to how we see it from here on, we see that we have started seeing the strength as what was mentioned in our opening remarks by Gopal bhai and Anand bhai as well. We see strengthening of the Agrochem demand, especially also from Europe. And we anticipate that by -- Q4, you will see a stronger number from the Agrochem , and in FY '26 as well.

I hope I've been able to answer your question, Meet?

Meet Vora: Yes. Sure, Vishal bhai. And sir, secondly, congrats on continuing the LOI signing and conversion of that into contracts. So again, like yesterday, we have signed a new LOI. And now based on that, what is your overall outlook for the US business?

Vishal Thakkar: Okay. So you've rightly identified, Meet, that these 2 contracts are very meaningful ones And one contract and one LOI are very meaningful revenue drivers for us in the EMEA. Yes, we expect both these con

tracts to be commercialized in next year itself, which would mean that we would have a significant revenue addition coming from these 2 contracts.

And we expect that US as an end market would be in the high teens for us by the end of next year or -- next year, 12 to 18 months' time, we should be looking at the high teens' contribution from the US. So if you look at it from a geographical diversity point of view, if you really look at it, what has really happened to us is that agro is there , and personal care continues to be 10%, then if you see pharma has become 25% for us and polymer is more than 15% for us as we go.

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If you look at it from a geography point of view, Europe, which was the largest market, today now we will have effectively 4 large markets, which is Europe, Japan, U.S. and India. And all 4 will have a meaningful contribution to our revenue in addition to Singapore, which will give us some 12% to 3% as we move.

So if you look at it over the last 3 to 4 years where we have been very consciously working on our diversification strategy, you see that we have been able to diversify across products, across customers, across geography, across end market application and also across the plants today, we have multiple plants that from where we can cater to. So this strategy is just playing out. And as we move in next 12 to 24 months, this would have seen a far better -balanced portfolio.

Meet Vora: Sure, Vishal bhai. And in terms of reaching your peak revenue potential from the LOI pipeline that has been signed, I think we were earlier envisaging that, that will be achieved broadly by FY '27. So , I think that time line still remains or is there any change on that?

Vishal Thakkar: So I think there, we would expect that with the new LOIs and contracts coming in, we feel that the peak revenue should be the majority -- the large part of the peak revenue should have come in by FY '28 because if you take -- the commercialization would have happened in '26, '27, but

the peak would come in by '28.

And also, please appreciate that earlier we were talking about the numbers, which were delivered in 2022 LOIs, which we were expecting for '24 to '26 to commercialize. Now we have other LOIs, which are coming in '24 also in '25 as well, so which will also take a couple of years to commercialize and then ramp up. So it will be the case, I would -- but to share INR3,100 crores worth of LOIs and contracts have been commercialized. And next year, further a significant part of the balance portfolio should have also been commercialized.

Meet Vora: Understood. And just last question. Are we also looking at any inorganic opportunities in this space, either on pharma, agro or polymers or within the existing verticals that we are having?

Vishal Thakkar: Look, so Meet, honestly, we keep -- see we are -- we keep looking at any value -adding opportunities that we can have. Like what we did for Tanfac, we keep continuing to look at certain companies, which are across geography. I think if it is agrochem or it is pharmaceutical or it is polymer as long as it's a value -adding and strategically advantageous to us, we will be keen to look at it. And we continue to look at it as and when we have something very, very meaningful to share, we would definitely share with the market and with you -- all of you.

Moderator: Next question comes from the line of Harsh Shah from Axis Capital.

Ankur Periwal: Ankur Periwal this side. Congratulations for a good set of numbers. First question on the change in business mix that you highlighted. So good to see personal care, pharma, polymer, et cetera, also improving there. So will it be fair to say that balance here, which is roughly around Agrochem is around 50%, 55% of the revenues in 9 months?

Vishal Thakkar: Yes. I think that's where it should be. And -- yes, Agrochem will

be 50%, 55%.

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Ankur Periwal: Great. And the margin profile for these segments, Pharma or Polymer, will it be largely the similar way the way we have been pricing Agrochem or these will be margin -accretive?

Vishal Thakkar: So -- typically, how our business models are there, we try and look at the pass -through from the margin side and cost side. But because these are also the forward integration and using our current value chain, our ability to get some extra margin is likely on this case. So both on polymer and pharma, we should have an upward bias on margins. And these are very niche applications, especially in polymer, which will ensure that our ability to ask for and maintain that margin should be there.

However, I would give -- I would be conservative and say that we should look at on a balanced portfolio side kind of EBITDA margin we will seek. But there should be an upward bias. I would always go with.

Ankur Periwal: Sure, Vishal bhai. So where I was coming from was on a 9 -month basis, our gross margin has expanded. And this expansion is largely led by this change in business mix. And given that incrementally also the growth horizon for polymer, pharma, et cetera, is pretty healthy given the molecules that we are working on, largely, these gross margin numbers should be maintained. Will that be a fair assumption?

Vishal Thakkar: Yes. Fairly similar. As you know historically also, I've been really suggesting that rather than looking at me from a gross margin, I would prefer to look at myself from an EBITDA perspective because I have a contract, or I have a business model that I'll ask for the pass -through. So when gross margin is one of the factors because if there is a complex product, then the gross margin will be very high, but my overhead will be also higher.

And hence, my EBITDA margins will be there. So seeing it from an EBITDA margin perspective would be a more reflective of the stability of my business. But you are right. Today, it seems to be the case.

Ankur Periwal: Okay. So Vishal bhai, one thing since you mentioned EBITDA margins, are other overheads as well as manpower costs on a 9 -month basis have declined both in double -digit numbers. If you can put some more light here, is there a cost reallocation? Or how should one look at it?

Vishal Thakkar: So this is also to do with 2 things. One is because of my lower volumes also has some bit of a contribution to that. And second also is also the product mix because largely, if you look at it, my EBITDA margin has been -- has expensed. And yes, when you look at consol, also, please see that the Tanfac has really, really given a very high margin and which is also getting to the consol numbers moving on a different level, especially with the strong...

Ankur Periwal: Sorry to interrupt, my question was more on the stand -alone side. I'm excluding...

Vishal Thakkar: When you look at the stand -alone basis, I think the broad number that -- what you're saying is largely on account of bit of a ESOP expense which has dropped a bit, bit of a volume part of it, which also means that there is lesser job work that has gone out, and that is also one of the reasons. So 2 broad if you were to see that.

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Ankur Periwal: Okay. And just lastly, on the working capital side, any -- since the large domestic MNC is gradually exiting -- sorry, we are gradually exiting the large MNC, should we -- how should we look at the working capital part, both on Agrochem side as well as the new business, which is almost 50% of revenues now? How is the working capital -- how are the working capital terms over there?

Vishal Thakkar: So you are right, see, it had the sectorial tailwinds been there in terms of, let's say, if the market was more buoyant, then my working capital would have

been very strongly improved with this exit of the customer also and also with the efforts that we have put in. Because of the slowness that we saw for the last say 4 quarters to 5 quarters, one, my debtors had expanded, which are now coming into a more -- into the improving trend.

And my inventory also as my revenue now picks up, that should also start getting liquidated. I believe that the targets that we have kept for ourselves, I think the numbers we should be focusing on that and 18 -odd months plus 6 months, we should be there.

Moderator: Next question comes from S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Congratulations on your results. So in terms of your operating cash flows for 9 months and this year, what is the capex you have done for these 9 months? And how are you seeing the operating cash flow? And what is the increase in debt as on date?

Vishal Thakkar: So -- okay, let me come to the first the capex part, and then I'll come back to the other parts. My -- just give me minute here, please. My capex for this year has been INR200 crores, right? And if you look at the increase in my total total debt level around today, my total debt level will be around INR1,100 -odd crores.

S. Ramesh: Okay. And in terms of working capital days as of 9 months, where are we in terms of the inventory and debtors on the net working capital cycle?

Vishal Thakkar: So I would say that my working capital has been similar to what I have seen in the 6 -month period. I would suggest you to take it at that level. And that's where I would put it.

S. Ramesh: So when you responded to the previous speaker that you expect to achieve a reduction in working capital in 18 months, so what would be the net working capital number of days that you can achieve in the 18 -month period?

Vishal Thakkar: I -- that's what we've been saying that 180 to 200 days is the target that we are focusing, and that is the target we want to continue to focus on. So today, when you look at the days, what is happening largely is because of my first half, which was a muted half on a very lower half -- lower numbers that I had, the yields have expanded significantly when you divide it by the sales. But when you look at, let's say, if I were to even look at a revenue, let's say, INR1,300 crores or INR1,400 crores whatever you want to take at that point in time on a run rate of that number, you will see that my days start stabilizing better. And the ability to liquidate my working capital will be higher from 2 reasons.

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When your sales start picking up, your ability to liquidate inventory comes in, and two is also when there is a buoyancy in the demand, your ability to request the customer to pay on time is also higher and which both will ensure that in the next 18 to 24 months, we should be able to achieve that. That's the target, Ramesh, I would focus on going forward as well.

S. Ramesh: So if everything works really in terms of your own business plan, where do you see your debt - the gross debt figure in the next 2 years?

Vishal Thakkar: So I don't want to give any guidance on those numbers, but give you very simple one anecdotal evidence that there will be probably you are better than math then we to really project it.

But if you look at '22 versus '23, my working capital actually -- when my sales picked up, my working capital days reduced by around about 40 to 50 days from 290 to 240 days, days -- 250 days. And that year, if you look at it, my operating cash flow from operations was around about INR255 crores when I compare to the PAT of INR170 crores.

So I believe that the moment we start achieving the growth and the reduction in the working capital days, there will be a very strong conversion of EBITDA to operating cash flows. Say for the first 1 to 2 years, we will have a stronger benefit from EBITDA to PAT -- EBITDA to

cash,

and that's what you will see as we go forward. We don't have any capex that has been planned, this cash will only convert into reduction in the debt.

S. Ramesh: Sir, if you look at the warrant issued to promoters, when do you expect the balance money to be paid? How much would that be, say, when everything is paid, sir?

Vishal Thakkar: It's INR270 crores, which is expected in the first quarter of FY '26. And that also will ensure that I have reduction in debt because that primary usage of that is debt to a large extent.

S. Ramesh: Yes. Sir, let me squeeze in just 2 more thoughts. One is capacity has gone up from 27,000 to 30,000 as per the latest presentation. So where has the 3,000 -ton expansion happened in Unit 5 and 6 in Sachin? Where exactly has this happened?

Vishal Thakkar: So one in Sachin, one in Jhagadia and another one will come in Jhagadia as we go.

S. Ramesh: Okay. So about 1,000, each or...

Vishal Thakkar: Not -- because it will be 1,000 -- some 1,200 -plus the balance will be in the -- in Jhagadia.

S. Ramesh: Okay. And between domestic and exports, can you give us a split what is domestic and how much is exports as of 9 months or 3Q?

Vishal Thakkar: It's broadly 50 -50 for now.

S. Ramesh: Okay. So one if you're looking at your margin profile, as you said, you're expecting some improvement based on your product mix and there is an expectation of 35% growth. So what is the base FY '23 revenue you are penciling in for that growth? And in terms of the overall portfolio margin, assuming that you're able to convert the LOIs and the existing business, you'll be able to maintain that current year average trend in terms of margins.

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Vishal Thakkar: See, so Ramesh, I don't want to give any specific guidance for the moment. So let me give you a directional one, which probably will help you in terms of estimating where we are looking at.

One, I would continue to guide at 26% to 28% EBITDA margin, though I know there is an upward bias, but I would want to do that for 2 reasons. One, there will be a ramp -up of new plants, which has its own implication in terms of overheads, at least in the initial when the ramp -up starts happening, one.

Two, when you have a newer product, it takes you -- there is always a curve that you hit the expected efficiency over 1 or 2 cycles of production. So that is the second point where I would like to keep it at 26% to 28%. And in terms of revenue, as I had also mentioned, that on a consol basis, we should be flatish in terms of stand alone, we should be having a mid -teens kind of a degrowth is where I would put it at.

S. Ramesh: Mid-teens degrowth for the full year FY '25, right?

Vishal Thakkar: On a standalone basis, yes.

Moderator: Next question comes from the line of Rohit Nagraj from B&K Securities.

Rohit Nagraj: A couple of clarifications and a couple of questions. First, in this clarification, you mentioned that total number of -- the total quantum of LOIs that is commercialized is INR3,100 crores. So is that reflected in numbers? Or these are the contracts, which have been commercialized? How should we look at this particular number?

Vishal Thakkar: So you are right. It's not -- you cannot say -- you're right that I cannot say that INR3,100 divided by 500 to 600 is the reflection in the revenue and 500 is the reflection in the revenue. Answer is no, you're right. That's not the case because there is a time to ramp up. But I can only say that this year, we should be looking at around about 20% to 25% of our revenue coming from this LOIs and contracts.

Rohit Nagraj: This year meaning FY '25?

Vishal Thakkar: FY '25. I'm talking about FY '25. FY '26 should be a significantly higher number.

Rohit Nagraj: Right. Got it. Second clarification, again, the growth of 30%, 35% Y -o-Y. Are we basing it on the stand -alone numb

ers or consolidated numbers for FY '25?

Vishal Thakkar: Standalone.

Rohit Nagraj: Okay. Fair. The -- couple of questions now in terms of the gross margin expansion that we have seen. So historically also, you've been telling that normally, we have a back -to-back arrangement in terms of the raw materials as well as the contracts that are in place. And hence, our gross margins or even EBITDA margins are largely secured.

But quantum jump suddenly in a particular quarter, so are there any other factors which have moved these gross margins significantly given that you're again -- you have just alluded that on a sustainable basis, we still look at, say, 26%, 28%. So is there any one -off, which has moved these gross margins during this quarter?

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Vishal Thakkar: Rohit, really now, it's no more to do with the product -- what product has contributed how much to my business. So this quarter has been where there is a product where there are a couple of products, which has the higher gross margin. And that is the reason you would see it on a

quarterly because depending upon the schedules, a few products go in a particular quarter versus the other products go in a different quarter.

So on an annual basis, if you look at it, you will see me more stable. And also what I would encourage, and that's what I'm trying to share that look at me more from an EBITDA than a gross margin level because again, when you have a pass-through, I also not only have a pass-through of raw materials and I also have a pass-through of my overheads, my utilities, my -- every other cost. And that's where I try and look at the EBITDA number, which is more reflective of that relationship.

And as I was saying that if there is a product which is a more complex product, then the complex product will have a lower gross margin because there is a -- there are multiple steps and when multiple steps are to be executed, the overheads and the utilities would go higher. And if I keep my EBITDA margin to be constant, that means that I would have to expect a higher gross margin to compensate for the higher overhead that would be there. So I would put it only -- largely to that phenomenon than any other phenomenon.

Rohit Nagraj: So just to summarize, probably, if there is a change in a particular quarter, it will get even out during the course of say 2 quarter in a year?

Vishal Thakkar: Exactly. And that's the reason if you see I have been very conscious of making those numbers - making that guidance on the numbers. And also in terms of -- if you look at my 9 months, yes, they are more in line with rather than the reflection of the quarter.

Rohit Nagraj: Okay. And you also mentioned about one of the domestic MNCs going out, as in we have terminated the contract, so this is 15% of Agrochem revenues or total revenues?

Vishal Thakkar: Total.

Rohit Nagraj: Okay. And this has happened in FY '25?

Vishal Thakkar: Sorry, I didn't hear you.

Rohit Nagraj: This has been taken effect from FY '25? Is that the right way to look at it?

Vishal Thakkar: There was -- the process started from '24 and '25, you can see the full impact.

Rohit Nagraj: Yes. Fair enough. Just last question on the capex front. You said INR200 crores of capex.

However, the INR670 crores probably still sitting at the CWIP level, and hopefully, will get commercialized during this quarter. So how do we look at -- so let's say, 70 plus 200 will be the total capitalization...?

Vishal Thakkar: No. Say 70 will be total capitalization. What I -- what we asked was the cash outflow of capex of the year, and I said 200 is the capex for the year.

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Rohit Nagraj: Fair enough.

Vishal Thakkar: So that includes INR650 crores. So totally, you will see that INR670 crores of gross block would be added

by the year -end.

Moderator: Next question comes from Ashwini Agarwal from Demeter Advisors LLP.

Ashwini Agarwal: Good set of numbers. Congratulations. Couple of clarifications to questions earlier asked. One is on the debt level; did I hear the figure right that INR1100 crores is your gross debt number as of 31st December '24?

Vishal Thakkar: Yes.

Ashwini Agarwal: So does that mean that it has come down by INR170 crores? Because as of 30th September, this number was INR1,270 crore from what I can see.

Vishal Thakkar: Okay. Just what you're saying? Can I get it again, please?

Ashwini Agarwal: Yes. So basis, what I can see, as of 30th September, your gross debt number was INR1,270 crores. And what you mentioned was at now your gross debt number as of 31st December is INR1,100 crore. That would indicate INR170 crore repayment. Is that right? Or am I missing something?

Vishal Thakkar: Stand corrected. The total number is around INR1,200 crores. You're right. I stand corrected on that.

Ashwini Agarwal: INR1,200 crores. So there's still a marginal decline from INR1,270 crore to INR1,200, crore. Would that be...

Vishal Thakkar: That's more to do with the capex repayment, the term loan repayments largely.

Ashwini Agarwal: Okay. And sir, if you could just clarify that again I think Ankur had asked at the start of the conference call that the decline in operating expenses on a stand-alone basis that we see on Page 8, which is quite substantial, you mentioned that it's mostly due to outsourcing cost of contracts that you give out, or is it that you capitalize some of the cost related to the capex? There is no capitalization. Is that a fair assumption to make?

Vishal Thakkar: Yes, there is no capitalization. See, I'll tell you, it's very simple. Let's look at my revenue for the 6 months standalone last year, 9 months standalone last year.

Ashwini Agarwal: Yes.

Vishal Thakkar: If you look at the cost in terms of my sales. Now, if you look at that, , let's say, the reduction is lower than that, right? Other expenses also, it is not as low as that. So largely, see not all of the cost is a fixed cost, right? There is variable cost to it, especially the outsourcing of job work cost, right? And so that way, you will see that you will be in the similar number. That's what I was trying to say.

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So honestly, there is no -- if I were to put it simply, the variable part of the cost has been reduced because of the volumes that has been produced and sold. And on the employee side, largely, it is the ESOP cost, which has really been the reason for that.

Ashwini Agarwal: Perfect. And sir, would you be able to read out the numbers for inventory and -- essentially, inventory number as of 31st December. This number was INR1,272 crores as of 31st September .

Vishal Thakkar: I would excuse myself from this because, a, we don't list out those numbers for the third quarter. I would -- because then, again, I would have to report out all the other numbers because then only my balance sheet would be fairly looked at. So rather, I would say the similar range is where you can take it for now, please. I hope you appreciate. Apologies if I have not been more helpful than this. But you can put my words on that, that we are fairly stable on those numbers right now and on an absolute term.

Moderator: Next question comes from the line of Rajakumar Vaidyanathan from RK Investments.

Rajakumar Vaidyanathan: Sir, my question is on the inventory, sorry, to labor on that. So if I see your September inventory, it was INR1,270 crores. And if I see your December number, the changes in inventory is almost INR120 crores negative is there, which means you have added further INR120 crores inventory. So it's about INR1,400 crores of inventory roughly you should have as of December. So -- and I also look at your material cost

to sales is about 40% on a consol basis, so which means you are roughly carrying almost inventory to serve almost INR3,400 crores worth of revenue, which is almost like 2 years of revenue. So I just wanted to -- if you could just give some color why we are adding this material. Is it because there is a lot of lead time involved in locating this material or it's a long production cycle? If you could just enlighten us, it would be really helpful.

Vishal Thakkar: Sure. So I would not speak on the specific numbers that you have derived, and I will leave it to your judgment on that. But let me answer the question and say that why are we having such a high inventory, be it INR1,000 crores or INR1,100 crores or whatever number we derive at.

Let me put it very simply. If you look at a large part of my that inventory will come from finished goods and WIP and not of RM. RM will be 15% to 20% -- 20-plus or minus 5% of my total inventories holding. Now why do we need to hold this inventory on a structural basis, I'll answer first, and then I'll answer why it is higher than the structural basis as well.

So on a structural basis, if you really look at it, I am one of the primary single supplier to my customer. And when I am that I need to hold a particular level of inventory WIP. What is WIP to me is basically a product which is ready to be dispatched, but I would want to keep it not yet finished because then where the aging comes into play, I will keep it one step before, or I will hold the distillation process back so that the age of the product is not starting. So that's the reason you see WIP and finished goods.

And hence, if you have to see me, you have to see me as a percentage of sales -- inventory as a percentage of sales rather than percentage of COGS, which you are seeing me at right now. So that's one that I would say.

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Having said that, even after of that numbers, whatever, I would say that my steady state sustainable business model should have been around 180 to 200 days of those numbers. And if you look at me at that number, you will see that my ROCs, my turns, everything will play out.

However, today, I am higher than that. Even if you look at the September numbers, I am significantly higher than that. When I exited '23, I was at a run rate of around -- I was on a turnover of INR1,300 crores and a run rate of INR1,400 crores to INR1,500 crores of revenue on a run rate basis. And I was expecting a revenue growth in the next year as well.

Now when you are planning with that kind of a revenue growth, your production plans are accordingly. And when -- instead of that, we had a degrowth for 18 months. If you really look at it for the 18 months from then on, we have a degrowth that we saw. So I had a double whammy where I had a production and hence, the inventory accumulation, but my sales did not happen. So my numerator has dropped.

Today, you will see me at a TTM of INR900 crores versus what had there been a growth, I would have been a TTM of INR1,500 crores to INR1,600 crores at that point in time because, even if I put a 20% to 25% growth, I would be at INR1,500 crores to INR1,600 crores. And all my numbers would look more reasonable.

And two, also what happens is that when you produce, but you are not able to sell, that accumulates into your inventory. And so inventory expanded on an absolute number also, which is what you would have seen me from '23 to '24 September numbers, which was reported. If you look at it, we have expanded, expanded by around INR200 crores to INR250 -odd crores of inventory. So that both put together has really expanded the situation.

Had there not been there, I would have achieved that number. And if you look at the trajectory from '22 to '23, the trajectory was there. So INR290 crores had gone to INR250 crores. And 1 more year of growth where I would ha

ve been able to liquidate my working capital and also

increase my revenue, I would have been at 220 to 200 days that was what was projected.

So I appreciate this is a matter of concern for each of us. The only thing that I can say is the reflective will be when I get my sales back -- sales growth back because sales is there, but it's not sufficient enough. So when the sales growth is back, we would be able to see the numbers which are more amenable and more sustainable to the business model that we have. I hope I have helped you on that.

Rajakumar Vaidyanathan: Yes. Yes, this is helpful, sir. And any comment on the material cost percentage to sales? It's about 40%. So we are roughly having 2 years for inventory. So if you could...

Vishal Thakkar: That's what I'm saying. It is not the way -- I would not see it that way. For a very simple reason that 80% of my working capital is a finished good to working capital in progress. So then it is not COGS, it is sales. And so you want to see me through sales rather than through COGS. Because when I sell, it's a 9-month sales number that is around 12 months sales as there. The moment I start selling, it comes to that number. And that's the reason, and look at my numbers because I've declared my working capital work in progress numbers or my finished good and Anupam Rasayan India Limited

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my RM numbers, and you will see those reflections. And that's where I'm coming in saying that look at me from the sales rather than from the COGS.

Rajakumar Vaidyanathan: Okay. That's helpful. Sir, just on the question -- just one more question. So -- I'm sorry. I'm just collecting my thoughts. Sorry. I'm just collecting my...

Vishal Thakkar: No problem. Please take your time.

Rajakumar Vaidyanathan: I'm sorry. I'll just get back, sir. I just...

Vishal Thakkar: No problem. You please join in as and when you want. Happy to answer you.

Moderator: Next question comes from the line of Tushar Raghatate from KamayaKya Wealth Management.

Tushar Raghatate: Congratulations for good set numbers. Again sir, the question is on the working capital. From the last 5 years, I could see like your working cap -- like your inventory as a percentage of sales from 40%, it has been to 72%. Firstly, I would just like to know what would be the average of that? Is it 60% or like just a random number I'm saying? So accordingly -- you take on that first.

Vishal Thakkar: Okay. Sustainably, eventually, my numbers would be 50% plus or minus 5%.

Tushar Raghatate: 58%, you're saying, right?

Vishal Thakkar: 50%.

Tushar Raghatate: Okay. So that means you are carrying about...

Vishal Thakkar: Sustainably 50%, plus or minus 5%, depending upon the business cycle, depending upon a number of molecules that I launched, this is depending upon the contracts that I get into, but you should sustainably see it at that level.

Tushar Raghatate: Got it. So that means like more or less INR2,300 crores of sales considering the inventory you are carrying, right?

Vishal Thakkar: I don't want to -- I would not put the entire number, but it will be two things, please appreciate. I'll put it simply because this number, when I sell it sales completely, right? It is a onetime sale.

This is not 2x sales because, let's say, I have INR1,000 crores of inventory, right? If I sell INR200 crores, INR200 crores is reduced, right? Because that is...

Tushar Raghatate: Got it.

Vishal Thakkar: Ready to be sold, and I'll go to 800. Now -- right? So what I'm saying is, please appreciate as simple as that eventually because I said that there are 2 parts to my working capital. One is a sustained working capital, which will be required for my businesses to sustain, okay? And two is there is an additional working capital, which is there because of the situation that I mentioned in the earlier portion question.

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So which is not seems to work. You should see me like, let's say, next year -- so that's what I'm saying that by 18 to 24 months, I should end up with the numbers that we have talked about, which is where I should be achieving 180 to 200 days of my working capital.

Sales is my working capital, and it will be a combination of 2 things. One is liquidation of some part of the working capital; and two is increase in the sales that I would expect. So combination of these 2 will come a more sustainable number rather than only one.

Tushar Raghatate: Got it, sir. Just -- again, one question. Sir, on the trade receivable part. So like a higher CAGR of the business 24%, but the trade receivable is growing at 37%. Just what is your take on that?

Vishal Thakkar: So if you look at 2 years back and if you look at my growth, my CAGR of sales and CAGR of receivables, its fairly 10% only in the last 12 -- 4 to 6 quarters that number of receivables have expanded. And that's largely because of the -- when the markets are slow, you would tend to give an additional credit, which I have given, and that is the reflection.

I can give you one simple example. One of the largest Tech -Chem company in the world, they requested us that we were due to pay you in November. But as my year is ending, and this is a slow -- this is -- I'm reading between the lines that this year has been slow year and my year is ending, why don't I request you to pay you in January, not in December -- in November. And for that, if there is any cost, I'm willing to pay the cost.

Now he is -- that is a customer who has been with us for the last 10 years or more. We are doing multiple products with them. We are doing multiple new projects with them. I don't see any request like that. And mind you, there -- so I appreciate that it has expanded, but you will also to see from the reflection of the market realities where the markets have really, really being pretty weak for my customers, and I have to stand by them, which is what I have done on the receivables side.

Tushar Raghatate: Got it, sir. And sir, your non -Agro part...

Moderator: Sorry, to interrupt, Tushar sir, may we request to return to the question queue for follow-up questions, please?

Vishal Thakkar: It's okay. Let me him ask this question and then he can. It's okay.

Tushar Raghatate: Okay. Sir just wanted to know your non -Agro business, like due to that, do you see any working capital relaxation going forward?

Vishal Thakkar: Yes. You would see. See, every business will have its own dynamics. So in some businesses, you will see that the inventory is higher. In pharma, if you look -- because pharma, a large part of the pharma business is Indian pharma business. The receivable days will be higher because India tends to be longer on the payment cycle side and also they tend to delay from the promised ones.

So when you see my receivable days expanding, you will also have the reflection of that. But on a total basis, on the other side, pharma will have a lesser inventory requirement because, again, Anupam Rasayan India Limited

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I will have that kind of problem. So overall, you will see it will be even, but yes. There will be nuances to each of the segments.

Moderator: Next question comes from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: There are 2. Part one is if you look at the kind of indications you gave on the mid -teens' kind of decline for full year, it suggests that you have to grow your fourth quarter revenue by about 15% because last year, we did about INR300 crores. So what the visibility you have to surpass last year's 4Q revenue as we speak ?

And secondly, if you look at the mapping of your growth drivers on, I think, Slide 17, you have given the 3 growth drivers, Polymer, Pharma, LOIs and then fluorination. So can you support any over

laps and say, what percentage of the growth will come in each of these areas? Because there will be some common product across the 3 categories. So if you can split these 3 drivers into independent categories of growth to avoid the overlapping and duplication, that will be very helpful.

Vishal Thakkar: Sure. So let me answer that first question. What you are saying about my -- what you have deduced in terms of the indication, it's fairly the right reflection. And I believe why we believe that we will be able to deliver is a very simple thing that if you look at it, as I said, I have a very high visibility coming from my customers' demand. Two percent is coming back, and I am seeing that the customers have requested for those volumes. And hence, that number will be the number that is there.

And if you see last year, whatever we did was also lower than what we did in '23. So is it that this is the numbers which we have not delivered? The answer is that we have delivered these

numbers. We believe that the numbers that we have been seeing in terms of whatever demand that we have seen from the customers, whatever the orders are there, we feel far more comfortable.

And also please appreciate now is the new year for my customers, large part of my customers. And they have more buoyancy in terms of their ability to give me a more -- a firm demand, which we are seeing now. So all in all, pharma, polymer continues to give me the growth and Agrochem coming back will give me this growth.

S. Ramesh: Yes. On the second question on the growth drivers, you can step off the...

Vishal Thakkar: So next time onwards, I'll try and see how we can share that with you. Because see, it is very difficult to do set -res variables on all the 4 -- all the 3 parameters, but we'll try and see how we can present it better for you.

S. Ramesh: Yes. That will be very useful. Wish you all the best.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I now hand the conference over to Mr. Vishal Thakkar for closing comments.

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Vishal Thakkar: Thank you, everyone, for your active participation this time. Definitely, it was very helpful and exciting. We hope that we have been able to answer most of your queries. I also apologize if I have not been able to give more specific answers because of the current constraints that we are as a listed company to -- who could not meet the -- a very specific guidance. So that's it. Any of the questions or there are some questions in this call, please feel free to reach out to our IR partner, E&Y, and we'll be happy to take it off-line. Thank you very much.

Moderator: Thank you. On behalf of Anupam Rasayan India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

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ARILSLDSTX20250528012 Date: May 28, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai-400001, India
SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C-1, Block-G,
Bandra Kurla Complex, Bandra (East),
Mumbai-400051, India
SYMBOL: ANURAS

Dear Sir/ Madam,

Subject: Submission of transcript of Earnings Call on the Audited Standalone and Consolidated Financial Results of Anupam Rasayan India Limited (the "Company") for the quarter and financial year ended March 31, 2025.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call on the Audited Standalone and Consolidated Financial Results for the quarter and financial year ended March 31, 2025 held by the Company on Saturday, May 24, 2025.

This information is also being hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking you,

Yours Faithfully,

For Anupam Rasayan India Limited

Ashish Gupta
Company Secretary & Compliance Officer

Encl.: As above
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"Anupam Rasayan India Limited
Q4 FY '25 Earnings Conference Call"
May 24, 2025

MANAGEMENT : M R. ANAND DESAI – MANAGING DIRECTOR – ANUPAM
RASAYAN INDIA LIMITED
M R. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICER –
ANUPAM RASAYAN INDIA LIMITED
M R. AMIT KHURANA – CHIEF FINANCIAL OFFICER –
ANUPAM RASAYAN INDIA LIMITED
M R. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL
OFFICER – ANUPAM RASAYAN INDIA LIMITED

MODERATOR : M S. KRISHNA PATEL – E&Y INVESTOR RELATIONS

Anupam Rasayan India Limited
May 24, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 F Y '25 Anupam Rasayan India Limited Earnings Conference Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Krishna Patel from EY. Thank you, and over to you, ma'am.

Krishna Patel: Thank you, Hamshad, and good afternoon, everyone. Welcome to Anupam Rasayan India Limited Q4 FY '25 and FY '25 Earnings Conference Call. To take us through the results and to answer your questions today, we have with us the management of Anupam Rasayan, represented by Mr. Anand Desai, the Managing Director; Mr. Gopal Agrawal, Chief Executive Officer; Mr. Amit Khurana, Chief Financial Officer; and Mr. Vishal Thakkar, Deputy Chief Financial Officer.

The discussions that we may have today may contain certain forward-looking statements relating to future events and future performances. Numerous factors could cause actual results to differ materially from those in the forward-looking statements. Please note the audio of this earnings call is a copyright material of Anupam Rasayan India and cannot be copied, rebroadcasted, attributed in press or media without specific written consent of the company.

With this, I would like to now hand over the call to Mr. Anand Desai, the Managing Director, for his opening comments. Thank you, and over to you, sir.

Anand Desai: Thank you, Krishna. Good afternoon, everyone, and a warm welcome to the Q4 FY '25 Earnings Call of Anupam Rasayan. Before we start, I would like to express my brief on the recent events that took place in Kashmir. It is with great pride and gratitude that I take this opportunity to thank our Honorable Prime Minister and our armed forces for working day and night to protect us and ensure the safety and sovereignty of our nation.

Let me begin by sharing an overview of our performance for the quarter and FY 2025. The consolidated revenue for the quarter Q4 FY '25 stood at INR506 crores, registering a growth of 22% Y-o-Y and a 31% Q-o-Q. Consolidated revenue for the full year FY '25 stood at INR1,448 crores, registering a declining growth of 4% Y-o-Y. This performance was supported by growth in Pharma and Polymer segments, coupled with strong performance from Tanfac.

Margins have remained consistent this quarter, reflecting our focus on operational efficiency and a favorable product mix. While first half of FY '25 was subdued due to weak macro conditions, I am pleased to share that second half has shown clear signs of recovery—, particularly in Q4 of FY '25, where we have seen meaningful improvement with sales increasing both year-on-year and sequentially also. This marks a positive turn in momentum and reinforces the growth is gradually coming back.

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While working capital remains a challenge due to the recent slowdown in sales, improving the working capital intensity is going to be one of the key focus areas for the management along with sustaining the revenue growth that we have seen this quarter.

We anticipate a gradual easing of working capital intensity with improved revenue in FY '26. Both inventory levels and receivables are expected to reduce meaningfully over the course of the year. Also, majority of our customers are large multinational companies who had undertaken rationalization of supply chains and working capital at their end over the last 18 to 24 months and which is now largely complete, where we have supported them. As business growth resumes,

customers shall be able to recip

rocate by supportin g us in optimizing our working capital cycle going forward.

Our Pharma and Polymer segments continue to be str ong pillars of our performance, contributing steadily to our top line and aligning with our stra tegy to diversify the revenue base. The agrochemical sector, which faced demand challenges in the earlier part of the year, has started to show signs of revival. This is further strengthe ned by the ramp-up of a recently launched key molecule in the agrochemical segment, coupled with the recovery in volumes of existing molecules.

In terms of geography, the Japan market continues to lead our growth with strong customer engagement and long-term visibility. We are also ex cited about the opportunities emerging from the U.S. market. With recent LOIs and signed contra cts with U.S.-based MNCs, we expect meaningful contribution to begin from FY '26. This is in line with the strategy of deepening presence in high-value markets and geographical div ersification.

With this, I would like to now hand over the call to our CEO, Mr. Gopal Agrawal, to take you through the business and operational updates in gre ater detail. Over to you, Gopal bhai.

Gopal Agrawal: Thank you, Anand bhai. Good afternoon, everyone, an d thank you for joining us today. As Anand bhai highlighted, Q4 makes a clear shift in m omentum. Our Pharma and Polymer segment continue to show strong traction, supported by new molecule launches, growing customer demand. In FY '25, we launched our 9 molecules, 5 i n Pharma, 3 in agro and 1 in Polymer segment. The Electronics segment -- the agrochemica l segment, which has been subdued for several quarters is showing early signs of recovery .

Among geographies, Japan continues to lead our glo bal expansion, driven by long-term contracts and a robust product pipeline. Japan contributed 17 % of sales in Q4 FY '25, and we expect it to be over 20% of sales in FY '26 on back of recently signed LOI contract and additional new customers.

I'm also pleased to share that we are seeing stron g traction in United States, having recently signed a contract and a LOI with a U.S. based compa ny for a high-performance specialty chemical used in critical power applications like d efense, electronics and aerospace. This strengthens our foothold in U.S., and we believe th is opportunity will begin to contribute meaningfully and be over 10% of our sales in FY '26 .

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As of now, our order book stands at around INR14,6 46 crores spread over 4 to 10 years, out of which INR3,100 crores worth of LOIs and contracts h ave already been commercialized, contributing to over 20% of our revenue in FY '25. Majority of the balance LOI and contracts are expected to be commercialized in FY '26.

With all these levers in place across new products , geographies, strong order book and enhanced capacity, we remain confident of a strong performan ce going forward. We remain confident in our ability to return to historical growth rates pr ior to the recent slowdown.

With this, I would like now to hand over the call to our CFO, Mr. Amit Khurana, for a detailed update on financial performance. Over to you, Amit bhai.

Amit Khurana: Thank you, Gopal bhai, and good afternoon, everyone . I will now walk you through the financial performance for the quarter and the year ended Marc h 31, 2025. Starting with the capex update.

As of March 31st, we have completed nearly INR670 c rores of the planned capex, two manufacturing facility already commercialized and 1 new manufacturing facility ready for commercialization in the upcoming quarter. This wil l significantly enhance our production capacity and support the next phase of growth. Furt her, we expect our debt levels to decline going forward.

The proceeds from warrant conversion expected in F Y '26 will be utilized to repay long-term debt. Approximately INR185 crores of long-term debt wil

l be settled through this route, significantly aiding to deleverage the balance shee t.

Speaking about the segment-wise performance, life science-related specialty chemicals contributed 84.4% and 86.7% of the total revenue as on Q4 FY '25 and FY '25, respectively. The Pharma segment revenue grew 41% and 92% Y-o-Y in Q4 FY '25 and FY '25, respectively, reaching 21.9% of the sales in FY '25 on account of 10 new product launches in Pharma segment in FY '24 and 5 new product launches in FY '25.

Performance material contributed 16.6% and 13.3% o f the total revenue as on Q4 FY '25 and FY '25, respectively. This segment revenue grew 83% and 18% Y-o-Y in Q4 FY '25 and FY '25, respectively, on account of two new molecules launc hes in FY '24 and 1 product in FY '25. With that, I'll now hand over to our Deputy CFO, Mr . Vishal Thakkar, to share detailed quarterly

and annual financial performance. Over to you, Vishal bhai.

Vishal Thakkar: Thank you, Amit bhai. Good afternoon, everyone, and thank you for being with us today, especially on a Saturday afternoon. Really thank you for that. I'd like to share some of the key performance highlights for the quarter and the year ended March 31, 2025. Before we open the floor for Q&A session, I hope you have had the opportunity to review the detailed presentation and the results that we had submitted to the exchanges and posted on our website. Kindly note, our numbers for the quarter and the full year are on a consolidated basis, and they include Tanfac numbers as well.

Let me first discuss the consolidated financial highlights for the quarter ended March 31, 2025.

Operating revenue for Q4 FY '25 was at INR500 crores as compared to INR401 crores in Q4

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FY '24, up 25% Y-o-Y. EBITDA, including other income, was at INR150 crores in Q4 FY '25 as compared to INR105 crores in Q4 FY '24, up 43% Y-o-Y. This translates to EBITDA of 30% margin -- EBITDA margin of 30% in this quarter.

Profit after tax was at INR63 crores in Q4 FY '25 as compared to INR41 crores in Q4 FY '24, up 56% Y-o-Y. Top 10 customers contributed about 71 % of our total revenue in Q4 FY '25.

Talking about the full year financials. Operating revenue for FY '25 was at INR1,437 crores as compared to INR1,475 crores in FY '24, down 2.6% Y-o-Y.

EBITDA, including other income, was at INR412 crores in FY '25 as compared to INR411 crores in FY '24, up 0.4% Y-o-Y. This would translate to 29% EBITDA margin in this period.

Profit after tax was at INR160 crores in FY '25 as compared to INR167 crores in FY '24.

With that, we will open for the -- open the floor for Q&A. Thank you.

Moderator: The first question is from the line of Meet Gada from Emkay Global.

Meet Gada: Congratulations team on achieving highest-ever stand-alone quarterly EBITDA. I have a couple of questions. Firstly, I see that your quarterly revenue from the agro business vertical has nearly doubled as compared to the average of last 3 quarters, amidst this challenging macro environment.

I want to understand that what has led to such growth all of a sudden and whether it is because of any LOI which has kicked in? And if you can throw light on what product you have sold?

And whether should we assume similar quarterly run rate for FY '26 as well?

Vishal Thakkar: Meet, thank you for this question, and thanks for appreciating the results. First, yes, as we have mentioned and as Anand bhai and Gopal bhai in their opening remarks also mentioned that the demand in the agrochemical segment is coming back, and that's what we are seeing. So the volumes are coming back.

And especially, Anand bhai mentioned in his opening remarks that is one of the key molecule, which has been also the ramp-up of that molecule has happened. It's a high-value typical molecule. It's an AI molecule. We had signed an LOI in Q4 2022, and that LOI product is no

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getting executed and the ramp-up is happening for that product.

If you see that this AI is having a pricing of triple digit in dollar terms in kg. And also, this is a large molecule with a 2,800 metric ton of the total market size. Our customer is expecting around 5% to 10% of revenue -- sorry, market share of that, and that should really give us a very strong revenue in '26 and going forward. We expect that this molecule should be one of our leading molecules, which will contribute a triple-digit revenue in terms of growth in coming days.

Meet Gada: Got it, sir. Secondly, on the recent LOI, this Elementium materials for supply of chemicals and advanced electrolyte critical for EV batteries. Can you tell me something more on this customer product and the product potential? And will it be beneficial for the Indian battery ecosystem as well? And you've mentioned that if this product is successful, you will be putting up a plant. So how much capex will be required there? And what -- will it be a dedicated plant or not?

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Vishal Thakkar: So Meet, yes, this is another one, which is a very, very unique and a very marquee LOI that we have signed with Elementium. Elementium is an MIT-backed and MIT-founded company, which is really focusing on high-end electrolytes for the battery, especially on the lithium ion battery side, which is the largest selling technology battery in the -- battery technology in the world.

So lithiumion is the largest one by far catering to -- in terms of new age batteries, if you look at it, 70% to 80% of the batteries today would be lithium or its derivatives. And this company is really focusing on providing electrolytes, which are of new age, high end, which improves the

storage capacity, which improves the time to charge, which improves the life cycle. So the number of cycles that the battery can take will be higher.

The safety parameters are far more improved. So all this really matters -- as you are aware, it will matter for any new age batteries that is there, which may be used for EVs or for your energy storage, static energy storage or for your mobile batteries and various other applications.

So in each of them, lithium ion comes into play. And in those batteries, this electrolyte and the platforms of electrolyte that Elementium is manufacturing will be critical and enhancing one and which is what Anupam is going to provide one of the strong fluorinated product, which has been developed and now we are commercializing it in -- we are expecting to commercialize it in 2026.

'26 will be -- we will start with a decent size volume. But as we had mentioned in our announcement as well that the initial volumes will be provided from our pipeline.

But as we go, they are looking at a very significant ramp-up in terms of the volumes. And that for a larger volume because they are expecting 10x higher volumes from us going after '26 onwards, post '26, so at that time, we will need to have a capacity added. Yes, we can have that capacity within our plants -- existing plants as well. And we are sizing the plant capacities, capex.

Once we finalize those, we will share with you as well in terms of the costing and other specific details of those. But this, again, as we have been talking about, this can be a very, very large product for us. This will be -- if I believe what my customers are -- has projected to us, this should give us a very strong -- one of the blockbuster products for us going forward.

Meet Gada: Understood. So is there any competition for this product from China or anything of that sort? Or is it a patented kind of...

Vishal Thakkar: So let me take it in 2 parts. One, this is a patented one. This is basically developed by these Elementium. So there is a strong IP protection there. I would make that statement because of their process and knowledge. And the second thing is, as we had seen in the recent past,

especially in the last 3 to 6 months, that there is a strong relook that all the purchasing countries are having a relook on their supply chain, supply chain sourcing in terms of supply chain sourcing geographies.

And if you look at the LOIs that we signed with Korea, Japan and with the other countries and this as well is a clear indication that we as a country are becoming a preferred choice. So with Elementium, we are the primary supplier for them for this product. And again, this is a product which is again a fluorinated product where our vertical integration really comes in very strongly

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from Tanfac and the acquisition of Tanfac as well. So we believe that we have a very strong edge on this product.

Meet Gada: Got it. Got it. So is there a possibility that you can add up more products on battery chemicals front, what other competitors are doing.

Vishal Thakkar: So Meet, definitely, there are a slew of products that we are working on. And please appreciate that all these products, if you look at it, largely are dependent upon fluorine also as one of the moiety in the product configuration, which ensures that there are limited number of players that would really be able to play the full vertical integrated project -- vertically integrated supply solutions for the end consumers. And that also leads us to having a stronger moat when we get to the customers.

But also more importantly, the R&D focus that we have, where we have a slew of products which we are developing in this category will also come into play strongly because as you know that to start with one base molecule or a KSM and then start building up. And that's what we have been doing it, as we had mentioned earlier in our fluorination strategy. So that will continue to really leverage our R&D investments or the developments that we have done. And as we go, we will see a lot more interesting products coming out from here.

Meet Gada: Got it. Got it. A few more questions, if I may. Nearly INR8,000 crores worth of LOI will commercialize in CY '25, FY '26 and start contributing to the top line. So based on the average contractual period, nearly INR1,000 crores to INR1,200 crores of annual revenues can be expected. What is our outlook on this number?

Vishal Thakkar: So as Gopal bhai also mentioned in terms of commercialization of the LOIs and the revenue contribution, we saw that 20% of the current revenue is contributed from the LOIs -- commercialized LOIs. And you rightly identified that, yes, it would be in the range of the number that you have spoken in terms of the fully ramped up potential of the current and near-term commercialized -- the LOIs that are expected to be commercialized in near term.

And we believe that in the near to medium term, that full ramp-up should come in, which would ensure that the revenue growth that we have been anticipating for us or projecting for us or guiding is looking more robust as we -- as I was mentioning that the capex has also been completed. So we have enough capacity to really ramp up those LOIs. And that would mean that

we will have a strong continuous revenue growth that we can expect from here on is what I can say here.

Coming from the LOIs, as we have said that the number that you are saying in terms of revenue per year, I think we should be able to add to our revenue base in next 2 to 4 months -- 2 to 4 years' time period -- 2 to 3 years' time period.

Meet Gada: Got it. So any growth guidance for the stand-alone top line for FY '26...

Vishal Thakkar: Okay. I think Gopal bhai indicated that. Let me put it in a very simple term that we should be coming back to our historical growth rates, which have been in the range of 25% to 30% plus.

And I think we should be able to continue to see that kind of a growth from '26 onwards.

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Meet Gada: Got it. With similar EBITDA margin...

Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue for follow-up question.

Vishal Thakkar: It's okay. It's okay. Let me answer this question and then we can take it up. Okay. So Meet, yes, the margins will be quite similar if you really see -- like as we had also mentioned historically that we typically look at on our CSM business side, we typically look at a margin profile, which is consistent. And the current margins, which you look at, has also been in the similar range, and we expect that the newer products should also give us a similar kind of a margin range, 26% to 28%, which historically we've been guiding. I think that should -- that looks fair too.

Meet Gada: Got it. And on the tax incident part, what should we build in for the next year?

Vishal Thakkar: I didn't hear you.

Meet Gada: On the tax rate, what should we build in for next year?

Vishal Thakkar: Tax rate?

Meet Gada: Yes.

Vishal Thakkar: The average tax rate that you've seen in the past, I think you can pick that up for the next year, which should be in the similar range.

Moderator: The next question is from the line of Ankur from Axis Bank.

Ankur: First question on the growth here by year-on-year basis -- I'm referring stand-alone numbers, year-on-year basis, we are seeing a 20-odd percent degrowth. What is the volume number here in terms of how we have performed in volume terms for the quarter and for the full year?

Vishal Thakkar: So Ankur, largely this degrowth, if you see on an annual basis is largely on account of volume.

Very, very limited will be really on the price impact. So that's one. Two, if I were to put for the Q4, Q4, if you see, we have marginally grown from a year-on-year basis. And again, that's largely volumes, price -- average revenue per ton has increased marginally, but largely, it is the volume, which has driven the revenue growth or the revenue degrowth in both the cases.

Ankur: Sure, Vishal bhai. And what was the volume growth in FY '24, if you can help us remind that?

Vishal Thakkar: I will have to pull that out, I'm sorry...

Ankur: So there was no realization-led decline in FY '24 is where I'm coming from. So this number, there is...

Vishal Thakkar: No, no, no. If I remember well, I think price has not been a large factor in terms of either cases, both when we ramped up or when we ramped down. Largely, it was this volume, which has been really there. Some bit of it maybe because of the product mix and hence, but not from a like-to-like escalation of any price movements.

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Ankur: Sure. So Vishal bhai, as I understand, we have a pass-through clause with our customers, wherein any increase or decrease in raw material prices is immediately passed through. I'm just wondering, across the industry, everyone is showing a pricing decline here given the decline that we are seeing from China, whether excess capacity or inventory issue or whatever. But in our case, you mentioned entire revenue decline is volume driven. There is no pricing impact. So there is no pricing decline for our raw materials per se for the last year?

Vishal Thakkar: So again, as I said -- largely, as I said, there may be some bit. I'm not trying to leave that allowance for that, right? But yes, largely, see -- again, I have been holding up a level of inventory also. And that also is there where it is, the reason why you're saying the -- and that my prices have not been too much impacted.

Also, second thing, please appreciate that my RMC in the whole total costing will be around about 30% to 40% at best. So the impact of price of RM will be affecting my sales price is also so much less, one, two. Three, if you look at it, for me, the average realization has been -- what I was saying t

that my average realization over the last 2 years has been flattish because the prices have been largely stabilized in the segment that I'm talking about, right?

Except there is a small bit of a movement in the input raw material like nitrobenzene or otherwise, but that does not significantly impact my final output of the price that really drives the whole 20%, 30% revenue change in my INR1,300 crores kind of revenue is what I'm trying to say.

Ankur: Sure. And when you guided that we will be going back to a 25% plus sort of a revenue growth, this is also all volume led. So there is no pricing impact neither in an inventory -- high-cost inventory sitting there, nothing of that sort and neither on the revenue side, right? Just confirming that.

Vishal Thakkar: Yes. So I think let me take this opportunity to make one statement before if I may. So whatever is the inventory that I'm holding, I will be able to pass it on as I have been able to pass it on in the past as well, including the last few years when the price volatility was so very pertinent. So one that I'm making that statement, as I'm saying.

As we go, yes, volume-led growth will be there because we are introducing new products, Pharma, Polymer and the Performance Chemicals segment, and also volume growth will come back from the agro side as well where the old molecules, which were -- which had a lower volume offtake in the last 2 years are also we are seeing that is an addition to coming back. In addition to what I talked about one of the new AI that we launched, that also will continue to ramp up. But yes, largely, it is volume driven. On a product-to-product basis, it is volume. There is no repricing of my existing inventory that is there.

Ankur: Sure. And just a clarification there, the incremental raw material also that you might be buying in, there is no significant pricing increase or decrease versus the channel inventory average that we'll have?

Vishal Thakkar: True. I'll tell you what, if I see -- and see, one product to product, it varies that, Ankur, we may be able to see that in one product. But when I look at the portfolio of my RM...

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Ankur: Yes, actually, over as a portfolio?

Vishal Thakkar: If I look at the portfolio of my RM, if you see for last 8 quarters, I have not seen any significant change, which will really determine too much of my change in my final product. There has been in some products, some categories, the volume, the prices have dropped, some categories, the prices have gone up. But on a total basis, when I look at it, that itself is not moving significantly. And if it is not moving significantly, its translation to that in my revenue is going to be limited is what I'm trying to say.

Ankur: Okay. Fair enough. Second bit on the LOIs that we have, so INR14,600-odd crores, as highlighted in our PPT, let's say, I'm taking an average of 7 years for them to fructify. So they will take INR2,000 crores of annual revenue run rate. The 20% contribution from LOIs that Gopal bhai highlighted earlier, I presume was on the stand-alone basis. Is that right?

Vishal Thakkar: You can take a ballpark...

Ankur: Let's say INR200 crores is already there. So what we are saying is INR1,800 crores of incremental revenue is going to come from these LOIs plus the INR700 crore plus base that we will have, which will grow at whatever pace. Is that the right assumption?

Vishal Thakkar: Yes, yes, but we have to be mindful that all that will take its own time to first commercialize and then to ramp up, but the...

Ankur: Something 5 years out, let's say, 4 years out or 5 years out, you are looking at INR2,500 crores of this revenue based on the current LOI itself. What is the right time, say, in 3 years or 5 years?

Vishal Thakkar: So see, I'll tell you there will be sequencing of it. The '22 number, so the LOIs that we did in 202

2, those have come to INR200 crores broadly that kind of a number, right? Now that number will ramp up as we go, right? So next year, that number -- sorry, I'm using the wrong word here, but -- so my -- what I'm trying to say is that today, around INR200 crores is what we have done in this year, which is largely from the LOIs that we had signed in 2022.

Now similarly, the 2023 LOIs are expected to commercialize in 2026. Now if we take its time 2 to 3 years to ramp it up to full, I think if I look at all the numbers and I'm looking at all the LOIs, Ankur, most of my LOIs should be commercialized in '26 and a couple of them are in '27, '28.

So from there, 2 to 3 years is where you can really safely say that, yes, I can -- I should look at maturity of my revenue of INR2,000 crores that you are talking about. So I agree with you. So it will be that time frame.

Ankur: Sure. And the current gross block, what is the peak revenue we can do?

Vishal Thakkar: So current gross block, if I add the new plant as well, INR3,000 crores plus to INR3,500 crores plus kind of a revenue is expected -- can be expected from these products. And also, I would like to also mention that as we go, as my product mix also evolves, this number can expand as we go. But today, I would -- with the current product portfolio, I would look at this kind of

one, where at some point, I might have to do a capex, but let's wait for that, and I'll come back as we finalize those numbers.

Ankur: Sure. And lastly, on the working capital, the inventory side. As I understand, for full year, Pharma, Polymer, as you highlighted, were the bigger growth drivers versus agchem. And if I'm not wrong, these are the ones which have lower working capital as a business cycle versus an agchem. Still, we are seeing consistent increase in our inventory as well as receivables. So your thoughts there?

Vishal Thakkar: So Ankur, you have rightly identified. I'll divide this into 3 different buckets. One, my agro volume that I had built up during my '23, '24 -- '23 period, if you look at 2023, I was growing at around about 25%, 30% CAGR every year. And that time, I had a INR1,300 crores of revenue, of which 70-odd percent was coming from the agro, sorry, which would mean that around about INR900 crores of agro revenue was there.

And based on that, I was building my inventory and supply chain, which I have not got enough opportunity to liquidate. So that inventory is with me, which now as we go forward, we will be able to liquidate as the agro demand is coming back.

Two is on the pure and pure Pharma and Polymer. If you really see, yes, that will have a lower working capital intensity as we go, especially Pharma, where the inventory will be of a lower volume, but the receivables will be of a longer tenure because Indian buyers you know how they are. Now here, the thing is that in last 18 months, I would have launched 15 new molecules for Pharma and similarly, 5-odd plus for performance chemicals.

So if you look at those inventories have to be built up because as you are aware that we will be doing a campaign production. So those are there, which as the volume ramp up for per product, that will come into a more normalized inventory levels rather than a more -the bunch of inventory that we are having today.

So yes, as we go, the working capital is planned to -- working capital intensity should reduce.

And with the increase in the revenue, I have 2 advantages that will come up. One is my ability to liquidate, and two is also the day's volume increases significantly to justify the kind of working capital that we have invested in.

Ankur: Sure. So out of 550 days of inventory, 360-odd days is only agro inventory, INR900 crores, as you highlighted, and the

balance will be for rest of the business. That's a fair understanding?

Vishal Thakkar: I'm not confirming that right now. But yes, principally, it looks a large part...

Ankur: Majority of it?

Vishal Thakkar: It looks largely for that, but I would -- I can look at the exact numbers and come back to you separately as well, if that helps.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

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S. Ramesh: Congratulations on your fourth quarter performance. So if you look at the first half of last year, revenues were beaten down compared to FY '23. So on that base, what should we expect in terms of normalized run rate for revenue per quarter in the first half? So I understand the big picture, but in terms of the -- how the revenue will move over the next 4 quarters for the FY '26 run rate, if you can give us some sense in terms of how that build will happen?

And then what is the kind of margin you expect compared to whatever margins you have reported in fourth quarter, which seems to be recovering? So last year, first quarter and second quarter, your margins are also depressed at 22% and 27%. So if you can put the numbers in context in terms of how you expect the revenue run rate to ramp up and what kind of margins we should expect for the first half, that will be helpful.

Vishal Thakkar: Okay. So margins -- let me come to margins first. Rameshji, I think the margins, we would guide to -- continue to guide at the numbers that we've been guiding in the past. I think that's the number that we should look for. There are quarters when you will have a better margins because of the product mix. But largely, I will continue to guide at the numbers that we have been historically guiding.

In terms of intra-year revenue, anyway, we have guided on -- we have suggested what we are looking at in terms of our revenue in FY '26. However, if I split it into H1 and H2, I think H1, we should be looking at around about 40%, 45% of the total year's revenue, which also is typically the kind of numbers that we have been historically seeing because of cyclicity of the

industry.

And H2 will be around about 55% to 60%, both coupled because of the ramp-up of my products also will take its time and the revenue will be the re. And accordingly, I would say that this is the broad guidance that I can suggest if we were to interpolate the quarterly numbers.

S. Ramesh: Okay. So you referred to some blockbusters in the AI and the EV-related chemicals. So if you ignore the capex required for the rampup in the Elementium JV and the AI, what is the kind of revenue potential you see, say, over the next 2, 3 years in this AI and these battery chemicals over the next 2 to 3 years?

Vishal Thakkar: So the agro AI that we talked about, we do not need any capex at all. And that, as I had said -- I will say I don't want to specifically pick a number and tell you that number, but I can tell you that this market is about 2,800 metric tons. My customer is looking at around about 5% to 10% of that market in the near term.

So if I take that, we can do the math from there. And this is a triple-digit dollar per ton product -- per kg, sorry, my bad. I'm sorry for that. So product -- dollar per kg product. So you can really see the kind of potential that we are talking about here. And this is a long-term product, which we'll be looking at for at least 5, 7 years and growing from there, right? So that's what I can suggest.

Let's come to the Elementium product. Elementium product, again -- just a minute, Elementium, again, this is a product which is a very good high application that we can see on -- right, where this year is where we will be starting the supply, which will be a smaller volume supply, which

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as we go forward, we are expecting it

to -- or the demand that has been given to us under the

LOI that we will be required to supply them 10x of what we will give them in CY '26. As we had also suggested in our announcement, this number should be around about \$350 million to \$400 million of revenue over 7 years.

S. Ramesh: So for this \$350 million, \$400 million of revenue, what is the additional capex required? That is the bigger question.

Vishal Thakkar: I would request that rather than me making a ballpark number, I can give you those details in the next call or when we are ready. For the first 1,000 tons, we will not require any capex. So my 2026 demand will be serviced from this current capex or current capacities itself. Once we ramp up or once we have a take-or-pay contract is when we will think about doing -- giving them -- looking at the capex as we go...

S. Ramesh: Yes. So just to belabor this point on this Elementium order. So that total order size -- out of the total order, what percentage can you execute with the current assets?

Vishal Thakkar: Current assets, we can do around about 1,000 tons, which is around about INR60 crores, INR70 crores per annum, we can easily do it. We can also squeeze in a little bit more as we go. But right now -- because see, always, we would also see that the capex is also not always zero and one.

I can expand my current capacity by debottlenecking and doing a few things where I can go to INR100 crores also. But yes, if I have to do the number that we are mentioning, which is around about \$70 million to \$80 million, \$70 million to \$90 million kind of revenue per annum, then we would definitely need to invest in capex.

S. Ramesh: Okay. Now if I may move to the product mix, on the current mix you have shared on agrochemicals, pharma, personal care and specialty, so what is the kind of growth we can expect in Pharma and Polymers? And then how would the numbers look for crop protection and personal care in FY '26, to put it in context in terms of the ramp-up in molecules, if you can give that, that will be useful.

Vishal Thakkar: So see, today, if you look at Pharma is around about 20% plus of our revenue. We expect that, that should be 20% to 25% of our revenue next year on an expanded base. In terms of performance chemicals, it is around about 15% plus in 2025. We should expect 25-plus percent of FY '26 revenue on an expanded revenue base. My personal care should be around about 8% to -- 10% odd plus or minus 1 or 2 percentage points and balance should be agro.

S. Ramesh: Okay. So the bulk of the growth will come from your Pharma and Polymers. That's what you're saying.

Vishal Thakkar: And agro will come back. So my lost volume, lost revenue, I should come back reasonably.

S. Ramesh: So in terms of the delta in margins, while I accept that you're talking about a ballpark 26%, 28%, but if we were to look at the shift in product mix impacting margins, so would -- all the segments

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obviously can't give you the same margin. So the growth in Pharma and Polymer, how does it impact the percentage margin movement, say, on a Y-o-Y basis points?

Vishal Thakkar: So Rameshji, what I can say is this Pharma typically has a little lower EBITDA margin profile compared to the agro and Polymer. Polymer has one of the stronger EBITDA margins. So if you look at it, the Pharma and Polymer tends to knock off to a large extent. And to that extent, that's the reason I'm more inclined to guide in the historical range because agro will continue, but Pharma and Polymer will knock each other off broadly, leading to a similar margin profile.

S. Ramesh: Okay. So one last question on the working capital and the debt. So if everything works out well after these warrant proceeds are used to repay debt, what is your internal expectation on the net working capital days by '27? What is the kind of debt we should be looking at by FY '27?

Vishal Thakkar: So see, '27, if you ask me, we would be looking at coming to around about 200-odd days, plus or minus 20 days of my working capital. That's what I have -- we as management have a target for us, one. Long-term debt will be practically zero because that should largely be done through -- with the warrants conversion by this year itself. And the one more point that I can say that if you look at this half, we have generated an operating cash flow of around about INR140-odd crores.

And if we are able to achieve our working capital targets that we have set, within 2 years, those cash flows should also be able to improve the working capital utilization adjusted for the higher working capital requirement absolute basis based on the higher revenue. So that's the math we will have to do. But largely, what I'm saying is the term debt will be practically zero for us and working capital should be more coming to the lines that I had mentioned for that 2025.

S. Ramesh: What about the short-term debt, that's at about INR 1,100 crores. So will you see any meaningful...

Vishal Thakkar: So it is a balancing figure because the cash is largely going to be consumed only for the working capital, right? So to that extent, it is a balancing figure to my mind in terms of utilization of working capital because there is not too much of a repayment pressure on the term debt side because term debt is practically going to be zero. So largely, it will go...

S. Ramesh: So what is the net working capital days we should assume for the incremental revenue from the new contracts? So will it be in that 120, 150 days? Or will it be closer to the 200 days? That will help us understand the cash flows.

Vishal Thakkar: Yes. You can take it as 150 to 180 days.

Moderator: The next question is from the line of Meet Gada from Emkay Global.

Meet Gada: I just wanted to have a clarity on this AI product. I believe it is pyroxasulfone and there is a patent expiry which is coming in. So can you highlight -- so you've given triple-digit dollar guidance for that product. So what is the outlook, if I may ask?

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Vishal Thakkar: So Meet, I would not want to make any statement on the name. I'll leave it for you because you guys are more educated and have better information. So I will leave it there. And I hope you appreciate that. And pardon me for not confirming or rejecting that.

And two, in terms of its regulatory approvals, the regulatory approvals are taken care by the customers. They have validated these regulatory approvals from their end. And post that, they have given us an order. And that gives us a fair bit of a confidence that the kind of guidance that they have given us and kind of commitments that they have shown -- given us in terms of their readiness and willingness to offtake the volumes that they have projected, we feel very confident of these revenues coming on stream.

And as you could -- you would have seen it in our performance as well that this year itself, we have done around about \$6-odd million of revenue from that product. And it should ramp up as we go.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Vishal Thakkar for closing comments.

Vishal Thakkar: Thank you, everyone, for your active participation and for your questions. We hope we have been able to answer all your queries. And one more -- once again, thank you very much for joining us on Saturday afternoon. Hope, we have not kept you away from your lunch, hopefully. And in case if you have any other questions that either we have missed or you have any further query, please reach out to our IR partner, Ernst & Young, and they will connect with you offline. If there is anything more, please feel free to connect with them. Thank you very much.

Have a good day.

Moderator: Thank you. On behalf of Anupam Rasayan India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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ARILSLDSTX20250819033 Date: August 19, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001, India
SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block -G,
Bandra Kurla Complex, Bandra (East),
Mumbai -400051, India
SYMBOL: ANURAS

Dear Sir/ Madam,

Subject: Submission of transcript of Earnings Call on the Unaudited Financial Results
(Standalone and Consolidated) of Anupam Rasayan India Limited (the " Company ") for
the quarter ended June 30, 2025 .

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and
Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the
Earnings Call on the Unaudited Financial Results (Standalone and Consolidated) for the quarter
ended June 30 , 2025 held by the Company on Thursday, August 14, 2025.

This information is also being hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking you,

Yours Faithfully,

For Anupam Rasayan India Limited

Ashish Gupta
Company Secretary & Compliance Officer

Encl.: As above
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"Anupam Rasayan India Limited
Q1 FY '26 Earnings Conference Call "
August 14, 2025

MANAGEMENT : MR. ANAND DESAI – MANAGING DIRECTOR
MR. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICER

MR. AMIT KHURANA – CHIEF FINANCIAL OFFICER
MR. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL
OFFICER

MODERATOR : MS. KRISHNA PATEL – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to the Anupam Rasayan India Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should

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you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this call is being recorded.

With this, I now hand the conference over to Ms. Krishna Patel from EY. Thank you, and over to you, ma'am.

Krishna Patel: Thank you, Samiya , and good afternoon, everyone. Welcome you all to Anupam Rasayan India Limited's Q1 FY '26 earnings conference call . To take us through the results and to answer your questions, we have with us the management of Anupam Rasayan, represented by Mr. Anand Desai, Managing Director; Mr. Gopal Agrawal, Chief Executive Officer; Mr. Amit Khurana, Chief Financial Officer; and Mr. Vishal Thakkar, Deputy Chief Financial Officer.

The discussions that we may have today may contain certain forward -looking statements relating to the future events and future performance. Numerous factors could cause actual results to differ materially from those in the forward -looking statements.

Please note the audio of this call is copyright material of Anupam Rasayan India and cannot be copied, rebroadcasted, attributed in press or media without specific written consent of the company.

I would like to now hand over the call to Mr. Anand Desai, the Managing Director, for his opening comments. Thank you, and over to you, sir.

Anand Desai: Thank you, Krishna. Good afternoon, everyone. I would like to welcome you all to the Q1 FY '26 earnings conference call of Anupam Rasayan India Limited. During Q1 FY '26, consolidated revenue stood at INR491 crores, registering a robust growth of 89% year -on-year. We strongly believe that the sectoral trends are in our favor, and we are witnessing a clear resurgence in growth.

Our pharma and polymer businesses are performing well, coupled with recovery in agrochemical segment. The USA and Japan markets have shown encouraging trends for Anupam Rasayan. And during the Q1 FY '26, total exports accounted for 58% of the total revenue from operations. During the quarter, the company signed a long -term master purchase agreement with a Japan -based multinational conglomerate, a global leader in fluorochemicals and advanced technology solutions. This agreement brings immediate as well as long -term commercial value, marking a significant milestone in our growth journey.

Anupam Rasayan is collaborating with this Japanese conglomerate to supply multiple niche molecules used across diverse applications, including semiconductors, data centers and electronics. Several of these molecules are scheduled for commercialization this year with production ramping up from next year onwards.

This collaboration not only highlights Anupam's strength in fluorination and custom synthesis, but also reflects the trust global customers place in our quality manufacturing and technical capabilities.

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Additionally, during the quarter, the company signed letter of intent with E -Lyte Innovations, a European developer and supplier of electrolyte solutions for energy storage. Our subsidiary of FUCHS known for its innovative lubricant solutions, Anupam will be one of the first manufacturers to commercially produce this molecule in India, further solidifying our position

in the rapidly growing EV and battery ecosystem. With the 2 new agreements signed with Japan and the U.S. -based multinational companies also, our order book now stands at INR14,646 crores.

On the working capital front, we have been making endless efforts to optimize our balance sheet. We have already seen meaningful progress to receipts of advances from customers for inventory in this quarter. Overall inventory levels have also begun to follow a downward trajectory, and we expect to see a considerable reduction in our working capital in the coming quarter. These

initiatives will further strengthen our balance sheet and overall financial position.

Building on a strong Q4 performance and a robust start to FY '26 with this quarter, we believe our growth trajectory is firmly back on track with improved working capital efficiency, recently signed LOIs and the continued strength in our pharma and polymer businesses, which further reinforces our confidence. We are confident and committed to delivering sustained and profitable growth.

With this, I would now like to hand over the call to our CEO, Mr. Gopal Agrawal, to take you through the business and operational updates in greater detail. Over to you, Gopal bhai.

Gopal Agrawal: Thank you, Anand bhai. Good afternoon, everyone, and thank you for joining us today. As Anand bhai highlighted, Q1 FY '26 reflects sustained momentum across our businesses. Our pharma and polymer segment continued to gain strong traction, driven by ramp-up of recent molecule launches and increasing customer demand.

Speaking about segment-wise performance, Life Sciences-related specialty chemical contributed 88% of our revenue as on Q1 FY '26. Pharma segment revenue contributed 24% in Q1 FY '26 compared to last year, where pharma contributed 15% of revenue. This translates to growth of 3x over last year on the back of ramping up of new molecules launched in 18 to 24 months.

Performance materials contributed 12% of total revenue as on Q1 FY '26 compared to 10% in Q1 FY '25. This translates to growth of over 2x over last year on the back of commercialization of product under recently signed contracts. We expect this segment to contribute further in our growth.

With this, I would like to hand over the call to our CFO, Mr. Amit Khurana, for a detailed update on financial performance. Over to you, Amit bhai.

Amit Khurana: Thank you, Gopal bhai, and good afternoon, everyone. Thank you for joining us on our earnings call today. I will share the financial highlights for the quarter.

An update on the capex. All planned projects have been completed with plants commissioned and fully operational. Two plants have been commercialized with trial runs ongoing in 1 plant.

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About working capital, as Anand sir mentioned, a sharp reduction in inventory and consequently, net working capital days is expected in FY '26, starting from this quarter. This improvement will primarily be driven by execution of a substantial number of orders in Q2, which are being fulfilled using the existing inventory.

Another significant development is the receipt of INR277.5 crores from preferential issue in July 2025, out of which INR175 crores has already been used to repay term debt. With this, the company is long-term net debt free.

I'll hand over to our Deputy CFO, Mr. Vishal Thakkar, to share detailed quarterly and annual financial performance. Over to you, Vishal bhai.

Vishal Thakkar: Thank you, Amit bhai. Good afternoon, everyone, and thank you for being with us today. I would like to share some key financial performance highlights for the quarter before we open the floor for the question-and-answer session. I hope you have had the opportunity to review our detailed presentation and the results that were submitted to the Exchange and posted on our website as well.

Kindly note, our numbers for the quarter are on a consolidated basis, and they include Tanfac as well. The consolidated financial highlights for quarter ended 30th June 2025 :

- Revenue from the operations was at INR486 crores as compared to INR254 crores in Q1 FY '25, up 91% Y-o-Y.
- EBITDA, including other income, was at INR129 crores as compared to INR59 crores in Q1 FY '25, up 118% Y-o-Y. This translates to 26.3% EBITDA margin for this quarter.
- Profit after tax was at INR49 crores as compared to INR12 crores in Q1 FY '26, up 297% Y-o-Y. This translates to a 10% PAT margin in this quarter.

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If you look at the stand-alone financials for the quarter ended 30th June 2025 :

- Revenue from operation was at INR316 crores as compared to INR164 crores in Q1 FY

'25, up 93% on a year -on-year basis.

- EBITDA, including other income, was at INR99 crores as compared to INR43 crores in Q1 FY '25, up 133% Y -o-Y, translating to an EBITDA margin of 31% for the quarter.

- Profit after tax was at INR29.7 crores as compared to INR1.4 crores in Q1 FY '26. This translates to a PAT margin of 9.3% in this quarter.

Our top 10 customers contributed 79% of our revenue from operations in Q1 FY '26.

With this, I open the floor for Q&A.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question comes from the line of Meet Gada from Emkay Global.

Meet Gada: Congratulations team on great set of numbers amid all these geopolitical events. I have a couple of questions. Firstly, I wanted to ask that U.S. has announced 25% additional tariffs on India

plus some additional penalties, which have come into effect by last week of August. So I wanted

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your perspective, Anand bhai, on how is that impacting the Indian chemical industry in the near term? And what is your exposure to the U.S. geography? And how are you strategizing to mitigate those risks? I believe last couple of LOIs in Q4 were with U.S. -based customers. What is your take on the execution of those LOIs or contracts?

Vishal Thakkar: Meet, this is Vishal. Let me take this question. Meet, thank you for the question, and thanks for the appreciation of the effort of the management in performance. If we look at the situation in terms of tariff from the U.S. one, I think today, a lot is fluid, I would say. And I would wait before make a conclusive statement. But today, if we look at it, we believe that whatever the tariffs that have been mentioned today and right now in the place, I personally feel that those numbers will be reviewed and corrected.

However, if you look at from any angle in terms of the competitive landscape in terms of alternate supply chain geographies, I think India stands fairly stable in terms of its situation and in terms of its competitive strength that there would not be any major meaningful impact coming in is my current assessment.

Also, if we look at from Anupam's specific perspective, today, the revenue -- last year, our revenue from U.S. was around in a lower single digit. And we have signed an LOI and a contract. If you look at them, I think we have a very fairly robust order book order from the customer with the pricing agreed. So to that extent, we don't see that.

Also, some of the products are already in the exempt list, which we are planning to supply. And so to that extent, we are far more comfortable. And therefore, we do not feel much of a challenge there. And some of the other suppliers will have an antidumping duty, which may be the case.

But for us, at least that is fairly comfortable from our perspective.

Meet Gada: Second question, can you help me understand more on that long -term master purchase agreement with Japanese conglomerate in terms of business segment value of the contract on an annual basis and how many molecules are covered within this agreement?

Vishal Thakkar: So right now, we are working on more than 5 to 6 products with them. They're largely in the polymer segment. Values right now, they are under evaluation. And right now, it may not be the right time to share the value. But the only thing we can share is the kind of potential. There is a significantly large potential coming from these molecules as they are in the specialty polymer segment that are there. And this is -- as we mentioned, this is one of the very large MNC in this segment, which is in the fluoro side of the business.

Meet Gada: Got it, sir. Next, pharma revenues have been

growing quarter -on-quarter from INR25 crores in

Q1 last year to INR75 crores now in this quarter. Are these revenues part of LOI or they are non -LOI based? Also, the products which we are supplying are going into patented or non -patent products? And what are the therapies which those intermediates cater to?

Vishal Thakkar: Okay. So if you look at our pharma strategy, the pharma strategy for us is more looking at input substitution in India and specifically addressing the KSM space, which is the space which is right now not catered by the Indian player -- Indian players. India in terms of pharma, if you look at it, largely Indian players are more active in the formulation, so branded generics and also

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in the API space. But on the KSM side, very few people would be operating, and that's the market space that we are focusing on.

Two, if you look at these are not the LOI -- these revenues are not from -- not out of the LOIs revenue. These are additional revenue that you will see from here. And in terms of list, last year,

we had launched -- over the last 18 months, we have launched now about 17 new molecules, which are now ramping up to give us this revenue.

And this is across segments like your CNS segment, it is across your statins, it is across your infectious disease. So it is broadly across multiple therapeutic segments. But key thing that you have to appreciate is that these are all raw products, which are really an extension of our value chain.

So what value chain we have today in terms of our chemistry and supply chain and manufacturing capacities, we are leveraging those anywhere for agro, we have agro polymer and the similar ones are being utilized to an extension to use that similar supply chain to address the pharma market. So we come from more chemistry and processes and ending up our finished product into the pharma segment.

Meet Gada: Got it, sir. One question, if I can squeeze in. So your performance materials segment should be growing considering the revenues which you have signed recently. So what should be the contribution mix from this segment going in FY '27, '28?

Vishal Thakkar: So today also, if you look at the performance segment is around about just about double digit. And we expect that, that number should be -- would be around 15% to 20% this year. And as we go further, this should go and end up around 20% to 25% at least in the next 2 to 3 years' time, similar to what we will see for the pharma as well.

Moderator: The next question comes from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Congratulations on your results. Just a housekeeping question. In the presentation, the export share was mentioned as 48%, but I heard Anand bhai saying the export share is 58%. So can you clarify that?

Vishal Thakkar: It's a typographical error on the presentation, if that is 58% is the right number.

S. Ramesh: Okay. So when you talk about the debt coming down, there is an increase in the interest expense. So if you look at the reduction in long-term debt, what would be the run rate for interest expense from the second quarter for FY '26? And then if you look at your working capital reduction, how much is the existing inventory in value terms that is being used for your new orders from second quarter?

Amit Khurana: So let me answer the interest rate question or the debt question. So yes, my debt will be in the range of INR1,000 crores by now. And as we go, that number would tend to -- on a net basis, tend to reduce as my operating cash flows kick in. For now, you can look at around about around -- for the quarter, yes, it will be in the range of INR26 crores to INR27 crores a quarter kind of Anupam Rasayan India Limited
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a number or a little less than that also will be the possibility. Right now, it is this and let's see

from there, right?

S. Ramesh: Okay. So when you talk about using the existing inventory for the new orders starting this quarter, can you quantify the value of the inventory so that we get a sense of how much the inventory will come down relative to the ramp-up in revenue?

Vishal Thakkar: Are we talking about this quarter? Or are we talking about the year?

S. Ramesh: No. You made a mention that you're going to use existing inventory for ramping up a new order, right? So whatever revenue you get, you will be on the existing inventory, so your inventory days come down. So if you can quantify the value of the inventory which will be used and what is the kind of revenue you expect on a steady-state basis on these orders, can you help us understand how the working capital look like?

Vishal Thakkar: So by the year-end, we are looking at, let's say, around about the kind of a working capital cycle that we saw for 2024.

S. Ramesh: Okay. So when you talk about this new order using existing inventory, now you have several orders to start being executed this year from over CY '25, FY '26. So these orders will be executed in the next few quarters. How is the receivable and inventory cycle compared to the existing business? In terms of number of days, what would be the reduction?

Vishal Thakkar: Sorry, I didn't get you. Can you please tell me ...?

S. Ramesh: In terms of the incremental growth in revenue. So there's an existing revenue and working capital profile, right? So in terms of the new orders being executed over FY '25-'26 as per the LOI schedule given for the execution of the new orders, what will be the receivable days and inventory days in terms of incremental impact on the balance?

Vishal Thakkar: So incremental impact, as I'm saying, I'm talking on the net basis. So all the -- if you look at it, my -- as we go forward, I will be able to use my part of my inventory to liquidate and convert it into sales, which would mean that my absolute number also should come down. Second, also, what will it also mean receivables also, which were extended are also going to contracts in terms of days. So if you look at it, the cycle of my cash conversion is going to shrink and reduce. That is the first focus that I want to achieve.

Second, as I mentioned, over the year, we should be looking at coming back to a working capital cycle of what we saw in 2024. And in terms of absolute, yes, there will be a reduction in terms of a few hundred crores of working capital intensity -- working capital in absolute term also should be -- is what we are looking at. So it's a combination of sales increase and reduction in working capital.

And as we go, there are 2 parts, as we discussed earlier also that pharma will have a little longer receivable cycle compared to agro and polymer versus pharma will have a lesser inventory intensity compared to pharma and polymer. Net-net, eventually, we should end up with a net

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working capital over the next 2 years kind of a timeframe in the range of 180 days kind of a target that we have been having for us, 180 days.

S. Ramesh: Okay. So you mentioned the Y -o-Y numbers for pharma and performance chemicals . Can you give a similar number for agrochem and personal care ?

Vishal Thakkar: Okay. Y -o-Y, I am saying that pharma for -- agro for this quarter would be around about 57% of my revenue. So I think that will help you in terms of getting the balance.

S. Ramesh: I understand that since you gave the number, corresponding number for pharma and performance chemicals , it will be useful if you give the same number for agrochem and personal care . That is the point I'm making.

Vishal Thakkar: I'll get you that number. Just give me a minute or 2 to just do the math and give it to you.

S. Ramesh: Yes. And secondly, if you look at your customer offtake in agrochemicals, you're saying

that

performance is improving. And -- but there's other companies who are saying that customers are deferring orders and they are balancing their inventory requirements . So in your case, are the innovators able to get their material as per the delivery schedule?

So when you say agrochemicals for CSM is improving, how is it different for you compared to your competitors? Because we heard one peer say that their volumes have actually dropped because the customer has been reducing the offtake versus their contracts. So what is different in your case?

Vishal Thakkar: So Ramesh, first, there is a 100% Y -o-Y growth in my agrochem segment as well, if that helps the first question to answer. Now second is, these are all product -specific, customer -specific, company -specific situations. Like there were my peers which were showing growth when I was in the degrowth period last year. So making a comment on any of my peers may not be the best statement to make. But what I'm saying is that today, what I see that this year, we are looking at a very strong revenue growth across all the 4 segments that I can say, which is agro, pharma, polymer and personal care .

And we see -- personal care will remain a steady growth because it has not seen any too much of a volatility. We will continue to be there, but agro, pharma and polymer will be a strong growth. We will -- we are looking at, as I had said in the last call also, this year is looking at as where we are going to grow over 30 -plus percent kind of revenue numbers that we are very -- we are feeling very, very comfortable. If you look at my last 2 quarters' results, it gives me that much confidence and it provides a strong empirical evidence to that plan or the suggestion that I'm making.

S. Ramesh: So just trying to put the order book schedule in perspective and the segments you are giving. So you said pharma is out of the order book. So if you look at the segment categories, how should we read the order book execution in FY '26 and '27 based on the LOI schedule you have given?

So how do we fit it into these segments?

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Vishal Thakkar: So order book, if you really look at it, largely will be for polymer and for the agrochem side, you can see LOIs largely catering to these 2 segments. We expect that around INR450 crores, INR500 crores kind of a number will be there for this year, and we expect it to go -- so we would double the contribution from LOI from last year to this year broadly, and we expect a similar kind of a number growth next year as well because a lot of LOIs and contracts are getting commercialized and getting ramped up.

S. Ramesh: Okay. And the polymer will be in the performance chemicals segment, right?

Vishal Thakkar: Yes, polymer is performance chemicals , yes.

Moderator: The next question comes from the line of Rikin Shah.

Rikin Shah: Congrats on a very strong rebound. So my first question is, I want to try to understand what the inventory situation is like at the end customers' end, like who we are supplying to for our key

molecules basically?

Vishal Thakkar: So thank you, and thank you that helps me also explain what I was trying to explain and thanks for this question. If you see last 18 months has been a very concentrated effort from my customer to really reduce their supply inventory levels. And if you -- if we see now, those stocks are now coming to the level -- target levels that they had put for themselves.

So to that extent, we see that now whatever the projections they are giving us for their offtake are looking more robust, more visible and more firm in their nature. So to that extent, the reduction in the inventory cycle that they wanted in terms of channel inventory, they've largely covered it for now.

Rikin Shah: Got it. But sir, like when we -- like the broad -based commentary when we see the partner meetings

of any of the innovators, the comments to all the contract manufacturers more or less the same, which is to reduce cost and work on cost structure. So do you feel that the pressure is much lesser today like compared to like 1 year ago maybe?

Vishal Thakkar: Significantly less. If you ask me last year versus this year, we see far more comfort in terms of -- the buoyancy in terms of their projection or also cost pressures have - see, basically, what has happened that most of them -- most of the cost pressure, if you really see, started in the '23 kind of a timeframe, especially when there was a Ukraine -Russia conflict which led to a strong inflation -- very high inflationary pressures across energy and every other facet, which practically 2 things have happened from there.

The energy prices have got corrected significantly and came back to a more steady state. And also, if you look at from a logistics or transportation or any other places also, the costs have become more stable and more near to the past steady -state numbers. So to that extent, cost pressures are not as much. No doubt always customer will want to have a cheaper product and quicker. But I think everybody has seen that now we have come to a level where we need to get to business on a steady -state basis, and we have to act and behave and expect in the similar range.

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Rikin Shah: Got it, sir. And apologies for the next question, if it's a repetition. But after the preferential and perhaps the cash flows of FY '25 materializing in FY '26 as there is more inventory rationalization. So what kind of debt reduction maybe short -term and long -term goals do we have?

Vishal Thakkar: So if you see, first, we are today on a net basis because we have some bit of a capital, a little small, a little bit of a term debt. So on a net term debt basis, we are net 0 actually. So we have practically no net term debt left out first.

Second, today, we have a working capital lines of around about INR1,000 crores. We expect that to get corrected more in terms of reflection of the operating cash flows because today, if you look at it, no major capex planned or necessitated. And two, working capital will release cash rather than consume cash.

Rikin Shah: So like, even if we see working capital debt and combined gross debt long term plus working capital related. So overall, do we have any target in our mind?

Vishal Thakkar: See, I'm just saying that today, if you look at my debt -to-EBITDA will be less than 2, and I will try and keep it around less than 2 and more pushing towards 1.5 or less.

Moderator: The next follow -up question comes from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: So in terms of the margin profile and the tax rate, how should we read the incremental growth from the new LOIs, what would be the margin profile and how would the tax rate move?

Vishal Thakkar: So margin profile, we should have a similar margin profile that we have been historically guiding. I would put it around about 25% to 27% margin profile is what I would really guide at incremental. And tax rate, I think steady state tax rate what we have been historically is where we should be looking at.

S. Ramesh: Tax rate first quarter is only 23%. So will it increase over the 4 quarters and go back to 20%, 30%

Vishal Thakkar: Yes. So what has been the historical average? I think if you take it to that level, it should be the right one.

S. Ramesh: The reason I'm asking is how is the tax rate declined to 23% in the first quarter?

Vishal Thakkar: There was basically some credits which were there, which we have been able to use it.

S. Ramesh: Okay. So one request, Tanfac is a company is supplying you material as a group company. So if we are able to get some visibility on the performance of the company in the call with the management, that will help us u

nderstand their company as well and how they fit into your plan.

So that's one personal request.

Vishal Thakkar: Sure. We will look into that.
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Moderator: Ladies and gentlemen, as there are no further questions from the participants, I will now hand the conference over to the management for closing comments.

Vishal Thakkar: Thank you. On behalf of the management of Anupam Rasayan India, I thank you all for joining on our earnings call today. We hope we have been able to address majority of your queries. If you may have any further questions, you may reach out to our Investor Relations partner, E&Y, and they would be happy to support you. We close this call. Thank you very much. Have a good day.

Moderator: Thank you, sir. On behalf of Anupam Rasayan India Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Oct 2025

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ARILSLDSTX2025 1025057 Date: October 25, 202 5

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001, India
SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block -G,
Bandra Kurla Complex, Bandra (East),
Mumbai -400051, India
SYMBOL: ANURAS

Dear Sir/ Madam,

Subject: Submission of transcript of Earnings Call on the Unaudited Financial Results
(Standalone and Consolidated) of Anupam Rasayan India Limited (the " Company ") for
the quarter and half year ended September 30, 2025 .

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and
Disclosure Requirements) Regulations, 2015, we are enclos ing herewith the transcript of the
Earnings Call on the Unaudited Financial Results (Standalone and Consolidated) for the quarter
and half year ended September 30, 202 5 held by the Company on Friday, October 17, 202 5.

This information is also be ing hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking you,

Yours Faithfully,

For Anupam Rasayan India Limited

Ashish Gupta
Company Secretary & Compliance Officer

Encl.: As above

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"Anupam Rasayan India Limited Q2& H1 FY 2026
Earnings Conference Call "
October 17, 2025

MANAGEMENT : MR. ANAND DESAI – MANAGING DIRECTOR
MR. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICER
MR. AMIT KHURANA – CHIEF FINANCIAL OFFICER
MR. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL OFFICER

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Moderator: Greetings, ladies and gentlemen, good day. Welcome to Anupam Rasayan India Limited Earnings Call.

As a reminder, all participant lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Krishna Patel from EY.

Krishna Patel : Thank you, Shravani, and good evening, everyone.

Welcome you all to Anupam Rasayan India Limited's Q2FY26 Earnings Conference Call.

To take us through the results and to answer your questions, we have with us the management of Anupam Rasayan, represented by Mr. Anand Desai – Managing Director; Mr. Gopal Agrawal – Chief Executive Officer; Mr. Amit Khurana – Chief Financial Officer; and Mr. Vishal Thakkar – Deputy Chief Financial Officer.

The discussions that we may have today may contain certain forward-looking statements relating to future events and future performance. Numerous factors could cause actual results to differ materially from those in the forward-looking statements. Please note the audio of the earnings call is the copyright material of Anupam Rasayan India Limited and cannot be copied, rebroadcasted, attributed in press or media without specific and written consent of the Company. I would now like to hand over the call to Mr. Anand Desai, Managing Director for his opening comments. Thank you, and over to you, sir.

Anand Desai: Thank you, Krishna, for the introduction.

Good evening, everyone, and a warm welcome to the Q2 FY26 Earnings Call of Anupam Rasayan India Limited.

The overall business environment has seen a notable improvement during the quarter. The chemical industry is witnessing a clear recovery after several challenging quarters, supported by easing global supply chains, stabilization in raw material prices, and a revival in end-user demand across key sectors. The macroeconomic sentiment in India and globally has also strengthened, providing a favorable backdrop for growth.

Against this improving environment, I am delighted to share that Q2 FY26 has been one of the best quarters for our company. We delivered a stellar performance with consolidated revenue from operations of INR 731.4 crore, reflecting exceptional growth of 148.8% year-on-year and 50.5% sequentially. For the first half of FY26, consolidated revenue stood at INR 1,217.2 crore, registering a robust 122.1% YoY growth.

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I am pleased to highlight that within just six months of this financial year, we have already surpassed the total revenue of FY25, demonstrating the resilience of our business model, strong customer relationships, and operational excellence. Our subsidiary, Tanfac Industries, also delivered a strong performance during H1 FY26, reporting revenue of INR 344.7 crore, marking a 66.6% year-on-year growth.

On profitability, the company reported consolidated EBITDA margins of ~19.5% in Q2 FY26 and ~25.5% for H1 FY26. These margins were slightly subdued due to a few dispatches made from older inventory. We expect margins to normalize from Q3 onwards as new contracts and pricing structures take effect. Despite this temporary impact, the company remains well -

positioned to sustain strong growth and healthy profitability for the remainder of the year. Geographically, the US market has grown phenomenally for us and continues to be a key growth driver. Importantly, majority of our products fall under the exempt category for the recently imposed US tariffs, ensuring that our exports remain unaffected by cost pressures and allowing us to maintain competitive pricing and stable margins. Overall, 58% of

of our total revenue came

from exports, reaffirming our strong and diversified global presence.

Overall, this quarter truly reflects the best of Anupam Rasayan —our agility, customer trust, and execution strength —supported by a favorable industry environment and renewed momentum across global markets.

With this, I would now like to hand over the call to our CEO, Mr. Gopal Agrawal, to take you through the detailed operational and financial performance. Thank you.

Gopal Agrawal: Thank you, Anand bhai. Good evening, everyone and thank you for joining us today. Indeed, it has been a remarkable quarter for Anupam Rasayan. The results clearly reflect the strong execution across all verticals, improved industry sentiment, and our team's continued focus on growth, customer satisfaction, and operational discipline.

Our order book remains healthy at around ₹14,646 crore, spread over 5–7 years. We have made significant progress in commercializing majority of these products during the year, and we expect these orders to contribute approximately ₹450 crore in revenue during FY26.

In Q2 FY26, we successfully launched one new molecule in the Pharma segment, further strengthening our product portfolio and demonstrating our ongoing capability in developing complex chemistries for global customers.

Speaking about the segment-wise performance:

Life Science Related Specialty Chemicals contributed 84% of total revenue in H1 FY26. Within this, the Pharma segment accounted for 23% and registered a strong 201% YoY growth during Anupam Rasayan India Limited

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H1 FY26, primarily driven by new product launches and scale-up of recently commercialized molecules.

Performance Materials contributed 16% of total revenue in H1 FY26, with revenue growing by 306% YoY, supported by the ramp-up of newly launched polymer molecules and expanding customer engagements in this space.

On the operational side, the company continues to focus on optimizing its balance sheet and improving working capital efficiency. As Anandbhai highlighted, we have made meaningful progress in reducing inventory levels by fulfilling certain specific orders — which, while exerting temporary pressure on profitability, have improved cash flow and asset turnover. We anticipate a further reduction in working capital over the coming quarters, reflecting stronger operational efficiency and disciplined liquidity management.

Overall, the momentum achieved this quarter positions us well for sustained growth and profitability in the coming periods.

With this, I would now like to hand over the call to our Chief Financial Officer, Mr. Amit Khurana, to take you through the detailed financial performance.

Amit Khurana: Thank you, Gopal bhai, and good evening, everyone.

I would like to highlight we expect a 50%+ growth in FY26 largely attributed due to recovery in the agro chemicals sales and growth in polymer and pharma segment.

With the receipt of ₹277.5 crore from warrants in July 2025, ₹175 crore has been used towards repayment of term debt, making the company net debt of ₹730 crore at consol level.

On the working capital side, the numbers have improved significantly. On consolidated basis, from FY25, working capital days have decreased from 409 days to 247 days in H1FY26. We expect to close FY26 with slightly lower working capital with revenue doubling, we expect reduction in working capital days to 200 days in near term.

We are optimistic about the outlook of the company and the industry. The management sees significant growth potential, especially in the polymer sector, and is open to exploring inorganic opportunities to expand its presence in this space.

With that, I'll now hand over to our Deputy CFO, Mr. Vishal Thakkar, to share detailed quarterly and half yearly financial performance. Over to you, Vishal bhai.

Vishal Thakkar: Thank you, Amit Bhai. Good evening,

everyone and thank you for being with us today.

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I'd like to share some key financial performance highlights for the quarter, before we open the

floor for the Q&A session. I hope you've had the opportunity to review the detailed presentation and results that were uploaded on the exchanges and company website as well as . Consolidated financial highlights including Tanfac for Q2FY26:

Revenue from operations was at **■731.40** crores as compared to **■293.96** crores in Q2FY25; up 148.8% YoY.

EBITDA (incl. other income) was at **■143.58** crores as compared to **■82.35** crores in Q2FY25; up 74.4% YoY, this translates to 19.5% EBITDA margin in this quarter.

Profit After Tax was at **■57.15** crores as compared to **■30.62** crores in Q2FY25; up 86.6% YoY, this translates to 7.8% PAT margin in this quarter.
Consolidated financial highlights including Tanfac for H1FY26:

Revenue from operations was at **■1,217.22** crores as compared to **■548.16** crores in H1FY25; up 122.1% YoY.

EBITDA (incl. other income) was at **■272.78** crores as compared to **■141.60** crores in H1FY25; up 92.6% YoY, this translates to 22.2% EBITDA margin in H1FY26.

Profit After Tax was at **■105.61** crores as compared to **■42.8** crores in H1FY25; up 146.6% YoY, this translates to 8.6% PAT margin in H1FY26.

Our top 10 customers contributed about 81% to the revenue from operations in Q2FY26.

With that, we will open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Meet Gada, Emkay Global Company. Please go ahead.

Meet Gada: Hello, thank you for the opportunity, and congratulations on achieving the company's highest - ever quarterly revenue. In the previous quarter, you had mentioned plans to liquidate a portion of the inventory, which would help drive revenue growth and reduce overall working capital days. I wanted to understand — what proportion of the Q2 revenue came from this inventory liquidation? Or was the growth driven by any LOIs coming into effect? Additionally, can the increase in agro -application revenues be attributed to these sales? Yes.

Vishal Thakkar: Thank you, Meet. So, if we look at the numbers, approximately 25% –30% of the revenue this quarter came from liquidation of older inventory, which we had highlighted earlier. We had been requesting customers for this, and this quarter we successfully achieved it. Apart from that, the agrochemical cycle has also turned positive, with volumes showing improvement. As mentioned
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earlier, growth in the pharma and polymer segments is further supporting this momentum. Overall, you can view the revenue growth in this context, and we expect to deliver total revenue growth of over 50%.

Meet Gada: So, on that 50% revenue growth, what should be the reasonable EBITDA margin which we should expect? You had guided for 26% - 28% previously.

Vishal Thakkar: If you look at it, around Rs. 150 crore — roughly 30% of our revenue — comes from areas with comparatively lower EBITDA margins. However, going forward, we expect margins to stabilize around 25%, with a variation of plus or minus 1 percentage point. So broadly, that's the EBITDA margin range we should be looking at.

Meet Gada: Okay, got it. Can you share the breakup of performance material segment within polymers, electronic materials, dyes, and pigments? Because it has grown around 4x year -on-year, if you see. And if there is any update pertaining to Elementium contract or any inorganic acquisition which we are doing?

Vishal Thakkar: So first, the performance chemical largely is more polymer -based products, or going into the end market of polymers. Right now, the Elementium revenue, there is no meaningful revenue contributed from the Elementium LOI. An

d on the M&A side, as you asked, yes, we are actively looking for assets. And let's see where we end up on that part, at least.

Meet Gada: Okay. So, one pertaining to Tanfac, the company had signed supply agreements with multiple companies with a revenue potential of around Rs. 750 crores annually. So I wanted to check, where are we in terms of execution of those projects? As the baseline period is nearing, and we are just 15 months away, can you throw some light on that?

Vishal Thakkar: They are moving forward on that positively. The detailed one, I think I can arrange all the management there to really give you a detailed update on that. But they are going in the right direction. That is what I can say.

Meet Gada: Got it. Thank you so much, Vishal. That's all from my side.

Vishal Thakkar: Thank you, Meet, thank you.

Moderator: Thank you. The next question is from the line of Krishna Parwani from JM Financial. Please go ahead.

Krishna Parwani: Hi, thanks for taking my question. I had one query regarding the balance sheet. Looking at the standalone numbers, it still appears quite bulky. Specifically, trade receivables have increased by around Rs. 300 crore, while inventories remain at a similar level of roughly Rs. 1,300 crore, or about 365 days. Could you please explain what's driving this? Because based on your earlier commentary, there was supposed to be an improvement in working capital, but it seems to have continued rising. What's the reason behind this trend?

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Vishal Thakkar: Let me first address the debtor days, as that's an important point. On a consolidated basis, our debtor days have actually come down, but on a standalone basis, the figure appears higher. This difference is mainly due to intercompany adjustments between Anupam and its subsidiary. The subsidiary has received payments from customers, but those funds are yet to be transferred to Anupam's books — which will happen in the current quarter. That's why you see a difference of around Rs. 300 crore. Adjusting for this, our receivables have in fact improved, both in absolute terms and in days outstanding. I hope that clarifies the position.

Krishna Parwani: Yes. So, I actually had that question, because I do not think we should look at the subsidiary financials. Because anyway, you have that Tanfac, which you are fully consolidating because of your control even after holding 26%. But ideally, you should not be consolidating on, I mean, if I have to see the Anupam business, that is the standalone business, right? I do not think you are consolidating any other meaningful subsidiary apart from Tanfac.

Vishal Thakkar: So, Rs. 350 crores that I am talking is not about Tanfac. It is another subsidiary. And it's the only one subsidiary.

Krishna Parwani: Which ARIL specialty or which subsidiary are you referring to? Anupam US, Anupam Europe, which subsidiary are you referring to? Which is?

Vishal Thakkar: It relates to our subsidiaries in the US and Europe, from where around Rs. 350 crore is due. They have already received payments from customers, and the amount is in the process of being remitted to us. This is purely a timing difference, which explains the temporary impact on our working capital. To clarify, this has no connection with Tanfac — I wasn't referring to that while explaining the numbers. I hope that provides clarity and aligns with your understanding.

Now, coming to the inventory side — we have successfully liquidated our older inventory. However, as we continue to expand in the pharma and performance chemicals segments, additional working capital investment is required to support those businesses. So, while there's a reduction on one side, there's also a deliberate investment on the other, particularly in newer segments like pharma and polymer, which reflects our strategic growth focus.

From a

venue standpoint as well, if you compare with last year, our inventory days have improved significantly. Going forward, we expect this trend to continue, allowing us to support stronger growth. In fact, by the end of this year, we anticipate a notable reduction in working capital — particularly inventory — even on a standalone basis, in terms of days.

Krishna Parwani: Okay, fair enough. So, I get that part, that you have to keep the inventories for the upcoming business or the incremental business. But even considering that 365 days of inventory is huge, so what's your ROCE target? Because I do not see anything more than a single-digit ROCE with this kind of inventories and the receivable base.

Vishal Thakkar: So, I think one thing that we have to also look at is that as we are growing, we are only improving this number. And as I had said that if you look at from, compared to last year to this year, there

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is at least over a 50% improvement in my number of days. I am, again, reiterating that we will continue to focus on that to improve it further. As I had earlier also mentioned, that typically our ROCEs, as we had also historically been seeing, if you look at it, we have been in the double-digit more on the higher teens and over 20%. That's what we will look at it. It's just that it's a journey and not I can, I will have to take, as what Gopal bhai in his opening speech also mentioned and Amit bhai also mentioned, that over next 18 months' time, you will see more meaningful results from there as well.

And the trend is there. What today we can very confidently say is that if you see the performance, this quarter and this half has been a very strong performance. Also, if you look at it from an operating cash flow perspective, on a consolidated basis, we have been over Rs. 350 crores of cash flow from operations. And on a standalone basis also, if we adjust for the receivables that I would have got from it, it would have been over Rs. 300 crores. So all in all, the business has

started turning around not only from a P&L perspective, but also from a balance sheet perspective and a cash flow perspective. So now business has started giving back cash than what it was absorbing for the last two years.

Krishna Parwani: Okay. I mean, if things are this gradual, then I am afraid that I think we might need to continue to borrow money, because I do not see you making more. In any case, sir, just on the financials, can you please upload the financials of the subsidiaries that you are referring to on your website?

Vishal Thakkar: So, whatever will be required, we will definitely do it. We have uploaded, in fact. We can also look at that. However, one comment that I would want to clarify, and the only thing that I am clarifying is that by the current operations, I am releasing cash and not consuming cash. If you look at my net debt has reduced, my cash flow from operations has increased, and it is significantly positive in the range of Rs. 300 crores plus. And if we continue, I think we should be able to continue to deliver that kind of cash flow. So, my reliance on debt is reducing as for the current operations.

Krishna Parwani: Okay. No, because I see the standalone balance sheet, and then I am seeing an FCF negative there. Okay, anyway, so that's why I am referring to, is I am requesting you to upload the financials for wholly-owned subsidiaries then it will get clarity. Because for the time being, I am seeing is majority or the entire console minus standalone is the Tanfac, and which benefit ideally should not be accrued. Because I know you are holding 26% controlling stakes, so you can consolidate, but that's just masking away. But no worries. If you can upload it, then it will give us more clarity.

Vishal Thakkar: Sure. The only thing I am, again, repeating myself, but just for the clarity's

purpose, if you see,

basically, the cash, when I mentioned the improvement in the cash flow, I have, again, said that this cash flow I am talking about, which is due to me and not due to Tanfac. Okay? And that's the clarity I am giving right now also. So, if you, if I, if, let's say, which, in this quarter or in this month, we will be receiving that Rs. 350 crores of cash. So, if you look at that cash, which is basically mine, which is in my wholly-owned subsidiary and not in Tanfac, so to that extent, I am taking into account your suggestion or your mention. Even after that, I am saying I would

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have done operating cash flow of over Rs. 250 crores to Rs. 300 crores. So that is what I am trying to say. And this quarter, when you see those numbers, you will see that the results are still in there.

Krishna Parwani: Got it, sir. Thank you for answering my question. I wish you all the best and a very happy Diwali to the entire Anupam Rasayan team.

Vishal Thakkar: Thank you. I hope I have been able to answer it with as much clarity as I can, and wish you Happy Diwali to you as well from Anupam's side.

Krishna Parwani: Thank you. Thank you so much. Thank you.

Moderator: Thank you. The next question is from the line of Vikas, an Individual Investor. Please go ahead.

Vikas: Question. So, my question again is, yes. Yes. So, thank you for taking my question. So, my question is on standalone balance sheet again. Your gross block has increased from 14 million in FY '22 to almost 34 billion in FY '25, whereas your EBITDA is declined. From FY '22, you were earning Rs. 300 crore of EBITDA, which has declined to Rs. 265 crore. So Rs. 1000 crore of gross block you have added, whereas there is no incremental EBITDA which has come. So can you throw a light on this question?

Vishal Thakkar: Sure. If you look back, in September 2022, we had announced a CapEx of Rs. 678 crore, which has now been fully completed. The revenues from these new plants will start contributing from here onward. Until now, these assets were not available for revenue generation — that's one factor.

Secondly, as we've mentioned in previous conference calls, over the last two years, the agrochemical sector faced significant headwinds, leading to a decline in our revenues and, consequently, a lower EBITDA — which is reflected in the numbers.

However, in this quarter, we achieved revenue of Rs. 590 crore on a standalone basis. Even after excluding one-offs, around Rs. 100 crore of revenue came from older assets, out of a total of Rs. 1,600–1,700 crore of potential revenue. Going forward, with our current level of capital investment, we are well-positioned to deliver the performance we are targeting.

Vikas: So, my question was, your investments are not yielding any growth in profitability. So while your topline may have increased in this quarter or in this half year, your profits have not increased. So Rs. 1,000 crores of investments you have done is not yielding any profitability.

That is my simple question.

Vishal Thakkar: Sir, that's what I am saying, that the Rs. 1,000 crores that is invested is now asset put to use because it was a combination of the three plants which we have invested, which are going to now start yielding the revenue because those were under construction. And that's the reason you are seeing the increase in the gross block, which now going forward, you will see the results of

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those. So the addition of Rs. 1,000 crores or whatever that the additional CapEx is basically going to yield results from going forward. And those were the investments which will now yield results.

Vikas: Okay, so my second question is like, again, coming back to inventory, on a standalone basis, when we see your inventory holding period, it is more than 700 days. Well,

I, all the competitors

who are in similar rating category, their holding period is less than 150 days. So what can be the reason for such a large deviation when the competitors are not increasing their inventory? Why you are increasing your inventory?

Vishal Thakkar: Okay, so the first answer that, see, I would not try and make any comments on how -- what is the business model of my peers. And I will leave it to their business model. As we had said in our past and earnings calls as well and that primarily for the last two years, because my agrochem cycle had gone down and the revenues were lower, the inventory that was there, the customers have, these are all inventories which are basically underwritten by the customers. However, the customers, because of their own channel inventory liquidation, they had requested to defer the supply, which is where the inventory has been on our balance sheet.

Now, as we go, those inventories are getting liquidated. As we mentioned in this call also, over Rs. 150 odd crores of those inventories have been liquidated. And going forward, you will see those numbers being more in line with what we would expect ourselves to be, which, if you look at, we are classically looking at around about 200 plus or minus 20 days as a working capital cycle in the near-term, and then improving from then on. So that's what we have been saying. And if you look at from the last two quarters that we have been mentioning, that journey has started. And it is playing out exactly what we had anticipated. And we believe that the journey will continue and we will be able to deliver what we have promised.

Vikas: But, excuse me, but there is a deterioration in your debtors receivable also. So in FY '22 when we see your total debtors receivable was 97 days. Whereas in FY '25 and in March, it is 266 days. So what can be the reason for your debtors is not paying up or paying up with so much of delay?

Vishal Thakkar: So that's again, when I had mentioned it in the last call, or when we did the FY '25 call, we had mentioned that, that basically when you have a headwind, so when the market sales performance is lower, the customers will request for a longer cycle, longer payment cycle also, and which we have accommodated for some time because of the historical relationship of 20 or multi-decadal relationships, which we have accommodated. And today, if you see that, debt days are getting compressed, and as I mentioned, currently the day for me is 107 days, which is fairly similar to what I have seen in FY '22.

So yes, things, when there is a headwind in the market, your balance sheet gets a little impacted or gets impacted, which is now in the process of improvement. So if you look at the trend, yes, we can take two different timeframes. But today, if you look at it from last six months to now, which is the period that we are talking about today, the performance has been fairly strong with Anupam Rasayan India Limited

October 17, 2025

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an operating cash flow of over Rs. 350 crores, and a number of days on the receivable side also strengthening strongly.

Vikas: Sir, one last question, if I may. So what is the reason for increasing pledging of shares by the promoters?

Vishal Thakkar: So that is purely and purely promoter has raised money to participate in the preference allotment, and that is where it is, basically, right? So there is no other reason for any pledge on any, any, any other reasons for that. I hope I have clarified.

Vikas: Thank you.

Moderator: Thank you so much. As there are no further questions, I would now like to hand over the conference over to the management for closing comments.

Anand Desai: Thank you. On behalf of management of Anupam Rasayan India Limited, thank you all for joining us on our post-earnings call today. We hope we have been able to address majority of our queries. If you have any further more queries,

please reach out to our Investor Relation

partner, Ernst & Young, and they will be happy to answer those questions and also help you connect with us offline. And wish you all a very happy Diwali. And with that, we will close the call. Thank you all.

Moderator: Ladies and gentlemen, on behalf of Anupam Rasayan India Limited, that concludes this

conference. Thank you for joining us. And you may now disconnect your line.

Call: Dec 2025

ANUPAM RASAYAN INDIA LTD.

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CIN - L24231GJ2003PLC042988 ARILSLDSTX20251219072 Date: December 19, 2025

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001, India

SCRIP CODE: 543275 To,

National Stock Exchange of India Limited

'Exchange Plaza', C-1, Block-G,

Bandra Kurla Complex, Bandra (East),

Mumbai-400051, India

SYMBOL: ANURAS

Dear Sir/ Madam,

Subject: Submission of transcript of 'Investor Call on US Acquisition Update', of Anupam

Rasayan India Limited (the " Company ") held on December 15, 2025.

We are enclosing herewith the transcript of Investor Call on US Acquisition Update, held by the
Company on Monday, December 15, 2025, at 04:30 p.m. IST.

This information is also being hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking you,

Yours Faithfully,

For Anupam Rasayan India Limited

Ashish Gupta

Company Secretary & Compliance Officer

Encl.: As above

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"Anupam Rasayan India Limited
Acquisition Update Conference Call"
December 15, 2025

MANAGEMENT : MR. ANAND DESAI – MANAGING DIRECTOR – ANUPAM
RASAYAN I NDIA LIMITED

MR. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICER –
ANUPAM RASAYAN INDIA LIMITED

MR. RAVISH CHAUDHARY – SENIOR MANAGER –
ANUPAM RASAYAN INDIA LIMITED

MR. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL
OFFICER – ANUPAM RASAYAN I NDIA LIMITED

MODERATOR : MR. ANSHUMAN GUPTA – INVESTEC , , , ANIJPAN RASAYAN INDIA LTD. .o-
C H O R L L"

,6, .\MP.\IIUS\.\ 11\INDIA LTD. -\$.Investee
Anupam Rasayan India Limited
December 15, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Anupam Rasayan India Limited US Acquisition Update Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr.

Anshuman Gupta. Thank you and over to you, sir.

Anshuman Gupta: Thank you very much, Sagar. Good evening, everyone. I'm Anshuman Gupta from Investec. I cover pharma, healthcare and chemicals here. We welcome you all for this update call on the US acquisition done by Anupam Rasayan last week. First of all, I would like to congratulate the entire team at Anupam for the acquisition of Jayhawk Fine Chemicals, which is truly a strategic milestone in their journey and this does strengthen their global specialty footprint.

From the management side, we have with us today Mr. Anand Desai, MD, Mr. Gopal Agrawal, the CEO, Mr. Vishal Thakkar, the Deputy CFO, and Mr. Ravish Chaudhary, Senior Manager.

We hope everybody has received the acquisition presentation released earlier. And with this, I would like to hand over the call to Mr. Anand for his opening comments and just spell out the strategy rationale and anything further he wants to add. Post that, we will obviously open the call for Q&A.

I have some of my own questions, which I will start with once Mr. Anand finishes with the opening comments and then we can move on to the questions by the audience. Over to you, sir.

Anand Desai: Thank you, Anshuman bhai. Good evening, everyone, and thank you for joining us today. We are pleased to announce a significant strategic milestone for Anupam Rasayan and India Limited. On 9 December 2025, we signed a definitive agreement to acquire 100% equity in Jayhawk Fine Chemicals,

a US-based specialty chemicals company from the CABB Group. Jayhawk was founded decades ago and is headquartered in Kansas, USA.

It is a highly specialized manufacturer with strong capabilities in custom manufacturing, high-quality processing, and complex chemical synthesis, serving long-standing global customers across multiple high-value applications.

This acquisition is fully aligned with our long-term strategy of building a global integrated specialty and CDMO platform with strong customer relationships, differentiated chemistries, and multi-geographic execution capability. First, Jayhawk gives Anupam a direct onshore manufacturing presence in the United States, significantly enhancing our creativity and engagement with multinational customers who increasingly value geographic diversification and supply chain resilience. Second, the acquisition strengthens our platform's depth across the value chain.

Over the last few years, our investment in Tanfac has enabled backward integration and secured critical fluorination raw materials such as HF and KF. Jayhawk complements this by positioning Anupam Rasayan India Limited

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us closer to the end applications, with manufacturing us critical advanced intermediates and N-1 molecules for high-performance materials and life-science customers. The acquired portfolio adds high-value di-anhydrides and polyimide intermediates, positioning Anupam Rasayan as a strong integrated player in this rapidly-growing segment.

This move expands our access to fast-growing innovation-led end markets such as semiconductors, automotive, EV, aviation, and electronics. Third, the transaction enhances our chemistry, capability, and customer platform. Tanfac's segment chemistry, Jayhawk brings additional process capabilities and strong global customer base, allowing us to scale faster and deepen customer relationships.

Importantly, we are exceptionally well-positioned to capitalize on emerging geopolitical tailwinds, particularly those driven by regulatory changes like the recently approved US Biosecure Act. By acquiring a US-based CDMO platform, we now offer global pharma companies an essential alternative for leading their supply chains away from restricted geographies.

This acquisition establishes a strategically valuable platform for us to expand our presence in the US and build a global CDMO network, especially for advanced intermediates and API and AI intermediates within the life-science sector. We aspire to leverage Jayhawk's global customer base for cross-sell potential and deepen our existing customer relationships. Ultimately, this acquisition is about creating a diversified, multi-geography growth engine powered by specialty and high-grade chemistries and establishing a US-innovation and CDMO hub. Lastly, this acquisition is fully aligned with the philosophy of discipline, capital allocation.

The transaction is funded through a balanced mix of quasi-equity, debt, and interlocutors, ensuring balance sheet strength while providing full strategic and operational control. With Jayhawk's established revenue base in relatively less cyclical, higher-value segments, we expect

the acquisition to be EPS-accretive from day one. On a pro-pharma basis, the combined entity would have revenues of approximately USD243 million, and an EBITDA of approximately USD61 million. With that, I will now hand over to Gopal bhai to walk you through the operational strengths and transaction details.

Gopal Agrawal: Thank you, Anand bhai. I will briefly cover Jayhawk's operational strength and how we see value creation post-integration. Jayhawk reported approximately USD78 million revenue in CY24 with EBITDA margins of around 19%.

About 65% of the revenue comes from performance material with a balance from life and life science-related molecules. This mix provides stability and strong growth visibility. The US facility is large, multi-

solution site, spanning nearly 3 million square meters, comprising two manufacturing units and a pilot plant. The presence of pilot-scale infrastructure is critical for development, scale-up, and commercialization of new CDMO projects.

From a capability standpoint of view, Jayhawk adds complex chemistry such as Suzuki coupling, azochemistry, Grignard reactions, and specialized high-temperature oxidation. These are highly complementary to Anupam's existing strength in halogenation, oxidation, and nitration.

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On implementation, the plan revolves around creating a powerful dual-site production model. This synergy combines Jayhawk's high-priority technology and advanced operation with Anupam's cost-efficient, backward-integrated manufacturing base in India, offers our global customers the flexibility of localized US production and a highly integrated supply chain. The enterprise value of the acquisition is approximately 134 million, implying an EBITDA multiple of around 9x CY '24 earnings.

Total purchase consideration is approximately 150 million, including cash on Jayhawk's balance sheet, which is roughly around 16 million. The funding structure involves Anupam Rasayan investing 40 million through a combination of internal accruals and debt, and the balance, which is roughly 110 million, is being invested by a leading global investment management firm in the form of Class B non-voting shares, which will enable Anupam Rasayan to consolidate Jayhawk fully.

Finally, we recognize that quality and experience of the team is fundamental to any CDMO business. We look forward to working with Jayhawk's existing management and team, whose technical strength and long-standing customer relationship aligns well with the integration model we followed even at Tanfac.

With this, I will hand it over to Anshuman to take this forward.

Anshuman Gupta: Sure, sir. Thanks for a good brief starting point on the acquisition. And what I will do is that I have some set of questions that I need to ask, and then obviously we will open the lines for Q&A as well. But anybody, if they have a question, they can actually join the Q&A straight away, right?

So my first question is while you did mention a little bit about the strategy rationale, right, I mean, if you have to like put it in four or five points, right, and detail it out what are the key strategic rationale for the acquisition? So, I would love to hear that.

Gopal Agrawal: Anshuman, I am happy to take that. I mean, we had covered this in our presentation as well as in the initial remark. But if I have to talk about four or five, one of the biggest one is basically it helps us strengthen our presence in US.

This acquisition marks Anupam's entry into onshore manufacturing in the United States, which perfectly aligns with our global expansion strategy to be a global player, global CDMO player for our customers. Jayhawk has established operations and customer base both, which provides Anupam immediate access to the key end market, leading multi-national customers, significantly enhancing our global vision. So that is one.

The second point is it helps us expand our performance material portfolio, especially into high-value dianhydrides and polyimide intermediates. These products have critical application, as you would know, across semiconductor, aviation, electricals. This will help us, Anupam and Jayhawk, put together more of an integrated player in this fast-growing performance material sector.

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The third benefit, which I can talk about, is the forward integration. So, as you would know, when we did the acquisition of Tanfac, it was clearly an idea to secure raw material sourcing, and this was more of a backward integration, particularly in the fluorination chemistry. Now, with Jayhawk, basically what we are t

trying to do is that go forward, which is go closer to our customer, an idea would be to manufacture more of our key N-1 molecules for our customers. With this whole combination I would say of Tanfac, Jayhawk, and Anupam would allow us to provide an integrated supply chain solution to our customers, and this will help us enhance our relationship with the customer. We would more act as a one-stop kind of a solution for some of the critical needs of our customers.

The fourth one would be also combining somewhere the cost-efficiency and technology, what we call superiority of Jayhawk. So, basically, the synergy between Jayhawk and Anupam, I would say Anupam would more probably act as a cost-efficient, backward-integrated manufacturing base; and Jayhawk, obviously, would be more on the technology advancement. And, net-net, our idea would be to basically provide a localized solution to our customers in US. Lastly, again, we, along with Jayhawk, we also get a pretty experienced team and R&D kind of, let's say, capabilities. Idea would be to combine the two and look at, I would say, kind of offering innovative solutions to our customers. So, I would say these are the five, six synergies which I can kind of think of to begin with. Of course, as and when we more and more kind of integrate our operation, there'll be a lot more which will come our way.

Anshuman Gupta: Sure, sir. Gopal sir, I think one of the statements in the opening remark was about China Plus One, right? It's a buzzword and across the globe, there is this thought about China Plus One, right? So if you can throw some light from this acquisition perspective, how do you think this China Plus One factor will actually play out in your favor because of that?

Gopal Agrawal: So, Anshuman, I mean, as a company, we have always focused on our own strength. I don't think we have kind of designed our thought process or strategy which is going to be based more on China Plus One kind of stuff. Our idea is to basically do and strategize whatever strength we have. And as I said, given the overall, I would say, kind of a combination of Tanfac at the back end and Anupam more at the intermediate and Jayhawk now on the front end side.

Our strategy would be to basically more look at looking at our own strength, you know, which we can offer to the customer and then thereby kind of offering more of an integrated supply chain solution to a customer and being of a value which would be long-lasting than trying to focus our strength on as a certain geographies or otherwise. But yes, Anand bhai or Vishal, if you wish to add anything.

Moderator: Anshuman sir, this is the operator. Should I open the floor for questions or you have any further questions?

Anshuman Gupta: No, no, I'm going to ask further questions. I think Gopal was asking Mr. Anand or Vishal if they want to add something to the answer. That's why I stopped. Should we have questions, you can always open the Q&A queue if you want. But I have a few questions, which I want to still ask the management. Is that okay?

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Moderator: Sure.

Anshuman Gupta: Yes. So again, on the acquisition structure and the debt to be taken by Anupam and what does it really cost the company and to add to that, I mean, how would Anupam be able to consolidate the full financials of Jayhawk?

Anand Desai: I will have Vishal Bhai answer that. Vishal Bhai.

Vishal Thakkar: Yes. So, Anshuman, I think the first thing is that Anupam is going to set up a wholly owned subsidiary, which will eventually acquire Monitchem Kansas S.a r.l which effectively holds 100% of Jayhawk Fine Chemicals, which is the entity which we are talking about, which is the operating entity. Monitchem Kansas S.a r.l is a holding company which is having an effective 100% holding.

So, that is the first from a holding structure point of view. In this, Anupam is looking at, will

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invest around about \$40 odd million, both in a combination of a debt and, from a combination of debt and internal accruals. So, which will act as an equity investment of Anupam in its wholly owned equity or a structure of Anupam.

So, which is where we will be holding 100% of the Anupam. Anupam will hold 100% of the Monitchem S.a r.l, which effectively holds 100% of Jayhawk Fine Chemicals. Now, on the balance amount of approximately \$110 million is going to be invested through, as in the form of a class B share by one of the large global investment management firm, which has over AUM of \$100 million through an investment vehicle.

So, unfortunately, today I am not in a position to share the name because we are under a confidentiality as of now. And as we consummate this transaction, we will be able to share the name and more details on that as well. But, so basically that will translate to total \$150 million, which shall be paid as a consideration to the selling shareholders for the company and the target.

Now, coming to the question that -- okay, let me first take it, how does it look like? So, it will be a Class B shares. So, it will effectively act as a non-controlling interest for Anupam in the Anupam balance sheet to that extent.

Today, we intend that eventually we would be, you know, we have a right to buy them out at any given point in time. So, that is a pure quasi equity that we see it. From our perspective, I see it more as a bridge to a larger equity round to settle this amount that is there.

Now, coming to the consolidation, because it is a non-controlling interest and I have 100% equity, 100% share of the equity of the company of a common share. Based on the auditor's opinion, we will be able to fully consolidate this company, company's EBITDA and P&L without having any dilution to that extent. Also, yes, so that is what it is. If you...

Anshuman Gupta: Sure. No, perfect. No, no. So, also, I mean, in terms of, just drilling down into what Jayhawk's business capabilities are, right? And what, according to you, it brings as a unique value proposition and also the core chemistry that it has, right? And subsequently, if you can also

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answer that, because you have evaluated Jayhawk quite well and, currently, it does about 19% EBITDA margin.

So, what is your sort of growth outlook? And I am not necessarily looking for numbers, but just broadly, if you can add that. So, one is on the capabilities and value proposition, and then you talk about the overall growth potential and margin profile of Jayhawk.

Gopal Agrawal: Vishal bhai, would you like to take that?

Vishal Thakkar: Yes. So, I think, Anshuman, as we kind of spoke, from a business perspective, this is a complete kind of a synergy, which is there between Anupam and Jayhawk. So, just to give you some sense, which we have spoken in the presentation as well.

Currently, for Anupam, the performance material is roughly around 10%, 12% about overall revenue, while as in case of Jayhawk, it is almost 65%. So, maybe if I was to kind of fast forward on a consol basis, the way, you know, the overall Jayhawk plus Anupam utility will look like, would be around 40%-45% would be agrochem, 35% would be performed material, and another 20% would be a mix of personal care and pharma for us.

So, this is this, we kind of get a, I would say, a portfolio, which would be pretty, I would say, kind of a comprehensive, and we'll be able to kind of offer needs of our customer across all the segment.

So, one is from a segment perspective, we'll be able to kind of offer them across, let's say, agro, performed material and pharma, and let's say, personal care. Similarly, in terms of performance material, you know, where you would appreciate that the application is more in the high-end segment, like aviation, electricals, and semi-con.

These are some of the segments w

hich are growing at a very, very fast pace globally, which

would allow us, basically, again, offer them more like an integrated supply chain solution to our customers.

And coupled with, let's say, a bit of a cost efficient model of Anupam, which, you know, we kind of spoke about initially in our commentary and advanced capability as far as the chemistries are concerned of Jayhawk. We do believe, I think, we offer a model, you know, to our customers where the customer would be able to more, partner with us in their supply chain kind of things.

Our idea and philosophy has never been to be a competitive supplier, to a customer, because maybe today you're competitive, somebody else tomorrow could become competitive.

Our idea is to more offer an integrated supply chain solution and partner with our customers from a long-term perspective. So, our belief is that, with the segment expansion, as well as, you know, I would say now the geography as well, because another thing which Jayhawk brings to us is that almost 70% of their business is US, while as for us, US was, I would say, fairly low.

We had enough and more business in Europe and more in Japan.

So, I would say this whole combination, has capability to help us expand margin going forward.

We may not be able to give you specific in terms of what kind of, let's say, growth one is looking

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at, whether it is sales or EBITDA margin, but we do believe that one should be able to kind of go closer to, the kind of margin, I would say, and growth Anupam has been enjoying even in the combined operations.

Anshuman Gupta: Okay. All right.

Tanya: Hello, I am Tanya from Investec, from Anshuman's team. Just one question, how is Anupam planning to do the integration of this acquisition, considering this is a relatively larger acquisition compared to Tanfac?

Gopal Agrawal: So, Tanya, I think it's a good question and the only thing, we can say that we have had experience of integrating Tanfac. As you would know, we acquired Tanfac 3.5 years back, and I mean, just for everyone's kind of benefit, I'm happy to kind of just share what we've been able to achieve

in that last 3.5 years. We have been able to double the capacity at Tanfac.

Revenue has grown 3x. We have been able to increase, I would say, margin or EBITDA margin by anywhere between 50% to 75%. And if market cap is any indication, the market cap has gone up almost 7x from the time we have done the acquisition.

So, all one is trying to say that, yes, we have now what you call experience of Tanfac. Of course, one can argue this is domestic and this is international, but I would say, business remains the same, thought process remains the same, idea and strategy remains the same. So, we feel fairly confident that, we'll be able to kind of do this integration also pretty well.

Like in Tanfac, we also have a global, kind of a firm, consulting firm has been assisting us more as a PMO, to ensure that we get the whole process and system integration right. So, we'll have, similar kind of, let's say, agencies also helping us out. But yes, I would say as far as Jayhawk is concerned, the team there is pretty independent, as you would have seen in our presentation while the ownership at the top has changed at Jayhawk, we have a pretty capable team, or I would say a pretty capable as well as full team, which is there, who will be able to kind of run operations pretty independently.

And our idea would be, I would say, more to act as a catalyst, whenever there's a need to look at expanding, let's say, the world offering and otherwise to our customers. So, as far as this whole, what we call acquisition is concerned, we are fairly confident that we should be able to kind of manage this pretty well, having done 10,000 successfully.

Tanya: Sure, that's great, sir. And what are the growth plans for Jayhawk, including the anticipated capex and

new product initiatives?

Gopal Agrawal: As I was telling you, Tanya, what we would be doing is that we do have, like a certain kind of what we call thought process in our mind. To begin with, we will primarily more focus on scaling the existing product, of Jayhawk. And then, we will look at kind of selectively taking some capacity expansion.

Idea would be to more sit with the Jayhawk management, talk about what we can bring on the table, what do they have. And, then look at selecting some of the kind of molecules across

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segment, where we can, go together and, probably offer something which is more of an integrated solution to our customer.

As far as the markets are concerned, I said, in the segment, whether it is aviation, semicon, electricals, EV, for example, I mean, the address of market is billions and billions of dollars. So, I think as far as the demand is concerned, there is no end to it. What we would be doing is that work with the team to see what are our strengths.

And this is that, look at selective capacity expansion is what we do. If I have more talk about the current, let's say, asset base, there is, I would say, as this decent amount of headroom, which will support our near-term growth. So, yes, we will look at additional investment on a more of a case-to-case basis, as we progress further.

Tanya: All right. Sir.

Moderator: Thank you very much. We will now begin with the question and answer session.

Anshuman Gupta: So, I have a couple of questions before the queue sets up, right? So, I think one of the key here is from a customer standpoint, right? And then that, both Anupam and Jayhawk have customers.

So, what are you, I mean, from a response from the customer side, what are you currently seeing? What's happening? How are both Anupam and Jayhawk customers actually reacting to this transaction?

Gopal Agrawal: So, I mean, the way to look at it is that, there are few customers which are common, between, let's say, Anupam and Jayhawk, which have been currently being served by Anupam as well as by Jayhawk as well. So, yes, and then there are definitely decent amount of new set of customers which Jayhawk brings on the table.

What we are happy to share is that, when we announced this transaction, we have had, I would say, decent bit of a positive, what you call, inquiries by, a lot of existing customers of Jayhawk as well as Anupam, wherein they said that, we kind of saw this news, we are very happy, having you kind of done this forward integration.

And we do believe that, this combined business definitely provides a greater supply chain stability and flexibility. And hence, I would say the customers are pretty, I would say, kind of excited. And we are kind of, let's say, engaging with some of them, one by one.

Of course, we will do more of those once the closing happens, which probably would be maybe another, whatever, 4 to 6 weeks away. But yes, to begin with, I think the customers are pretty excited. They are very keen, to kind of look at this integrated offering from us.

So, yes, our idea would be to kind of, let's say, bring the best of both worlds, both, I would say, from Anupam and Jayhawk combined. But yes, we are seeing enough and more of them, kind of approaching us as we speak, wherein they are having kind of a discussion or wanting to have

discussion with us or with our sales team. And I'm sure similar would be the case with Jayhawk as well.

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Anshuman Gupta: Sure. And, sir, I think specifically, I wanted to focus on the manufacturing side of this transaction. And if you can elaborate, right, from a manufacturing strategy perspective, what does this combined entity, will do from a manufacturing perspective?

Gopal Agrawal: Let me kind of answer this in two ways. One a piece which I kind of covered which is more of

a kind of, let's say, integrated solution which is a combination of Tanfac offering, Anupam and Jayhawk. Two is that the current site has roughly three million square meter is in size. And what the existing, let's say, manufacturing setup occupies is hardly around I would say 15% to 20%. So, there is another 80% of land which is available clearly for us to kind of expand going forward. So, as I said we will look at initially to expand the existing protocol product offering to our customers. And then selectively look at some of the capex for which the land is available. The idea would be to kind of look at some of this manufacturing, or rather building some of the manufacturing asset in Jayhawk. This is our offering or ask by the customer, where we are able to kind of take benefit of integrated, I would say solution, which would combine Tanfac offering, Anupam and Jayhawk put together, especially on the flotation side of it.

Moderator: Thank you very much. We'll take the next question coming from the line of Meet Vora from Emkay Global. Please go ahead.

Meet Vora: Yes. Thanks for the opportunity. So, just if I were to put the growth plans of Jayhawk under context with a revenue around \$78 million and EBITDA around 15 million, should a 20%, 25% growth on top line in EBITDA would be a fair number to work with? And an extension to that also on margin front, Anupam standalone entity is having a margin of around 25%, whereas Jayhawk is having a margin of around 19%. So, would it dilute some margin on a console level or do we expect Jayhawk's margin to rebound to say 24%, 25%?

Anand Desai: So, I think as I said in our commentary we definitely are looking to kind of a more integrate the offering and given the integrated offering synergies which we have, we do believe that the combined Anupam and Jayhawk should basically be able to achieve the growth which we have been kind of envisaging for Anupam in the past and similarly the margin as well. As far as in terms of timing, otherwise we'll not be able to kind of guide specifically, but yes, Vishal bhai if you wish to add anything.

Vishal Thakkar: So, Meet I think what Anand bhai also indicated in the call and what even Gopal bhai has said, I think the way I would see it is that there is a strong growth opportunity coming for this company on a standalone basis itself. And we believe that along with that, if we add the synergies that Gopal bhai has said and the opportunities that we can combinedly target.

I guess the number that you are speaking on an EBITDA basis, yes that should be there over the three to four year period especially, so even in the, so two parts to it. The growth of EBITDA should be around about what we said what numbers you had highlighted. And to my mind with the kind of a scale growth and the synergies that we see, I believe that effective margin dilution would not be there going forward over the next two to three years time period.

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Let's just get you more specific numbers as we try and close this transaction and have a better visibility on the business plan, along with the management, along with Jayhawk's management's view as well, more integrated in this position. Today, it is only coming from our vantage and our initial understanding.

Meet Vora: Sure, sir. Just one question I had on the existing standalone business. So how are we seeing the existing business across agro and polymer segments? I think we had commissioned few large AIs last year, which was seeing decent traction at least in the last few quarters. Are we seeing any revised interest in those from the customer's end or in general how is the base business looking like?

Gopal Agrawal: So again, Meet, I would say agro is kind of performing well. The volumes are kind of coming back for sure. And we do believe that it should start kind of contributing significantly. I mean, we did lose out,

let's say, in FY24 and 25. But we do expect agro to kind of come back. As far as the kind of the particular AI you're talking about, I think we are getting a decent amount of forecast from our customer.

And we, in fact, expect a significant increase as far as the revenue is concerned from that in FY27 both in terms of volume as well as in terms of growth rising. So yes, I would say, net-net,

we are definitely seeing agro business reviving pretty well and particularly this molecule kind of doing very well for us.

Meet Vora: Okay. And do we expect to put any further capex for this molecule or do you think that the existing capacity will be enough to suffice that requirement of the customer?

Gopal Agrawal: Currently, we don't have require anything at this stage, for sure.

Meet Vora: Okay. Thanks. That's all from my side and best of luck for the acquisition. Thank you.

Gopal Agrawal: Thank you very much.

Moderator: Thank you.

Tanya: Hi, this is Tanya from Investec. So, sir, how do you envision allocating your products and processes between India and US sites to optimize your cost and customer proximity?

Gopal Agrawal: So, Tanya I think as we said in our commentary, currently we are very clear. Whatever is being done in US, we do continue to be done there. We will only look to kind of enhance the product offering or scaling some of that in US. What we would do is that from a more of a backward integration perspective, if there are certain solutions, which we can offer from Anupam or from Tanfac or combined is what we will look to kind of do and thereby, as you said, more act as a catalyst to overall, I would say, Jayhawk's capability and look at then kind of increasing our offering to the customer.

Both, I would say, existing customers of Jayhawk and even some of the customers which, you know, as I said, post once they heard the news, they do believe that there are certain products that they would like to kind of offer given the combined capacity.

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So, we will evaluate each of this, I would say, sitting with the management of Jayhawk, go through it case by case and then kind of look at it. But yes, in the short run, our idea is very clear that we will kind of continue things as is.

And then, kind of from a mid-term and a long-term perspective, look at kind of integrating more like a dual-side model, wherein we kind of, we at Anupam India, become more of a cost-efficient partner to Jayhawk. And Jayhawk basically would be more someone who will be close to the customer. And then look at kind of combining the strength of the two and offer solutions to our customer.

Tanya: Understood, sir. And are these polymer molecules, sticky, high-value molecules with multi-year lock-ins or are these mostly annual supply agreements?

Management: So, there are, you know, kind of a long-term contracts which are there, with the existing customers and all of those will continue. Our idea would be, as I said again, to look at kind of augmenting some of this going forward.

But yes, you know, there are what we call long-term contracts which are there, currently which are existing with the customer and they will continue. Of course, as I said, the idea would be to meet those customers and understand what more can be done with them while the existing product continues as it is.

Tanya: All right. All right. And just a last question. What is the expected debt post-acquisition considering Anupam already has INR730 crores of net debt as of second quarter?

Gopal Agrawal: Vishal, what?

Vishal Thakkar: Yes. So, as I said, at max, we are looking at around 40 million. We are looking at, not -- we are looking at around 40 million of investment. So, to that extent, you may want to count it in the net debt because either we'll use some of our cash or we'll use the debt that has been made available by a large bank which is our existing lender also.

So, I think you can take it 40 million on it.

Tanya: All right. All right. Thank you so much for answering my question, sir. Thank you so much.

Moderator: Thank you. Our next follow-up question comes from the line of Meet Vora from Emkay Global. Please go ahead.

Meet Vora: Sir, I just had one follow-up. In your initial remarks, you mentioned that we are planning to serve the semiconductor and performance materials industry put together. What was this thought? Is it coming from the Jayhawk acquisition or is it from Anupam's standalone? And how do you view these sectors going forward?

Gopal Agrawal: So, Meet, I think from our strategy perspective, our idea was always to kind of target some of these high-end segment. Some of it, you know, we have been kind of, let's say, supplying this directly or indirectly to some of our customers.

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But yes, from a future perspective, now that we have Jayhawk who has capability on some of these high-priority chemistries, which have application, as I said, in some of these segments,

which are going to grow, I would say, significantly. The idea would be to kind of combine the two, which is both Anupam and Jayhawk.

And then look at kind of penetrating, I would say, our kind of entry, I won't say entry, but yes, our other, strengthening our positioning with the customer. So, please appreciate, you know, some of this sector, whether, as you would know, whether it's semicon, aviation and others. Some, you know, for you, for kind of, I would say, a player to even get into, the process could be anywhere between 5 to 7 years.

I mean, if everything goes your way, you know, for your ability to kind of get the approval from the customer and kind of be part of their supply chain. With Jayhawk, kind of combining with Anupam, all we are saying is that our journey, as far as some of the segment is concerned, it's advanced by 5 to 7 years, if not more.

So, yes, the way I would look at it, or I would expect you guys to look at it is, the combined entity now has advanced, let's say, Anupam's overall, what you call, strategy, as far as the performance material is concerned, by anywhere between 5 to 7 years, where we already have a decent bit of customers, who are approved by Jayhawk, who have been, let's say, with Jayhawk for decades together.

So, from that perspective, I think we will be, you know, I would say probably a decent, what you call, combined force in performance material globally.

Meet Vora: Okay. So, would we be creating a separate segment for performance materials, like what we have for agro, pharma, and polymers today, say, 2, 3 years or out? Yes.

Gopal Agrawal: No. So, I mean, I said, from our perspective, it's more of the offering to the customer. I didn't understand when you say a separate segment. I mean, of course, what one would do is that whatever, let's say, products, you know, in terms of intermediate or otherwise, which we can supply to Jayhawk from here, we will do that.

Obviously, would have some further, what you call, processing done by Jayhawk at US, depending upon the customer need. And then I said more look at supplying the integrated solution to our customers. So, I didn't really understand when you say a separate segment means what? Because from our perspective, it would be more like a combined Anupam and Jayhawk, which would be offering solutions across these segments.

Meet Vora: Yes, I understood. So, it was more from end application point of view. Understood, sir.

Gopal Agrawal: Yes. Okay.

Meet Vora: That's all from my side.

Gopal Agrawal: Thank you, Meet.

Meet Vora: Thank you.

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Moderator: Thank you. Our next question comes from the line of Rohit Nagraj from 360 One Capital. Please go ahead.

Rohit Nagraj: Yes. Thanks for the opportunity and congrats on the acquisition. So, first que

stion is in terms of

customer overlap between Anupam and Jayhawk. And then, a light question to that in terms of a product concentration risk on Jayhawk. Are there any challenges on these two fronts? And in terms of customer concentration again, is there heavy customer concentration for Jayhawk? And if it is there, how are we going to tackle it incrementally? Thank you.

Gopal Agrawal: As we said in our initial commentary, I wish that there are a few kind of common customers. But would that kind of a lead to a concentrated, let's say, what we call this thing as far as the combined Anupam and Jayhawk is concerned? The answer to that is no.

Because as I said, there are only very few, kind of a common customer. Jayhawk has, I would say, kind of a decent set of customers which they have built over decades with them. And if you look at their overall revenue, we don't feel that there is kind of a, let's say, concentration of a single customer or product, which should be kind of a, should be causing a concern or should be worrying any of us for that matter.

So, I would say neither as an individual, let's say, Jayhawk nor as a combined Anupam and Jayhawk, we see any kind of, let's say, tilt or risk of consumer contribution of any single customer or a single product is a concern. I think I would rather only say that with both the entities coming together, I would say the overall, with the overall sales kind of a going up, or rather the revenue going up, some of this, I would say, concentration can only reduce in overall scheme of things.

Rohit Nagraj: Sure. Correct. Got that. That's helpful. And second question is in terms of the promoters of Jayhawk monetizing. So, what could be the potential reasons that they want to monetize given that the business is likely in growth phase as the performance material segment is improving?

And plus, the margins seem to be at relatively higher levels.

And if you can just throw some light in terms of what could be the working capital cycle or ROCs that Jayhawk was making over the last couple of years that will be helpful. Thank you.

Gopal Agrawal: I will have Vishal Bhai answer that and maybe I'll then add if there's something more, you know, which I feel like. Vishal Bhai.

Vishal Thakkar: So, Rohit, the first thing is that this is effectively owned. So, Jayhawk is owned by CABB and CABB is eventually held by Parmira, a large private equity fund. It's a 80 billion dollar private equity fund, as you know. They, so basically their objective was that they had practically invested for a long time now in CABB. And it's over seven years that they've held this asset and it is time for them to exit.

And they've been trying to do that for last year or more. So, it is more to do with the end of life or a life of their investment that they are looking at this divestment. So, that is one part of it. And second on working capital side, my understanding, as per our understanding, the numbers will be in the Anupam Rasayan India Limited

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range of, you know, 90 to 90 days odd working – net working capital would be, 90 to 100 days net working capital.

Rohit Nagraj: And the ROC profile in the last maybe couple of years?

Vishal Thakkar: It will be double digit, but higher teens, sorry, mid-teens to higher teens. Yes, mid-teens, I would say.

Rohit Nagraj: Yes, fair enough. That's all from my side. Thanks a lot.

Gopal Agrawal: The only thing I will add to what Vishal bhai said is that, yes, I mean, given a choice, they might have wanted to hold it. But as Vishal bhai rightly said, any private equity has to kind of look at exiting, some of their assets in five to seven years' time. And from their perspective, it was more of that, which drew the decision than anything else.

Rohit Nagraj: Right, right. Got it. Thank you so much.

Moderator: We have our next question coming from the line of Mahendra Parmar, an investor. Please go ahead.

Mahendra Parmar

r: Anand bhai, this is Mahendra Parmar. I just want to ask a simple question that this will be EPS accretive you told in the opening call. I just want to know that the current revenue of Anupam plus the revenue of Jayhawk combined, how much will be the growth of our EPS? At present, let's take into consideration how much is the revenue of Jayhawk plus the revenue of Anupam?

Gopal Agrawal: Can I answer this? Mr. Mahendraj, the question you asked, in our standalone call that we had last quarter, we have given guidance on the growth rates of Anupam. And if we talk about this, like when Mr. Meet asked the question, we had given a prediction of this. And you will also appreciate that we have just made an acquisition, a definitive agreement. Its closing is going to be in January.

It will be in the second half of January. Then we will have the clarity to sit and discuss with the management what our target is, what we are agreeing on, what we are focusing on. But prediction is, the historical growth of Anupam, we would like to see that in Jayhawk over the next 3 to 4 years horizon. So, can you make a prediction from there as to what we want to say?

Mahendra Parmar: No, no. I am understanding that. But if we combine the revenue, then our equity dilution is not happening. So, after increasing the combined revenue, we want to know how much growth can be made on the equity base of Anupam, EPS, just want to know.

Gopal Agrawal: That's what I said. If you see, today their numbers will be practically fully consolidated in us, that's what I want to tell you. So, it will be according to that.

Mahendra Parmar: Okay.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

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Vishal Thakkar: Okay. So, this is Vishal. First of all, thank you very much everybody for joining on a busy Monday. In summary, the acquisition for Jayhawk Fine Chem Chemicals LLC is a transformative step for us. It strengthens our US presence, significantly diversifies our revenue across end markets, across geographies, and across customers as well. And it helps us integrate into a very high growth end market like US. And we look forward to realizing the synergies that we've discussed today. And we'll be in touch as we look for the closing of this transaction in January later half. Thank you, everyone.

Moderator: Thank you. On behalf of Anupam Rasayan India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

ANUPAM RASAYAN INDIA LTD.
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ARISLDSTX20260219090 Date: February 19, 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001, India
SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C -1, Block -G,
Bandra Kurla Complex, Bandra (East),
Mumbai -400051, India
SYMBOL: ANURAS

Dear Sir/ Madam,

Subject: Submission of transcript of Earnings Call on the Unaudited Financial Results
(Standalone and Consolidated) of Anupam Rasayan India Limited (the " Company ") for
the quarter and nine months ended December 31, 2025.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and
Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the
Earnings Call on the Unaudited Financial Results (Standalone and Consolidated) for the quarter
and nine months ended December 31, 2025 held by the Company on Saturday , February 14, 2026 .

This information is also being hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking you,

Yours Faithfully,

For Anupam Rasayan India Limited

Ashish Gupta
Company Secretary & Compliance Officer

Encl.: As above
Page 1 of 7

"Anupam Rasayan India Limited
Q3 FY26 Earnings Conference Call"
February 14, 2026

MANAGEMENT : M R. ANAND DESAI – MANAGING DIRECTOR
M R. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICER
M R. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL
OFFICER

Anupam Rasayan India Limited
February 14, 2026

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Moderator: Ladies and gentlemen, good day and welcome to Anupam Rasayan India Limited Q3 9MFY26 Earnings Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Krishna Patel from EY. Thank you and over to you.

Krishna Patel: Thank you, Iqra, and good afternoon everyone. Welcome you all to Anupam Rasayan India Limited's Q3 9MFY26 earnings conference call. To take us through the results and to answer your questions, we have with us the management of Anupam Rasayan India, represented by Mr. Anand Desai, the Managing Director, Mr. Gopal Agrawal, Chief Executive Officer, and Mr. Vishal Thakkar, the Deputy Chief Financial Officer.

The discussions that we may have today may contain certain forward-looking statements relating to the future events and future performance. Numerous factors could cause the actual results to differ materially from those in the forward-looking statement. Please note the audio of this earnings call is the copyright material of Anupam Rasayan India, cannot be copied, rebroadcasted, attributed in the press, media without specific written consent of the company. With this, I would like to now hand over the call to Mr. Anand Desai, Managing Director for his opening comments. Thank you and over to you, sir.

Anand Desai: Thank you, Krishna. Good afternoon, everyone and thank you for joining us for our Q3 9MFY26 earnings call. For the nine months ended December 31, 2025, we delivered consolidated revenue of INR1,730 crores, translated to 84% year-on-year growth. EBITDA stood at INR402 crores, up 53% Y-o-Y growth, and PAT was INR166 crores, registering 71% year-on-year growth. For the Q3 FY26, revenue stood at INR512 crores, up 31% on year-on-year basis. EBITDA was INR130 crores and PAT came in at INR61 crores, translating to a growth of 12% year-on-year basis. The strong performance reflects scale-up of commercial molecules, improved capacity utilization across manufacturing assets, and increasing contribution from execution of order book across Agro and Performance Material verticals.

This was further supported by strong performance in Pharma segment, which contributed 19% of sales for 9MFY26. Our revenue mix today is well diversified across Agro, Pharma, Personal Care, and Performance Material, providing portfolio balance and demand visibility. During the year, Agro demand has shown a clear recovery supported by improving channel inventory levels and gradual normalization of global demand. The Agro segment delivered healthy revival in demand reflecting improvement in customer offtake.

Pharma continues to remain a key growth driver for us where the focus is import substitution of key starting materials and intermediates for high growth, high value end pharma products. Our Performance Material portfolio which includes segments such as defense, electronic materials also delivered strong growth and for 9MFY26, it has contributed to 17% of our revenue.

In 2022, we had acquired a controlling stake in Tanfac, which helped us secure uninterrupted access to key raw materials such as HF and KF that are critical for fluorination chemistry. This
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backward integration reduces supply chain risk, improves cost stability, enhances reliability for global customers, and enables development of high value-added fluorine intermediates for Anupam.

In a similar spirit of expanding our geographical footprint and access to high value and critical end markets, during the quarter, we have signed

a definitive agreement to acquire 100% equity

in Jayhawk Fine Chemicals, a US-based specialty chemicals company from the CABB Group. We are currently in the process of completing the formalities of the acquisition and expect it to be closed in the coming weeks. With this acquisition, Anupam will get a direct onshore manufacturing presence in the US, significantly enhancing engagement with key multinational customers. The acquisition further strengthens our platform depth across the value chain and

enhances access to fast-growing innovation-led end markets such as semiconductors, automotive, EV, Pharma, aviation, and electronics, which will help accelerate our participation in these high value segments.

Strategically, this acquisition strengthens our footprint in North America and further enhances our capabilities in advanced custom synthesis and improves access to regulated and innovated-driven markets. Furthermore, we expect the acquisition to be EPS accretive from day one. This acquisition is aligned with our long-term objective of evolving into global specialty chemical platform serving key geographies, high growth and high value sectors.

With that, I will now hand it over to Gopal Bhai for his operational insights.

Gopal Agrawal: Thank you, Anand Bhai. As Anand Bhai mentioned, our focus continues to be on commercializing pipeline molecules, improving asset utilization, strengthening supply chain resilience, and deepening technical capabilities across our key chemistry platforms. The Pharma and Polymer pipelines remain strong with 65 plus molecules across R&D and pilot stages. We are manufacturing key starting material and intermediate for globally relevant blockbuster molecules such as Atorvastatin, Sitagliptin, Dapagliflozin, Vonoprazan, and others. Within Pharma alone, we have more than 30 molecules in R&D and pilot stage. In the Polymer and Electronic Material vertical, we have 35 plus molecules under development and pilot stages. Pharma continues to show strong momentum with growth of 85% on year-on-year basis in 9MFY26, driven by ramp up of recently commercialized molecule and addition of new products. The Polymer and Performance Material segment also delivered a strong growth of 245% on year-on-year basis in 9MFY26, supported by increasing demand across advanced material, electronic chemicals, and next generation material applications.

Our growth continues to be driven by high entry barrier chemistry, complex multi-step synthesis, and long-term qualification customer cycles. This typically results in strong customer stickiness and long-term supply visibility.

We are also seeing strong traction in Japan where our revenue contributed was almost 17% this quarter. This growth is supported by increasing engagement with addition of new customers and

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expansion of new molecules within the existing customers. Japan continues to be and it remains a pretty strategic geography for us.

Our focus remains clearly on deepening relationship with global innovators, expand fluorination chemistry capabilities, ramp up Pharma and Performance Material portfolio, and execute the Jayhawk integration smoothly. We remain confident in our growth trajectory and committed to be disciplined, long-term value creation.

With that, now I request Vishal Bhai to take you through the financial overview.

Vishal Thakkar: Thank you, Gopal Bhai, and good afternoon everyone. I would like to highlight that the growth this quarter has come from the ramp up of execution of our order book. In 9MFY26, LOIs and contracts contributed over INR250 crores of revenue, demonstrating strong conversion of pipeline into commercial revenue.

Overall, 58% of our total revenue came from exports, reaffirming our strong and diversified global presence. Our working capital intensity remains broadly in line with

what we had in Q2

and the working capital day's downward trend continues.

Looking ahead, we remain optimistic about growth momentum continuing into the next fiscal year, supported by our pipeline visibility, deeper customer relationship, and expanding global footprints. I would like to share some key performance highlights for the quarter before we open up the floor for Q&A session.

I hope you had the opportunity to review the detailed presentation and results that were uploaded on the exchange websites and company website.

Consolidated 9MFY26 highlights:

- Revenue was at INR1,730 crores, up 84% Y-o-Y.
- EBITDA was at INR402 crores, up 53% Y-o-Y.
- PAT was at INR166 crores, up 71% Y-o-Y.
- EBITDA margin stood at 23%.

Consolidated Q3 FY26 highlights:

- Revenue was at INR512 crores.
- EBITDA was at INR130 crores.
- PAT was at INR61 crores.
- EBITDA margin stood at 25%.

Thank you. Now we can open the floor for the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Tanya Chowdhary from Investec. Please go ahead.

Tanya Chowdhary: Hello, sir. Thanks for the opportunity. I think you mentioned that Jayhawk's acquisition will be EPS accretive. So what is the EPS impact this quarter because of the acquisition?

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Vishal Thakkar: So right now, we have not yet consolidated the numbers as the transaction is yet to be completed. And hence, no contribution of the Jayhawk's revenue or profit has been added to this quarter's results or the nine-month result that we have announced. And going forward, once we conclude this transaction, which we are expecting as Anand Bhai said over next a week or two or couple of weeks, we shall be then adding it to the next quarter's numbers appropriately.

Tanya Chowdhary: All right, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Harsh Shah from Emkay Global. Please go ahead.

Harsh Shah: Thank you so much for the opportunity, sir. So my question was, what are your plans strategically with this asset we are acquiring?

Vishal Thakkar: Okay. So let me take a stab and then probably we can add further as well, but let me start with first that if you see, we have been clearly focusing on expanding our footprints in US as an end market. And especially we were looking at a Performance Materials business which we were expanding, which has expanded over the last year or two or more and we expect it to continue. But with the acquisition of Jayhawk, things happened to us very significantly.

One, we get a critical manufacturing asset base in US, which is a very important asset that would be there, especially when we are looking at attracting clients in the US market. As we are able to offer a very strong local supply chain for them.

Second, if you look at it, Jayhawk has a large part of the revenue coming from US and from the Performance Material business, which is largely into semiconductors, into aircraft business, aerospace business, into Pharma, EV and electronic automobiles industry, which will be very helpful to expand the portfolio.

Third, also if you look at it from a supply chain point of view, we are able, we will now be able to offer a broader and a wider supply chain to our end customers where we can practically can start from Tanfac and build it from Anupam and go further to Jayhawk. So it's a very strong platform that we are offering.

Third, if you look at it from a technology point of view, they have very strong few technologies that they have especially in the high purity businesses and which is what we think will help us in terms of you know, leveraging it to offer a basket of products to our end customers.

Also one more thing is that they have validation with lot of very high end customers in US, which typically

takes a long period for any company to get validated, which further will enhance the speed at which we can you know, expand our business in US. So overall across asset, across supply chain, across technology, across customers, and across portfolio, we will be able to leverage the whole platform and offer a broader, larger, stable supply chain offering to our customers. I hope that helps.

Harsh Shah: Yes. That explains it well, sir. That's it from my side. Thank you and best of luck for the coming quarter. Thank you.

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Vishal Thakkar: Thank you.

Moderator: Thank you. The next question is from the line of Disha Samir Maheshwari from Niveshaay. Please go ahead.

Disha S. Maheshwari: Thanks for the opportunity. So now while the process optimization capabilities and Tanfac's backward integration in the fluorine chemistry are clear strengths. So now could management please share any additional factors that made Anupam the preferred choice over the two to three other established global players already manufacturing LiPF₆?

Vishal Thakkar: Yes. So see the whole approach that we have taken here of offering a full supply chain, A. B, coupled with the technical capabilities that Anupam has of doing multiple chemistries, both put together and at scale.

These three typically helps any customer to work with us who can offer a long-term supply chain solution. This project we have been working with them for a long period of time and today now the large multinational has offered us to work with them and that's the thing.

So if you were to ask me, there are two or three broad ones. One, technical capabilities across multiple chemistries. Two, the access to supply chain. And three, an effort of over years together to work with a multinational company like that and references that we have created that as a very

reliable, sustainable supply chain partner is what brings us to being a preferred partner with these customers.

Disha S. Maheshwari: Okay. Thank you, sir. And the next question would be like we've seen US players increasingly seeking Indian suppliers for LiPF₆ to diversify from SEOC countries. So however, Anupam's recent LOI is with European players like Elite, who may lack a similar regulatory mandate. Now assuming the end product is not getting consumed in US. So could you please elaborate on why these European partners selected Anupam beyond process optimization and Tanfac integration, especially given China's pricing dominance?

Vishal Thakkar: See, I would not talk about the other part of the world, but let me talk about ourselves and why this has happened with Elite. The point I was making earlier also is that every customer, today see if you look at it, there is a whole scale up happening and everybody will need a large quantity of volumes here.

And when they need large quantities of volumes with a full ramp up, they would need suppliers who has a strong credible supply chain solution. They are not looking at somebody who can import from somewhere and then process it. It is a full supply chain first. So that is very, very critical and especially when you are into a B2B kind of a business and especially a new age business where you need to ramp up quickly, that happens even more.

Second, what they will also need is that do we have the chemistry capability to optimize as we go. So if you see historically, we have been able to demonstrate to all our customers that we have been able to achieve a strong cost optimization and process optimization which plays the cost curve as we scale up. So that again helps them.

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Also if you look at the case in the point that we were talking about, we had recently announced another announcement which was with Elementium of U.S. So it is not as if that we are only working with an European

partners, but also with an American partners and all of them are looking at working with us because again as I said, I'm repeating myself but it is supply chain, assets on ground, chemistry in place and cost optimization and process optimization that we can offer. So I think that's what I can say and that's how we see it.

Disha S. Maheshwari: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Siddhinathan from JM Financial. Please go ahead.

Siddhinathan: Yes, hi sir. Thank you for taking my question. Just a one from my side. Could you please give some clarity on how much improvement has been in your working capital days and what your targets are for FY27 and FY28?

Vishal Thakkar: Yes, sure. So as of now, we are around about working capital intensity for the consolidated would be around about 250-odd days and we expect that in the near-term we should be going towards 220, 200. And as you said '27, I think '27 we should be below 200, around 180 days or below is the management's focus and target here. And we can talk about it, talk about further you know, plans as we go, but this is the -- as is plan.

Siddhinathan: Understood, sir. Thank you and best of luck.

Vishal Thakkar: Thank you. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Vishal Thakkar: Thank you. On behalf of the management of Anupam Rasayan India, we thank all of you for joining us for our post earning calls today. We hope we have been able to address majority of your queries. If there are any further queries, you may please reach out to E&Y, our investor relation partner for any questions and we will be happy to answer offline. We now close the call. Thank you everyone and have a good weekend.

Moderator: Thank you very much. On behalf of Anupam Rasayan India Limited, that concludes this conference. Thank you all for joining us today and you may now disconnect your lines.

Call: May 2026

ANUPAM RASAYAN INDIA LTD.
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ARILSLDSTX20260530022 Date: May 30, 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai-400001, India.

SCRIP CODE: 543275 To,
National Stock Exchange of India Limited
'Exchange Plaza', C-1, Block-G,
Bandra Kurla Complex, Bandra (East),
Mumbai-400051, India.

SYMBOL: ANURAS

Dear Sir/ Madam,

Subject: Submission of transcript of Earnings Call on the Audited Financial Results (Standalone and Consolidated) of Anupam Rasayan India Limited (the " Company ") for the quarter and financial year ended March 31, 2026.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call on the Audited Financial Results (Standalone and Consolidated) for the quarter and financial year ended March 31, 2026, held by the Company on Monday, May 25, 2026.

This information is also being hosted on the Company's website at www.anupamrasayan.com .

We request you to kindly note the same and take into your records.

Thanking you,

Yours Faithfully,
For Anupam Rasayan India Limited

Ashish Gupta
Company Secretary & Compliance Officer

Encl.: As above
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"Anupam Rasayan India Limited
Q4 FY '26 Earnings Conference Call"
May 25, 2026

"E&OE - This transcript is edited for factual errors and readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on 25th May 2026 will prevail."

MANAGEMENT : MR. ANAND DESAI – MANAGING DIRECTOR – ANUPAM
RASAYAN INDIA LIMITED
M R. GOPAL AGRAWAL – CHIEF EXECUTIVE OFFICER
– ANUPAM RASAYAN INDIA LIMITED
M R. AMIT KHURANA – CHIEF FINANCIAL OFFICER –
ANUPAM RASAYAN INDIA LIMITED
M R. VISHAL THAKKAR – DEPUTY CHIEF FINANCIAL
OFFICER – ANUPAM RASAYAN INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Anupam Rasayan India Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

From the management side, we have with us Mr. Anand Desai, Managing Director; Mr. Gopal Agrawal, Chief Executive Officer; Mr. Amit Khurana, Chief Financial Officer; and Mr. Vishal Thakkar, Deputy Chief Financial Officer.

I now hand the conference over to Mr. Anand Desai. Thank you, and over to you, sir.

Anand Desai: Thank you. Good evening, everyone, and thank you for joining us for our Q4 and FY '26 earnings call. FY '26 has been a landmark year for Anupam Rasayan as we delivered our highest ever revenue. I would like to sincerely thank our customers, employees, shareholders and all stakeholders for their continued trust and support.

We continue to strengthen our position as a globally integrated specialty chemicals company. Our performance during the year was a result of strong execution across key business verticals, increasing contribution from high-value chemistries and scale-up of commercial molecules. We have delivered operating cash flow of INR334 crores during FY '26 on the back of improved asset utilization, operational efficiency and better working capital management.

Anupam has evolved into a well-diversified global specialty chemicals platform with presence across agrochemicals, pharma, personal care, performance materials, semiconductors and EV-related applications. Over the past few years, we have consciously diversified our portfolio and strengthened our capabilities in high-performance materials and pharmaceuticals.

As a result, on a stand-alone basis, our revenue from high-performance materials increased threefold from INR97 crores in FY '22 to INR305 crores in FY '26, while Pharma revenue has grown 15-fold from INR21 crores in FY '22 to INR339 crores in FY '26. Consequently, our dependence on agrochemicals has reduced from 76% revenue contribution in FY '22 to 55% in FY '26.

This diversified revenue mix provides us with a more balanced product portfolio, better demand visibility and greater resilience across business cycles. A key pillar of our strategy has been strengthening integration across the value chain. Our investment in Tanfac Industries has significantly strengthened our fluorination platform by securing uninterrupted access to critical raw materials such as hydrofluoric acid and potassium fluoride.

Further with support of Anupam, Tanfac is in the process of introducing new products as well as new customers in this financial year, thus contributing to Make in India and Atmanirbhar Bharat campaign. This backward integration also improves our supply chain visibility, cost competitiveness and supports the development of differentiated fluorine-based intermediates for global customers.

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In addition, we have successfully completed the acquisition of Jayhawk Fine Chemicals. And this acquisition provides us with a strategic manufacturing footprint in the U.S., strengthens our advanced custom synthesis capabilities and expands our access to innovation-led and highly regulated markets. Jayhawk will also help us deepen relationships with multinational customers while increasing our participation in high-growth sectors like defense and semiconductors, thus contributing to our Make in America campaign.

We are pleased to also announce that we have entered into a definitive agreement to acquire 43.3% to 48.2% equity stake along with an open offer of up to 26% add

ditional shares to public

shareholders of Bliss GVS Pharma Limited. This marks another important milestone in Anupam Rasayan's vision of building an integrated global life science and specialty pharmaceutical platform.

This acquisition will strategically strengthen our presence across the pharmaceutical value chain from key starting materials to finished dosage formulations. The company brings well-established capabilities in niche dosage forms across therapeutic segments supported by accreditations from U.S. FDA, EU GMP, WHO GMP, etcetera, and a strong international footprint. Looking ahead, we remain confident in our long-term growth outlook.

With that, I would like to hand over the call to Mr. Gopal Agrawal to explain you on the performance of the company for the year.

Gopal Agrawal: Thank you, Anand Bhai. I will briefly touch upon key strategic synergies behind the proposed acquisition of Bliss GVS Pharma. Bliss GVS Pharma brings established capabilities in differentiated pharmaceutical formulations along with a strong presence across emerging markets. While Anupam Rasayan will continue to focus on its core specialty chemical business, all new pharmaceutical products, customer engagement and business development initiatives in this pharma segment will gradually integrate into this platform.

Our vision is to create a dedicated pharmaceutical platform through Bliss GVS, which will serve as a primary vehicle for our future pharma CDMO and CMO opportunities. We are confident that this structure will allow us to offer a more robust, focused, scalable and seamless pharmaceutical platform going forward.

On the Jayhawk integration front, we are already witnessing encouraging synergies across customer engagement opportunities and technical capabilities. The acquisition significantly increases our presence in the U.S. market and enhances our ability to work more closely with global innovators across advanced specialty chemicals and pharmaceutical applications. Jayhawk reported a pro forma annual revenue of approximately US\$76 million, reflecting the strong scale and capabilities of the platform. I would also like to highlight that in the current financial, we have consolidated only 1 month and 2 days of Jayhawk performance. And therefore, the full synergy benefits and financial contribution will be more visible going forward in FY27.

Coming back to Anupam Rasayan's overall performance for FY26, our focus continues to remain on commercialization of molecules from our pipeline in pharma, performance material segment, Anupam Rasayan India Limited

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improving the working capital cycle and strengthening the supply chain. During the year, we added multiple multinational customers, expanded our product portfolio with three new product additions, further strengthening our presence across high-value specialty chemical segments. Going forward, we will continue to focus on unlocking synergies across Tanfac, Jayhawk, Bliss GVS Pharma, creating a platform for pharma as well as specialty chemical for global innovators across multiple geographies.

With that, I'd like to hand over the call to Amit Bhai to discuss the financial performance of the company. Amit Bhai?

Amit Khurana: Thank you, Gopal Bhai, and good evening, everyone. I will first briefly touch upon the transaction details of Bliss GVS Pharma. Anupam Rasayan has entered into a definitive agreement to acquire an aggregate equity stake of approximately 43.3% to 48.2% in Bliss GVS Pharma, along with an open offer in accordance with regulatory requirements. The transaction will be funded through a combination of approximately INR300 crores via non-convertible debentures and non-controlling, non-voting equity instruments for the balance consideration. Coming to Anupam's operational performance, our working capital and inventory levels improved over the year due to which we have achieved operating cash fl

ow of INR334 crores.

This improvement is in line with our guidance of working capital improvement, and we further expect it to improve in FY27.

During the year, we did capex of INR315 crores towards the last leg of the capex program. And with that, all our plants are commercialized. We are not envisaging any major capex in near future as current capacity is enough to take care of the near-term growth.

Looking ahead, we remain positive on our growth trajectory, supported by strong execution of existing LOIs and contracts, commercialization of new molecules and the synergies expected from our recent acquisitions and strategic initiatives.

With that, I would like to hand over the call to Vishal Bhai to discuss the financial performance of the company in detail.

Vishal Thakkar: Thank you, Amit Bhai, and good evening, everyone. I would like to share some key financial performance highlights for the quarter and full year. The consolidated financial highlights include Tanfac and 1 month and 2 days of Jayhawk for Q4 FY26. Total income was at INR639

crores as compared to INR506 crores in Q4 FY25, up 26% Y-o-Y. EBITDA, including other income, was at INR141 crores as compared to INR150 crores in Q4 FY25, translating to an EBITDA margin of 22% for this quarter.

Profit after tax was at INR56 crores as compared to INR63 crores in Q4 FY25, translating to a 9% profit margin in this quarter. Consolidated financial highlights include Tanfac and 1 month and 2 days of Jayhawk for FY26 as well. Revenue from operations was at INR2,384 crores as compared to INR1,448 crores in FY25, up 65% Y-o-Y. EBITDA, including other income, was at INR543 crores as compared to INR412 crores in FY25. This translates to an EBITDA margin of 23% for FY26.

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Profit after tax was at INR222 crores as compared to INR160 crores in FY25, translating to a PAT margin of 9% in FY26. Our business vertical-wise revenue on a stand-alone basis for FY26 is as follows: Agrochemical segment contributed 55% of our revenue, Pharma segment contributed 20% of our revenue, Performance Materials contributed 18% of our revenue and balance was 7% contributed by Personal Care.

Thank you. And now we open the floor for the questions.

Moderator: The first question comes from the line of Harsh Shah with Emkay Global.

Harsh Shah: Two questions from my side. What was the rationale behind the acquisition? And would the current management of Bliss GVS be continuing? Thank you.

Vishal Thakkar: Yes, Harsh. So first, yes, the current management shall continue. And as we have done in Tanfac, we will continue to work with the same team that is there and support and expand the team as required going forward. So that is the approach that we have taken with Tanfac, Jayhawk and so will we take it for Bliss as well. The strategic rationale as we had suggested in our presentation as well, the way we were looking at it is that Anupam has been focusing on pharmaceutical industry as an end market.

And as Anand Bhai and Gopal Bhai also mentioned in their opening remarks, our contribution from pharma has gone from practically 0% of our revenue or 2% of our revenue to 20% of our revenue. And this is more in the KSM segments largely. And we believe that this acquisition of Bliss shall help us in terms of offering a larger full pharma platform to our customers as well as Bliss' customers.

Also, if you look at this company is today having an operating capacity utilization of only 30% and we believe that, that can be very quickly enhanced to 60% to 70% in the near to medium term, and that's something which we would be looking at leveraging. Also, this company is largely -- they have a limited business coming from U.S., Europe, where Anupam has a strong presence and capability in which we can leverage to help them grow there.

Also, India is a market where we believe that the growth can be further enhanced for Bliss as

ed for Bliss as

well. So I think overall, it is only strengthening the pharma portfolio and the platform that we are creating, which should be value adding to Bliss and Anupam along with if you look at the whole value chain starting from Tanfac to Anupam, Jayhawk and Bliss all will be able to contribute to this platform as we go further. I hope I've answered the question.

Moderator: The next question comes from the line of Tanya Chowdhary with Investec.

Tanya Chowdhary: What could the expected pro forma revenue contribution be post consolidation of all entities and whether there are any long-term plans around the merger or delisting of Bliss GVS Pharma?

Vishal Thakkar: Okay. So the first one -- let me answer the second question first and then I go to the first question.

Answer is no. Like what we have worked with the Tanfac as well that we would like to keep them independent and run as an independent entity, though leveraging each other's strength is what we have done. And here also the whole idea is to keep them as their own -- as a separate

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entity and run the business separately. However, leveraging each other's capabilities and strength that we will create together.

Coming to the top line on a pro forma basis, if I were to look at the pro forma basis business across the 4 companies, Anupam should be -- today is around INR1,676 crores, Tanfac INR711 crores, Jayhawk is roughly INR722 crores, depending on the exchange rate that you take. And Bliss is INR927 crores. So total, if I look at as of today delivered business on a pro forma basis, we should be looking at over INR 4,000 crores of revenue and an EBITDA of around about INR834 crores on a consol basis, I would say.

Tanya Chowdhary: Understood. Understood. Got it, sir. Sir, could you also elaborate on the key synergies expected

from the Bliss acquisition, the likely time line benefits to reflect in financial? And what could the funding structure of the transaction be? And is it expected to be EPS accretive going forward?

Vishal Thakkar: So, see, the synergies and the cross leverage of the strengths will start playing out over near to medium term. So, we believe that in terms of expansion of the business, in terms of CDMO projects that they are looking at expansion in U.S., Europe and India should start giving results in 6 to 18 months' time -- 6 to 12 months' time more nearly, but 18 further, we'll be able to see a larger one.

Second, if I were to look at in terms of the structure, the whole idea will be that we'll be raising a debt through NCDs of around about INR300 crores to fund this project and balance, which will be in our wholly owned subsidiary, which would be the entity which will acquire the shareholding. And further also balance one will come in as a quasi-equity, which will be non-consolidating non-dilutive, non-participative equity for us, which would allow us to have full control and full consolidation as we do.

Also, yes, it will be EPS accretive from day 1. Further, if I were to say about the synergies, if you see how we have delivered Tanfac over the period that the synergies start kicking in. But if you see the real value created for, let's say, Tanfac and Tanfac shareholder as well as if you look at for Anupam and Anupam's growth, we believe that the similar kind of business and the value creation we should be able to deliver for Bliss as well as Anupam and its shareholders.

And we believe that with the kind of a scale and levels that we have, Anupam took us -- took 4 years to reach where we are today in terms of Tanfac. We believe and we endeavor that we can do it faster than what we did for Tanfac. Let's see as we go.

Tanya Chowdhary: Understood. Understood, sir. Sir, could you help us understand the underlying growth trajectory of the base business, excluding Jayhawk? And how should we think about the evolving business mix going forward

, particularly with increasing contribution from the Pharma and Polymer segments?

Vishal Thakkar: Okay. See, the --business of stand-alone business has seen a very significant growth. If you see this year, we have been able to deliver over 60% to 70% growth rate in our annual revenues.

And we believe that this growth because trajectory shall continue not in this stage it's also recouping of the last years -- last 2 years of business that we had lost. But a growth of 20% to 25% or 30% growth rate over the next 3 to 5 years on a CAGR basis is something that we should

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be striving for and we should be looking at, and we feel reasonably confident on that performance.

Yes, the performance -- the levers, as we have said, we have order book and Pharma and Polymer should be able to deliver a higher growth compared to agro, but agro will continue to recoup and grow further. And then if you look at the EV and the Elementium contract and the other contracts that we are looking at, that should drive a significant growth.

So, we believe that the growth trajectory here in stand-alone business continues to grow across all the 3 verticals. And then Tanfac, then Jayhawk and then Bliss, all 3 put together should be able to give a further fillip to the company's performance. I hope I've answered your question.

Tanya Chowdhary: Yes, sir. Got it. Last question. how is the debt repayment schedule likely to shape up now post the recent acquisitions? And what would the broad interest cost look like over the medium term?

Vishal Thakkar: Look at this way that today, my balance sheet carries around about INR1,500 crores of debt on a consol basis on a gross level basis. On a net basis, that number will be around about INR1,100 crores and something. So that's the number we are talking. Largely, it is more working capital loan largely and over two-third will be working capital loan out of the INR1,500 crores and the balance is term loan.

If I add on top of it, let's say, INR300 crores of this loan, we are talking about on a net basis, around about INR1,400 crores to INR1,500 crores of debt. And if I just -- as I was mentioning, if I add all the EBITDA, we are talking about INR800 crores even on an allocation basis, I should be over INR650 crores of EBITDA. And I think that should be a very comfortable position to be in to really look at this kind of debt levels. And of that, most of the debt is classically the working capital debt.

Moderator: The next question comes from the line of Ankur Periwal with Axis Capital.

Ankur Periwal: A few questions on the stand-alone business first. So, we have a gross block of around INR2.5 -- INR2,500 crores, INR2,600-odd crores on the stand-alone side against the current revenue of -- I'm rounding off numbers, let's say, INR17 billion there. What is the potential peak revenue that we can do here with the current gross block?

Vishal Thakkar: Ankur we should be looking at about INR3,500 crores kind of a number from this revenue -- sorry, from this block at least. And then we will look at further optimizing and value optimizing those assets.

Ankur Periwal: Sure. And Vishal Bhai, which is where your comment that there is no incremental capex required on the stand-alone side. What would be your maintenance capex here, the number that we can look at over the next, let's say, 2, 3 years?

Vishal Thakkar: I would say around about INR50-odd crores of maintenance capex. And then if there are some operational efficiency programs that we do, then that will be in similar or a little less number than I would say. So, I think INR50 crores to INR75 crores is what you can look at the capex

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where it will be maintenance and then plus a bit of an efficiency program that we continue to do if we have to. But that's the kind of number we are looking at here.

Ankur Periwal

: Sure. And just a follow-up on the revenue bit. So, this almost doubling of revenues that we are looking at over the next, whatever, 3 to 5 years, you earlier mentioned Pharma and sort of Polymer to be one of the key areas where the growth will be led by. How much of this delta do we have a visibility on right now? And how much of it is a function of the synergies coming from either Jayhawk or Bliss?

Vishal Thakkar: So, if you look at my order book, order book itself is around about INR14,000 crores. If I just even take a 7-year average, 6-year average or 7-year average -- 6-year average will be, if I take, we are talking about INR2,200 crores of additional, of which part of it comes -- INR1,700 crores to INR1,800 crores of additional incremental revenue can come on an annual basis from this pipeline, which would have a part of agro and part of Polymer business.

Over and above that, Polymer business, there are other new projects which are coming in, which should also feed good growth. And Pharma will -- as we discussed in the opening remarks by Anand Bhai and Gopal Bhai, that business has been continuously growing, and we believe that, that organic growth coming from Indian market should be sufficient on a stand-alone basis. Any synergies coming from, let's say, Jayhawk and Bliss is on top of it that I would suggest as of now -- But you rightly said that, that would be there and that itself will also help us and both the entities also grow faster. That definitely is there.

Ankur Periwal: Sure, Vishal bhai. And from a margin profile perspective, right now, more than 50% of the revenues are coming from agro. And if I look at FY26 EBITDA margin, EBITDA is the right number to look at, right, because there is a very significant variation in the gross margins there. So some cost elements up and down maybe. Sorry, just to complete that a bit.

So if I look at the EBITDA margin profile for the company and given that large part of the growth will be coming from pharma, first clarification, whether pharma, polymer will be margin accretive versus agro or versus the current business? And secondly, how do you see the working capital playing out, given that Pharma, to my mind, will be lower on working capital versus agro? And how should one look at this playing in the next, let's say, 3 years?

Vishal Thakkar: Perfect. So Ankur, first, you're spot on. We should be looking at Anupam from an EBITDA perspective. Two, if you look at agro, pharma or polymer, the business -- the way we have constructed and way we have developed the business model, the whole focus is to have a particular targeted margins that we would want to have.

And the numbers that we have been guiding historically, I think on a blended basis, we should be able to look at those kind of numbers in the range that even this year's numbers represent. I believe that's the kind of a number I would really go with for now. And I think that's the number that going forward on an outlook basis also, I'm more comfortable with. So that's a bit on this. Now on the working capital side, if you see the trajectory has been very, very encouraging. We have been able to improve our working capital significantly and we believe that we shall continue it. If I look at on a pro forma basis because see, Jayhawk's assets and all the balance

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sheet has been consolidated line by line 100%, but the revenue and the margins have been only for the 1 month and 2 days.

So if I just do it on a pro forma basis, I think the number should be -- on a consolidated basis, the working capital number should be in the range of 215 to 220-odd days kind of a number on a pro forma basis if I were to say. But even on an absolute basis, excluding Jayhawk also, we have got the numbers to be around about 240 days, 250 days of working -- 240 to 250 days of working capital. So I see that this trajectory is there, and I

believe the trajectory should continue as we go. Ankur, I hope that's fair.

Ankur Periwal: Sure, Vishal bhai. Just one clarification. My working capital comment was more stand-alone, which is there. And with the business mix changing as in pharma and polymer going up, your - if I got you right, you said broadly, we will be continuing with our FY26 margin, the broad range, 24%-odd EBITDA margin there. So shouldn't a higher share from pharma or polymer be one accretive on margin as well as a faster reduction in working capital?

Vishal Thakkar: I agree. So when I'm saying on a stand-alone or a consol, yes, you are right that the working capital would change significantly, and we will have a far better working capital management. And the reflection today itself, if you look at it today, we have generated a consol of INR330 crores and consol stand-alone of INR274 crores of operating cash flow compared to consol PAT of INR222 crores and a relevant number in terms of my stand-alone numbers as well. So that conversion from working capital into cash is happening.

You are right, pharma and polymer will continue to give us that additional improved working capital. Margins -- see, yes, there will be upward bias. I accept and agree with you. The only thing is right now, I do not want to guide because these are all ramping up products. And once they fully ramp up, they will have a far different margin profile. But yes, there will be upward bias to that. I agree with you.

Ankur Periwal: Great, sir. Just last bit on the tax rate, at least on the stand-alone side, we have seen a sharp reduction in the last couple of years. So if you can guide what should we take that going ahead? And just second, a clarification. In Bliss as well as in Jayhawk, are there any common customers across the business segments; pharma, performance, etcetera, which are there across Bliss or Jayhawk and our stand-alone operation?

Vishal Thakkar: Okay. So first, on Jayhawk, yes, there are common customers, which are there and there are common significant customers as well and common -- and there are complementary customers also. So there are few new customers that Jayhawk will offer to us where we can showcase our product and our services and offerings. And same way for us also, we will be able to offer to Jayhawk new customers that we have, which they can leverage on. So yes, there will be.

Also, if you look at it in terms of Bliss as well, there are a few customers where -- especially on the CDMO side that they are working with and also we have a few customers where we are working with. So yes, there will be overlap and cross-pollination, both will happen there, and there is a fair bit of synergy that we will see in terms of that.

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And also, one more thing that I want to guide or want to emphasize on, Ankur. When you go to any customer, high stand-alone going or Jayhawk stand-alone going, or Bliss stand-alone going or even Tanfac for that matter stand-alone going versus we going as a platform will really, really add a lot of value and probability to success, especially if you look at the recent Tanfac's addition of customers, there would be a significant value that we would have offered to Tanfac and its customers to really attract them. So that continues that way. Yes, we are envisaging a lower tax rate going forward. I think going forward, we should be looking at around about 25% as a tax rate going forward.

Ankur Periwal: This is on the stand-alone side, right?

Vishal Thakkar: This is on the stand-alone side, yes.

Ankur Periwal: Thank you for answering all my questions. Congratulations once again and all the best. Thank you.

Vishal Thakkar: Thank you, Ankur. It's always pleasure to interact with you.

Moderator: Thank you. The next question comes from the line of Meet Gada, an Individual Investor. Please go ahead.

Meet Gada: Congratulations team on the

Bliss acquisition. Over the last 1 year, we have seen the company moving from LOI spree to now acquisition spree. Just wanted to get an understanding from you that how should one see Anupam over the next 3 to 5 years considering this multi-verse kind of acquisitions and how the LOI revenue will be flowing?

Vishal Thakkar: Meet, if I take a step back and answer, what is the -- if I were to connect all the dots and say, today, if you look at it, any serious player and especially a manufacturer, if they want to participate in a multinational or a transnational businesses with large customers, I think the whole idea is supply chain or a platform to offer. The larger the value chain that I can cover and offer to my customer, better -- and a better probability and better traction that I can see with my customer, better is the kind of engagement that I can have.

So if you look at it, the first acquisition of Tanfac was for the backward integration and offering a supply secured offering to our customers. If you look at Jayhawk. Jayhawk added further to that platform, especially in terms of -- in the performance material, EV, semiconductor and the high-end defense and other products, especially in a very, very highly valuable market like America where Make in America makes a lot of traction for the end customers.

And so that's the platform that we are talking. But again, if you look at from a Bliss acquisition, the same thought is that can we offer a full platform base where we start from a KSM and offer up to a finished dosage. And yes, synergies will take its own time to deliver, but there is always a cross leverage that we are able to offer. Even today, if you look at Tanfac, they have done well. We have been able to help them in terms of product portfolio and otherwise. And same is that supply security has helped us in terms of getting many more contracts and LOIs from our

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customer. So I think it is synergistic for each of us here. And the whole idea is offering a full solution or a larger solution than narrow solutions.

Meet Gada: Got it, sir. That was very well explained. One more question over here. So I wanted to just check why did the Bliss promoters sell the company, and why did they choose Anupam as a buyer?

Vishal Thakkar: So first, let me talk about -- there was a succession planning there, which was the reason that they had to say. The selling promoter is a very senior citizen, and he survived -- he has 2 daughters. And hence, the whole idea was for them to really -- for him to really liquidate his shareholding in the company and offer cash and succession to -- cash to their family and let them decide what to do with their money.

Also, why Anupam and why I say, we have been in touch with the Bliss promoter for last 2 years, and they believe in our vision, the way we work, the way we operate our ethics and ethos. Also, if you -- they saw what we did with Tanfac. They saw what are our plans that we are doing with Jayhawk as well? And the trajectory that we have been able to offer to Tanfac, retain that team, retain the manpower and work with the existing management and help them wherever they need to grow, have that independence of, a very classic blend of independence versus support approach. And that's one of the strong reasons that the selling shareholder chose Anupam. They did have some other competing offers also as we went ahead, but they honoured their commitment to us and it is credit to their ethics as well as their belief in us.

Meet Gada: Got it sir that's it from my side. And all the best for your integration.

Vishal Thakkar: Thank you.

Moderator: Thank you. The next question comes from the line of Dhruv Bajaj with Growthsphere Ventures. Please go ahead.

Dhruv Bajaj: Thank you so much for giving me this opportunity. First, I had a very basic question regarding the structuring of the transaction

. So was the structure in such a way that even the previous promoters like the Ashra's who actually reclassified from promoter group towards a public group in 2023, also had to sell their stake in consortium because if we just look at your past that you got a turning around assets like Tanfac. So why would a promoter where the company hasn't done really well in the past 5, 10 years, sell off the asset when a more aggressive promoter is coming up. So what was the nature of the transaction? I was trying to understand whether I'm missing something?

Vishal Thakkar: Sorry, I couldn't understand. If you can?

Dhruv Bajaj: Yes, sir, what we observed in the transaction was that Kamath family held some 35% stake, but there was also another family, Ashra who used to be the promoters of the company, but then they did reclassify to the public category in 2020, '21. And they also ended up selling their stake along with Kamath family. Was this transaction structure in such a way that Anupam wanted to acquire a certain stake so that it makes a lot of sense for you as well to turn around this asset? Or the Ashra's themselves were interested to also liquidate their stake in this particular block.

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But how did the overall structure went away? If you can provide some more detailing on that front.

Vishal Thakkar: So, see any strategic acquirer like us would want to have as larger shareholding as possible. And the name that you are talking, they and Mr. Kamath go long back, so they work together. And when Mr. Kamath decided to sell, Mr. Ashra also offered to sell along and that's where we've done these transactions. However, they believe in us and that's the reason. If you see there is a range between 43.3% to 48.2% which is basically they would love to keep that 4.9% shareholding or approximately 5% shareholding because they believe in this growth. It is our choice if we want to have it more, otherwise, they would love to keep it that way.

Dhruv Bajaj: Perfect. That is super helpful. And sir, again, you mentioned that the Erstwhile management will continue to handle the business. So did you mean the Erstwhile Promoters or Erstwhile professional management team that will continue to lead the business?

Vishal Thakkar: See. Professional management shall continue, and will continue. The promoter anyway has interest and they will continue to be handhold us and they are always a well-wisher and a friend that we will continue to support as and when we require or as much as they require.

Dhruv Bajaj: Got it, sir. Because promoter's son in law who was also involved in the business, I think, resigned in November and Kamath became the CEO in January. So I was trying to understand that particular transition and who will drive the capital allocation and treasury that is still going forward? Will it be Anupam or will the, still promoters also have a say in that because they will be involved in the business. So if you can just provide some clarity on that front?

Vishal Thakkar: First, the business on a stand-alone basis shall run from their management and be guided and supported by Anupam. Okay? The shareholder and the promoter are relinquishing their control and their shareholding. They will continue to support us as much as we require as and when we require, and they are friends for life for us also and relation for life also. And they will continue to be a non-participating, non-controlling shareholding, whatever that limited shares that we would prefer that way. So that is what the transaction will be.

Dhruv Bajaj: Got it. And sir, what are the time lines for the Halol capex, like because we are already operating at some 30% utilization. So I just wanted to understand the rationale behind that particular capex like whether it came after we became the promoter group or was it ongoing even before we onboarded the bus and what type of revenues can we

expect from all this particular capex, like from our overall Gross Block in Bliss?

Vishal Thakkar: First, the time line, if you look at it is basically if you depend upon the SEBI approval and the open offer results. So anything between 2 to 3 months of time frame is what we estimate today, but that's an estimation. And as we go, we will get more clarity based on the, for this feedback. Further, today, the capacity utilization, as we said, was in the range of 30% and the top line is around INR1,000 crores. So we are looking at 60% to 70% in immediate near future or in the near to medium-term future. And proportionately, we expect the revenue to be there from that kind of an asset utilization.

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Dhruv Bajaj: Sorry. I missed something, but I was asking about the timeline for the Halol capex wherein we are doing some INR250 crores kind of capex that was mentioned in the investor PPT. So, if you can provide some timeline on that and does the 30% utilization also include the incoming capex of Halol or that doesn't include that part? Because that was a doubt that I had because our existing facilities are already underutilized and we are doing an incremental capex of some INR250 crores. So, was it ongoing even before we came or what?

Vishal Thakkar: That capex is basically for the CDMO business, which has been offered by a very large multinational pharma player, existing customers of theirs. And so it's a separate capex for a separate objective and separate business vertical. So that will be independently executed compared to the current capexes that are done in the Vevoor plant and other plants.

Dhruv Bajaj: So is it a fair assumption that, that particular capex will have a larger gestation period? Or how will the scale up for that kind of asset go going forward?

Vishal Thakkar: So that has a very strong high capex. There, the asset turnover should be in 4x to 5x of the asset investment. But let's not, so today, we are talking about Anupam right now, let us get the control.

We have just signed a definitive agreement, give us a little bit more time and then we can come back with you when we have consummated this transaction. I think that would be fair for my side because I do not want to speak on behalf of that, this as well.

They are listed entity. We have not yet consummated this transaction that we make statements on their behalf. And whatever I have said is only from the public knowledge that we have right now. So please have that, and I hope that the safe harbour applies here. This is only our view about this business based on the public information that we have.

So please be mindful of that. If I've made any statements, please have that caveat on this please. I hope you appreciate the sensitivity. We are a listed entity. They are also listed entity. So please take it in that context and light, please.

Moderator: Thank you sir. The next question comes from the line of Varun Pinto with Negen Capital. Please go ahead.

Varun Pinto: Hi sir am I audible?

Vishal Thakkar: Yes you are audible very much please go ahead.

Varun Pinto: Hi sir, I apologize, even my questions are going to be around Bliss Pharma only. Sir, just one clarification in the beginning. So currently, you're saying that the peak revenue with the current gross block in Bliss, we can do it about INR3,000 crores. Is that understanding correct?

Vishal Thakkar: Technically, yes. If I do arithmetic, answer is yes, yes.

Varun Pinto: Understood, sir. Sir, I was actually looking for some clarity around like how the synergies are going to play out between Anupam and Bliss because my understanding currently is that Bliss

does not actually manufacture its own API, right? They purchase their API and neither does Anupam. Anupam also does not manufacture API. So sir, how is it going to work post the Anupam Rasayan India Limited
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quisition? Will Bliss have to like purchase API from outside only? Or is that something that Anupam can help them with?

Vishal Thakkar: So see, we are looking at one phase facet of the synergy that is, which is basically we are talking about vertical integration here, which is on the FDF side. However, I'll come to that in a minute. But look at it that they are, as we were talking about in the earlier question itself that there is a large project that we are working with a very large multinational company for CDMO based project. Now that's one thing which Anupam coming in improves the probability and the quality and the value creation there that can be there. There is a potential that we can add to that, right? That's one of a couple of projects. There will be more projects that we can bring there. We can bring it into that platform. And even today, Anupam is talking to their Anupam's existing customers also are talking to us about the CDMO projects and CMO projects, which we can leverage both capacity and capabilities to really offer that solution to our customer.

So, that's one that I'm saying. Second, as we were saying that this asset is right now limitedly used right now and because it has just recently completed capex. This, we will be able to leverage our expertise in the regulated market like U.S. and Europe, where they have permissions and approvals to expand very quickly. And that's something which we can add.

Varun Pinto: Understood.

Vishal Thakkar: And we have our plan laid out on how we think about running it. Once we acquire, we'll sit with the management, work with them and build and create a joint plan and an integration plan for this growth.

Varun Pinto: Understood, sir.

Vishal Thakkar: This is exactly what we did with Tanfac. You see the kind of effort that we have made and the results we have created for Anupam. Its revenue has significantly, the profitability has gone significantly. We believe there is room to deliver similar kind of results for here as well.

Varun Pinto: Absolutely, sir. Sir, just one clarification. The CDMO that Bliss will be doing, that will be largely around finished formulations, right?

Vishal Thakkar: Let us wait for that. I don't think I should be answering on behalf of Bliss management today because that's their prerogative right now. Let us consolidate this business and then consummate this business at least first, and we will definitely answer that going forward. But apologies, it would be inappropriate for me to make that statement today.

Varun Pinto: Okay, sir, no problem. Sir, lastly, one question that I have is like Anupam getting into the pharma business and enter in the regulated markets, would that be looked at as a conflict from our customers' point of view?

Vishal Thakkar: I think this market is a very large market. There are enough examples where you will be seeing that somebody is doing all the 3 sets, so KSM, APIs, CDMO as well as finished dosage. It's only we need to be mindful.

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We need to be more selective, strategic about our choices and about our therapies where there are product profile that we will work with. And I think there is enough room. We are talking about INR1,000 crores company today.

Even if we let's say go 5x also, we are talking about \$0.5 billion of revenue. I think in the space of pharma industry, I think it is not anything very significant that really you know, the conflicts can come up. That's my personal view. I'll leave it here.

Varun Pinto: Understood, sir. Okay, sir, I think that is it from my side. Thank you so much for answering all the questions.

Vishal Thakkar: Pleasure.

Moderator: The next question comes from the line of Saket Saurabh with Sagari Capital.

Saket Saurabh: Hi, am I audible?

Vishal Thakkar: Yes, please.

Saket Saurabh : Yes, Thanks for the opportunity and congratulations on the deal. Sir, my first question would

be, if I say, consider the platform, excluding Bliss, what would be our Africa exposure? And what would be Bliss' Africa exposure?

Because this is where I think geographically, do you think that Anupam and the rest of the platform, excluding Bliss is Africa, say a very attractive proposition. Because if I'm not mistaken, Bliss had a fair exposure to Africa. So that would be my first question, sir?

Vishal Thakkar: So first, Anupam right now has no exposure to that geography. I believe that company's Bliss' exposure. Yes, they are. We understand they're largely there. But that's one part of the synergy of the business that we were talking about.

And that's what I was saying earlier. There are a lot many more things. It's that business runs -- that business is capable of -- that management is capable of running that business in a manner. We are focusing on creating a platform. They have approvals in U.S., Europe and India. We will leverage that.

They have a lot of molecules also approved there, which is what we will leverage. So, I think there is a lot more opportunities beyond only geographical aspect of business strength that I would say. In fact, that's a complementary strength between the 2 companies, which we will be able to leverage.

Saket Saurabh : Okay, sir. Now coming back to the second question, sir, you have talked about that it will continue to run independently. Now unless and until say, this platform merges and demerges so that you consolidate all the CDMO under one umbrella?

There might be some duplication of effort or these companies continue to run independently. Is that so any thoughts on that, sir? Because you have clearly articulated that these would remain independent companies like Tanfac and other, so Bliss would also remain so?

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Vishal Thakkar: Let me use a little bit of a humor, but -- and pardon me on that. But look at what has happened to Tanfac and Anupam. Both of us have done well. Both of us have been able to leverage each other's strength and we both are doing well.

So, integration does not mean that I need to bring it into 1 corporate entity to really deliver the value or to deliver the synergy values. There are -- in the chemical manufacturing, there are multiple steps and processes. We can easily segregate the steps between who does what. And based on the capacity capabilities and the strength of each of the organization, we will be able to leverage this one.

I don't see that we need to bring it into a same corporate entity because the plants will be separate.

Each plant is a separate plant. Now I house it in Anupam or I house it in Bliss or I house it in Tanfac or I house it in Jayhawk, it doesn't matter because physically it will pass through those plants whichever are required to deliver this offering.

Saket Saurabh : Okay, sir. Fair point, sir. And next point would be, sir, now can we expect, say, the Bliss management to now regularly interact with the investors because that's what they have not been doing after COVID? And also, something that can you comment on their behalf that maybe Q1 onwards sort of?

Vishal Thakkar: Let us consummate this transaction before I make any of these promises or even suggestions. Hold on, I've just signed the definitive agreement on the weekend. Give us a little time. We will answer these questions, but I hope you appreciate that. It is a little too early for me to really promise on behalf of a company, which today is not under my control.

Saket Saurabh : No, I appreciate that one. And thanks once again for this deal, and I appreciate you answering with such clarity and openness. I appreciate and best of luck for the deal.

Vishal Thakkar: Thank you. I promise I'll answer these questions. Just give me a little time.

Saket Saurabh : No, no, sure, sir. I think we have waited for so long. So, a couple of months won't make much of difference. T

hat's for sure. It's a long-term deal that we are looking at.

Vishal Thakkar: And look at Tanfac. Tanfac at an appropriate time has now started being more active with its shareholders and investors, and we promise you for the others as well.

Saket Saurabh : Sure, sir. So, I got to say that has been one of the feedback. So, we have tried to reach out again as funds and individuals, but that has been one of the focus areas. So, I thought let me bring this to your attention and hopefully, this gets addressed. But I understand all your points, that once the deal is consummated, then maybe we are better placed to take this forward.

Vishal Thakkar: Thank you very much.

Saket Saurabh : Thank you, sir. Thank you. Best of luck.

Moderator: The next question comes from the line of Hemish Shah, an individual investor. Please go ahead.

Hemish Shah your line has been unmuted Please go ahead with your question. There is no response from the current participant.

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Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Vishal Thakkar: Thank you all for your active participation and interest in us. On behalf of the management of Anupam Rasayan India Limited, I thank you all for joining us on our post-earnings call today.

We hope we have been able to answer and address majority of your queries. Should you have any more queries, you may reach out to our Investor Relations partner, strategic growth advisor for any further queries that you may have, and they will connect with you offline. We now close the call. Thank you all.

Moderator: Thank you. On behalf of Anupam Rasayan India Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.